

PB Fintech. (POLICYBZR)

Conference call transcripts, oldest-first. 16 call(s). Generated 2026-08-02.

Call: Aug 2022

August 15 , 2022

To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
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Bandra (East), Mumbai – 400051

SYMBOL: POLICYBZR BSE Limited
Department of Corporate Services/ Listing
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
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SCRIP CODE: 543390

Sub: Transcript of the Earnings Call held on August 10, 2022

Dear Sir

In furtherance to our earlier communication dated August 08, 2022 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith Transcript of the Earnings Conference Call held on August 10, 2022 .

The transcript of Earnings Conference Call will also be hosted on the website of the Company at <https://www.pbfintech.in/investor-relations/> .

You are requested to kindly take the same in your records.

Thanking you

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“PB Fintech Limited Q1 FY'23 Earnings Conference Call”

August 10, 2022

MANAGEMENT : MR. YASHISH DAHIYA – CHAIRMAN & CHIEF
EXECUTIVE OFFICER , PB FINTECH LIMITED
MR. ALOK BANSAL – EXECUTIVE VICE CHAIRMAN &
WHOLE -TIME DIRECTOR , PB FINTECH LIMITED
MR. SARBVIR SINGH – PRESIDENT , POLICYBAZAAR
MR. NAVEEN KUKREJA – CHIEF EXECUTIVE OFFICER ,
PAIZABAZAAR
MR. MANDEEP MEHTA – CHIEF FINANCIAL OFFICER ,
PB FINTECH LIMITED
MS. RASLEEN KAUR – HEAD, CORPORATE STRATEGY
& INVESTOR RELATIONS , PB FINTECH LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the PB Fintech Limited Q1 FY'23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to Ms. Rasleen Kaur. Thank you and over to you, ma'am.

Rasleen Kaur: Thank you for joining us today. We have with us Mr. Yashish Dahiya -- Chairman and CEO, PB Fintech; Mr. Alok Bansal -- Executive Vice Chairman and Whole-Time Director of PB Fintech; Mr. Sarbvir Singh -- President, Policybazaar; Mr. Naveen Kukreja -- CEO, Paisabazaar; Mr. Mandeep Mehta -- CFO PB Fintech. Now I request Mr. Yashish Dahiya to give us a brief update about the Q1 FY'23 Results.

Yashish Dahiya: Hello, everyone. Before I get into the details on the way forward and the Q1 FY'23 Performance Metrics, I'd like to reiterate some facts about our business. There are four pillars that I believe we stand on. Firstly, a majority of health and life insurance consumers in India do their research on Policybazaar. This leads to a higher persistency for these consumers, because having done their research, they somewhat know what they are purchasing and hence their likelihood of churning is much lower.

Second, we have the best conversion engine for digital enquiry and continue to improve it, as demonstrated by the increased premium for enquiry of 32% over the last 12 months.

As a third leg, we continue to improve the platform in terms of consumer onboarding, service and claim capability, demonstrated by the CSAT which is at 83%, and the number of unprompted customer messages we receive every day on claim support as well as customer onboarding.

And lastly, but not the least, a higher customer disclosure, which is because the customer is filling out forms themselves, along with stronger data analytics, and fraud detection mechanisms, which lead to a better control on the claim ratios, which eventually also lead to higher claims settlement rates.

We continue to build on all four of these pillars, and we get stronger every day.

Our core businesses, the Insurance Marketplace Policybazaar and the Credit Marketplace Paisabazaar, grew at 59% year-on-year, and have now been adjusted EBITDA-positive for a second quarter running. Out of the total revenue, the credit linked revenue was ₹ 84 crores for the last quarter.

For our insurance business, we had an adjusted EBITDA of ₹ 18 crores positive for the last quarter.

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For complicated products like health and life insurance, we have been extending our customer connect beyond remote calling by giving consumers the convenience to have physical meetings at their home or office and in their local language. We are happy that customers have accepted this wholeheartedly and the results continue to encourage. We have also extended on-ground claims support in 114 cities as of date.

Our renewals revenue is now at ₹ 270 crores annual run rate, and as we have previously mentioned roughly 85% of this flows directly to the bottom line.

Paisa bazaar, our credit marketplace continues to grow very well and has rebounded strongly from COVID. We are now at an annual run rate of ₹ 11,200 crores disbursement and 4.3 lakh credit cards issued. We have over 29.5 million customers who have accessed the credit score platform in 823 towns. This number represents 13% of India's active credit score consumers. 75% of these consumers are from non-metros. With increasing digitization, the digital marketplace like ours obviously stands to benefit.

Co-created products

Our strategy is shaping up well with step-up cards, duet credit cards, etc. Our contribution margins have improved significantly over the last two years. And I'm quite pleased to say, at this stage, we expect the credit business to turn adjusted EBITDA-positive by Q4 this year.

To update on new initiatives, PB partners our seller aggregator platform leads the market in scale, has the highest proportion of non-motor business, and has started increasing efficiency. We continue to be positive on all the other new initiatives as well.

Essentially, we have delivered two quarters of positive adjusted EBITDA on our core business now. Now onwards, the core business, in our best opinion, should continue to grow EBITDA by roughly ₹ 150 crores every passing year.

We are very comfortable supporting new initiatives at roughly ₹ 200 crores a year burn as of

the present month.

Just to take you through seasonality, Q4 is easily the strongest quarter in our industry and Q1 is the weakest. However, our core revenues are roughly the same in both these quarters; if you notice Q1 revenue was 96% of Q4.

Last year Q1 was a COVID year and health and life insurance demand in terms of enquiries had peaked. The enquiries in the months of April and May this year were not at the same level as last year. However, we were still able to continue to grow, largely owing to higher premium per enquiry which we achieved due to our operations.

Enquiry growth has returned in the last few months, and we are confident of higher growth in the coming months and quarters.

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We are a significant and growing contributor to the fresh retail term and health business, and in fact, even to the savings business now of our country, and have delivered two quarters of positive adjusted EBITDA in our core business. And we feel we could be adjusted EBITDA - positive as a group by Q4 of this year for the entire business. It is close enough and we have confidence enough and we are happy to take questions now.

Moderator: Ladies and gentlemen, we will now begin the question-and-answer session. Our first question is from the line Sachin from Bank of America. Please go ahead.

Sachin: I have a few questions. So first question I would actually like to understand how is the mix for your business change as we are recovering away from COVID in terms of health, motor, life, any specific changes we are seeing out there? And a related question is, hopefully, your business is not too impacted. But any impact on the back of inflation have we seen?

Sarbjit Singh: Sachin, on the first part, we've seen a stronger growth in motor in Q1 than other businesses just because last year was very low. But otherwise, as Yashish mentioned, health and term, we were able to build despite the drop in enquiries from last year. So we're not seeing any major change in the mix of our business in the first quarter. The impact of inflation is also fairly subdued on our business so far. I think there is some general impact on the economy, but for our business has been fairly subdued.

Sachin: Second question is, you guys mentioned on being close to adjusted EBITDA breakeven by 4Q. Any thoughts on how do you guys look at the steady state sustainable EBITDA margin, and how soon you should be able to reach that after being close to EBITDA breakeven?

Yashish Dahiya: So I think we've given a very clear indication now that was really aimed at the analyst community that we believe we should be increasing our profitability by ₹150 crores from here onwards every passing year. So that should give you a pretty good steer, and I don't see that slowing down for the next three, four years at least. So that should give you a pretty clear steer on where we believe the profitability could reach over the next four or five years if one breaks even by Q4.

Alok Bansal: Sachin, if we

look at the core business, it's been profitable for last two quarters now and that should continue to build and as we get to the year end, that number should be big enough to cover for the experiments that we do. We would definitely want to invest behind the experiments to the extent we feel comfortable, and that number Yashish already given us about ₹200 crores. By the way our core business continues to deliver efficiency. I think over next few years starting from next financial year itself, we will continue to see this EBITDA being positive. In fact, the ESOP charges also will come down quite substantially because of the way accounting happens. So from 2024, '25, I think ESOP charges will be quite miniscule compared to the sort of EBITDA we will provide.

Yashish Dahiya: We'll have a third of what they are now.

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Alok Bansal: We'll be talking about EBITDA by that time and not adjusted EBITDA.

Sachin: And my last question, Alok is just a follow up on the experiments you mentioned. Clearly, while you guys have given a guidance of ₹200 crores, the kind of investments we have made look a bit conservative as compared to ₹200 crores. So is there a general thought process that if you're not able to invest that, that could be returned back to shareholders, how do you look at that?

Alok Bansal: When we say, investments, Sachin, we are not talking about investments in third-party or acquisitions, we're talking about investments into our experiments, because the seller aggregation platform, the POSP platform that we have "PBpartners", the corporate business that we are building, and the international business through the UAE entity that we have got. These are the investments that we were mentioning about ₹200 crores. We remain choosy in

terms of our investment into any inorganic growth opportunities . We will only invest if we feel that there is a potential of some synergy with either Policybazaar or Paisabazaar platforms. But generally, we have been more build versus acquire , and I don't think that is going to change in a hurry.

Moderator: We'll take the next question from the line of Nikhil Agrawal from VT Capital . Please go ahead.

Nikhil Agrawal : Sir, with regard to the new initiatives and investment that you mentioned, so given that we have started the physical model, and we started to begin a physical presence in the form of stores, and we have the target of establishing more than 200 stores by FY'24, Why do we see a reduction in the expenditure in the new initiatives as of this quarter?

Yashish Dahiya: So first of all, all our physical stores or physical presence are not part of our new initiatives. I think we have clarified this many times. They are part of our core business. And so all those costs are in the core business, all those margins are in the core business . And when we say the core business is profitable that at the adjusted EBITDA level, that implies it includes all those costs of all those stores and all those physical people and everything is included in that .

Nikhil Agrawal: Why the expenditure on the core business down from last quarter ?

Sarbvir Singh: The expenditure is just a function of the revenue , right . The revenue is down a little bit compared to last quarter because of the seasonal nature of the business. The expenditure follows that . There is no other thing , right.

Yashish Dahiya: There isn't a major change, it's pretty much the same as last quarter.

Alok Bansal : We don't really give a break out in terms of the expenditure done on the FOS or the physical store side that we do. That is still a very nascent part of the core business , it's growing , and we are taking very major calls for each location and each store. As these grow, we keep on investing more and more behind these . Typically , any particular store requires a sma

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investment from CAPEX perspective, and then there is small investment from the OPEX perspective in the first few months . Within those three months or six month timeframe, people start to actually break even within the store or within that location and start to contribute back.

So we have been expanding slowly .

Yashish Dahiya: Just to explain, so there's no confusion on this . Our existing business revenue, last quarter was ■ 386 crores and that is now ■ 371 crores, and Q4 is the biggest quarter. And the contribution has gone from ■ 179 crores to ■ 167 crores . Actually , the EBITDA is down by about ■ 5 crores. So while the revenue has declined by roughly ■ 15 crores, the EBITDA is only down by ■ 5 crores, that means the expenses have gone down by about ■ 10 crores, which is okay, at that level, it is a 3%, 4% shift here or there. It's pretty much the same as it was, there isn't much change.

Nikhil Agrawal: Sir, if you could give me the renewal revenue for this quarter ?

Yashish Dahiya: The renewal revenue for annual run rate is at ■ 270 crores as of July.

Nikhil Agrawal: What part of the total premium would be life and health premium as of today, since health is a major focus as that generates the most renewal revenue for us?

Sarbvir Singh: Approximately 75% of our premium is life and health.

Nikhil Agrawal: Going forward in the PO SP business , as we've been doing this, the third -party agents come on our platform and sell our insurance products, and we forego major part of the fee to them.

So going forward, how much of that is going to be given to the third -party agents? Are we changing that in the coming quarters or is it the same model as of now?

Sarbvir Singh: So I think the answer to that question varies by category and by sub -category even. And as you can imagine, it's a competitive market. So I can't share exact details with you. But what we are trying to do is to improve the retention as we go along as the loyalty of our agents builds. So the way this works is that agents care about cash flow, they care that who pays them on time and who pays them reliably. Now , we've established that over the last four quarters that we are a big player in the market, we are paying on time, our technology now is the best in the market. So people like to work with us. So, as that happens, we will be able to retain more as we go along , and you will see the impact of that as the quarters develop.

Nikhil Agrawal: Any target for physical presence for this year in the form of stores?

Sarbvir Singh: Stores are a small part of our overall physical presence. Just to give you a sense, we have over 600 people deployed in the field . We have 40 stores only. So stores are a small portion of the overall story. We expect that as the economics prove themselves out, we will continue to expand both the number of people in the field as well as the number of stores.

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Nikhil Agrawal: How much are we spending on the customer grievances, that is the call center service and other people that are picking up the calls and addressing the demands of the customers?

Yashish Dahiya: I remember as of last few months, there are about 300 people who are answering customer queries and grievances. So yes, we, of course, spend on that but that cost is included within our margins from our core business.

Nikhil Agrawal: And does it form a significant portion of the employee expenses?

Yashish Dahiya: No, it's not a major portion.

Moderator: We'll take our next question from the line of Sachin Dixit from JM Financial. Please go ahead.

Sachin Dixit: My first question was with regards to the life insurance sector. Today itself it's a very dominant force with almost 20%-odd market share and you guys onboarded LIC five, six months. Are you driving benefits from that partnership now or is it still work-in-progress?

Sarbvir Singh: LIC online journey started just last month with us after all the integrations have been completed. The first month, as you can imagine, it's been a good start. We are slowly building the business. We are very optimistic and I think we see a very good opportunity ahead. As you said, LIC is a major player in the business, and I think we will also benefit from that as we go along.

Sachin Dixit: So far the traction is not good?

Sarbvir Singh: I said the traction is very good. We've just started.

Sachin Dixit: If you can provide me some sort of mix between new business premium renewal, and B2B or the POSP premium basically, because obviously for you guys, new initiatives are coming to almost 25% of your revenue today and we do not have much numbers. So would be helpful to get some perspective?

Yashish Dahiya: We don't do those breakups historically. Sorry about that.

Sachin Dixit: Just like it's become a significant part of your revenue today, right, so, would be helpful going forward at least?

Yashish Dahiya: The revenues are mentioned. So I think we only do Policy versus Paisa, we don't go into segment wise breakup within the company. We just do not do it for various reasons. I understand that there is requirement or desire to have that, but we don't provide it.

Sachin Dixit: Because without any drivers, we do not have numbers for POSP, we do not have premium, right, it's very tough for us to drive the model, as this is just a number for us right now.

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Moderator: We'll take the next question from the line of Arjun Vikas from Alpha Wave Global. Please go ahead.

Arjun Vikas: Quick questions. On credit card, I understand we are going to launch co-branded cards or come out with some card offering of our own. Does that get impacted in any shape and form with the recent PPI in regulation with banks loading of those cards with credit?

Naveen Kukreja: Arun, the PPI regulation was impacting the prepaid instrument. When we talked about the cards we have two co-branded credit cards live in the market. So they do not get impacted because they are on the credit card platform not on the PPI platform. And they satisfy the co-branding conditions that RBI has laid out when they came out with a regulation on what is allowed and what is not allowed for a co-brand partner to be doing. In both the cases we work with different banks. So we working with them as per the regulations.

Arjun Vikas: So no impact in our plans going forward either I'm assuming?

Naveen Kukreja: Absolutely, no impact.

Arjun Vikas: I was seeing the slide on the claim settlement ratio, which says that we're probably eight percentage points higher than the industry. Just wanted to check are we doing here which is so different, is it just the underwriting, which is driving this in some shape and form because there's less of frauds involved at the time of underwriting or there's actually something they're doing at the time of service, which is helping this incremental percentage?

Sarbvir Singh: The claim settlement ratio is an example from health insurance. So the reason that is happening is that because we have higher disclosure upfront. So the main reasons why claims tend to get rejected is because there was lack of disclosure. So person has not told that there is certain pre-existing illness so the insurer has to reject for that reason. Because we have such high disclosure, our customers, when they claim, their policies tend to be very clean. And secondly, our customer also understand their policies much better than probably average. So the whole process both in terms of their making relevant claims, and the fact that they disclose everything, tends to do that. On top of this, we've spoken about the claim support that we are providing. So, we have

physical presence in 114 cities now. Our person shows up at the hospital if required, we have call center support as well. So when a person has to file a claim, we guide them in terms of what documents are required, what all is needed. So that also helps

in ensuring a higher claim settlement ratio.

Arjun Vikas: Would you be able to share any kind of guidance or numbers around customer acquisition costs, and the kind of premium we do per agent at the call center now or has it changed significantly?

Sarbvir Singh: I think it's really hard to talk publicly about these sensitive numbers, but I would just say that, as you can imagine the premium per enquiry is building, right, I think that number has been shared at over ₹ 1,500 per enquiry. So I think as that builds, you can imagine that the

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productivity of our agents is only improving as we go forward. And again, just to remind everyone, the reason our agents are productive is the fact that the person when he comes to Policybazaar, there higher intention of buying insurance. So this is the only platform in the insurance ecosystem where someone comes to buy insurance versus being sold insurance. So that is step one for the reason why our productivity is high. And then of course, our agents are very well trained, they have great support from a technology perspective, from a CRM perspective, and everything. So it's these two things put together. The fact that a person comes with higher intention of buying insurance, and secondly, because we have very well trained and very capable agents. These numbers are only building as we go along.

Yashish Dahiya: If you look at our overall health and life business per se, at a very rough number, that number is about ₹ 10 lakhs per agent, at a broad number per salesperson, that's about ₹ 10 lakhs per month. Typically, an agent in the market would be quite happy if they are selling about ₹ 50,000. So about 20x the productivity of what you would call a standard offline agent. And as Sarbvir mentioned, that is largely driven by the fact that there is a desire on the part of the consumer to buy, which is what is expressed by at least voluntarily coming to the site to research that particular product, and the technology platform which allows for better onboarding, issuance, etc.,

Moderator: We'll take our next question from the line of Nischint Chawathe from Kotak Securities. Please go ahead.

Nischint Chawathe: Two questions from my side. One is the new premium per enquiry, this has gone up by around 15% on a quarter-on-quarter basis. So how should we really think of it? You mentioned that for obvious reasons, motor premium was higher in this quarter. I would believe that motor premiums would be maybe in line or maybe slightly below your average premium. So how should we really think about it, is it something that you were able to grow savings at a faster pace or is it something that you've seen a very similar increase in ticket size across products?

Sarbvir Singh: So first of all, motor is a very small portion of that answer. I think the real answer is that as we just discussed the productivity of our agents is going up. So they are able to convert more leads per agent than they were converting earlier. This is driven again by two or three things; intent of the customer, the technology that we are providing our agents to talk as well as the onboarding, etc., and the third thing is the offline component that we have added, where a person is able to visit the customer in their home or office as they desire. And that is giving us an incremental productivity and incremental conversion. So when you put these three things together, that is what you're seeing in that average premium per enquiry, which is being driven upward.

Yashish Dahiya: So just to kind of add to Sarbvir's answer there, if you look at

the last 14 years of our

existence, we have been putting in the efforts on technology, product and the customer, and our training all along. But never in history, have we seen a premium per enquiry go up at the rate that it has gone up in the last 12 months. And the primary reason for that is the fact that

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we have started the physical channel. That is the biggest reason why this premium per enquiry is going up. Although that alone will not explain it, because only about 15% of the premium started going through that channel. So that does not explain 32% increase. But that will probably be the biggest differentiator over the last few years.

Nischint Chawathe: Basically, the offline format is obviously doing larger ticket?

Yashish Dahiya: There is no doubt the offline format is more productive.

Nischint Chawathe: So these are 15% offline enquiries –

Yashish Dahiya: We don't have a single offline enquiry, just wanted to clarify. All enquiries come online. They can be closed on the website without assistance, which is what happens to almost all motor, two wheeler and travel business. For health and life, a bulk of the business used to get closed by the call center through a voice call or a video call, and now increasingly, customers also have the ability to meet with our agents in their office or their home. And that last leg is

contributing to about 15% of the business. And that is where some of the growth in productivity, etc., is coming from, and that 15% has been growing every month for the last 12 months, 15% is a significant part to start going through a new channel.

Alok Bansal: Mix change and all will keep on happening. Some of these are controllable, some of these are not controllable. But if we were converting at x-percentage earlier, are we doing a better job of it? Yes, because of the training, because of a lot of other stuff, integrations and all. The effort required per transaction has come down and it's coming down every quarter. The second part is are you able to add something to the x, is it becoming x-plus delta. That's where the offline physical part is also helping. So for the same 100 enquiries, we're able to convert more and convert faster. And that is an effort which will continue specifically on the physical side, it's a very young experiment still. As we understand more, and as we learn more, I think we continue to hopefully deliver more and more premium per enquiry from that perspective.

Nischint Chawathe: The second question is on EBITDA line, I'm looking at slide #4. What you're saying is that Q1 FY'23 adjusted EBITDA, non-GAAP is negative ₹ 66 crores number. And specifically what you are guiding is that the ₹ 66 crores will come closer to zero by the fourth quarter. Is that right reading?

Yashish Dahiya: Right reading, absolutely.

Nischint Chawathe: And the new initiatives, which I believe largely is the POS P business is currently you have expense of around ₹ 71 crores this quarter and you mentioned that you are okay to spend approximately ₹ 200 crores per year. So, in that sense, your existing business will have to kind of match up to get into a negative or to a near zero number, is that a right reading?

Yashish Dahiya: Yes, so the existing business will more than cover that cost by the Q4, we are fairly confident of that.

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Alok Bansal: There are three parts again here if you look at it. One is what we're doing on the insurance side, which continues to be EBITDA -positive and continues to become stronger and stronger over the quarters. The second is what is happening on the credit side, where the EBITDA loss has come down. And as Yashish mentioned earlier, by the end of this year it'll be breakeven. And third is the experiments, which you can already see compared to last quarter, this quarter, the

number has come down in terms of the investment that we have done on those experiments.

But our endeavor is to keep it around ₹ 200 crores for the year. This was the first quarter, obviously, you can see that the number has come down to ₹ 70 crores from ₹ 90 crores. But for the year, we are quite hopeful that it will be very near to ₹ 200 crores. So by the time we get to the Q4, all these things put together, should hopefully jump into adjusted EBITDA -neutral or positive quarter for us.

Nischint Chawathe: Just one request. If one or two quarters down the line, if can start sort of splitting the existing business into the credit and the insurance business, I think that will just help us to read the numbers or the underlying terms better?

Alok Bansal: We will take that input and come back to you on it.

Moderator: Next question is from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah: I have a couple of questions. I just wanted to understand what will be a quarterly revenue share, let's say how the first quarter would look like and how the fourth quarter would look like because we are a season businesses and this Q4 is a typically a heavy quarter for the insurance industry, so how would Q1, Q2, Q3 and Q4 would look like in terms of a percentage?

Yashish Dahiya: See, we don't give forward guidance and all that, except for the one I'm giving for Q4, I'm giving some forward guidance, because I think everybody needed it and we also feel fairly confident of it now. But historically, the year has been about 5.5x of the first quarter, but seasonality is reducing for us. So you can make your own judgment call on how it would play out. It varies by vertical also.

Alok Bansal: Typically, what happens is, if you look at industry, because industry is skewed towards savings product, that's why you see much higher seasonality for the industry. In our case, because we have very big portion of protection, which is not as seasonal, the number is not as skewed also, and the number has been coming down for us. In fact, a few years back that number used to be quite big, but now I think as Yashish said this number for a couple of years would have been about 5 to 5.5.

Yashish Dahiya: If you look at last year, we did ₹ 1,400 crores at the end and this quarter was ₹ 240 crores. So that's a little more than 5x. But we have a lot of growth of new initiatives in the latter part of the year. So there are two parts there, right. Last year, actually, Q1 was quite a strong quarter because of COVID compared to the rest of the year, but at the same time, we had a lot of new initiatives growth. So my view is as a fair assessment, the number has historically been about 5

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to 5.5x . I don't think that'll be the case this year. I think it'd be on the lower end of that spectrum at best .

Arpit Shah: So in Q1 into five is a typical for the volume ?

Yashish Dahiya: We do have plans, we don't share them. It's up to you if you want to assume . Historical number has been 5 to 5.5x .

Arpit Shah: The ESOP cost this quarter would be around ■ 170 crores. Would that be a right number?

Yashish Dahiya: ■ 167 crores .

Arpit Shah: I just wanted a clarity on the ■ 150 crore s adjusted EBITDA you are referring to an increase every year. So what is that number exactly , like ■ 150 crores which would keep happening every year or how is it ?

Yashish Dahiya: It would keep increasing by approximately ■ 150 crores every year. That's our assessment .

Arpit Shah: On adjusted EBIT DA or normal EBITDA?

Yashish Dahiya: At the adjusted EBITDA level. So if we do x-adjusted EBIT DA in a particular year, the next year it should be about ■ 150 crores more than that.

Arpit Shah: This year, we are expecting to be zero and probably for FY '24, will move to ■ 150 crores?

Yashish Dahiya : The year won't be ze

ro, the last quarter would be zero.

Arpit Shah: As LIC come into as a partner, wouldn't your addressable opportunity go higher by like, let's say 3 or 4x because they are like 70% of the market in the life insurance ?

Sarbvir Singh: It doesn't work quite like that as you can imagine . I wouldn't want to go into what our opportunity could be. But you're right, it's a very big opportunity. Obviously, LIC has very strong distribution already. So I won't say that there is 4x opportunity. But it's a big opportunity and our focus always is to make the most of it and see where we end up.

Arpit Shah: And just in the new initiatives, what will be our fixed –

Yashish Dahiya: If you were to think about this, think about it in a very simple manner , it's like a restaurant where a certain number of customers come, and it has a certain set of dishes , and suddenly the most popular dish also becomes available. It'd be very hard to say that the restaurant sales would become 4x just because the most popular dish became available . Same set of customers coming , right. So yes, the restaurant revenues might go up some bit. But I think that's the way to look at it. It's like there is a fixed number of people who are coming to us. I doubt if our conversion rates will quadruple. But yes, we expect some improvement.

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Arpit Shah: Just wanted to understand there are fixed overheads in a new initiatives business . We're burning close to ■ 1 crore. But what will be that fixed cost overhead line item sitting there , and at what scale that line item will stop growing actually ?

Yashish Dahiya: On the new initiatives , I think we've peaked out on that . It wouldn't require a lot more from here onwards. I don't have a view on it increasing any further. We peaked out on it . As I explained last quarter that we had peaked out on the overall losses. And this quarter I can say we peaked out.

Sarbvir Singh: I just want to add that if you see Q 3, Q4 and Q1 of this year, each quarter the investment in the new initiatives has come down. To your point, slowly we're moving to a point where the fixed costs start getting covered. And as Yashish said by Q4, we would like to be at breakeven for the whole business.

Arpit Shah: So our direct costs in that business around ■ 200 crores every quarter , right?

Yashish Dahiya: For all new initiatives put together , yes, roughly about ■ 190 crores.

Arpit Shah: Once we see the new business revenues crossing to ■ 100 crores broadly that is when we become contribution –

Alok Bansal: So these are direct costs. Before we get into that detail, just let's take a step back and understand a bit about our business. The three things , scale , growth and profitability . And scale and growth, although they are very linked to each other, but both have different connotations for us in terms of what sort of support we get from suppliers, what sort of input we get from investor community and everyone else. Now, new initiatives are very important, because these are opportunities out there where we want to invest. I don't know whether we have mentioned this, but we have got more than ■ 5,000 crores on the balance sheet as of June end. And it will be quite stupid of us as a management team not to figure out what are the right opportunities to invest and look for the future growth, next three years, five years growth. So in new initiatives, bulk of it is direct cost. And direct cost will obviously grow as the revenue grows , but we will try to become more and more efficient. So if you look at our contribution percentage on new initiative, it used to be 52% negative last quarter, which has come down to 40 % negative. Our hope is we'll continue to drive this downwards , whether it is one year, two years, three years, but in some time, we are able to get to a zero contribution number here. But we all believe th

at

this is the right way for the business to look at growth over next five years or seven years' timeframe. So, we will continue to invest and the number that Yashish mentioned earlier, I am just reiterating that will be about ₹ 200 crores for the year that we are willing to invest as of now. If it changes, we'll obviously come back to you guys and inform you.

Moderator: Our next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: First is a data-keeping question. If you can split your premiums on the insurance business between new and renewal? Second, more from a quality perspective, if I just do some numbers

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on your contribution margins, what it looks like is that the entire benefit has come from the old or rather the digital insurance business where the contribution margins are probably at now 60%-plus. And to some extent that looks like that that is probably in a significant reduction in your ad and promotional spend, that goes into the contribution even though the share of customers coming directly and some of these factors and the mix has probably remained constant. So, if you can give some color on that? And third, more from the premium mix side, it looks that the YoY growth in premium for your digital channel has been in high double digits, or maybe a little bit more than that. So is it because of slowdown or is there something to read into it?

Sarbvir Singh: So the first question, Dipanjan, is that our ad spend is driven by the business and everything that we're doing in each month. So there is no such thing that we have slowed down or speeded up the process. Last year was a COVID year. So April, May were very strong months because of COVID. So obviously, we were very visible and active on television. This quarter is a more normal quarter and we spent as we would in any first quarter of the year.

Yashish Dahiya: If you're okay, could take this offline with Rasleen, that would be helpful, because our brand spend or our ad spend has not really come down, if anything, it's higher. So I would say just take it offline, that would that probably be more helpful.

Dipanjan Ghosh: Sure, I will do that. And if you can give the split between renewal and new business premium for the quarter?

Yashish Dahiya: So of the total premium, new business is ₹ 1,390 crores renewal is ₹ 1,040 crores.

Dipanjan Ghosh: The origination of the premiums, it looks like the origination for the digital channel has been a bit soft. Is my understanding correct, and if you can elaborate the probable reasons for that?

Sarbvir Singh: I think what you're attributing to is, again, because in the protection business last year was a very strong quarter, first quarter was very unusually strong, because of COVID. So there is some difference because of that. So that has obviously happened in this quarter. But other than that, I think if you see the results especially on the revenue side the growth is really strong.

Alok Bansal: And if you look at Q4 versus Q1, we are pretty flat on our premiums. So there isn't any slowdown, etc., so to say this year from that perspective. Of course, last year was an exceptional year. So you cannot really take the demand for last year because obviously during COVID everybody needed health and life insurance a lot more than they would in a non-COVID year. But yes, Q4 to Q1, we are good.

Moderator: Our next question is from the line of Dhaval from DSP. Please go ahead.

Dhaval: A couple of questions. First is could you just give the revenue for Paisabazaar for the quarter?

Yashish Dahiya: The credit revenue is ₹ 84 crores for the quarter.

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Dhaval: The distribution like the credit card, etc., would be?

Yashish Dahiya: We don't go into segment-by-segment, but the leading product out there is un-

secured loans and

credit cards, and they are both growing well. But we do not give more disclosure than that, we just don't do product level reporting.

Naveen Kukreja: What we have given is the disbursement growth and credit card growth; disbursements grew by about 135% YoY and number of credit cards issued grew by about 600% -plus YoY. So you can get a sense from that.

Dhaval: And the ₹ 84 crores equivalent number for last quarter would be, approximate?

Naveen Kukreja: Our revenue QoQ grew by about 8%.

Dhaval: And the second question, just to get it clear, assuming the adjusted EBITDA is zero in the fourth quarter, and basically we are saying that the adjusted EBITDA next year would be zero, and our E SOP cost, which probably this year given the trajectory could end about ₹ 600-odd crores, that will also phase out in the next year. So, somewhere in FY '25 or so, we expect sort of EBITDA breakeven or close to EBITDA, breakeven, is the understanding correct?

Yashish Dahiya: Your understanding is correct, but your and my understanding might be different is what I'm saying. So let's wait and watch.

Dhaval: Where would the difference be?

Yashish Dahiya : Looking at the past numbers, and looking at what all you know, your understanding is correct.

Dhaval: Just to confirm the ESOP cost for the year, we expect it to be around ₹ 600 crores for the year?

Alok Bansal : It will be lower; I think it'll be more like ₹ 550 crores . The bulk of ESOPs that you see here, were allocated last October. So the yearly cost gets divided between two financial years, last two quarters of the last financial year and two quarters of this financial year, then it comes down a little bit, again, two quarters of this year and two quarters of next year. So we'll continue to see it coming down for next five years. But, the number for this year is about ₹ 545, 550 crores .

Yashish Dahiya: Just to give everybody clarity on this, just make a note of it so you guys are all clear. This year, it's about ₹ 550 crores, next year it's about ₹ 300 crores, the year after it's about ₹ 189 crores, the year after it's less than ₹ 100 crores, the year after it's about ₹ 30 crores, the FY'24, '25, it's about ₹ 80, 90 crores. And from all the information we know at this stage, I don't see why our profit shouldn't be higher than that , let's just do the math, by the end of '22-23 we broken even , then by the ₹ 150 crores we're talking about clearly we should be at a run rate to deliver this ₹ 190 crores , I don't see why not. Even think about the ₹ 150 crores the breakeven part . Why am I saying this ? Look, last year Policybazaar in the last quarter made ₹ 28 crores of EBITDA .

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Paisa bazaar made about ₹ 18 crores or something of loss . Next year the credit business is going to be breakeven. So, there is no reason why Policybazaar will not do about ₹ 50 crores of positive and there is no reason our new business will take more than ₹ 50 crores. So, at this point, we feel fairly confident about that number. Now things change , of course, we will watch it, but why should things change , let's see.

Dhaval: In terms of the split that you gave for a new and renewal, the renewal rate seems to have come down. So is it more seasonal or product -?

Yashish Dahiya : That's a wrong conclusion. I can clarify very, very categorically that our renewal rate if anything , has actually gone up by a few percentage points and definitely is one of the strongest in the industry. In fact, we are positively surprised by it. So do not go to the wrong conclusion is all I would suggest . You may be reading something more than what needs to be read in the data.

Moderator: Our next question is from the line of Abhishek Khanna from Jefferies. Please go ahead.

Abhishek Khanna : I just had a basic question . Because we've been talking about that seasonality in

different

quarters. I just wanted to understand Q4 to Q1, we've seen a growth in our renewal revenue , we've seen a growth in our insurance premiums , in the disbursements as well. So what really explains that 6%, 7% decline in the existing revenue , is it some product mix , what explains that decline despite whatever 10 %, 12% increase that we've seen in the disbursements , premiums and the renewal revenue also?

Yashish Dahiya: Broadly , if I were to explain to you , the 4% decline that we see in the revenues from Q4 to Q1 would be probably because of about 8% decline in fresh insurance premium compared to Q4 –

Which is very expected, right? You're comparing the March quarter with the April, May , June quarter . In the insurance industry, those are not really very comparable quarters. And I think that is it . There is not much mix change, etc. , Just seasonality, nothing more than that. If your revenue is the same as the strongest quarter of the year, which is pretty much the same, that is a pretty strong result I would say .

Sarbjit Singh: Just to add, I would encourage you to look at the industry statistics, which come out every month and have come out for the first quarter. So you will find that the industry seasonality is much more than the seasonality that you're seeing over here .

Abhishek Khanna: No-no, I totally understand that. But the question that I had was because your premiums are not declining. So are you saying that the decline is in your new business premiums, is that the case?

Yashish Dahiya: There may be some higher renewal . We gave you the renewal premium and the fresh premium breakup also, which was 1,390 new and the 1,040 of renewal premium . So, all I'm saying is don't read too much into a 4% shift.

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Abhishek Khanna: When you say that on the renewal revenue, your margins are about 85% or so . Is that all of the costs taken from that?

Yashish Dahiya: Everything taken into account . We do our internal analysis . Fully loaded , it's about 85%. So we've done this analysis multiple times. The telecom , people, management, everything gets into it.

Abhishek Khanna: Last question on that, because I remember that number being 90% , I know it's not a material shift, but as the revenue –

Yashish Dahiya: We have added all costs, every thing , so then it's 85% .

Abhishek Khanna: Now that this ■ 85 crores number should be inclusive of our cost and should stay as it is right now, 85% number going forward should also be a good –

Yashish Dahiya: You have to understand the renewal dynamic , right? First year, it is x , next year it is more than x, third year, it is more than x million , by the time we get to the third year is 97%. So hopefully, as our book builds up into the future, the cost of doing the renewal should be reducing, but 85% is also good enough.

Moderator: We'll take our next question from the line of Umang Shah from Arohi Asset Management. Please go ahead.

Umang Shah : The first one is on slide #3. If we have the year -over-year premiums increasing come 1 ,594 to 2,430 how much of the growth is explained using new initiatives? And how much is the growth in the core Policybazaar business, i f you could help us appreciate that?

Sarbvir Singh: We haven't shared this breakup , but again, you can do the math based on the revenue , right , you can get to some numbers. Obviously, the new initiatives add to the growth and there is growth in the existing business as well .

Yashish Dahiya: See, ■ 134 crores revenue there on the new initiatives. And if you take away the credit revenue, there is probably ■ 290-odd crore s of revenue here on the existing businesses . You could perhaps take some kind of a split.

Umang Shah: But is there material improvement in take rates or is the entire growth in the revenues explained by growth in premiums ?

Yashish Dahiya: The take rate has

improved materially in one of the segments in the existing business. We'll just leave it there .

Umang Shah: Hence , just wanted to understand the premium growth in the co re?

Sarbvir Singh: Sorry, can you repeat that?

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Umang Shah: Because we have some revenue growth, we are experienced an d increase in take rate, and hence wanted to understand the premium growth.

Sarbvir Singh: So just to be clear, the take rate point that Yashish was making is in a particular segment of our existing business. On an overall basis, the take rates are fairly steady. Take rate expansion is not a key driver of the whole thing.

Umang Shah: The second question I had was to Naveen . Could you share the cont ribution margin for Paisabazaar ?

Naveen Kukreja : For t he credit business , contribution margin at a business level, we're not sharing but on an overall level, we've shared that numbers, which is about 45% between both insurance and credit business .

Umang Shah: So the credit business is higher or lower than this number ?

Yashish Dahiya: It is lower than this number. But let's not get into further details. So there is a slide in the presentation, which is the slide #36, where you can see, how the lending busi ness has been moving .

Naveen Kukreja : That gives you an indication of how the EBITDA margin is improving over a period of last two years and how w e're getting close to the profitability.

Umang Shah: The last question I had was the outlook on the retail pro tection side . If you see the industry, a lot of the life insurers are reporting massive drops in retail protection. And given that we are market leaders in that space, how does it impact our business , and how do we think about growth in this business more from a medium -term view?

Sarbvir Singh: I think there are two things to understand about retail pr otection . The number of people in India who have Term Insurance is only 60 lakhs or so. So there is a large opportunity that is available for term insurance in India. So the medium to long term view on this, I think segment is very positive. What has happened in the near term is that because of COVID, the industry went through a significant shift in terms of both process and price . That it you see in this quarter probably came together, because last year was a very high demand quarter. Now going forward, what we expect is the processes have largely stabilized , pricing also has largely stabilized because of the new use and file regulations , you're going to get new products, much more innovation in this category as we go forward. And I think you will find that the category will build as we go through this year. So we are actually very optimistic about term and protection in general. And I think you will see that building as we go through this year.

Yashish Dahiya: I want to say something in addition to this, and I'm s aying something , having watched this industry now for th e last 13 , 14 years Policybazaar has been at the forefront of this whole term insurance . Markets should take my word for whatever you think they're worth . See, from 2009 to 2017, you saw a steady decline every year in term insurance prices. And I think cer tain new

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channels were really, really opened up in about 2016, '17 in that timeframe. And I think those who are in the know of the market know which channels those were. And I think there was a differential experience very clearly on the claim ratio. Because essentially the same prices that were coming through the direct channel or the digital channel or us and the insurance companies' direct platforms was also extended to certain other channels, and that had a dramatically negative effect on the reinsurers. Now at least that is acknowledged in some circles. And that led to essentially a negative surprise to at least

east RGA and a few other

reinsurers. RGA essentially pretty much pulled out and then there was a dearth of reinsurers, everybody was a bit worried. My assessment is there is very clear understanding at the reinsurance end now that there is differential risk across channels ... and I don't talk about just Policybazaar here, okay, I talk about the entire Policybazaar, the insurance companies websites, etc., they are at a differential risk for disclosure reasons or whatever reasons. Because of the amount of effort that has been put in and the checks and balances that have been put in place. And if you wish, at some point I would love to, host a one-hour session where we could take you what kind of checks and balances have been put in place which lead to that. And because of that the reinsurers in my opinion, are willing to support some kind of different prices across these. Now, it is up to insurers to take those, not take those, and to some extent, that will determine the future of the industry. I do think some insurers are taking those, some insurers are not taking those as of now. But the industry is in that zone. That's my assessment of the situation. I think the market will grow. We continue to do good quality business. We haven't seen what has been reported in the media or whatever has been reported, that data we have not seen, and our data is quite out there. But I'll kind of leave it there. And I'm not talking about term versus TROP, etc., I'm talking about just term, term, term, that's it. For those who understand there is a TROP segment and there's a term segment and the TROP can have slightly higher premiums, but the risk component that is limited. So for the ones who know you already know it.

Moderator: We will take that as the last question. I now hand over the floor back to the management for closing comments. Over to you, sir.

Yashish Dahiya: Thank you very much to all of you for all your participation and all your questions. Very heartening to see the participation and look forward to speaking to you in another three months' time. Thank you for now. Have a good evening. Bye.

Moderator: On behalf of PB Fintech Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2022

November 12 , 2022

To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai – 400051

SYMBOL: POLICYBZR BSE Limited
Department of Corporate Services/ Listing
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400001

SCRIP CODE : 543390

Sub: Transcript of the Earnings Call held on November 7 , 2022

Dear Sir/Madam,

In furtherance to our earlier communication dated November 4 , 2022 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith Transcript of the Earnings Conference Call held on November 7 , 2022.

The transcript of Earnings Conference Call will also be hosted on the website of the Company at <https://www.pbfinotech.in/#investor-relation> .

You are requested to kindly take the same in your records.

Thanking you ,

Encl.: A/a

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“PB Fintech Limited Q2 FY23 Earnings Conference
Call”

November 07, 2022

MANAGEMENT : MR. YASHISH DAHIYA – CHAIRMAN & CEO, PB
FINTECH LIMITED
MR. ALOK BANSAL - EXECUTIVE VICE CHAIRMAN &
WHOLETIME DIRECTOR , PB FINTECH LIMITED
MR. SARBVIR SINGH - PRESIDENT , POLICYBAZAAR , PB
FINTECH LIMITED
MR. NAVEEN KUKREJA - CEO, PAISABAZAAR , PB
FINTECH LIMITED

MR. MANDEEP MEHTA - GROUP CFO, PB FINTECH LIMITED
MS. RASLEEN KAUR - HEAD, CORPORATE STRATEGY & INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY23 Earnings Conference Call of PB Fintech Limited. We have with us today, Mr. Yashish Dahiya - Chairman & CEO; Mr. Alok Bansal - Executive Vice Chairman & Wholetime Director; Mr. Sarbvir Singh - President, Policybazaar; Mr. Naveen Kukreja - CEO, Paisabazaar; Mr. Mandeep Mehta - Group CFO and Ms. Rasleen Kaur - Head, Corporate Strategy and Investor Relations. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Yashish Dahiya. Thank you and over to you, sir.

Yashish Dahiya: Hi everyone. I will start by reiterating few facts about our business once more. A majority of health and life insurance consumers in India do their research on Policybazaar. This leads to a higher persistency owing to the fact that when consumers research, they know what they are purchasing. Our renewal revenue is now at an ARR of ₹290 crores. We have the best conversion engine in the industry and continue to improve our premium for enquiry which is now greater than ₹1,500 per enquiry for the first half of the year which is the highest we have ever achieved. There is continuous improvement in customer onboarding, service and claim support which has let us in the last few months to receive more than 10,000 appreciation letters from customers every month and a CSAT of 86%. It is indeed a massive change in the number of appreciations that we are receiving from consumers.

Higher customer disclosure along with strong data analytics and fraud detection mechanisms that we have developed over the years lead to better claim ratios which essentially allow our insurance partners to settle a higher percentage of claims than they do for any other channels. We grew at 105% year-on-year and our existing business has now been profitable for the last 3 quarters. In the last quarter, our interest income exceeded our adjusted EBITDA loss. This is the first quarter that has happened in the last couple of years. From our existing business, our adjusted EBITDA increased by ₹60 crores for the quarter and ₹98 crores for the first half of the year. If some of you may recollect in the last quarter call, I had tried to explain more from a layman perspective our adjusted EBITDA should keep growing at roughly about ₹150 crores every year. As you would appreciate this ₹98 crores in one half of the year is very much in line with that.

Our revenue in the first half of this year is about 5.3 times our revenue in the same period in the full year 19. The reason I explain this is because lot of people ask what happened during COVID, COVID came, COVID went, now COVID is over, but we got two good years to compare this first half of this year with the first half of that year. We are about 5.3 times bigger, despite we have already said it in a funny way our valuation was about the same as it is today. So, anyway, our core businesses, the Insurance Marketplace Policybazaar and the Credit

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Marketplace Paisabazaar grew at 55% year-on-year to ₹410 crores. Of this revenue, the credit linked revenue was ₹101 crores for the quarter. For our existing insurance business, we had an adjusted EBITDA of ₹18 crores for the quarter.

For complicated products like Health or Life Insurance, we have been extending our customer connect to be more beyond remote calling, by giving consumer the convenience to have physical meeting at the convenience and their local language. We are happy to mention that consumers have acce

pted this wholeheartedly. We continue to extend our claims on-ground support in 114 cities.

Paisabazaar continues to grow very well and has rebounded well since COVID. We are now at an annual run rate of ₹12,000 crores of disbursements and 0.5 million credit cards issued on an annualized basis. Over 31 million customers use the credit score platform from 824 towns. 73% of all cards issued in Q2 were end-to-end digital. Co-created products like step up card, duet credit cards are gaining traction and as we reported last quarter, we still expect our credit business to be on adjusted basis, EBITDA positive by Q4 of this year.

To update on new initiatives, PB partners, our seller aggregation platform leads the market in

scale and has the highest proportion of non-motor business and has started increasing efficiently as you will see from the numbers. Our UAE business has grown by 110% year-on-year. So, while there has been a general slowdown in the retail protection sales, we delivered 34% growth in health insurance premiums and 29% in life insurance premium's new business. This essentially means we have been growing at about 2 to 5x of the industry in the premium and the core business side. We stay confident of being adjusted EBITDA positive by the last quarter of this year. It is actually very straightforward if you think about it. The return is ₹ 18 crores of profit in the existing business and the return is ₹ 65 of loss in the new initiatives. The new initiatives will basically go down to 30 and the existing will basically go up to 50, so you should comfortably be adjusted EBITDA positive, so there is not much surprise there and for the next year we should be full year PAT positive in 2023-24, that is the hope, but I just wanted to point out one little thing there which is actually quite telling, we will be doing that while taking on about ₹ 310 crores of ESOP cost charges which by the way a few years on that will not be there, so that pretty much telling you that even if nothing happens to our business, ₹ 10 crores of profit will be there pretty much in a guaranteed manner. Of course, we will grow this well. So, with that happy to take questions now. Thank you very much.

Moderator: Thank you. We will now begin the question-and-answer session. We have the first question from the line of Sachin Dixit from JM Financial. Please go ahead.

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Sachin Dixit: Congratulations on great results, I think the topline you have scored the EBITDA losses, I had a quick question regarding the breakdown of premium if you can help with that between say how much it is POSP and how much is renewal if that is possible?

Yashish Dahiya: So, POSP is ₹ 458 crores for Q2 this year, the non-POSP Policybazaar is ₹ 2026 crores. That is what we disclosed. I already told you both the health and life business grew at approximately 30% on the new side and on the renewals both.

Sachin Dixit: And I assume the core business also includes corporate insurance there?

Yashish Dahiya: Yes, it does.

Sachin Dixit: And on the term side of it, which I think continues to look we even now and some of the insurance have been commenting probably H1 and H2 will look at it, you had any views on how that is shaping up for you in terms of the growth side of them?

Yashish Dahiya: So, the total for premium for term insurance grew at 57%, but the fresh premium grew at roughly about 20% for the quarter.

Sachin Dixit: No, I was asking like generally do you have a view on how the term industry is functioning right, it continues to be weak, so do you see H2 being much better than how H1 has been?

Yashish Dahiya: Yes, there is definitely a better growth now than the last quarter. If I remember correctly, the last quarter was lesser than this, it was about 60% of this growth rate and this growth rate is at what we mentioned right now

and for the industry there were swings towards certain players etc. Increasingly, those are settling down, but we don't comment too much on individual players who get market share, but on the whole we think the industry has been about flat. For the first half, the industry has declined a little bit. If you look at the second quarter, the industry is probably flat to a little bit decline, so we are obviously growing in that backdrop.

Sachin Dixit: Just one final question on the cash balance, we have just ₹ 5,000 Cr cash that is obviously helping us with the interest income that we are generating, but what is the plan for this going forward?

Yashish Dahiya: I think once we get profitable, once we deliver ₹ 100 crores of profit, we will also discuss what we do with this cash. I think it is too early. Let us get there, let us deliver at least the first ₹ 100 crores of profit before we start concluding that this cash will never be utilized. Yes, so basically, our cash receivable will not go down from here. It just will always stay about the same number, so we are not losing cash. That is all and that is what we just saw, so last quarter also we have not lost cash.

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Moderator: Thank you. We have the next question from the line of Nikhil Agrawal from VT Capital. Please go ahead.

Nikhil Agrawal: I just had a few questions about certain products, so there was credit line product that was mentioned last quarter, is it after the direction that have been issued still going forward as far as the credit line thing is concerned we have not loved to give a credit line without actually having the balance in the instrument, so is that product being continued if there is any color on the product?

Management: I think if I understood the question correctly, your question is related to the regulation which

came out on credit line when it was linked to TPI was disallowed by the regulators?

Nikhil Agrawal : Yes, right and there was a credit line product that we used to issue till quarter 1, so have we discontinued that product, how are you working around that?

Management : We run the product with the bank. There is absolutely no impact on that product, it is a credit line product which works like personal loans with the consumer . If you want to draw out any amount from that credit line it converts into a term loan. There is absolutely no impact on that product being issued by our bank and our partner in that case is a bank.

Nikhil Agrawal : So, if my understanding is correct, we partner with the bank and when the person or the customer takes the credit line out it becomes the term loan with the bank, so the risk is with the bank and then it is between the bank and the customer, so we don't have any impact on this?

Management : Absolutely and the funds are always going from the bank to the customer bank account and that continues to be the process

Nikhil Agrawal : Right, that is in line with the guideline, sir, question about last quarter there was this you mentioned that our take rate had improved in one of the core businesses, so can you please give some color on which business that was in? Are we sustaining that, is that take rate still high in that business, how is it contributing to the overall take rate?

Yashish Dahiya : Yes, it continues to be high, I think we didn't disclose it. We don't want to go into take rate by business, but it is a structural change in that business. It is not just that we did something in last quarter and it is not continuing this quarter. Overall, it continues to be the same .

Nikhil Agrawal : Sir, just one more question about the investments in the new initiatives, so any trajectory on what kind of investments are we going to see in the new initiatives going forward?

Yashish Dahiya : I think we would be subdued on any investments at least till we put a reasonable amount of profit

on the books. To be brutally honest, I am focused on a single number which is ₹ 1,000

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crores of profit in 26-27. To me, nothing else matters and I don't think we are interested in making investments in any other new initiatives .

Yashish Dahiya : I think we are talking about new investments.

Nikhil Agrawal : Investments in the new initiatives to generate business?

Management : We have stated in the past that our new initiative investment for the current year is going to be somewhere near to the interest income and that continues to hold. It comes down from the last quarter and it will continue to become more and more efficient if you look at quarter 3 and quarter 4 and I will just go back to the credit question that you asked. See, what we need to understand is what we do as the credit business is just a marketplace and since we had a marketplace, lot of the new regulation which came in last 4-5 months related to BNPL or FLDG or lot of other step, it is actually not impacting us. We do work with lot of partners with our banks or NBFCs and since we are a marketplace, we only connect or provide a platform where the handshake can happen. So, the business model we have, has almost minimal impact or no impacts on all the stuff that you see and in the deck also that we have circulated , we have mentioned specifically about the regulation from the credit by this time because there were lot of action happening on that side from RBI and we wanted to very clearly state that our business model is totally different. It is not getting impacted from any of those changes.

Nikhil Agrawal : And sir, on the investment that you mentioned you said that it will be lesser than this or so right now this quarter it was ₹ 65 crores in the new initiatives, going forward it will be at this level or lower than that, if my understanding is correct?

Yashish Dahiya : I clarified in my first opening comments itself that our expectation is by Q4 it should be in the range of ₹ 30 to ₹ 35 crores by the next two quarters.

Nikhil Agrawal : And sir, just one thing about the POSP business, so in that business, so we have two of fine businesses, one is our own wholtime employee who work as PB Fintech employees and who help the customers with whatever issue they have and one business is PB Partners where third party agents can come on the app and become agents and we share the commission that we get from the insurance with the agents, so can you just give us some color on how the business is going on both the offline fronts?

Management : Sure, I think as Yashish mentioned and we have also disclosed in the presentation the whole point of having offline presence in the first part . I think you understood the model very well, in the first part where existing Policybazaar customers have a choice to meet someone in person ,that part is adding very well to our business. We have almost 1,000 people now deployed in that business. The APE per enquiry which we disclosed, I think has been over 1500 now for the first half, so this number has been continuously growing, I think that part is

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doing very well. It is also increasing our conversion. On the PB Partner's side, as we said we did over ₹ 450 crores of premium, the losses in that businesses or our investment in that business has continued to come down. We have actually reduced that over the last two quarters, the revenue from that business has grown significantly from Q1 into Q2, so I think even there it is a healthier business and I think we are moving very well in the direction that we want to do. One more metric in that business is that our non-motor business, so the motor business is very commoditized, the non-motor business continues to now we are almost 20% of our business is non-motor and that is the highest in the industry. So,

o, I think all the metrics

both financial and qualitative, our both businesses look pretty good at this point.

Nikhil Agrawal : I will just leave with my last question; can you please give some color on how the ESOP will work going forward?

Management : On the ESOP part as I did mention earlier the cost continues to come down every year, the ESOP grants in October last year and the first-year impact basically spreads out over two financial years because of that so 6 months of last financial year, 6 months of this financial year and that has come down for the next 12 months and continue to come down every 12 months. So, the number that we have for this year is about I think ₹ 600 crores, but if you look at next year, this number should come down to somewhere between ₹ 300 and ₹ 350 crores and that has continued to come down very drastically post that.

Yashish Dahiya : So, basically of the total grant about 60% gets kind of expensed, by March 23, 60% of it would have got expensed, so then in the next 3.5 years you only got 40% more to be expensed. So, as I said, our objective of becoming profitable next year with ₹ 310 crores of ESOP grants imply is that at some point in the very near future that ESOP cost will not be there, so you will obviously see that advantage.

Moderator : Thank you. We have the next question from the line of Sagar Sanghvi from ADD Capital. Please go ahead.

Sagar Sanghvi : I have only one question, if we look at the Slide # 11 of your presentation, there is a mention of Bima Sugam, so if you can just help us understand what could be the disruption cost by proposed or discussed of Bima Sugam or something and how would you plan to mitigate the same?

Yashish Dahiya : I think if you make a correlation to the travel business which I used to be in long time ago, we used to have global distribution systems there, the likes of Amadeus, Galileo, Sabre, Worldspan and those were very critical in powering that travel businesses, so if you look at Expedia, the reason Expedia went worldwide and expanded very rapidly was because they essentially had a tieup with Worldspan and Worldspan was giving them all the integrations and everything else. So, to an extent, I see that kind of roles being played by Bima Sugam as an PB Fintech Limited
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exchange because that would be the UPI moment for the industry and that would make it help other distributors grow, whatever products they were selling, whether they were selling motor or health or term, so I think it will be a very positive move for the industry overall and for us per se as well because it would get us access to a lot of data layers which we may or may not have access to today because the Bima Sugam will have those. So, I think it is a fairly positive move for us.

Sagar Sanghvi : So, you mentioned you will have excess to lot of data layer, so do you plan to enter into KRA business that is KYC registration agency or kind of business as you had a lot of customer data or something like that?

Yashish Dahiya : I will tell you; I am not trying to be cagey about it, there is very little we can say because we don't have so much clarity yet, in fact, we have met with the regulator and we asked for clarity also. At this point, that was in the distribution department and there didn't exist so much clarity in terms of us starting to get to think about it from an operational perspective that what does it mean, but that is the reality of the situation right now, but I guess as it evolves, right now there is a lot of conversation in the media, but that is not what is flowing operationally to us. So, we have to wait it out and see how it goes, but to me the analogy is the GDS in the travel businesses which I used to run one of them which was e-bookers, so I understand that analogy very well and if you think about it, flights as a business has really moved under G

DS, but

hotels still stays somewhat out of the GDSs, packages stays out of the GDS, so I think it takes time. So, you get the story right, it doesn't suddenly magically just happen in one month.

Sagar Sanghvi : And one more related question to your financial, so you are talking of about ₹ 1,000 crores of PAT by FY26-27, so that would also help throw a peak cash flow of about ₹ 1,200 odd crores a year post that and you are already sitting on a pretty large cash balance, do you plan to enter insurance manufacturing, selling of insurance?

Yashish Dahiya : No, we have no such plan, in fact to be brutally honest , we don't have any clue what we will do with this roughly ■ 6,000 -■ 6,500 crores of cash that we will have at that stage and that is the reality and I think we will be in a position. See right now, the question to ask is if this guy will become profitable . if you are actually going to be profitable. That is step one. I think once we do that the next question is going to be okay guys, what do you want to do with this cash that you have and already you are profitable, you are cash flow positive and you do not really want to make acquisitions, what do you want to do with this cash . Let us get to that point first, right, we are in class one right now, let us get to class 4 before we take the exam of class 4, so I think this is the time for us to be heads down and executing rather than thinking too far into the future about what we are going to do with this beautiful amount of cash that will be lying with us , but yes, of course we will not waste it, so we will see, maybe we will return it to you guys (I don't know whether you are investor or an analyst)
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Sagar Sanghvi : Investor and analyst, so that is helpful and great set of execution in this quarter.

Moderator : Thank you. We have our next question from the line of Adarsh Parasrampururia from CLSA. Please go ahead.

Adarsh Parasrampururia : My question was relating to the savings business momentum; this year was supposed to be a big year for savings?

Management : I think our momentum in the savings business continues, I think in the same way that we have planned, both last year was a very good year for us and the first two quarters have also been very good and I think the best way to think about it is that there are two things that have happened, one is that the premium is growing very rapidly and also there has been a structural shift in terms of the kind of product that we sell. The main product that we sell is the capital guarantee solution which ensures that the capital that the person has invested is safe and they have an upside due to the market, so they have ULIP upside and then this solution has been really well received and with the fact that now we have offline agents also who are going to meet customers, we are able to increase the ticket size, so just to share the trends, the ticket size offline is almost 50% higher than the ticket size online. So, as you can see, this business is benefiting from all these tailwinds, one is our business momentum , second higher ticket size, third the fact that offline is improving our conversion. So, I think in this forum that all I would like to say, but this is one of our fast growing businesses and now the economics of this business are also very good.

Adarsh Parasrampururia: And my second question was relating to expenses beyond the contribution line and the ESOPs growth there that you would expect Yashish, anything changing to make that growth or that is going to be inflation linked, you shouldn't see a lot of very high growth in that part of expense which is beyond the contribution?

Management : I think as Yashish said, the objective is very clear, we want to deliver profit and I think we are focused on that . Those cost will increase as low as possible is all I would say . The rest,

there is

an inflation in the market, there is natural increase in that, but I guess to keep them much lower than our revenue growth rate .

Adarsh Parasrampururia : Sorry, I will just go back with one more question on that capital guarantee products, when you are doing these products and they are doing well, just wanted to check are the take rates for you selling these products in the first year low, we get feedback from a couple of insurers that the guarantees are quite high in some of the products and their offset is basically partner not taking a lot of upfront premium, so just wanted to understand your take on that?

Management : Just to be very clear, it is a combination of non-PAR or guaranteed plan and ULIP and if you think about it, clearly the mixture is reasonably well placed. See, we are not the commission

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first step to begin with, so we are not trying to sell things which have the highest commission, we are trying to sell the best solution for the customer. In this case, as you can imagine, a combination of a non-PAR and the ULIP has a better return, better commission filed than just the ULIP, so I think that is really the change that has happened for us. So, it depends on where you start, right. So, we were selling more ULIP, now we are selling a combination of ULIP and non-PAR , so clearly the commission is better for that, but by any stretch of imagination we are not maximizing the commission in our savings business.

Yashish Dahiya : On the previous one, I wanted to give you a straight forward answer, I don't think we will see our fixed costs going up by more than 10 to 12% in a year. Obviously Paisabazaar are coming from a COVID year when their operations were very small, but okay, that is it.

Moderator : Thank you. We have the next question from the line of Subramanian Iyer from Morgan

Stanley. Please go ahead.

Subramanian Iyer : I had a few data questions, so one is basically you gave the number for core premium, which is about ₹ 2,026 crores, can you please split it into new and renewal and also to the same numbers for the last year second quarter as well ? And the other question I had was in the previous quarter you used to give this number of credited related revenues, so you split your revenues into credit and insurance related, so if you could do this for this quarter as well and give it for the second quarter last year as well and I just wanted to understand the progress on basically on contracts with your partners on getting renewal revenues in the sense that you were in that aggregator previously and you were not entitled to renewal revenue, so how is the progress on that ?

Yashish Dahiya : Remind me if I missed any of your questions, so first thing I picked up was you wanted to know what is our new versus renewal split, it stays very similar to how it has been in the past, there is no real change in that . It is roughly half and half, so about 50% is new, about 50% is renewal and ₹ 101 crores of our core revenue was credit linked, so you had a total core revenue of ₹ 410 of which ₹ 101 crores is credit linked and the rest would be all insurance linked.

Subramanian Iyer: The third one was the progress on renewal contracts?

Yashish Dahiya : Renewal contracts you mean in terms of the life insurance receiving more renewals in the future etc., yes, there are conversations going on there, but nothing material to report in terms of massive changes or anything, but on Paisabazaar there is a big renewal change, there is a positive surprise for us because Paisabazaar historically never had renewal and it is very heartening to note one thing, if you look at it carefully Paisabazaar now has trail revenue that is at the same level as Policybazaar was in 2018. So, you can see that and they are actually growing much faster than Policybazaar trail revenues ever grew. So, there is an expectation

tation

and Naveen , correct me if I am wrong, our expectation is we would be doing about \$7 ,00,000

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by March per month. So, if that happens they should be almost in my opinion, if I were to look forward there is almost \$10 million of renewal revenue next year because there is growth and there is multiply by 12, etc., which is a huge positive surprise . So if you asked us what would be Paisabazaar renewal revenue sitting back in Nov 2021 about when we were going public, I don't think anybody had any expectation of that.

Moderator : Thank you. We have our next question from the line of Prateek Poddar from Nippon India Mutual Fund. Please go ahead.

Prateek Poddar : I have just one question, I noticed that your core insurance revenue, the take rates have gone up on a quarter -on-quarter basis, can you help me understand how has that gone up?

Yashish Dahiya : As we said one of the products, it is basically a product mix change and one of the products , the take rates that increased.

Management : So, I think it is two things, one is that our life and health businesses are a greater proportion of our overall business than we were in the previous year and the second thing is that we just discussed in one of our businesses in life, the take rates have increased year -on-year.

Prateek Poddar : And just one quick clarification, you have talked about observing a ₹ 5 crores loss by the non - insurance business, this ₹ 5 crores pertains to Paisabazaar, I am just clarifying?

Management : It pertains to the credit business . So, 5 crores is the credit business see the disclosure is there it is 101 crores of revenue as there is 5 crores of loss is there. So, for that quarter so you can imagine there is no way they are not breaking even in the three months like of course there is some way, but they will have to be very special to do that.

Prateek Poddar : And Yashish just on contribution margins for your credit business is it very similar to what it was last quarter?

Management : Yes it is very similar to what it was last quarter, but Naveen is doing a very smart thing. He is not telling his team to take the renewal revenue and to account for it for internal reviews . So, he is basically keeping at the same margin and the renewable revenue just getting added on. So, there is a bit of interesting thing he is doing from an operational perspective.

Management : Your question the contribution has remained similar which is about 40% or higher. Yashish was talking about the trail revenue which is increasing quarter by quarter and if we execute the trail revenue well that that comes at a very high contribution as it starts to become meaningful that comes at about 90% contribution.

Prateek Poddar : It is a 100% what is the cost that you have in that?

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Management : It is a servicing and communication cost so 90%.

Moderator : We will take the next question from Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe : Last quarter you mentioned that life and health was around 75% of the premium, what would be the ratio like in this quarter?

Management : Slightly higher actually. If I look at it is getting towards 77%, 78%.

Nischint Chawathe : Contribution of corporate business in the first half would be like how much very approximately?

Management : We count contribution on the money we make.

Nischint Chawathe : I am sorry share of premium?

Management : That I do not think we disclose that.

Nischint Chawathe : But should be similar to what was there in the previous year or it kind of goes up, goes down?

Management : Similar maybe it is a little lower. If you look year-on-year it is about flat there is no change in that.

Nischint Chawathe : My second question pertains to ESOPs now I was just trying to understand what is the exercise period for t

he ESOP once they rest?

Management : ESOP policy that (Inaudible) five years into the 20% per year and about 80% of the ESOPs were granted last year October, 20% would be granted overtime and for the four senior people including Yashish, myself, Naveen and Sarbvir there was an added to all that we can only exercise once it cross certain threshold, but it does not mean it will lapse it just delays the exercise that is all. So, from practical perspective you can just say 5 into 20% because that is what goes into the accounts.

Nischint Chawathe : No, the point is that when you are issuing ESOPs there will be some period window up to which you can exercise?

Management : It is five year and 20% per year for exercise .

Nischint Chawathe : If you do not exercise I believe some of the ESOP expenses can be reversed let us say in an eventuality where you do not exercise for ESOP?

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Management : The question is vesting schedule is five years 20% each year and after vesting there is a period of five year for exercise.

Nischint Chawathe : And the entire ESOP expenses you will have to we will hit the P&L at the time of question?

Management : No, already 60% of them would have hit the P&L by March 23 . See the rule in India that the way you grant based on the grant value and the share price at which it has been granted at that time there is a change it hits your P&L and the charges is structured in such a way that in the first 12 months 45.67% will come into your P&L for a five year into 20% grant because the way it works is very simple I think in the past we have explained that in the deck also. First year is 46% in the first year, the second year is about 24%, 25% then it is about 13% and finally it is like 3% or something in the last year.

Nischint Chawathe : Last year 4%, but it can cross very fast, but the charges are decided upfront when you grant and it has to be taken from the grant date itself and I already linked to the exercise.

Management : So, there is nothing like to exercise I will give you an example by today our share price is below when we granted these ESOPs. So, the cost that we are facing does not come down neither would have come down if our share price have gone up, it would not have gone up either. So, everything is linked to the day they were granted. Now, what is happening in terms of accounting is just flow through. Yes if they are as Alok said 80% were issued then who had granted then and 20% maybe granted sometime in the future those 20% will be priced on the date they granted, but that is broadly.

Moderator : Thank you. We have the next question from the line of Ansuman Deb from ICICI Securities.

Please go ahead.

Ansuman Deb : My question was regarding the point of sale premium of around 458 crores that you said for this quarter, so I remember this was the same more or less the same number in Q4 of last year FY22, so we are not growing this business year business too much now it is more or less stable, I just wanted to understand that has the objective been achieved what we started to do through this point of sale business if you could share some of the competitive strategies around this business and whether we have achieve this target and for now we are focusing more on the premium on the coal business where obviously our margins are really high and we are also going very good, if you can just underline your POS strategy in line with the competition landscape?

Management : Ansuman I will share what is possible to share on a public call I think the first thing that we were very clear about was that we wanted to be leaders in this business. If you remember we achieve that in January of this year. So, within a few months of launch we became the number one company that we have maintained. The second thing that we want to achieve is that we

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want to build a sustainable business and to us building a sustainable business means that our agent partners' income must go up by working with Policybazaar. We are on that path. One of the main ways of doing that is to ensure that they have non motor products to sell and they are able to sell that. So, that is something that we are now we are focused on. As you rightly picked up our premiums are not expanding dramatically now quarter-on-quarter because we are focused on the realization and focused on making the whole business a lot more efficient that is the place that we have now entered in I would think in Q3 and Q4 and obviously we have lot more plans for this business which we will share with you as we go along, but the idea is that first to have leadership then to improve the economics and thirdly you will see us doing things which will be very different from other peers or players have been doing. Clearly we are not able to do this business just to do what others are doing and you will see that coming through in the next financial year.

Ansuman Deb : And lastly I just wanted to kind of underlying the fact that this 2,000 crore of quarterly premium in the core business it compressed to that 4,700 premium in FY21 right, so in a like-to-like that could be the right comparison?

Management : Yes you are right and I should also comment on the core business that our focus is always being on the core business. We have separate management teams which look at the core business and the POSP business and I would say even at my level 80% of my time and energy goes on the core business alone. So, it is never being the case that we are focused more POSP at the expense of the core business and I think that is seen in the numbers as you can see the core business has been profitable for three quarters straight now and I think the premiums have been growing rapidly. So, I think the core business is our main focus and I think we continue over the next 5 years, 10 years.

Ansuman Deb : And thank you for disclosing this number because that really gives us a very good picture about the growth in the core business?

Management : So, as we go by we will disclose more and more. Hopefully from April next quarter we will be disclosing a lot more than we disclosed yet we are still learning.

Moderator : Thank you. We have our next question from the line of Dhaval from DSP. Please go ahead.

Dhaval : So, just two questions first is on the sort of use of cash as you move towards profitability I know you sort of responded that first you want to reach the target before thinking about utilization, but just if you could give some perspective of initial thoughts that would be useful, so the background here is on inorganic we have always been very cautious from a validation standpoint and sort of chose to build versus purchase buy, just some perspective around use of cash would be useful and the second question is I think this was whose question relating to PB Fintech Limited

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breakup between credit and non credit revenue for same quarter last year those are two questions?

Management : First of all, I will share something with you I think somebody told me the markets react very quickly. So, I think I had internally thought that this question of what will you do with cash will become a very important question or become the main question for us in about April 2024 because we would have delivered a year of profits and that is when people would say okay now that is done and we do not have that question anymore we would like to know what you will do with the cash, but you guys react too quickly. You have already assumed we have made profit for next year and you have started asking us that question today. So, give us a little more breathing time, but genuinely in the spirit of disclosure I have asked internally to already start

thinking about strategies for what to do with that cash and at this point our thought process is we should return it to the shareholders over the years to come one way or the other. We do not know how, we do not know the mechanisms yet. I think regarding your other question credit last year same quarter I do not think we have those breakups. They were doing about 50 crores of revenue in credit it is about 101 crores now so broadly that gives you some answers.

Management : And also if you see the disbursal we always see the disbursal YoY growth it usually is a very strong correlation with the revenue so our disbursements grew by 94% YoY for the quarter and 110% for H1 that usually will give you a good indicator of how the revenue will improve.

Management : But broadly they have kind of the credit business has kind of done okay they have almost doubled.

Moderator : Thank you. We have the next question from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah : Just wanted to understand what was the kind of contribution margin you all are targeting in the new initiatives because right now if I see the contribution margins in the core business we are

around 45%, but if I see the new business initiatives we would think the contribution margin positive by let us say FY24 end?

Management : Yes absolutely by FY24 end new businesses will be contribution positive.

Arpit Shah : And if I heard it correctly you have said FY24 PAT positive even after ESOP cost?

Management : Yes after ESOP cost. See it is a very straight forward thing. We will be adjusted EBITDA positive by the last quarter of this year. So, already our interest cost covers our adjusted EBITDA loss already. Now, what do we have to do next year our adjusted EBITDA would have broken even because you can clearly see PaisaBazaar does it that way and

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Policybazaar is making more, the core business is making about whatever approximately 200 crores of extra profit this year compared to last year call it whatever call it adjusted EBITDA call it whatever margin. So, next year that will happen again and as that happens that would take care and you got your interest income. So, essentially what happens in your interest income this year was taking care to some extent of some of the new initiatives etcetera. Next year the interest income has to take care of our ESOP cost which is to me a notional cost, but I think everybody believes it is a real cost. So, let us treat it as the real cost and Yes we will cover it next year this is approximately the same about 250, 300 crores of interest income about 300 crores of ESOPs and the rest of the business will be adjusted EBITDA there was no difference between adjusted EBITDA and PAT for us in the real sense as I see it.

Arpit Shah : Just wanted to understand you all are having close to 5,500 crore and if I see the stock price is around 411, so I believe it is around 17,000 crore of market gap, so you think this is a good market cap where you can actually prepone your buyback and go for a better capital allocation at current prices, so as and when your business is better and the top line is better your buyback would be at higher level looking as an opportunity?

Management : All these interesting conversations are for post April 24 you know let us deliver what we have to do, let us not get ahead of ourselves. We are very confident of what we are building. I think see let us be very clear as we got into the area where the market was much more focused on profits. We as a company did not kind of bulk under that pressure or whatever you want to call it. We actually started new initiatives, which if we had not done we would have been profitable right now, but we actually started new initiatives and all those losses that we have taken this year have actually being because they were the right thing to

do for the company. So, we will

continue to do what is right for the company and at the same time we are fairly confident of our core strength of our business and I say that with a lot of conviction because I have seen our operations and how difficult it is to do something like we are doing. We feel good about it, but let us not get ahead of ourselves just deliver it. Confidence needs to be replicated with execution.

Arpit Shah : The ESOP cost let us say by FY25, FY26 would we reduced to a minimum let us say 100 crores to 120 crores or so, so you think the PAT of 400 crores or 500 crores at the end is the good number to look at?

Management : 26, 27 is the only number I am aiming for and that is 1,000 crore PAT.

Arpit Shah : So, just wanted to understand let us say your PAT goes to 1,000 crore what would be the part of that let us say you are seeing EBITDA positive by Q4 FY23 PAT positive FY24, so what kind of revenues you are targeting because the current run rate we are at around 2,000 crore plus run rate?

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Management : I think we are fairly straight forward to predict. All the analysts have done all of that work very well. They are not very far off from what we believe somewhere around 6,000 crores should be the number, but it is okay let us get there it is too far right now to get into exact details. I just want to lay out our ambition or our thought process. So, if you look at our last four quarters numbers the delta has been 50 crore plus per quarter from the year before and we are talking about 20 quarter from now and obviously there are different pieces, there is core business, their trail income, their experimentation becoming more efficient, the offline thing with the hybrid model engineering. So, lot of these will start to come together, but the thing is that the delta over last year for every quarter continues in the same way in some form and that itself will answer your question.

Management : As far as the controllable are concerned I think this should be fine.

Moderator : Thank you. We have the next question from the line of Devjyot from Citi Group. Please go ahead.

Devjyot : Just one question from my side so you mentioned the number of employees in the offline

channel it is about 1,000 could you share the similar numbers like for the POSP agents and the other advisors that we have?

Management : I do not think we want to go into this level of details. We are more than 100,000 POSP agents now, but it is really not a relevant number because what is relevant is how many of them are doing how much .

Moderator : Thank you. We have a next question from the line of Rahul from Lionrock Capital. Please go ahead.

Rahul : I just wanted to talk about the Bima Sugam initiative little bit more detail the way I look at it I know you guys mentioned that it could be the UPI movement, but on the flip side UPI movement has led a lot of payment companies to just do a lot of volume, but little revenue and the regulator has talked about reducing a premium while transacting through Bima Sugam and making it a marketplace, so I am just curious from a market perspective, from a market opportunity perspective how this could impact the business?

Management : I think as I said we see it there were two things right. I think our positive perspective it would be a GDS a distribution system, what you speak about is in my opinion a very remote possibility. Of course, everybody has their opinion on this thing right now, but I do not think that as a conclusion the payment ecosystem as a conclusion as in let us say three players having 90% of the markets I do not think that is a conclusion that the regulator is going to prefer you know you can think about what that would do to agency, what that would do to of course there are three, four players in the market who have the ability to take that right and of PB

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course we are one of them there is no doubt about that, but I think I will leave it there . This is a regulatory matter. I do not want to speak more than a certain amount on it, but I think that is not a conclusion that the industry or the regulator is hoping for with three players having 90% market share.

Management : I just also want to add if you see some of the things we have been doing and I think we have spoken about them today. One is the service experience that we seek to deliver. Insurance is a complex product , payments are slightly simpler product. So, the experience that we are delivering whether it is in terms of post purchase experience whether it is in terms of claims I think that we have big difference and the second thing was that to remember is that we are in the risk business. So, the channels which can bring better risk to the insurer will always have a certain advantage and perspective. So, I would just give you those two thoughts. One is customer experience and secondly the risk. The same person is not the same person in insurance wherein payments it does not matter who I am sending the money to.

Rahul : Just a quick follow up on this like I understand the details of very few and I completely get your point like not everything done by government UPI, just a quick follow up here that when I think about Bima Sugam the way the communication has been from the regulator, from the government that I want to create a platform on which anyone can come on and buy insurance products and even kind of factors online repository and where the claim software that has to be done, so I am just curious like who did the counterparty dealing with the customer would that be like you are part of this, the customer be dealing with you or let us say HDFC Life or someone else is on the platform and if the insurance manufacturer is there, so who would the customer be dealing with even if they are going to the platform the Bima Sugam platform that is one last?

Management : Let us take at this point given everybody knows a little bit let us take the analogy of any of the two, let us take the travel industry analogy where you are talking about a GDS or let us take the UPI analogy you know the customers deals with UPI via the large payment, via a Google via a PhonePe via Paytm right etcetera. If it absolutely becomes the UPI still there are players who are doing the front -end interfacing. So, let us see I think it has a lot of evolution ahead of it. There are I think there is a lot of positive it can do to the industry and remember the eventual objective of the regulator is to increase insurance penetration and if you keep that at the back of your mind and think about what will increase insurance penetration I think it will give you lot of answers.

Moderator : Thank you. We will take our last question from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala : Just one quick question our ESOP expense for FY23 can you give some estimation I think H1 we have already done 340 crores, so could it surpass 550 crores or even higher?

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Management : Basically as we have seen that charges for these grants started from October last year. The first

6 months of this year was the half of the first-year charge which is roughly 23% of total. The second half is going to be the half of the 26%, so 13% of the total. So, there may be some new grants, but those are relatively small numbers which will happen, but you can just see first half 23%, second half 13% in that ratio 23 versus 13.

Management : Just to give you an example in this quarter we have had ESOP expenses of about 173 crores. In the next quarter this might be just a shade above 100 crores. So, that basically will give you the indication that it will start to decline

quite rapidly. If you look at 25 -26 the total ESOP expense for the year might be close to 100 crores and in 26 -27 it might be about 50 crores .

Moderator : Thank you. I would now like to hand over the conference to Mr. Yashish Dahiya for closing comments. Over to you, sir.

Yashish Dahiya : Thank you very much everyone for taking time out to attend our call. We really appreciate it and thank you all for your questions. I hope we were able to answer most of them adequately.

We will improve up on this as time goes. Thank you bye now, have a great day.

Management : Ladies and gentlemen that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

February 17, 2023

To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai – 400051

SYMBOL: POLICYBZR BSE Limited
Department of Corporate Services/ Listing
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400001

SCRIP CODE : 543390

Sub: Transcript of the Earnings Call held on February 10, 2023

Dear Sir/Madam,

In furtherance to our earlier communication dated January 30, 2023 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith Transcript of the Earnings Conference Call conducted on February 10, 2023.

The transcript of Earnings Conference Call will also be hosted on the website of the Company at <https://www.pbfinetech.in/#investor-relation>.

You are requested to kindly take the same in your records.

Thanking you,

Yours Sincerely
For PB Fintech Limited

Bhasker Joshi
Company Secretary and Compliance Officer

Encl.: A/a

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"PB Fintech Earnings Conference Call For Quarter 3
Financial Year 2022-23"

February 10 , 2023

MANAGEMENT : MR. YASHISH DAHIA – CHAIRMAN & CHIEF

EXECUTIVE OFFICER , PB FINTECH
MR. ALOK BANSAL – EXECUTIVE VICE CHAIRMAN &
WHOLE -TIME DIRECTOR , PB FINTECH
MR. SARBVIR SINGH – JOINT GROUP CHIEF
EXECUTIVE OFFICER , POLICYBAZAAR
MR. NAVEEN KUKREJA – CHIEF EXECUTIVE OFFICER ,
PAISABAZAAR
MR. MANDEEP MEHTA – GROUP CHIEF FINANCIAL
OFFICER , PB FINTECH
MS. RASLEEN KAUR – HEAD, CORPORATE STRATEGY
& INVESTOR RELATIONS , PB FINTECH

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February 10, 2023

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Moderator: Ladies and gentlemen, good day and welcome to the PB Fintech Earnings Conference Call for Q3 Financial Year 2022 -23. We have with us Mr. Yash ish Dahia – Chairman and CEO, PB Fintech ; Mr. Alok Bansal – Executive Vice Chairman and Whole-t ime Director, PB Fintech ; Mr. Sar bvir Singh – Joint Group CEO , Policybazaar ; Mr. Naveen Kukreja – CEO, Paisabazaar; Mr. Mandeep Mehta – Group CFO, Ms. Rasleen Kaur – Head (Corporate Strategy & Investor Relations).

As a reminder, all participant lines will be in the listen -only mode. Anyone who wishes to ask a question may enter '*' and '1' on their touchtone phone. To remove yourself from the queue, please enter '*' and '2.' Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Yashi sh Dahi ya. Thank you. And over to you Mr.

Dahi ya.

Management: Thank you very much. Welcome, everybody.

Before we begin our performance update, I would like to obviously welcome all of you, and especially the ones who have joined us for the first time and like to reiterate how our business is structured.

Policybazaar and Paisabazaar, which are jointly classified as existing businesses, our India's largest marketplaces for Insurance and Credit Products. These contributed to almost all of our revenues till FY21. In FY 22, we expanded into new areas and geographies, and collectively refer to all those activities as new initiatives.

So, our revenue in the first nine months of this year is 5.2x our revenue in the same period four years ago, which was 2019. The revenue grew at 91% year-on-year, and our existing business has now been profitable for four straight quarters.

For the quarter, our revenue grew to ■ 610 crores, up 66% year -on-year, while the PAT losses have reduced to just under a third of what they were, which were ■ 298 c rores, they're down to about ■87 crores now.

Our existing business adjusted EBITDA has increased by ■ 67 crores for the quarter year -on-year and ■ 164 crores for the nine months of the year as compared to the same period last year. The reason we explained th is a bit is because we had a one-time sort of given a soft guidance of ■150 crores to ■200 crores, incremental EBITDA happening almost automatically every year. So, just wanted to clarify that has been happening pretty much in the last three, four quarters . Now, what is t his growth driven by ? This is driven by three things : First is the growth in renewal income and the reason I mentioned that first is because that's the most secure part of PB Fintech

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the business, then g rowth in new business and then the higher effici encies on new business. Just to explain , last year for th e same quarter our ARR on renewal revenue was ■ 210 crores , now, it 's ■315 crores .

I just want to spend 30 seconds on this . You can see that it has grown by ■ 105 crores in the year. So, it took us the first 14 -years of our existence to get to ■ 210 crores and then one year to increase it by ■ 105 crores. So, ideally this should not be a flat increase , this should start to become an exponential increase as time progresses. But , even at this flat increase, because the operating margins are over 85% for this , this has given almost a ■ 90 crores delta just because of this aspect and that should keep happening.

We are now at an annual run rate of about ■12,000 crores of insurance premium . And we continue to improve our efficiency, which is on the premium per e nquiry which has reached ■1,563 for the nine months period which is the highest ever.

I think the biggest heavy lift that is happening in the company is on the servicing and the claim support . We have a CSA T of 88% . While this is great, it is not rea

lly representative of the

amount of customer appreciation. See, insurance usually tends to be a complaints category.

But, the number of appreciations we receive for the claim support is quite extraordinary.

Our existing business, the insurance marketplace, Policybazaar and the credit marketplace, Paisabazaar, grew to ₹425 crores for Q3. And of the total revenue, credit linked revenue of this was ₹107 crores.

The credit business has continued to grow well, and we're very happy that it's broken even in December 2022. We are now at a run rate of ₹12,700 crores of disbursal and 5.2 lakh or about 0.5 million credit cards issued on an annualized basis. 33 million customers have accessed the credit score on our platform. 75% of the cards issued in Q3 were end-to-end digital. This really helps us in improving margins. Co-created products like Step Up Cards and Duet Cards are continuing to gain traction.

Talking about our new initiatives, we are 3.7x of last year on revenue. But our adjusted EBITDA loss is pretty much the same as it was last year. And those of you who followed us would know that in Q4 last year, we had peaked, and we had reached losses of more than ₹90 crores on this, we're down to ₹54 crores, I think they should keep declining.

PB partners, our agent aggregator platform continues to lead the market in scale and efficiency of operations. It has the highest proportion of non-motor business in the country out of all the competitors it competes with and is now present in 14,300 Pin Codes across India.

The UAE business has grown 167% year-on-year, growing to 2.67x.

I've already explained this that our EBITDA has grown at ₹164 crores for the first nine months of the year. Please notice that the PAT loss has reduced by more than ₹200 crores, but that is PB Fintech

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not really reflective of the business reality. The business reality is this...that's going to consistently keep changing, right. We stay confident of being adjusted EBITDA-positive for Q4 this year and deliver the first full year of PAT in '23-24.

Happy to take questions now.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: I have three questions. First is a data-keeping question. Can you give us the breakup of the insurance premium of ₹3,028 crores into PoSP and existing business premium, and within the existing business, can you give a breakup of the new and the renewal? The second question is on the PoSP business specifically. The contribution margins have been quite good this quarter, like it's reduced quite a lot only at minus 15%. So, where do you see the margins settling in the next couple of quarters? And my last question is more to do with the structural change in the industry. With the new tax laws coming in and non-par savings getting tax above ₹5 lakhs premium, can you give us a little detail about what is the share of your savings business, particularly on non-par business, which was a large ticket?

Management: So, since all of these related to Policybazaar, I will pass the mic to Sarbvir.

Management: I think the first question was on the breakup. Our PoSP business was about ₹500 crores, Dubai was about 80 crores and our corporate business was about ₹300 crores. So, I think that's the level of breakup that we normally share. So, that will allow you to see the growth was fairly strong across businesses this quarter. And the second question, sorry, was –

Management: PoSP is at minus 15%. So, there's been some margin improvement there. Do you see this in the next couple of quarters?

Management: If you notice, we've been sequentially every quarter improving our margin profile. Two things are driving this. One is that a proportion of non-motor business, which is health and life business and com

mercial lines continues to grow. And now, we are a significant market leader in that part of the business. On our motor business also, we are becoming increasingly more and more efficient. And I think you should see this sort of improvement into Q4 and as we go forward into next year. At some point, obviously, the rate of change will not remain the same. But, the idea is very much to put the business on a very sustainable path.

Management: And the last was the structural changes from the tax regime, which is not crystal clear yet. But, what is our share of business coming from that?

Management: We are a company which caters to the middle class. Our share of the business from these policies is very small; they're like sub -1%. And for us, on the PoSP side, we do have some high value policies, but again, it's not a very material thing when you look at the overall number.

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For us, this is not going to be big, one way or the other, neither is it going to be big from a shared perspective, and nor will we have an impact when this rule comes into play.

Management : I think we did some check . There were 762 policies or something, which were more than ■ 5 lakhs rupees for us in the year or whatever period. So, it's not a very significant number for us .

We don't really cater to the wealth segment, we mostly cater to the middle class , and I don't think middle class people pay ■ 5 lakhs premium.

Shreya Shivani: So, just one question we got left out is the PoSP agent count right now, last quarter, it was at 1 lakh agents I guess.

Management: It's a little more than that, it's grown from that number , but honestly, beyond a point, the agent count is not necessarily reflective of anything if you ask me. What we really want is a number of agents who do repeat sustainable business with us. I think that is the number which is the most important number. And we can take this offline ... maybe the team can help you if you have any other questions.

Moderator: The next question is from the line of Subramanian Iyer from Morgan Stanley . Please go ahead.

Subramanian Iyer: A few more data -keeping questions. So, one is , if you can split your core revenues into credit and insurance ? So, I think your core revenues is about ■425 crore s.

Management: That we already did ; ■107 crores w as the credit -linked revenue, the rest is all insurance.

Subramanian Iyer: The other question I have is on adjusted EBITDA as well. So , your existing adjusted EBITDA is ■26 crores . So, how does it split into insurance and credit?

Management : It's about ■40, 50 lakh negative. In December, it was positive. So, yes, it kind of made a lo ss for the first two months, and then the last month it made a profit . So, it's almost all insurance ; ■26 lakhs is the insurance adjusted EBITDA .

Subramanian Iyer: You mentioned that the premium under the new initiatives is about ■880 crores which translates into the existing business being roughly about ■2150 crores -odd. Can you just split it into new and renewal , that will help?

Management : We don't do it , but it's almost equal, maybe a little more in renewal. I t's been almost equal for quite some time , and the growth rates are also similar. So , I'll give you some things , right, which are important for you rather than kind of worrying about exactly each number . See, we focus on health and life. So , I think that part is important to you. That on health and life, we have grown at about 30% and that was relevant in the industry scenario . So we've grown a t more than double the rate of the industry. I think the rest of it is fairly immaterial, if you really think about it from many perspectives ... and we told we will disclose more from next year.

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Subramanian Iyer: So, your renewal commission is about ■ 80 crores -odd, so, we needed something to connect it

to. So , that was the purpose of asking that. And the other question is, how is your offline business doing , the one that is connected to your online lead generation in terms of contribution to the main business ?

Management: The offline business is now contributing in the relevant areas which is life and health, again, about 20% of our premium comes from the offline business . We now have a presence in almost 60 cities . We have big centers in seven cities. And I think, last time we spoke, we had about 1, 000 people deployed on the offline side. And right now, we basically invested in this over the last three quarters , and now we are improving the productivity of this force. And so far, I think it's going really well, and it's doing what we wanted it to do, which is to deliver incremental conversion over and above what we can convert from the call center.

Management : So, just wanted to add there. So , we have 62 locations where we have physical office or presence. But otherwise, we are present in 125 cities we cater to . 125 locations is where we do sales, and in 114 cities, we are serving claims. I am emphasizing this again, I covered it in my main speech a lso, the big, heavy lift that happened in the last one year has been in the claims support area. And some of those are quite telling when we are receiving those appreciations from people , they are very , very telling. And they are helping the morale in the company as well. And of course, eventually , this will lead to very good word of mouth as well.

Moderator: The next question is from the line of Sachin from Bank of America. Please go ahead.

Sachin S: I have three questions. The first question is on your cost. Employee expense and advertisement is lower ... I presume employee expenses are mainly on the back of ESOP s... or is there anything else which has led to that declin e in employee expense?

Management : That's more ESOP accounting, which we were telling you guys last year also that I ook, our ESOP s essentially go like first year 6 00, second year 5 50, 350, etc and eventually they become 30. So, yes, that would be the biggest impact . Otherwise , there's no material change in the number of employees or their compensation.

Sachin S: And then, it is fair to assume that both employee expense as well as your advertisement will remain relatively low as revenue going ahead?

Management: We've said this repeatedly, we are doing a certain amount of advertising. And that is more like a platform approach where we do a certain amount of advertising every quarter . You just don't need it. Because advertising is just a way of communicating to the customers that we exist a nd

to keep reminding them ...see, insurance, you need to keep reminding people that you are there, and it's an important product, and Policybazaar is an important place to be and similarly for the credit guys, right? So, to a large extent, that tends to become a fixed cost from here onwards. The changes you see would be sometimes 5% down, sometimes 5%, 10% up, but it's not like you need to increase in line with revenue. And I think that's becoming very clear as we PB Fintech
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proceed. Because you can see, right, we are growing our core businesses at double the rate of the industry, it's not like our growth has slowed down. But those costs are not increasing, or in fact might be actually declining by a few percentage points.

Sachin S: Second question is on the Paisabazaar EBITDA margin being positive. Just wanted to understand any one-offs are there in this quarter and should we see a sustainable positive EBITDA margin for Paisabazaar going ahead?

Management: No-no, this is very much sustainable. December is the first month where we hit the breakeven point. So, you should see that in the next quarter we will have some positive, and then continue to increase as a percentage,

and both absolute number also, so very much sustainable.

Sachin S: Naveen, can you help us get a little bit more idea of drivers in terms of what drove that profitability and the comfort on sustainability?

Management: So, in terms of the drivers, I think Yashish has referred to that from an insurance perspective.

Similar drivers are playing out. If you see in the last 12, 15 months since the COVID share has subsided, the credit industry has started growing back at the pre-COVID rate, which was about 20% or so, give or take for the overall credit industry. And what's happened, which is different from pre-COVID, and that's helping a platform like us is that digitization has started to become real on the ground. So, the percentage of one of the metrics that we mentioned was 75% of the cards that were issued in the quarter, was end-to-end digital. This number was almost zero if we go three, four years back. What happens is that as things become more and more digital, we see lesser drop-offs, as the customer doesn't need to move from one platform to another platform or needs to go physical, that improves our conversion. And as we have increased our credit score customer base, that's allowed us to work with the lenders to create better, more seamless, pre-approved programs, which also converts and gets approved at a better rate. So, overall, you'll be seeing that in the improvement in the margin. If you look at two years before or even one year before, the percentage margin has gone to a fairly healthy 40s kind of range. And as we grow our overall revenue, which is growing at about 87% or so, if you look at nine months data, and the margin stays healthy at 40% -plus and your fixed costs, which Yashish referred to, are growing at a much lower ratio, the money flows down to the EBITDA, which is what we are seeing from a nine-month perspective.

Management: See, I would like to give you this picture very clearly to every person, because all of you need to appreciate the business. Let me give you a quarter view and a nine-month view. If you look at a quarter view, our core business only, I'm not talking about the new initiatives, let's leave that out, because that will complicate the picture from a building up perspective. Our revenue increased about ₹108 crores in the quarter year-on-year. But ₹61 crores was the increase in contribution. Our contribution margins are not 55%, they are closer to 44% for the core business. So, where the extra 15%, 16% come from, that has come from the renewal expansion. So, one is the renewal expansion, second is the growth in new business. Roughly, half has come from new business, half has come from renewal. But, what you see next is out of PB Fintech

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₹61, ₹67 has flowed into EBITDA. So, that means your fixed costs have reduced by about ₹6 crores. Now, that doesn't give you the full picture, because if we look at year-on-year, you have got ₹392 crores growth in revenue and ₹248 crores growth in contribution. Again, you notice it's just about 60%. Same story. Our contribution is 44%. So, where the extra 16% coming from? It's coming from the growth of renewals because renewals are 8.5% margin. So, renewals have grown obviously, that's showing up there. But then of the ₹248 crores, ₹164 crores have gone to your EBITDA. That means almost two-thirds of the contribution is flowing to your EBITDA. So, yes, there is a fixed cost increase, but the fixed cost increase is ₹80 crores. And that's broadly what we've been saying all along, that look, yes, this business has flex, it has renewal growth, which will keep improving the overall margins, and fixed costs are generally fixed here. That's all.

Moderator: We'll take the next question from the line of Sachin Dixit From JM Financial. Please go ahead.

Sachin Dixit: I have some questions regarding the omni-channel play, right. So, now

we are getting leads

online and we are able to convert offline as well, there is a premium per enquiry go up significantly over the years. Can you talk a bit about how this improvement in conversion is resulting in some savings and how does it compare to the cost of doing the offline business?

Management : So, let me just take a few minutes before I hand over to Sarbvir, and my answer will be more at a philosophical level and Sarbvir can probably answer it at a more granular level. So, see, we are there wherever the customer wants us to be there. First of all, we advertise and we let the customer know that he or she needs to buy insurance, they come to the website. Once they come to the website.. we're not an entertainment site, so they said, yes, we are interested in insurance, we want to buy insurance. But, that does not mean we will buy insurance, right. And so, then starts the process of converting them. Now, some people will buy on the website, some people will buy through the call center, and some people will say, no, I actually want to meet physically. There are also other examples. I gave this example a few quarters ago on the call itself. I was visiting Bangalore, and I spoke to one of our top performers, he said, the person was ready to buy a policy for, let's say, x-rupees on the call. But then I went and met him, I sold him a policy of ₹ 36x... that doesn't happen all the time. That is an exceptional example. So, that also happens. Then people talk about when you go and meet somebody, that person also says, I've got three more references. For my family, I also wanted to buy this and that. So, all of the things are happening. Now, please understand, we have run the call center operations for 15 years, we have run the physical operations for just about a year. So, our people are early in this, but on productivity, it is already beating the call center model. And you have to take vintage into account before you kind of start to judge things.

Management: I think Yashish covered all the points. I would just say that, right now in Q3, if you look at the numbers, you can see that our contribution margin is going up despite the fact that we are spending on the offline expansion. So, that basically means that the improvement in ATS, improvement in multi-year policies is more than enough covering the cost of operations. And I completely agree with Yashish that right now we are not the most efficient in FOS operations, PB Fintech

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I think we are very efficient in call center operations, we will become more efficient in FOS, and I think that will only make this picture better. So, over the next 12 months, you will see that's helping us, but right now also, total offline rollout has been absorbed in the core business, and you can see that the core business continues to do well. So, that should give you an indication that part is also becoming more and more powerful.

Sachin Dixit: What I basically wanted to understand was that there will be some savings in marketing costs, because the conversion is going up, and there will be some incremental cost of doing the offline business. So, net-net are these costs comparable is higher than the other currently? I understand that FOS is still nascent.

Management : See, our marketing cost is before the channel comes into play. That is to generate enquiries on the website or the app. We do not have people going and meeting anybody or saying, please buy insurance, we don't do all that, no cold calling, no cold knocking on doors, nothing. And that's where a lot of people get confused is how to compare this with the agency model and all other things, right. So, the marketing cost does not get changed at all. But, yes, your premium expands, because you're doing a higher premium per enquiry, because you are using further channels which can convert even better or

at a higher premium per enquiry, it can convert.

Now, on a cost basis, the operating cost is there and the operating cost does increase. But, as a percentage of premium, the operating cost has not been increasing; it's actually either been flat or coming down. So, that is what I said, the efficiency of the physical meetings is already higher than the efficiency of the call center. While as they say, We are Mustang in our call center, we are novices in the physical world. So, the improvement from here on will be much higher in the physical world, you can't see doubling our productivity in the call center, but I think in the physical world, you'll probably see a tripling of productivity. So, don't take those guidances on, but that's broadly what one is.

Management: See, one important thing, we had mentioned in the past that according to our research, roughly two-third or a little higher than two-third people who are buying term and health, they come to Policybazaar before they actually buy. But that doesn't mean that we have two-third market share of these two categories. So, there's a lot of leakage which happens. Now when you want to stop that leakage or reduce the number, today we believe about 25% of buyers would have bought through us. We want to move this 25 towards 35, 40, 50 over the next few years. And how do you do that? You have to work on the product, you have to work with the customer to make the buying process easy, which includes this omni-channel strategy that we have, you have to also build more trust around the claims and handholding of the customer post-purchase, and we are investing in all three. This is a continuous process. It's not something which is like a one-time go. Out of these three, the build-up for the omni-channel is something

which Sarbvir mentioned has happened to some extent. It will be implemented from here onwards. But, the first one year was trying to establish these offices, these 1,000 people. Now that you have got this in place, you want to work efficiently from now onwards.

Management: Efficiency, quality, all those factors.

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Sachin Dixit: Today, I saw a media article, wherein PB is launching a wholesome insurance product, right, where it's a combination of savings, term as well. Can you talk about the process of creating such products like how are you working with insurers who is getting the approvals how are these products being created?

Management: So, yes, this is a great question. I'm glad you asked it. We are really proud of the work that our team has done to develop this product. It's a product which looks at both the health protection needs of a customer as well as some life insurance and then a savings component as well.

Because, again, we hear a lot from our customers that they are concerned about what they're saving for, right. One of the main things that people are worried about is that in their old age, will they be able to take care of health emergencies. So, we conceptualize this idea. In this case, we have gone with two partners -- Tata AIA and Niva Bupa. The team work with both the insurers to not only conceptualize the product as to how it would work, but also to tie up the buying experience. I think as Alok just mentioned, one is the product, which we conceptualize over here. The second is a buying experience. So, that the person when they go through this ... and I would encourage you to buy this policy, because what you will find is that the entire underwriting process is seamless, minute the saving product will be issued, you will get the health policy right away, everything will come in one jacket for you, you can pay together for it, any service issue that you have, there is a relationship manager, the relationship manager will handle both health claims or any questions that you have on the saving side.

de. So,

it's a completely fully stitched up journey with two insurance partners. And it shows I think what Policybazaar can do. Because at this point, as you know, this is the only way that you can have this product. And we have tied this whole thing together and we are really positive and very hopeful that this product will do well. But, more than this specific product, I think it's the thinking that matters, which is that we saw our customers problem is not health insurance or savings, it's actually a mixture of the two, and we have conceptualized something for it. And I think this is not a one-off thing, we've done this for many products in the past also, and I feel this is now going to open up a whole new set of opportunities for us where we will combine. This time we've done health and savings, we are working on products in other health plus term And things like that, and you will see some of those initiatives coming out.

Management: If you think about the conceptual level, most middle-class families, when they are going through life, at some point, an individual becomes a family and then they have children, and that is the point where they start to require things like term insurance, and the health insurance requirement is also there. Now, as the family keeps growing, and the children get through college, etc., the term insurance remains very, very critical. But, at some point, once the children start earning on their own, the term insurance does not remain important, and this is about seven, eight years in the middle before you retire. And when the person retires, the only needs become the pension and the health. And now, why is this crystal clear to me? I grew up as an army officer son. And all of these requirements were taken care of my father in the family. And when I came to the civil world, I said, okay, how do these people live? Because those are very, very critical requirements, right? And I asked a lot of people and they all said, we would be happy to get 20, 30 less salary if these requirements were taken care of. That is

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the basic difference in India today if you really think about it from a government job to a private job, etc., So, this has been a deep thing which has been going on for like at least more than a decade. I'm not saying this particular product will be hugely successful or not successful, but it's a first attempt and it's not in the perfect shape, but I think what Sarbvir said is very important that it's been brought together through multiple organizations, through us and various things, right. And I think we will keep working in this direction. But the approach is eventually to solve this problem for the middle-class health, asset, pensions in a holistic manner. And I'm sure at some point, we take a lot of effort, but at some point it will get solved.

Moderator: The next question is from the line of Nischint from Kotak Institutional Equities. Please go ahead.

Nischint: I'm looking at sequential in your insurance premium and your revenues. And I think you shared some data on the P oSP premium. I believe the rest of the growth comes essentially on

the core business on new business premium. And it's a fairly large sequential growth in premium in the core business. If I compare that with the revenue of the core business on a sequential basis, that's gone up only something like 3%, 4%. So, I think, what that effectively means is that the calculated means in the core business have come down a bit – Management: I will clarify to you. I think, looking at quarter-on-quarter growth, each percentage point genuinely does not make sense. It is not as granular as you would imagine. It tends to be a bit lumpy. So, ₹10 crores moving from one quarter to the other happens on a fairly regular basis, not a big thing. I think you should look at this over a few

quarters. So, even if you look at the two quarters, the growth in revenue is also about 15%. So, you will come to the right answer, but just look at it over a little longer period than just one quarter. One can't be that accurate in, that every quarter, it has to grow at 7.5% and grow at 30% for the year, that is not a very feasible expectation. So, 2%, 3% up, down, does keep happening. But, as you correctly pointed out, the premium has grown. So, whichever way you look at it, year-on-year, the growth is 34% and 30% for the life and health fresh business. So, we've given you those clarifications. But yes, the revenue can be a little here or there at times. Somebody which came in one thing, which did not come in the next quarter, so don't get too stuck up on one or two percentage points, just look at it over a few quarters, that's all. Nischint: My question essentially was that from a business composition point of view, was the second quarter and third quarter very different or it was pretty much the same and it's a difference which are making the -?

Management: No, it's just pretty much the same. There's been no material change that anybody needs to be aware of or even we are aware of. Not that we are not aware of, the same are actually happening, it's nothing.

Nischint: And if I look at the non-core expenses, this number has actually come down both sequentially and on a year-on-year basis, it's a couple of crores here and there. But is there anything specific

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that we should read in this, I mean, are you cutting any fixed expenses because we would have expected this absolute number to go up at a maybe much lower pace than your revenue, but to actually go up?

Management: Nischint, you remember, at the start of the year, we had given some sort of, I won't say guidance, but from idea that our investment in all our new initiatives, is going to be very near to our interest income, and that number we tagged around somewhere between 200 crores and ₹250 crores at that time. And we had taken a specific effort, last year was the first year when these initiatives were launched. And we were investing a lot in building the team, learning the stuff around these initiatives. Over quarters, once we got to the leadership, we started focusing a lot more on the efficiency on each of these initiatives. And that's what you're seeing on a quarter-on-quarter basis. If you look at the JFM and then April quarter, and then the July quarter, October quarter, every time you will see that, okay, it's coming down. And that's a focus that's very clearly laid out for ourselves that we want to make initiatives more and more efficient while not letting off the leadership, and the core business continue to become more and more profitable; it's already at 6%, but if you look at last three quarters, it moved from 1% to 3% to 6%. Top line is growing. So, multiple things happen. But on this specific one, we definitely want to become more and more efficient every quarter.

Management: And we are also very clear, if you just look at a period over a couple of quarters rather than a single quarter, because again, the same thing, right, you may have a particular advertising campaign which might work on a particular day or the next day. Again, look at it over a two-quarter period or something of that sort, because that can make a big change, right, a ₹10 crores advertising campaign running on 1st rather than 25th, numbers will change basis that. So, when you look at nine months basis, you will see that growth is coming and the profitability is coming from growth, it is not coming from cost reduction, which is not our intention either. Cost can stay flat. All we are saying is fixed costs are fixed. If they were not fixed, they would be variable, they're not variable.

Nischint: One last question is, of the total

outstanding ESOPs, what is the vesting schedule, I mean, till when would the cost be exercised and what proportion of -?

Management: Nischint, the bulk of ESOPs that you see, they were given in October '21. So, as you know, the counting happens in a 12-month phase. So, every year for six months, you see a very different level of charge of ESOP, and next six months, you'll see a little different, and which is apparent in this year data also, that Q1 and Q2 had a different number and Q3 had a little different number, which is much lower, because the way accounting works, obviously, it is on a reducing manner. We do have some bit of ESOPs remaining approved by the shareholders,

and it's very slowly they are being utilized for old staff and for also new hires. But that is not a very big number to make an immediate change. The bulk of the ESOP charge actually was taken on October '21 month itself. And that's why, I mean, every year, third quarter, there'll be a significant drop compared to Q1, Q2.

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Management: And we've given some guidance on this that, look, longer term, I mean, beyond the first five years, we expect ESOP charges to be roughly about ₹100 crores a year. That's my guess, right?

And even now, if you take the founders out of it, it is probably some thing in that range, it maybe ₹150 crores, because, yes, there was an IPO and you would have a little additional... all of it has not been rewarded actually. So, I guess that is really where one should look at it. The remaining is the accounting part, which, of course, feel free to take that into consideration for now, because in another one year, it will be –

Management: 110-odd will become maybe 65, 70 next year in the same quarter, and then it will reduce to maybe 30. So, there's nothing that we're doing. It's just the way accounting works.

Nischint: But actually, my question was, what proportion of the ESOPs are linked to a particular market price or market cap, especially those which are given to senior management and won't be exercised to reach the market cap or price?

Management: That would be roughly 55% to 60% as per the October '21 scheme. So, you can assume in terms of number of shares 1.15 to 1.2 crores, somewhere in that range. But you can separately take this number in case that helps.

Moderator: The next question is from the line of the Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: A few questions from my side. First, on your only PoSP business, you have mentioned the 12% is non-motor. And I would assume that you would have some renewal commissions that you get from the manufacturer in this portion of the business. Just wanted to understand the pass-through that you do to the partner on the renewal side, is that renegotiated every year, or is pre-decided at the start? Second on Paisa, your renewal revenue seems to have gained some traction. So, just wanted to get some understanding of how the products are structured, and what are the contours out there? And lastly, two data-keeping questions. If you can give your current pass-through rate on the PoSP, and the PoSP premium number, I guess I missed it at the start of the call?

Management: So, first, I'll take the PoSP part and then give it to Naveen for Paisa. On the PoSP part, we said that PoSP has done about ₹500 crores of premium in this quarter. We obviously do not discuss the pass-through rate of PoSP publicly. In terms of the non-motor business, it's significantly more than 12%, so I'm not sure where the 12% number came, it's more than double that number actually. On your other question on renewal, I just want to explain one thing to you, that we protect the renewal. So, that means if an agent has given us business, whether the person renews directly from us or comes back through the agent, we protect the renewal. But what we pay them

, etc., those are all commercial considerations and I'm sure you would appreciate best not discussed publicly.

Management: Dipanjan, on the trail piece, as you can see from the presentation, page # 47, that this is a co-created and a co-branded product, is a strategy that we undertook as lending started recovering

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from COVID. And because we realize that as a distributor, if he had a back book revenue like a lender, that'll help us greatly in times of stress or credit turn times. And what happens is in a co-branded or co-creative product, upfront is of course lower, and the trail in a credit card like product is linked to spend. So, we get a percentage of usage on a monthly basis as a trail. And, as you notice that over the last 12 to 15 months for credit cards, but last five months, in personal loans, the percentage of business on trail has increased, and that's reflecting in the increase in the trail revenue, which also links back to the question on profitability being sustained. As we build the back book or the trail revenue, that flows at about 90% margin, and hence, it adds to the overall profitability.

Dipanjan Ghosh: On the PoSP part, my question was not on the numbers, and I understand your renewal commissions are protected irrespective of where the customer renews from. But, wanted to get some sense on the pass-through that you do to the PoSP agent in renewals, is that renegotiated?

Management: I would not like to go there. To be very honest with you, I think the answer is not super material to our overall results. It's really more a thing to give the agent confidence that we will never ever do anything which affects their interest, that's the main thing. The rest of the stuff is not super material to the whole business.

Management: I just wanted to add one thing on Naveen's answer. I think what you have to notice, Naveen

was in this year, he had committed to breaking even on Paisabazaar, and he achieved that ...but he achieved that while building the renewal revenue. And what you must appreciate is as he builds renewal revenue, because it's a multi-year revenue, that actually reduces his revenue for the current year, because this is actually the year when he started to build it out. So, from a P&L perspective, it actually adversely impacts him. So, if he had not done this, he probably would have had maybe a few crores of extra revenue with the same business. I'm just explaining the nature of the management that they do think long-term, not just this quarter some profit has to be done. I think that is very important. That is, I think the biggest thing that you will actually invest in.

Moderator: The next question is from the line of Srinath V from Bellwether Capital. Please go ahead.

Srinath V: Hi, guys, just wanted to understand the implication of the new tax structure in the income tax and there's a prevailing understanding that a large part of taxpayers will move into the new structure. What would be the impact overall on our business in 80C, both life and health lose exemption on investment, broadly for us, as well as for the industry, not just from a premium standpoint, but more to understand how useful was the exemptions on investment in conversion, would lead times or conversion times get impacted as these SOPs have been withdrawn?

Management: It's a very interesting question. And as you know, this is really a behavioral economics question more than something that we can forecast. But what I'll just share with you are some of the things that we have found out. Earlier, if you ask three years ago, four years ago, why PB Fintech

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are you buying health or health insurance. Tax would show up. Today, tax does not show up in the top three, four answers, it shows up in the fifth or sixth answer. In savings, yes, it will

show up in the third or fourth. So, I think it's really hard to say today exactly what will happen. My personal view is that, yes, there will be some impact definitely on the saving side, may not be very material. I think on the health insurance side, perhaps because of COVID, I think why you buy health insurance has become very deeply ingrained. And the tax while is welcome, I think is not a huge factor on the health side.

Management: The protection will be far less impacted than the saving side is our guess. We have to see.

Management: We don't know here.

Srinath V: Would it be a fair assumption to make that we would be better off compared to the agency channel because of the pull factor?

Management: I want to comment on this and I learnt something recently, and I would actually mention the person whom I learned it from. So, I was talking to Mr. Tapan Singh the other day, who's the CEO of Bajaj Allianz General, "You don't get into all this. You are always very encouraging to everybody"... and I was meaning a genuine praise. And he said, "What we have noticed is when the industry grows, we also grow." So, we also are growing at 2x of the industry here. So, if the industry grows, we are all very symbiotic. You'll be very surprised, when the agency grows, we also grow. When we grow, the agency also grows. Everybody grows together. And if we all don't grow, then we have all got death written on our faces. So, I wouldn't worry too much about channel one growing or channel two growing, we're all going to grow together.

And to me, that was a great lesson. It is not either, or. The customer will buy from multiple places, and we all help each other.

Moderator: The next question is from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah: I just wanted to understand your contribution margin in existing business. In the last three quarters, if you see, the contribution margins have stayed around 45% despite additions of, let's say, renewal revenues, and the productivity that we've been gaining from the offline, which you guys is probably higher for the offline business as compared to the call center business. So, just wanted to understand, 45% contribution margin, is that something peculiar for us or you think there are rooms that have levers to grow this margin going ahead?

Management: They will keep growing. I think, again, you are focusing on a very few quarters, and I think you will start to see something very interesting as we as we move forward in the next few quarters. There is a lot of mixed issues here, Paisabazaar growth, Paisabazaar margins. Various ways things that play into it. There may be some product changes, savings grew a little faster for us in the year. Savings tends to be a little lower margin than some of our protection products. So, I wouldn't read too much into it. I would focus on the year-on-year trend and I

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would stay with that. You also please appreciate this is the year when we built up all the capacity, right? So, I think you should start to see the advantage of that here onwards.

Arpit Shah: Just wanted to understand the seasonality of the business. What is typically the Q4 percentage of total yearly revenues?

Management: We are a little less seasonal than the rest of the industry. So, that's just the reality, because the customer somehow is a little more protection-oriented than tax-oriented. But, yes, there is seasonality; so, December and January, February, March tend to be four very good months, March tends to be a little stronger than the other months. Around Diwali usually tends to be a lean period, simply because people are spending on other things... this is a discretionary spend at the end of it. So, if you're buying pataka, you don't think about buying insurance at the same time. I think lending is much more

non-seasonal from that perspective. And there's a little bit connected to motor vehicles and all, which sort of a bit Diwali-oriented. Again, January-oriented people like to buy the new models of cars, etc. But yes, for us, Q4 tends to be the biggest quarter, which is why I think next quarter you'd like our presentation next quarter a lot more than you've liked the last few presentations. So, we will all get a lot of well-done from you guys next quarter. After that, in Q1, we will be probably 5% below that quarter, which is what happens every year. And then by Q2, Q3 you catch up with Q4 and then you hit the ball out of the court in Q4.

Arpit Shah: Can you explain how would we reach breakeven in the Q4 quarter? I think we'll be adding around ₹700 crores of revenue in Q4 we will be having 45% contribution –

Management: What is our EBITDA loss this quarter? It is about ₹28 crores. So, our new initiatives are going to make less loss. But in January, our core business has made enough profit to cover the loss of the entire quarter of the new initiatives. So, we are very, very happy about the situation we are in. We had a plan for the core business profit. It seems like we will get 1.5x of that for the quarter. Now, I'm not even telling you what our plan was, I'm not telling you anything, but I'm telling you what the internal story is, and why we're sitting very confidently. So, it's not even a question. Next quarter will be fine.

Arpit Shah: Can you explain how did you get recurring revenue, because a couple of quarters back, you have never spoken about this recurring revenue in the credit business?

Management: Of course, the business on this recurring part only started maybe about a year ago. And the thinking was very clear. Today, if a person takes a credit card and does not use it, we will still get paid. If a person takes the credit card and uses quite a bit... or the same thing on a loan, if a person takes the loan and kind of pays back very quickly, or takes four years to pay back, there are different implications for the bank or the NBFC. But there was no implication for us. So, we've in a way got some skin in the game on the usage part. And the good thing, I would say, the safe thing from an investor's perspective, or from whatever perspective, whoever the investor here is that actually the upfront revenue is reduced. So, in the first year, you're seeing PB Fintech

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the hit of it. And that's what I explained that with that hit in a year when Naveen was to break - even also, I think it's a very commendable thing. He did the right thing for the organization, because he could have easily not done this and showed a higher revenue. And the benefit of this will come in the next year, because these renewal revenues will obviously become large by then. And you can see every month, quarter-on-quarter this number is growing very fast.

Management: You can see that on chart # 47 what Yashish is mentioning, we are showing the percentage of disbursements and card issues on how that's growing percentage on trail revenue.

Arpit Shah: In the last call, we had guided around ₹1,000 crores PAT by FY'27. Given the numbers that we have seen in this quarter, that number looks pretty much easily achievable by FY'27.

Would you like to revise that guidance to ₹1,500, 2,000 crores?

Management: We only say things which are easily achievable. Please understand, when I say something, my reputation is a line on that.

Arpit Shah: Give me a peer who has just done a buyback, are we looking at a buyback?

Management: We don't talk about anybody.

Arpit Shah: Because you are already having a roadmap of ₹1,000 crores profitability.

Management: As we said, there is no specific answer on that. And we have not even considered it at any level.

Moderator: Ladies and gentlemen, we'll take the last question from

from the line of Prateek Poddar from Nippon

India Mutual Fund. Please go ahead.

Prateek Poddar: I just wanted to check with you, if you could give a breakup of your premium, I mean, the existing insurance business premium, which you called out that the split was 50: 50 between new and renewal into protection, health, savings.

Management: We don't give those yet. We've told you guys, we will probably start doing it from next year, but this so far we don't give it out. But if you have any specific questions, Rasleen is the right

person.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Yashish Dahiya for closing comments.

Management: Thank you very much, everybody for attending. I know it was a bit late for some people on a Friday evening or Friday morning, whatever your local time is. And, yes, we'll speak to you again after three, four months, and hopefully have a much more stronger update. Thank you.

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Moderator: Ladies and gentlemen, on behalf of PB Fintech, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

May 29 , 2023

To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai – 400051

SYMBOL: POLICYBZR BSE Limited
Department of Corporate Services/ Listing
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400001

SCRIP CODE : 543390

Sub: Transcript of the Earnings Call conducted on May 22 , 2023

Dear Sir/Madam,

In furtherance to our earlier communication dated May 17 , 2023 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith Transcript of the Earnings Conference Call conducted on May 22 , 2023.

The transcript of Earnings Conference Call will also be hosted on the website of the Company at <https://www.pbfintech.in/investor-relations/> .

You are requested to kindly take the same in your records.

Yours Sincerely,
For PB Fintech Limited

Bhasker Joshi
Company Secretary & Compliance Officer

Encl.: A/a
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“PB Fintech
Q4 FY 2022-23 Earnings Conference Call ”
May 22 , 2023

MANAGEMENT : MR. YASHISH DAHIYA – CHAIRMAN – PB FINTECH
MR. ALOK BANSAL – EXECUTIVE VICE CHAIRMAN –
PB FINTECH
MR. SARBVIR SINGH – PRESIDENT - POLICYBAZAAR
MR. NAVEEN KUKREJA – CHIEF EXECUTIVE OFFICER
– PAISABAZAAR
MR. MANDEEP MEHTA – GROUP CHIEF FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to the PB Fintech Earnings Call for quarter 4 Financial Year 2022-'23. We have with us Mr. Yashish Dahiya, Chairman; Mr. Alok Bansal, Executive Vice Chairman; Mr. Sarbvir Singh, Joint CEO; Mr. Naveen Kukreja, CEO, Paisabazaar; Mr. Mandeep Mehta, Group CFO; Ms. Rasleen Kaur, Head, Corporate Strategy & Investor Relations. As a reminder all participant lines will be in the listen-only mode and anyone who wishes to ask a question may enter star and one on their touchtone phone. To remove yourself from the queue please enter star and two. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Yashish Dahiya. Thank you, and over to you, sir.

Yashish Dahiya: Thank you very much. Without further ado, we are laying out our performance results for the quarter and year-ended March 31, 2023, which was the last year.

Our revenue grew to ₹2,558 crores, marking growth of 80% over FY '22. Our Q4 revenue is ₹869 crores, which is 61% Y-o-Y growth. And our PAT loss reduced from ₹220 crores in the previous year same quarter to ₹9 crores this year. That's a margin of about minus 1%. It was minus 41% last year.

On an adjusted EBITDA basis, we were ₹28 crores positive for Q4, which is a 3% margin. This last year was minus ₹80 crores, which was minus 15% margin. And both the growth of the core business as well as new initiative loss reduction have contributed to this. Our existing business adjusted EBITDA increased by ₹54 crores for the quarter and ₹218 crores for the year as compared to the same period last year.

If you recollect, we had spoken about ₹150 crores to ₹200 crores every year kind of increment, so that's ₹218 crores in the last year. This growth is driven by primarily 3 things, 1. renewal income which is the most robust part of the growth, obviously, because that's sort of done because of our past effort, not for this year's effort, 2. growth of new business and 3. higher efficiencies in new business. So our annual run rate on the renewal income is now ₹388 crores, which was ₹265 crores last year in the same quarter, this typically operates at about 85% margin and is a significant source of profit growth.

We are now at an annual run rate of about ₹14,000 crore s insurance premium. The operating metric we look at is the premium per inquiry which is now at ₹1,754 which is our highest ever, it is 27% higher than last year. However, I have to add here that while this is for the full quarter, March has some contribution too because March was an exceptional month from a savings business perspective where certain tax advantages led to higher sales of the savings products than usual. Our CSAT continues to stay at 88%.

Our existing business did ₹504 crores for Q4 and out of this credit linked revenue was ₹120 crores. The credit business continues to grow quite decently and has been EBITDA positive now since December 2022. We are now at a run rate of about ₹15,000 crores disbursement and more than 0.5 million credit card issuances on an annualized basis.

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Approximately 35 million customers have accessed the credit score platform. In the credit cards, key theme and lending, key theme is digitization, today 75% of the cards being issued are end-to-end digital. While this may not seem like a lot but in the past this was not the case. They were much, much lower. Until a few years ago, end-to-end digital was almost negligible. Co-created product strategy is shaping up well with now 6 products we have which are on co-created platform.

Our new initiative revenue has obviously grown quite well that is ₹365 crores in Q4 and the adjusted EBITDA loss on new initiative

is ₹36 crores, again moving from a margin of minus

51% to a margin of minus 1% given where we are right now. This explains that why we have grown, our losses have come down, so if you recollect our new initiative losses have peaked at ₹90 crores, they are down to ₹36 crores now.

PB Partners, our agency aggregator platform, continues to lead the market in scale and efficiency of operations, has the highest portion of non-motor business, now 34% and is

presently in 15,000 pin codes in India. Our UAE business has grown 2.7x, so new initiatives continue to do well, continue to scale well. We are fairly hopeful of having a positive PAT in our current year, which is 2023-'24. And happy to take questions now.

Moderator: The first question is from the line of Madhukar Ladha from Nuvama. Please go ahead.

Madhukar Ladha: Sir, I wanted to get a sense of March, as you said, was an exceptional month. Maybe you could give us some color on what -- how much you would quantify as additional insurance sales in the month of March. And also, my sense is that there could also be some prebuying given the tax incentive expire. So although the ticket sizes would not have been more than ₹5 lakhs even in the lower ticket size we could have seen some prebuying. So maybe you could help us understand what you're seeing out there?

Management: I will request Sarbvir to answer that question.

Management: March affected mainly our savings business, both on the core side as well as in PB Partners.

We estimate as in different front to save tax expiry, we estimated that in our overall business, I mean, if you look at our overall roughly ₹2,100 crores of business, 7%, 8% difference would be there because of March. And yes, you're absolutely right that clearly, in April, there was an impact of excess -- there was some demand which got pulled forward to March. So clearly, April was slow. And you've seen the industry numbers, I'm sure you would have seen that.

Management: That is the savings business. However, on the term business, it would have been a pretty strong month...

Madhukar Ladha: Understood. Got it. And second, I wanted to ask a question on PB Partners. So now this is the first quarter where we'll see some renewal revenue, correct me if I'm wrong, in PB Partners. I want to understand what will be the economics on the renewal business in PB Partners.

Management: So I would say that renewal revenue is still small in PB Partners partly because the renewal rates in this business is not as good as the renewal rates in our direct-to-consumer business. So PB Fintech

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right now, I wouldn't necessarily call them out and say that it would be a big issue or a big delta.

As far as the economics is concerned, the economics are slightly better in the renewal than they are on the fresh business, as you would imagine. But again, it's not a meaningful number at this point.

Madhukar Ladha: So the take rates would be equivalent on the renewal business as they would be on the new business on the PB Partners side?

Management: Pretty much. I would say pretty much because the renewal business works a lot like a new business almost. In motor insurance, see, largely the renewal business is on the motor portfolio. The life portfolio will merge this year. On the motor side, the renewal is pretty close to the new business. And for the life business economics will be different because there, the renewal revenue is obviously different than the franchise.

Madhukar Ladha: Understood. Understood. And I haven't gotten a chance to obviously take a look at your presentation because things were delayed and it's just now -- just come right while the call is on. What was the growth in new business for term and health? Have you called that out?

Management: We don't call that out separately. We don't call out segment by segment. But new business growth was 31%.

Madhukar Ladha: For all of life or this is life and general put together?

Management: Yes, we're looking at life and health, both.

Madhukar Ladha: That's term and health, right, then 31%?

Management: That's term savings and health.

Madhukar Ladha: Even savings. Okay. Understood. Yes. Understood. All right. That's it from my side. I'll come back in the queue as I go through the presentation.

Moderator: Thank you. The next question is from the line of Arjun Vikas from Alpha Wave Global. Please go ahead.

Arjun Vikas: Congratulation on great set of numbers. Just quick questions. Again, I didn't have a chance to go through the presentation, but I wanted to check if we call out any revenue or growth split on the Paisabazaar side between credit cards and personal loans and other products?

Management: Like we mentioned, we don't give segment-wise growth. But we have mentioned actually the growth rates for personal loans and credit cards in the presentation. So on a Y-o-Y basis, credit disbursal grew by 53% and credit cards would be in the range of about 80%.

Arjun Vikas: Understood. And just to a hygiene question, given the macro environment that we are in, just wanted to check on the fixed expenses side how much of an increase are you expecting in headcount as well as salary per head kind of at an average level going into FY '24?

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Management : Yes. I think fixed expenses should increase by about 8% from March to April. So quarter -on-quarter, you should see about an 8% increase. And for the year, then you should not see an increase from there onwards. I just have a small clarification on the previous question as well, Arjun, because I know this can cause a calculation mistake. The core business to be very specific, the extra business we got because of the high value or the savings part on the core side was about ₹50 crores. So as you look at the performance, when you look at that 31%, you probably need to take that out to kind of take a genuine year -on-year comparison.

Moderator: Thank you. The next question is from the line of Sachin Dixit from JM Financial. Please go ahead.

Sachin Dixit: Congrats on a great result. Quickly on the piece on how the savings piece would have benefited in March quarter, right? So, currently, already sitting 2 months in Q1. Do you see that sort of reversing and on a like -to-like basis there might be a drop in numbers on the premium issued?

Management : I'll take that. I think April, clearly, you saw the industry was down year -on-year on the retail side. I think that is there. May, we'll have to see how it happens. The May looks better than April, but I think there will be an impact, I think this -- March was an exceptional month and definitely, there'll be some impact into this quarter as well.

Sachin Dixit: Understood. And another question on the new initiative piece, I see we are now running at almost ₹365 crores in revenue while the core Policybazaar based revenue is close ₹390 crores .

As far as my quick math has helped me, so I think with the scale at which it has reached, can you also share some more operating metrics on the line as in like you mentioned pin codes -- how many partners, what is the churn rate, any such details there?

Management : I think it's best to kind of see it's a market where -- competitive market, there are lot of players. And I think it's best to stay with these numbers. I would also not get carried away by Q4 and say that both those numbers are not really comparable. These are 2 very different types of businesses. And I think the retail revenue of ₹380-odd crores, almost ₹400 crores is, I think, significantly more valuable than the POSP revenue.

Sachin Dixit: Yes, I agree. I just mean at the scale at which we are operating, it will be great to have some more color there?

Management : Sure, we'll consider that. We'll think

about what are the metrics we can present.

Sachin Dixit: And just final one question, if I can squeeze in. Any color on what the renewal mix looks like this quarter? I know this is a question that troubles us every quarter.

Management : Renewal mix in the sense?

Sachin Dixit: In the core Policybazaar premium, what percentage is renewal?

Management : The renewal rate, I think, has been improving over the years. So there is no particular change there. So I -- on a premium basis, of the premium that we collected the previous year, this year

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on health about 103% get renewed. So there is no change whatsoever that one needs to talk about in terms of health renewals or any other renewals.

Moderator: Thank you. The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh: So firstly, can you talk about -- you mentioned that there are better efficiencies on the new business than our online business. So can you quantify that how the contribution margin or EBITDA margin in the new business panning out on the insurance side ?

Management : I think -- I would say that because of the extra scale that we got in Q4, right, so you would have seen throughout the year, we almost take anywhere between 40% to 60% of the incremental revenue falls to the bottom line. And in a quarter like Q4, it's towards the higher end of that range. And so what is really happening is that when you -- when you're able to increase your revenue beyond a certain point, it drops to the bottom line.

And that's what really happened. So the same 3 levers that Yashish mentioned, one is growth in new revenue, I mean new business; second renewal revenue; and third, in overall efficiencies that we have in terms of our fixed cost. So I think these are the 3 levers that played out in Q4. A little bit higher than in previous quarters because the revenue was higher.

Management : If you think about it in the year -on-year on Q4, our core business revenue is up by about ₹118 crores, and that has led to a ₹54 crores extra EBITDA. If you look at on annualized basis, the revenues are ₹510 crores that led to a ₹218 crores extra EBITDA. So essentially, what Sarbvir is saying, roughly 40% plus is flowing through the EBITDA. If you look at the contribution level, roughly 55% to 60%, let's say, 55% is flowing into the contribution. Now our margins are not 55%, so that's a combination of renewal revenue being a slightly larger proportion and

maybe you get some impact from that and the remaining impact is just because as you grow, your fixed costs are not growing, you get that impact as well and some efficiencies on the core business in terms of operating efficiency.

Nidhesh: Sure, sure. And so -- if you look at from -- next 2, 3 years point of view, I think, renewal income are growing in proportion of -- renewal income growing and improving our profitability is quite clear. But do we also expect that the new business will start to make profit and there the margins will improve significantly given the scale that we will reach?

Management : We don't do calculations in that manner that new business and renewal business profitability is calculated separately because the renewals cannot happen. Please appreciate without the engine the bogies can't move. See you can't have renewal if you don't have fresh business, so that's absolutely dependent on it. It's accumulation of the past efforts that's happened. And that we cannot -- the thing that's important is the new business growth. From financial perspective, it's important to consider renewals that's all. But we look at it as a NPV internally.

We expect our new business over a long -- medium-ish term to keep growing at 30% -ish also and that if we don't grow at that rate then of course that is the question mark but otherwise we think the industry will grow at about 10%, 15% and we should grow

at 2 to 3 times the industry levels.

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Nidhesh: Let me try to flip the question. So NPV per unit of premium in the online business, has that been trending upwards and if you can just share the degree of increase in NPV as percentage of premium for us or let's say in last 3 years, it was x percentage and now it has become 2x percentage or something like that.

Management : It's a non-GAAP number, right now it's at about 2.8x which is basically your NPV divided by direct costs. Now if you want a sense of it, that's about 2.8x...

Nidhesh: Okay. And then what was the number approximately, let's say, 3 years back or 4 years back if you can share?

Management: There are many things here, see, it depends on the mix, it depends on multiple meritorial factors. Typically, as the management team, we do not look at the current year output only.

We say does it make sense for the company in medium to long term. Just to give you a very simple example. Suppose in a particular product line. Our contribution in the first year is 0, but we know at the NPV level this is a very, very healthy business to do. In such a case, we will be very, very clear that we want to increase the new business as much as possible even though in the short term it will result into a little bit of mix change and it can look worse as a total percentage contribution which will come out of it. But eventually for the company perspective in medium term, that's the best thing to do. As Yashish said, eventually, it's the engine which will drive the bogies. So we have to invest in getting more business if it's possible. So as a management team, we are very clear on these things.

Now there is a mix change for a particular reason in a particular quarter. Obviously, you made a little bit number. But practically, if you look at any particular vertical, whether it's life, health or motor and not look at a quarter-on-quarter movement, things have not changed drastically. There is improvement, which is a very, very gradual slow improvement. So there is no drastic change anywhere as such.

Nidhesh: Sure. And lastly, on the credit business, that business is doing really well in terms of growth, profitability. So what is the outlook there? What sort of growth we envisage in that business over the next 2 to 3 years?

Management: Sure. So as you can see from the presentation, on a full year basis, our disbursements grew by about 75% and our card -- credit card issuance growth was higher than that.

In credit, if you look at the industry, the industry in a good year grows by about 16%, 17%, 18%. And then every 5, 6 years, there's some downturn. So on a 5-year CAGR basis, it grows by about 13%, 14%. We have a similar philosophy that as a digital business who is in a growth stage, we should grow by about 3 to 4x of the industry. So we are hoping that we can continue to maintain that momentum, which we've done in the last couple of years.

And on the profitability side, we've now shown and demonstrated that we are able to operate at 40% or thereabouts margin and the incremental business is happening at that kind of margin.

And hence, with the efficiency coming in from a fixed cost perspective, the EBITDA ratios have continuously improved, resulting in we becoming adjusted EBITDA positive from December onwards. So we'll continue to see improvement in the ratios going forward.

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Nidhesh: Sure -- and just as a follow-up on that. I noticed that the share of trail revenue -- trail in disbursement and trailing credit cards has decreased. So what is driving that? And does it impacting our current year -- current quarter's revenue on a trail basis?

Management : Sure. So yes, Nidhesh, I think you would have seen in the last couple of quarters that we have undertaken the co-created strategy where we work with the lending partner

s or credit card

partners and co-create the products either to expand the market or innovate on the product or the process side. In some of these partnerships, our revenue is for the lifetime of the product, resulting in a very healthy trend. And strategically also, it helps us build a trail revenue, which starts to operate very similar to the trail revenue or annual revenue in insurance coming in at 85% or so margin. It is a new relative strategy.

You're right that we have -- if you can see the NPV or the trail revenue for the last quarter I think you mentioned it, it's about 10% of our revenue. And we are right now investing into increasing the trail, which means that, yes, there is a short-term revenue that we are pushing out in the future but despite that we've managed to kind of maintain the 40% margin and come adjusted EBITDA profitable. So in future, from a 1, 2, 3-year perspective, we are hoping that this will actually strengthen our profitability position as the trail revenue next year starts to come in at 85% margin.

Moderator: Thank you. The next question is from the line of Arya Sen from Franklin Templeton. Please go ahead.

Arya Sen: I just wanted to reconfirm that the estimate you gave of additional revenue because of the closing of savings product is ₹50 crores.

Management : On the core business, I just wanted to clarify, on the core business, the policies we received, which are ₹5 lakh plus et cetera that was exactly ₹47 crores, the premium, the premium I received on the core business in March quarter, our policies which were more than ₹5 lakh for ₹47 crores. Now you could make your own assumptions on how many of the policy is less than ₹5 lakhs, et cetera.

Management: And we have maintained that ours is a platform where customers come for very different reasons. So this impact was much less for us compared to the industry. Yes, there was obviously an impact as Yashish mentioned but it was very, very, very muted.

Management : I would say this ₹47 crores, a bulk of it would not have come if that single event wasn't there. So yes, it was a onetime event, I would say. Maybe if that event wasn't there, this ₹47 crores might have been ₹7 crores, I don't know. I've been giving you a broad assessment, but yes, there was a little bit extra that we received, and that is the case. And that is the premium level, that's not the revenue level, of course.

Arya Sen: Sir, and the ₹50 crores you mentioned earlier is also at premium level or at revenue level?

Management : That ₹50 crores is ₹47 crores. I was just giving the exact number rather than a random...

Arya Sen: But that is at premium level, not at revenue level?

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Management : It's a premium.

Management: Yes, yes, premium level. It is at a premium level, yes.

Arya Sen: Because, I mean, the related question would have been the POSP business seems to have seen a sharp jump and the jump in the non-POSP business is much less that we are saying that effectively there was not that much of a contribution from this as full?

Management : On the core business, I'm explaining, let's say, on the core business, let's leave the POSP out of it. The core business, it was about ₹47 crores. POSP, net margin -- look, guys, look, let's not get confused about POSP a bit too much. Yes, the ₹365 crores or whatever ₹350 crores is a great number to get excited about. The net revenue is roughly zero on POSP. So I think that's what you keep in mind. It's basically a pass-through business at the end of it. So let's just keep that at the back of our mind before we kind of start really deliberating upon how POSP is becoming bigger than the core business and all that stuff. It's the payment gateway kind of business.

Management: And Arya, we have been investing in building out the life and health in PB Partners as well but again, like any other business that's your business

z you need to improve. And there would have been

a little bit impact of preponing on that part of the business. But it's a very, very tough to estimate how much is the profit from up till March since we have been building it up over the last six, eight months. So right now, health and life has become meaningful but we will have to see over in years or in many quarters, not years, to say that, that is the real sustainable number because just looking at one month won't give us too much information on the PB Partners

increase of life and health.

Management: Yes, we feel good about the PB Partners business. We feel very good about it, very confident. We're going to maintain leadership in that business. We feel good about all aspects of it. But comparing it to the core business would be -- we would be thinking very differently.

Management: See the main highlight of the PB Partners, to be honest, Arya is, at least two highlights. One, our total loss in all entities put together is less than 10% of revenue. And the second one, our contribution, which is the operating margin in a way, it is minus 1%. So we are almost broken even on the operating side on the new initiatives. So from new initiatives perspective, those are the two main points to be noted rather than just the top line.

Arya Sen: Sure. And I haven't gone through the presentation. So is there any change in your FY '24 additional EBITDA guidance in the core business? Earlier you were indicating ₹150 crores to ₹200 crores, right? So that remains or is there any change to it?

Management: So see we had given a few guidances in the past, which we are not changing, which is we should be -- we hope to be and feel confident we should be PAT positive next year. We also have given some guidance on the PAT being about ₹1,000 crores in '26-'27, those two stays.

Moderator: The next question is from the line of Amit Jeswani from Stallion Asset.

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Amit Jeswani: I was just trying to figure out -- so one thing is very clear, that ₹50 crores is the premium, right? I will just repeat this again. ₹50 crores is just the premium, right.

Management: Yes. ₹47 crores is the additional premium in savings and our entire business gained because of this tax impact, on the core business, right. That is the premium, it's not revenue. That would broadly translate to about ₹14 crores, ₹15 crores of revenue, broadly.

Amit Jeswani: You've done well, Yashish. You've done well this quarter, congratulations on that first of all. So Yashish, two points. First, just trying to think about FY '24. You said your fixed costs will go up 8% this year, okay. On the existing...

Management: No, that is to be clarified. I said March, which is last quarter fixed cost.

Amit Jeswani: Got it, March quarter.

Management: Yes, the March quarter.

Amit Jeswani: Okay, okay, so we are at ₹1,700 crores revenues on the existing business. And you said we should grow 2x to 3x faster than the industry, for the existing business, is that what you meant?

Management: Absolutely.

Amit Jeswani: Okay, 2x to 3x faster. Got it. And Yashish just one question on April dip, how large is typically the dip between Q1 and Q4 on the B2C business, the existing business? Because Paisabazaar don't get impacted. I'm just trying to understand the Policybazaar impact.

Management: So let us go through that a little bit. I'll just hand over to Sarbvir in one minute. The impact, you will see will only be on the savings business. And while we don't break out health and life, actually we are seeing some players in health and life compared to the last 12 months. So health and life are actually growing a little better than the past.

Management: Typically, Q1 is 10% to 15% below Q4. In savings this year, that number will be much higher. As Yashish mentioned, in term and health, we are, on a year-on-year basis, seeing very good

progress so far. So we'll see how it all shakes out. We still have another 40 days, 45 days to go.

So we'll see how it all shakes out. But I think there is a normal seasonality of Q1 from Q4. And this year, that will be a little bit more exaggerated because one part of the business will see a bigger-than-usual drop. Yes. I think that's how I will leave it at this point.

Management: And I think, one last thing, I think the savings business is not seeing an impact only because people utilize March. I would say the ₹47 crores of premium that came to us in the core business was perhaps business -- a lot of it may not have come to us in the normal course of event, those customers may not have come to us in the normal course of events, but there is also another impact that we should -- we are able to start seeing some which is the two types of tax structures.

And I believe a lot more customers will end up choosing the type of tax structure which is the more simple tax structure, and that should also have some impact on savings. There are of course opportunities as well, which we are working on because people who used to think you

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invest ₹1.5 lakhs could start thinking they're going to invest about ₹5 lakhs. So lots of things that are going on, but broadly tax is becoming less and less of a reason to buy savings products.

Management: See, one thing that we always maintained, the whole Policybazaar business is about three Ds.

Death, disease and disability. Yes, we do savings, we do motor, but the focus has always been on term and health. Now in a particular quarter, it may look better or worse, but those are very, very short-term trends. There can be so many different things which may happen, some not in our control, some in control. COVID was a very big, two years period where all the data actually has become quite junk to be honest. It is very tough to extrapolate based on what happened in the last two years because of COVID.

Overall, if you look at the trend and the opportunity in term insurance and health insurance, that's massive. And that continues to be the case, not today, not next year, but for many, many years to come. And as more and more people are becoming aware of the need of these products and as we are able to drive more innovation, easier way of buying, giving more confidence to a customer around the claim part, I think that will just help the escalation of people wanting to buy these products on their own. And when they want to buy, they come to Policybazaar, and we obviously benefit out of that.

Amit Jeswani: Got it. So I was just seeing at revenue delta on the existing business, okay? Has the ₹500 crores and our contribution delta has been ₹280 crores. If I fundamentally think about a 30% kind of growth, that means we'll grow at ₹510 crores again next year. Would it be fair to say our contribution growth will be ₹282 crores, again, or is it higher or lower?

Management: No, we won't get into that debate and conversation...

Amit Jeswani: Our cost is growing by 8% fundamentally. And if our revenues grow at 30%, there is a lot of operating leverage. So I believe...

Management: I will not comment on your analysis, but your analysis is your own. And I think I would like to stop there. We've given the past, and okay, so there are no tricks in the past. There's no game.

So maybe your math is right. Maybe, not.

Moderator: The next question is from the line of Samyak Shah from Dinero Wealth.

Samyak Shah: Yes. So sir, could you please talk about the online marketing and consulting business. So I wanted to understand how the fees are charged in this business? And how should we look at the revenue growth three years from -- for the next three years?

Management: Some of the revenues which we may have, where we may be doing some marketing activities for some insurance companies or some others.

S

Samyak Shah: Okay. And in terms of the number of policies sold, if we see since FY '21, the growth in number of policies sold hasn't been much, but the premium per policy has increased. So what could be the reason behind it? And when can we see the number of policies sold growing?

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Management: Sir, the reason you are seeing it that way also is that the mix has changed, so our life and health businesses, which have a much higher ticket size, compared to our motor and two-wheeler business have grown in as a proportion. So that's why when you -- actually, if you divide it, the way you are doing it, it's actually not that useful because different businesses have totally different ticket size. So what you're really seeing is a mix effect rather than any individual effect. But yes, I think NOP growth is a challenge for the industry, not as much for us, but it's something that we keep working on.

Management: And also, as you look at the time period you are speaking about, '21 to '23, let's say, the growth in the two-wheeler segment and the motor segment has been much, much lower. I don't have the exact numbers in front of me, but I think the delta in growth rates between the two might be almost 30% or so between health and savings versus two-wheeler and motor and that is what will explain, so there will be a difference in -- that significant difference in terms of premium rates. And it's not that a number of policies are not increasing.

Management: But yes, number of policies -- number of two wheelers are not increasing for our market sales.

Samyak Shah: Okay. And sir, one last final question. So would you like to give any indication or guidance for capex for the FY '24 and '25?

Management: capex?

Samyak Shah: Yes.

Management: In our business, the only capex we do is the computers, laptops and server...

Management: Yes, typically, if you look at the depreciation number that we have, that's also very, very low because by means of the business, we don't have any capex.

Samyak Shah: Sir, one of the interviews I've heard you talk about front load in the capex for the business. So I was referring to that.

Management: I think there may be some confusion here. We don't really have any material capex to talk about. I think it might be a comparison with other businesses that may have a large capex, so I think, I understand we're talking about one of the interviews what I was explaining was suppose if we have a steel plant, you'll have a lot of capex. And that obviously gets counted as capex.

Whereas if you really think about in similar terms, our brand and our infrastructure, our technology platform as well as our brand spend, that is, in a way, our capex, which builds future traffic, like today we get about more than 80% of our sales come without any need of marketing spend, that cannot come if we hadn't built a brand as we started with infrastructure to kind of attract so many customers in a meaningful manner. So I think I was referring to that. But we ourselves do not have a material capex line.

Management : Yes, see broadly, there have been a lot of questions in the past around the loss that companies like us make on initiatives. Now as we mentioned, when you have initiatives which are more

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digital in nature, that does not really require a balance sheet investment. In such cases, all the investment that you do on brand, on marketing, on tech development, technically is done because you want to build that business. But the nature of these spendings are such that they have to come in P&L, and that's what basically we're trying to say in that interview that some businesses require capex but we don't require capex and whatever we do comes in the P&L every year.

Management: Guys, those explanations are not meant for you guys. You are analysts, you are profes

sional

investors. Those are meant for the retail consumers because many a times retail consumer gets hassled by businesses like this, losses and valuations and all that stuff. We are trying to explain to the retail consumer that look, you all don't compare it to a steel plant, etcetera. So obviously, that's not meant for this group, yes. That's like the ₹150 crores, ₹200 crores extra EBITDA every year is not meant for this group. It was meant for the retail investor to understand. You guys obviously on your excel, guys, you don't need me to explain that.

Moderator: The next question is from the line of Sachin Dixit from JM Financial.

Sachin Dixit: Quickly any update on Bima Sugam, like, it's been a while that nothing has come out from media or anything?

Management : We haven't specifically heard anything, but I think we say of the opinion that any platform is a very welcome change, and it is great for us to have access to a lot more services which should help us expand our business. And yes, we feel very hopeful about it. But yes, we haven't had any official update recently. Yes, that's it.

Sachin Dixit: Okay. Just one more housekeeping question. Like you said last quarter, can you break down premium between core, new initiatives, corporate and PB Partners?

Management : We will get back to you. I think we will give you the numbers.

Moderator: The next question is from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe On similar lines, you have been sharing the renewal premium figure as well, if you could share that for the fourth quarter?

Management : So if you look at the core business in Q4, premiums are ₹2,643 crores .

Yes. But actually, you know what about ₹2,520 crores is the core business -- ₹2,520 crores is the core business. And that is actually evenly split between new and renewal.

Nischint Chawathe Got it. And I think if I calculate your take rate, which is just very simply revenue divided by the total premium, that ratio seems to have gone up this quarter significantly. So how should we read that?

Management : That is a little bit again, if you notice that has been inching up a bit because of the mix change. And again, this quarter because the life business was a little bigger than normal, that would -- that's the main reason it could happen. Otherwise, sort of quarter -to-quarter, line -by-line, the take rates haven't changed.

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Management : Mix change in our business, there's nothing that changes suddenly, you know this better than us. So there is a bit of a mix change which may drive this sort of behavior, the numbers. But if you look at product lines, nothing else changed.

Nischint Chawathe Got it. And one small question, and this is on new initiatives. I'm looking at slide nine. There is a significant, almost doubling of revenue, but you still sort of seem to be in red EBITDA range. So at what point of time do you really breakeven? And I know it's a very small portion, but still.

Management: I think the guidance we've given is '26 -'27, our new initiatives will not be negative. They'll be pretty close to -- and we built our new initiatives, see, new initiatives are competitive area, right? So we've given ourselves that leeway of a two, three years where we are confident we're getting to that profitability. But we've given ourselves two, three years of leeway that if we

have to compete -- it's like a marathon, right?

And we don't know when the other guy is going to run a bit faster for the next 3 kilometers.

And so we will see how we handle that situation. Simply, we don't want to say how we will run the entire marathon, but we are very confident that over a three year -- businesses demand a certain return and [inaudible 0:50:42] by that. And that implies we will not be making losses because others will also have to kind of breakeven at some stage.

Management: Nischint, these are still in the buildout phase, the investment that we are doing today about a \$5 million number per quarter, that's what we want to maintain for the time being. I think at a percentage of what the whole business is delivering, it will continue to come down and you have to actually invest in these businesses right now. That as Yashish mentioned, in the next three years, by FY '27, we definitely want to be in a position where you don't need to invest anymore. But stay on the path to get to that number. And currently, we are very comfortable with about the \$5 million investment part.

Nischint Chawathe Fair point. I'm just trying to -- I was just wondering whether there is any movement within the internals of new initiatives, right, because we just kept to see 1 block.

Management : So the reason we don't want to give any guidance except for the PAT positive next year because that's what we feel good about, we want to leave some leeway for us to compete. And we will be competitive in this area as we have been. So we don't want to remove our flexibility.

Management: And on the same slide still if you look at the contributed margin, you'll see that continuous improvement is there. So the effort is that even though we have to work continuously to grow this area, it tends to become more and more efficient.

Nischint Chawathe: Sure. And just one last point is on the motor renewals in the POSP business, I believe, on the revenue side, your kind of -- your arrangements could be very similar whether it's in motor, whether it's renewal or new it's going to be the same. But when it comes to what you're sharing with your partners, also that seems to be pretty much similar, is it? Or you probably have something that you could stem out there?

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Management : I think I would encourage you to think of it in a slightly different way. I think motor will be always scale and efficiency -driven. In the non -motor businesses, I think there's an opportunity where you have to -- as you are able to learn how to sell those businesses and which is where I think they are doing far superior job to others which is my -- I think our efficiency is much higher. That's where I think you can hope to get more contribution and eventually profit dollars.

I think on the motor side, it's a very, very cut -throat business. And I think it's not -- it's unlikely, whichever way you look at it. And the renewal in motor is very much like a fresh piece. So I would not really put any emphasis on that at all.

Management : I think the effort to -- for anybody to try and -- essentially what I'm hearing is not pay the partner enough on renewal, I think that's the wrong direction. Because that would lead to partner churn and that would lead to partner disloyalty in a big way. I don't think that's a very accurate description of the POSP business.

Management: It's a platform business. As a platform, you are getting a small percentage of providing that facility. And the best way to look at it is like a payment gateways. Yashish mentioned earlier, on payment gateway, you get a small margin for providing a particular platform or facility, exactly the same when you look at the PB Partners business where agents are using your platform. And since they're using that platform, you are entitled to a small part of the revenue. That's all.

Management : And I understand where you are coming from but I would also encourage you to look at the motor agency business and there you will find absolutely no difference.

Nischint Chawathe: So just one last point. The 34% is largely held is what one could say.

Management: Sorry, what's that?

Nischint Chawathe 34% of non -motor is largely held?

Management: It's non -motor. It's non -motor, yes.

Moderator: The next question is from the line of Adarsh Sinha from CLSA.

Adarsh: Alok, so the question was

on your core business. The last two years have been tough on the industry protection volumes. So just wanted to understand your assessment of where we stand in terms of what part of the protection market we are in because hopefully, things recover now, but we've kind of done well in the last 2 tough years in protection. And the second question is our savings business has scaled up a lot. If you can give some color

or texture on where we are in terms of premiums and broad numbers and what would be the product mix ULIPS non-par is, guaranteed product. Any sense and color on that. Thanks.
Management: Yes. So I'll take that on the term business, we are around 20% of the fresh business in the country. As you correctly said, while the market hasn't been super hot in the last few years, in fact has declined, but our business has continued to grow. In Q4, the good news was that the PB Fintech
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market also did better. So I think there has been finally a turnaround in that market. So we are hopeful that next year will also be similarly better. And the reason we are little bit confident is that we have divided our business into various segments and we are not just looking for growth from core term. We're also looking at how we can do more things for self-employed, for women, for NRI. So there's a full strategy in place. And I think we are more positive about protection in the new financial year.

In terms of health insurance, I think we have seen growth, and we continue -- again, it improved during the year because there was a very tough comparison in the first half because of COVID. But in the second half of the year, it continued to improve and we are seeing increased interest as well as we've come into this financial year as well.

On the savings side, without going into exact numbers of what we did, but our composition remains very similar. We are still a capital guarantee shop where we sell a ULIP and non-par together that is the largest part of our business. In the last financial -- I mean the last quarter, because of the tax issues, we did have a little bit more of pure non-par as well. And there, we had a very special product which we had co-created. And there, we were able to drive significant volume to that product which was offering the highest return in the market. And I think that headed us in March. But other than that, the general idea remains the same to sell capital guarantee, which is a unique solution that we offer in the retail insurance market.

Adarsh: Good. This is helpful. The second question is on new initiatives. When you say that our contributions are just minus 1%, it broadly means that we are now paying as much as what we were getting from the manufacturers with higher volumes which is not the case a few quarters back. So just wanted to understand, has the industry structure improving? What are you doing to change it, or the industry has come to a point where people are not paying over and above what you make, passing on more, right? So is that discipline coming in, or there's something different that you've done?

Management: I would actually say 3 things that happened. One that we have improved our overall economics simply because if you can imagine, we've been now in the market for about six quarters. I think we no longer -- the brand that Policybazaar has, the system that we have, the platform that we've been able to establish does not require us to be necessarily the most aggressive in the market.

Second thing that has helped us is the mix of having more health and life business. That obviously is a more positive business so there we are able to generate positivity.

The third thing as far as the market itself is concerned, I would say that, yes, it is somewhat more disciplined than it used to be. But there are always players who have sort of raised money and are willing to throw money around in the

market. And that is the nature of this

market, which is what I think we were trying to say earlier also that -- one quarter doesn't make a trend. I think you have to look at the market, new people come and go, and we will do what it takes to be super competitive, of course, strengthening our overall platform and stickiness with agents. And that's something that I think has played out in Q4 as well.

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Adarsh: And I'll just squeeze in one more question on the credit business when you gave the renewal kind of business. I just wanted to understand what is our -- how does the economic stack up on upfront revenues on credit vis-a-vis a more trail model? What I'm trying to understand is like if you make a 3.5%, 4% take rate in year 1, when you do it on trail, is it quite different? If you can explain what's like the tenure of those products where you're getting a trail income on credit?

Management: Without going into the specific numbers, I'll try and explain the philosophy. So we have two kinds of products where we have co-created. One is credit cards and one is personal loans.

Personal loans typically will have a lifetime of about three years average, credit card has a longer lifetime and there is a cycle, so we will also discover how exactly longer.

As I mentioned earlier, our revenue on this is over the lifetime of a product. And hence, while

the overall NPV we expect it to be higher than if we were doing only upfront business. But like we pointed out, the upfront revenue is lower, and it's a dilutive strategy and to kind of build out future revenue. But on an NPV basis, we expect it to be reasonably higher than if we were doing upfront only revenue.

Having said that, that's not the only reason we're doing this. I explained on why we are doing this to build out the expansion of the market or innovate on the product or process.

Management: It's also to build a relationship with the consumer because you can imagine, if we are connected to the payment -- if they're connected with the usage, then we can, over time, start to have some part of it or a lot of it. Let's see how it plays out. So that's part of the strategy, right.

So there is an NPV, but there is also a relationship build. You would appreciate, right, if somebody comes and takes a 10 -day loan on our platform and we transfer the customer to let's say another player for lender for 3% or 4% payout, that's not a very smart thing to do as I have got a very cheap customer acquisition. So we would rather -- that kind of a transaction easily happen on our platform. So that's what we are headed towards in some way.

Moderator: Ladies and gentlemen, we'll take the last question from the line of Madhukar Ladha from Nuvama.

Madhukar Ladha: Just some data keeping questions. You mentioned as an answer to my first question that there is a 31% growth in new business streaming. I just wanted to clarify, this is on the platform business, right?

Management: This is a core business, yes.

Madhukar Ladha: Core platform business, right. Second, can you give me the core business renewal premium for the full year FY '23?

Management : The total core business premium is broadly ₹8,000 crores, let's just say, okay? It's roughly ₹8,000 crores.

Management : ₹8,500 crores. ₹8,500 crores. About 50% is new, 50% is renewal. So it's broadly ₹4,000 crores something each.

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Madhukar Ladha: Got it. Okay. And look, did you give out some of the corporate premium for Q4 of the revenue?

Management : ₹123 crores of corporate premium.

Madhukar Ladha: Premium. Okay. Got it. And finally, just wanted to get a sense of the changed commission norms. Do we expect higher commission payouts for you guys? Are we seeing any change from the manufacturers in terms of some people getting more aggressive. Something on that will be helpful.

Management :

Yes. I would say two things. Number one, I think everyone has to come up with the Board - approved policies, people are still working on it. As far as we can tell, from our discussion so far, we don't see any change to our commission, either up or down.

It's -- see, largely, we have always wanted to link our commission to the quality of our business and the overall profitability of an insurance company. So to that extent, we are in line with what we deliver. In fact, I think, we probably deliver better profitability than most channels.

So we don't see any change. We do see a smoothening of the process. I think the process will become easier as we go through this change, this change will take time. But from our perspective, this definitely not looking in any direction. We're not looking to increase or decrease our take rates.

Management : Yes. And in general, we do not encourage higher take rates between -- greater than that usual - like 99% of the time on a platform like us it's almost impossible and not almost just us, I'm just saying a platform like us. It's almost impossible for a partner to pay more and get more business, almost impossible. Maybe you can influence your business by 10%, 15%. Bulk of it will actually come from product improvements and process improvement.

And that's what one needs to focus on. What we do, request our partners just to be fair to us and not use us for cross -optimization of other channels. And hence, to look at us on an overall combined operating ratio because I think we bring to the table better claim ratios and better persistency . So to consider that is what we request. That's just most favored nation status kind of thing or let's say not a dis -favored nation status. But other than that, we don't urge for -- I don't think for any partner higher payouts.

Management : And then just to add, I would say that we request all the difference that we can get to put it into the consumer population. So you will find that increasingly, we have differentiated propositions, and they come because of the differences in channel economics.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Yashish Dahiya for closing comments.

Yashish Dahiya: Thank you very much for attending this call and taking -- giving us opportunity to answer all those questions. And apologies once again for being slightly late and for ending this call a little later than you may have planned. Thank you so much. Bye now.

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Moderator: Thank you. Ladies and gentlemen, on behalf of PB Fintech, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

August 18, 2023

To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai – 400051

SYMBOL: POLICYBZR BSE Limited
Department of Corporate Services/ Listing
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400001

SCRIP CODE : 543390

Sub: Transcript of the Earnings Call conducted on August 08, 2023

Dear Sir/Madam,
In furtherance to our earlier communication dated August 02, 2023 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith Transcript of the Earnings Call conducted on August 08, 2023.

The transcript of Earnings Call will also be hosted on the website of the Company at <https://www.pbfinotech.in/investor-relations/>.
You are requested to kindly take the same in your records.

Yours Sincerely,
For PB Fintech Limited

Bhasker Joshi
Company Secretary & Compliance Officer

Encl.: A/a

PB FINTECH LIMITED
Q1 FY2023 -24
Earnings Call
August 08 , 2023

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Management: A very warm welcome to PB Fintech Limited Earnings Call for quarter one financial year 2023 -24. We have today Mr. Yashish Dahiya, Chairman & Group CEO, PB Fintech, Mr. Alok Bansal, Executive Vice Chairman, PB Fintech, Mr. Sarbvir Singh, Joint Group CEO, P B Fintech, Mr. Naveen Kukreja, Co-founder and CEO, Paisabazaar, Mr. Mandeep Mehta, Group CFO, PB Fintech & Ms. Rasleen Kaur, Group Head, Corporate Strategy & Investor Relations. Now I hand over the call to Mr. Yashish Dahiya.

Management: Thanks very much, Rasleen . A very good evening or morning, wh erever you're joining us from.

Policybazaar and Paisabazaar, which are jointly classified as our core online businesses , both are India's leading marketplaces for insurance and credit . For the last 5 quarters , adjusted EBITDA has kept on consistently improving by an annual run rate of about █ 200. It's actual ly a little bit more than that. And if you recollect, about 4, 5 quarters ago I had clarified that this would keep happening. We would keep increasing by about 150 crores a year. This has come out to be slightly higher. Q4 is traditionally the strongest quar ter

and this is the first time when Q1 has beaten Q4 sequentially. Out of the ₹ 516 Cr of revenue that the core business made, credit linked revenue is ₹ 134 Cr. So just to put in perspective even the insurance business alone is flat over Q4; those who follow the insurance industry would appreciate that this does not usually happen.

We're also very pleased that our core engines of value, our prime focus, health and term grew at approximately 40%. I'm very glad that after almost a period of 2 years, these primary protection engines have started to grow, and month on month we have seen increasing growth so very pleased about that.

Our total insurance premium for the quarter was ₹ 3,011 Cr. Savings has been subdued. Over the last quarter and over the last year.

Our renewal or trail revenue has an ARR of ₹ 418 Cr, which is up from ₹ 273 Cr at the same quarter last year. Just to put that in perspective again, that's about a delta of ₹ 145 Cr. And most of this comes at 85% margin. So this is a significant source of profit growth. And that is where, if you look at the 200 Cr and you look at this, it's all starts to kind of make sense.

Consolidated adjusted EBITDA was a positive 23 Cr, an improvement from minus 66 Cr the same quarter last year. That's a delta of 89 Cr for one quarter. The core online business adjusted EBITDA increased by 64 Cr.

Our CSAT continues to be at 88%. It's actually 88.4%. And it was in the last quarter with 87.9%. But I think let's just stay with 88% for now and just doing quite okay.

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Credit business continues to grow well. We now are at an annualized run rate of ₹ 16,000 Cr disbursal, and it's been adjusted EBITDA positive since December 22.

₹ 16,000 Cr disbursal and 5.8 Lac credit card issuance on an annualized basis. This is on July 23 basis. About 36.9 million consumers who have accessed the credit score platform. 75% of cards issued and 44% of unsecured lending is now happening end to end digital. This is a change. And that's what's helping Paisabazaar continuously improve its margins. 75% of disbursements are from existing customers, which is also demonstrating good repeat behaviour. The trail revenue is now at 14% of the total credit business revenue.

On new initiatives, PB Partners, which is the agent aggregator platform, continues to lead the market in scale and efficiency of operations. We have made some changes in focusing towards higher quality advisors. We are operational in 15,400 pincodes across the country, covering 80% of the pincodes. And for those of you who may have seen the numbers and got slightly worried. Just don't worry. We stay totally convinced and focused on this part of the business

and totally committed to win in it.

Our UAE business has grown 2.6x year on year.

So we have become more confident than we were when I reported to you 3 months ago about delivering first full year of being PAT positive this year.

And happy to take questions now, thank you.

Management: We'll wait for a minute. Please raise your hand post which you will be asked to unmute.

Hi, Srinath V. Please ask your question.

Srinath V: Hi Yashish. Just wanted to understand from a contribution perspective, our renewals ARRs have been growing faster than the top line, and so, as this mix change happened, one would assume that contribution margins would start going north, so wanted to understand what are the moving parts in contribution. how sticky is the pricing and performance marketing? What has been the growth in performance marketing both in Paisa and Policy? And how do you see the path to contributions margins going northwards, maybe to 47 or 48 over a period of time. If you could just help us out with that, that would be great.

Management: Sure. So let me just take the core business for a second. So talking about the core businesses, our total acquisition plus brand spend, year on year has

increased from about 152 Cr last year Q1 to 1 69 crores in the Q 1 this year. That's about an increase of 11%. Now, with this, what I'm also clarifying is that 159 crores of acquisition and brand spend last year would have been on account of new initiatives. And this year that's about 126 Cr. So that's again park that aside. So it's been about 11% increase in the acquisition marketing cost. And overall, you've seen that the revenue has grown by about 32%. So there's obviously been some efficiency gain on this front. As far as the operating costs are concerned, which is the contact center etc, that has stayed flat with respect to revenue. So when I look at the core business it's pretty much the same, so that percentage has not changed. But on the marketing side there's been further efficiency which has been gained. The renewal, of course, kept increasing as I explained. The renewal run rate this quarter at an ARR basis was about 418 Cr and last year same quarter was 273 Cr. So you're seeing somewhere around 40% ish growth in that. You will see it across the board which obviously helps us have better margins every year. And nothing changes in that. Yeah. So the renewal growth rate is a very steady growth rate over the previous year. And of course calculating it is complicated because sometimes they are multi-year policies, etc, but at the heart of it for our core businesses, renewal is between 95 to 100% on a premium basis, and we continue to have higher renewal rates than the rest of the industry. So feel good about all of that.

Srinath V : Just a quick follow up on that. So, if renewals have been doing well and our performance marketing cost has been growing slower. So how does one reconcile the fact that on YoY contribution margin has expanded just point 3 in the core business? Is Paisabazaar in the mix got to do with something in this? Just finding it difficult. So one would assume that if ARR of renewals are growing this fast, and some of the direct costs are cooling off that contribution margins would actually, move northwards.

Management: See if you look at the insurance business, the renewals are about 30, 45% of the total. And you're right. That comes at almost 85% continuing margin compared to the new business. But since it's pretty small percentage and that percentage improves, but it takes time. Every year you'll see that it's moved by a few percentage points. So if it moves 4-5 percentage points in a year, the impact will be 2, 3% out of it. So yeah, that is definitely contributing. And then, apart from that, you do have efficiency which is coming because of efficiency

in marketing and from the revenue per enquiry.

The contribution has moved from about 42% to about 45%. That's a 3 percent delta. I don't think our renewal revenue would have moved by 3% delta on the overall revenue piece. So yeah, I think what Alok is saying is, these are steady changes. They don't have a dramatic change. I think we

gave some guidance on this, that over a 4, 5 year period, you should see 5 to 10% delta coming because of these factors. But it's a slow move. And you're seeing 3% of it show up in within a year, right? 3 percentage points is very significant. Yeah, that's across both brands. Policy and Paisa.

Srinath V : Got it. Thanks. Thanks and congratulations that on the quarter on quarter numbers in the core business have surely been a pleasant surprise. Thanks a lot. I'll get back to the question queue.

Management: Thank you Srinath. Hi Pujan, please ask your question.

Pujan Shah : Yeah, Hi, sir. Just one of the booking keeping questions. The segregation of revenue, we have many verticals like insurance and the outsourcing services and third is online marketing and consulting, which is a significant share of our revenue. I just wanted to know what is included in each of these 3 things. The Insurance Commission I understand very well. I just wanted to know on the outsourcing services and online marketing and consulting. So how what type of services we provide and how we earn the revenue and how we are being like is, if we are like, is it been the annuity stream revenue, or like it's been lumpy thing just wanted to know. That's it.

Management: Sure, I will clarify one thing which is actually quite material. And you should have some clarification on that which is the advertising and promotion expenses. I'm just breaking this out so that everybody can see it very clearly. It is noted down for your interest. So of the 456 Cr of total advertising and promotion expenses that you see in March 31 quarter, 298, or almost 300 Cr was towards new initiatives. And 158 Cr was towards core business. In the current 198 crores of total advertising and promotion expenses, only 34 is towards new initiatives and 164 is towards core business. So what I wanted to explain was, and if you go back to last year of the 289 Cr in the same quarter of advertising and marketing expenses as per the statutory results, 146 was towards new initiatives and 143 Cr was towards core business. Eventually we have given a management view of things, statutory & they will both consolidate at the same level. But I think this clarity was much needed, because there is a classification change in some of the advertising and marketing expenses which were being undertaken for new initiatives, and that change is essentially appearing in what we know as other expenses. So, to give you an example, if the new initiatives, marketing and advertising promotion costs move from 146 crores to 34 crores, then clearly, there's about 90 crores of this or 80 crores of this which has moved from here into other expenses.

Pujan Shah : Hello, sir! I am talking about this specifically on the revenue segregation. What we have been presenting in the annual reports, and we have also presented in the DR HP.

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Management: Yeah, Hi, this is Mandep. So your questions regarding the segmentation of revenue. So if you look at our annual accounts, the revenue is essentially split into insurance and non-insurance revenue, and within insurance you will see commissions, rewards, and the outsourcing revenue that comes to us in insurance segment. Non-insurance segment is largely for the credit related revenue. And it used to include, all advertisements and marketing that we were able to garner in Paisabazaar. So that's the primary breakup of the segments of revenue that we have in our annual reports.

Pujan Shah : A

and my second question would be just bookkeeping would be if you look at the fourteenth page number. So renewal revenue is showing at 340 ARR and while somewhere the other way I look at it, it is showing at 418.

Management: So the 418 number that you see is the total ARR and 340 is related to the specific business, and you will see a balancing number in the later part of the presentation as well.

Pujan Shah : Okay, okay, got it. Thank you so much.

Management: Thank you. Pujan. Sachin Dixit, please ask your question.

Sachin Dixit : Hello. On the 1,000 cr guidance that we have had for some time now. Right?

So I wanted to check your confidence level there. Looks like it's easily achievable now. So do you feel that the number can be postponed, can be increased, or how does your confidence level look right now?

Management: It's the same. Yeah, nothing's changed. That everything, the same. Nothing in our mind has changed. Only for this year we are a little more confident.

But I think as far as the FY26-27 guidance is concerned. We are just as confident as we were. Nothing has changed in our business dramatically that makes us think more positively or less positively about the future, about the medium term future.

Sachin Dixit: Sure, sure, another question on the corporate insurance piece. That segment used to appear earlier. Now we do not see it in the, in the business presentations anymore. Are you like tuning it down?

Management: Nothing of that sort. ■ 222 crores of premium came from the corporate business last quarter. It's just we didn't have anything special to say. So we just didn't say it.

Sachin Dixit: And what will be the premium from PB parties business if we can ask that.

Management: So I think the total between PB partners, corporate and Dubai is about 713 Cr. And yeah, and 220 is corporate. 100 plus is Dubai.

Sachin Dixit : Understood. Looks like that PB Partners has declined very, very sharply. Is that the reading that you are getting as well?

Management: No, no, I think if you look at it from Q4 into Q1, it has declined. And YoY it is roughly at the same level on the overall business. As was said in the opening remarks, the nature of the business has changed quite dramatically. So business coming from retail agents is up 90% year on year, whereas that was coming from larger agents has gone down significantly. So it's a mix shift in the business, which makes the overall business look flat. But within that is a very steep increase in the retail business.

Sachin Dixit: Sure, and I think the reason for this mix shift is that you find the retail business to be more sticky or sustainable.

Management: Exactly. It's stickier, more sustainable, and it comes at better economics. But it's much harder to do also. That's why it's taken time to get to this point.

Sachin Dixit: Fair enough. Just one final question. The CM for new core business, if I sort of triangulate it comes down somewhere around the 15 to 20% range. Am I reading that right?

Management: Usually I would ask you to desist from focusing on new business margin, because it doesn't make sense. If health grows faster than other categories, you will see our margin decline because health on new business is a 0 margin category. If you appreciate what I see, because obviously it's a high NPV category. So I wouldn't go too much into new business margin and renewal margin. Overall there is a business margin which keeps improving as renewals keep growing, and eventually, the way we look at it internally is an NPV way. So we don't look at these businesses from new vs renewal margin. In fact, let me put it very simply, in our internal reviews, I desist our team from looking at new business margins, because sometimes that makes wrong decisions, because, as you can imagine, whenever we review health, there would

be a desire to get a big, positive margin on new business. And that actually is not a very healthy thing to do. Because obviously the NPV is way higher, and I would rather that we were at 15-20% negative margin on the first year. But we're growing much faster. But you appreciate what I'm saying right? So I think the business mix decides the margins quite a bit. But on the whole we feel good about our margins on the core business. Nothing has changed and everything seems to be on track.

What has happened this year is that our protection businesses are grown faster, and I'm quite happy about that part.

Sachin Dixit: Great congratulations, and all the best for the rest of the year. Thank you.

Management: Thank you Sachin. Madhukar, please ask the next question.

Madhukar Ladha: Hello, am I audible? Congratulations on a good set of numbers. So one data keeping question, can you share? Actually, 2, one, your credit revenues,

and second, your renewal premium number. And a third, your total premium growth seems to me a little bit on the lower side at, 24% growth. Is it? Obviously, part of it is because PoSP has not grown that much. And but even if I exclude that it's probably at about 25%, so your comments around that will be helpful.

Management: Let me give you the base data. First of all, our credit revenue is 134 Cr for the quarter. You're absolutely right on PoSP, in terms of premiums. There was minus 6% which is not significant. But it's minus 6%. Please appreciate this is a business which we can grow very rapidly and control very rapidly. And we keep doing things as we progress. And there's been a big shift in quality. It was the savings business did not grow. So if you really think about it. Savings was a little below last year, same quarter and that was a big part of the business. So new savings alone was almost as big as health and term, or even bigger at times. So I think that does play a role but, the protection businesses have kind of grown well, and you're right on the core policy business, your numbers are about right that 25% would be about the right number. And the new to renewal split across the board, since you asked that particular question, we are equally split at about 1,500 Cr, renewal, 1,500 Cr, little more towards new business about 1,600. The savings business in the first quarter was somewhat weaker than it's

been historically. So if you see, last year we've been always talking about savings being a big driver of growth. This year because of March, there was a big external event in March when the tax changes happened, because of which the entire market has been bit subdued. That impacted us as well. Other than that, I think the businesses actually continue to grow. Very well

Madhukar Ladha : Right. Thank you for the answers. I'll get back in the queue.

Management: Thank you, Madhukar. We'll take the next question from Mr. Sachin Salgaonkar. Sachin, please ask.

Sachin Salgaonkar: I thank you for the opportunity. Just following up on the question which ended. What kind of a premium growth we could look at going ahead. One gets a sense that savings is a bit muted. But clearly the businesses like health and others are doing well. So can one look that for this year 24% is more like a bottom growth. And from these levels, growth, premium should increase?

Management: I think we are very, very comfortable where we sit. We've had a tough quarter, no doubt about it, but we are very comfortable where we sit. As we review our numbers, everything seems to be surprising us positively. I think we would not like to give any kind of forward looking guidance. But I'll agree with Yashish, I think, based on where we sit we hope, and we expect that the industry will do better than it did in the first quarter, and I

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think if the industry does better than

we'll also do better is how I would put it. We are finally a function of the industry.

Sachin Salgaonkar: Got it. Second question. Just wanted to understand when I optically calculate the commission rate, on a quarter on quarter basis, it does show an improvement of 12.4% to 16.8%. I presume this is built on the back of reclassification. So on apples-to-apples basis possible to understand, how the take rate has improved?

Management: So our take rates have not changed in any material way. We have nothing much to report. There'll be some business mix change, because obviously, protection business does usually have a slightly higher take rate. But nothing material. And I also mentioned last time that sometimes there is quarter to quarter shift of 5 to 10 Cr, which is roughly 2, 3% here or there. So maybe 10 Cr here and there and look at this shifting over quarters rather than one quarter. The base answer is, no, there has not been any material shift in any of our take rates.

I think the only change in first quarter this year versus last year is the improvement in mix for the protection business. So protection is a larger portion of our mix this year. So that's why you see a small delta in the take rate.

Sachin Salgaonkar: Got it. And if you think about the renewal mix, any broad understanding of how much is between your own and PoSP?

Management: PoSP is almost insignificant as a part of renewals like last quarter. We usually don't give these numbers, but it's like meaningless. It's like a few tens of crores at most.

Sachin Salgaonkar: Okay, very clear on that. And yes, as we speak, no significant, or absolutely no updates on Bima Sugam. Right?

Management: It's a great platform. I think it'll do really, really well, it's obviously initiated by the government and by all the insurance companies we as part of the idea, we are also part of it. And we think it's a phenomenal platform. So yeah, that's where we are

Sachin Salgaonkar: Sorry. I wanted to understand from about the launch time and date, any updates.

Management: Look, I'm not the right person to comment on that. Please appreciate it's a regulated platform. It's a regulator initiated platform.

Sachin Salgaonkar: Fair point, and one last question, general thoughts on competition. We are seeing PhonePe getting a bit more aggressive into insurance. Media articles indicate Jio Financial services is also looking at that. Any broad thoughts?

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Management: So our view stays exactly the same. The second largest player in the market

is none of the names you took. We will not name them, but they are following pretty much our model. So we think our model is a good model, we are very confident of it. And of course, nobody even heard of their name but they follow exactly our model. And yeah, they're the second largest player. So, I think platforms, having almost half the country's traffic on them, are also not able to get as much volume as somebody who's almost unknown. So I think the model is very clear. This is a customer support model. Whoever has to compete eventually has to build exactly what Policybazaar has in my opinion. Because health and life insurance are like that. But I would refrain from commenting more.

I just want to add one thing to this that I think the best way to think about this is that there is a huge insurance market opportunity. One is here and now, and one is the growth in that opportunity, and I think the idea is to get more and more customers to, first come to Policybazaar, and then buy from us. So I don't think it's just a platform versus platform game. It's actually a very big market opportunity, and we are one of the players in that market opportunity. So I personally feel that one should not look at it in a narrow way, in terms of digital or something like that. It's a very broad set of people w

ho sell insurance, and we are one of them. I'll just put a little more color on this. We were talking to our agents recently. And I asked them, what is the common trait between customers who come to you? And almost all of them said that somewhere their query was initiated by an incident. That incident could be the death of a colleague, friend, family member or a big disease, or a big medical bill. So these are incidents. When that incident happens, is pretty much the only time a person thinks about purchasing one of these products, where the customer has no immediate benefit, nothing whatsoever. But when that event happens, the reality of it gets triggered to them. And they decide to buy this, and when they do that, it seems like the most trusted name out there, or the most obvious name out there seems to be Policybazaar at least from the digital search perspective. And so a bulk of them come here. And then they need a huge amount of hand holding in purchasing this product because it's not that straightforward. It's very easy to say that buy health insurance, etc., it's actually a hard product, and you have to manage 2 sides of the risk: you have to manage the information that the customer is disclosing. And you have to make sure the customer doesn't get mis-sold the product. Sometimes you almost have what you call false starts. A false start means you could get volume. But that could blow up at the other end in terms of claims ratios, and we see lots and lots of those in the industry, and that people are aware of those. So you have a lot of false starts, and for a while you could sustain a false start, but you can't sustain

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them at scale. So I'll conclude that's the kind of thought through, deep analysis of the situation here.

I will just add one more thing. Technically, anyone who is selling insurance is a competition, whether it's a bank or agent, or any platform but at a very high level, the way you need to look at industry is, is the customer thinking about insurance or not? If someone wakes up in the morning and thinks insurance, what really happens? Do they come to Policybazaar? Do they go to someone else? On the other hand, there are a lot of people who are able to sell insurance to a customer base who will not need insurance. So it's a push vs pull. From that perspective, there are people who are trying to do a bit of what we are doing. But yes, there are lots and lots of people in India. Banks or agents selling insurance got huge amount of volumes. So from competition perspective, technically, everybody is a competition. But our overall effort for last so many years has been to make the customer aware that you need to have insurance in the core part of the financial planning. Second, once you think of insurance, come to Policybazaar. And third, once you come to buy you buy through Policybazaar. Now we have a lot of people have a brand recall of Policybazaar.

Thank you, Sachin. Next question from Mr. Yash Gandhi. Can you please ask the question?

Hi, Yash, we can't hear you

Okay. We'll move to the next person. Ankush, please ask your question.

Ankush Agrawal: Yeah. Hi, thank you for taking my question. Just a small clarification. We have taken board approvals for some infusion of capital, and both policy as well as paisa. So can you clarify what's the reason for this specifically, because now the subsidiary are profitable so they should be throwing cash back to the holding company rather than infusing cash? So any specific reason?

Management: If you look at our RHP, we have clarified that this money is raised for specific objectives. Those objectives are delivered through our subsidies, and to enable spend and allocation of funds. As per the plan, every year we transfer money to those subsidiaries which will be in line for the objective mentioned in IPO.

Accordingly, we are transferring about 700 Cr to policy and 200 Cr to Paisa and to Dubai. This will be transferred over a period of time, as and when the funds are required.

Ankush Agrawal: The capital requirements right <inaudible>

Management: As a group, right now we are generating cash. We hope to generate cash of almost 400 Cr this year.

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Ankush Agrawal: Thank you.

Management: Thank you. Next question will be from Mr. Rishabh Parekh. Rishabh, please ask your question.

Rishabh Parekh: Hi guys congratulations on a very strong quarter. I just had a similar question to the last question. We're generating 400 Cr this year. What would be the overall use of our proceeds? Have we thought through this further? Some clarity on how we will deploy the cash.

Management: The proceeds are being utilized as per the RHP. However, you are absolutely right. We have about 5,000 Cr of cash on our books right now, and we are adding to it every quarter. So yes, my expectation is that by FY26-27 we should have maybe close to 7,000 Cr or so of cash, which is an interesting dynamic and we need to think about utilization of these proceeds. So we will, with the Board, deliberate beyond March 24 what we do with these funds, but we have no specific plans, as of now in terms of usage of that excess capital at this point. We don't have anything to report on that. We do have ideas. But they are not mature enough to be disclosed as a public company. They are just management ideas as of now. We've not gone to the board with them. But it's unlikely to be acquisitions, just clarifying, very unlikely to be any major acquisitions.

Rishabh Parekh: Yeah, yeah. Understood. Thank you.

Management: Thank you, Rishabh. We'll take the next question from Bhavya Sanghvi. Please unmute yourself.

Bhavya Sanghvi: Hello! Thank you for the opportunity, sir.

My question is related to the physical expansion, the store expansion that the company is doing. So it's been some time that the stores have actually been developed. Wanted to understand if they are improving the metrics, basically premium per inquiry fulfilled through the physical store where the inquiries online or the walk-ins. So how is the size of the policies or premium per policy different from the online business? And do you see material improvement or deterioration in the margins from the business done through these stores. Thank you.

Management: So our physical business has almost 1,000 people deployed on that. We sell life insurance and health insurance where we offer to meet consumers in their homes and offices. Since it's something that we started about 18 months ago, it continues to improve in terms of the productivity. Just to give you a sense in our savings business ticket size. When you meet, somebody is almost 45 to 50 higher than it is on the phone. In health and term, it is higher, but by a smaller amount, because, as you can imagine, things don't

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change that much for the family or for the person, whether you meet them or you don't. So I think, overall it has added to our conversion rates. It has

added to our efficiency and productivity, and it continues to do that quarter after quarter. And we are very, very happy, and we are adding to our capacity as we go along. So this year we will add to that capacity. We'll open new cities as well as new locations where we'd be present. So I think, this is now a leg that is there, and I think it will continue to grow in importance as we go along.

Thank you. Yash was not able to speak because his mic is not working. So I'm reading out his question, which he sent to us on the chat.

Yash Gandhi: Question number one : any impact on take rates due to EoM and any guidance on that going ahead.

Management: So, as we said, the EoM has come into play

as of first of April this year. And

we have not seen any impact from it in any of our product lines on the overall take rates of our business, and we don't expect to, either.

Yash Gandhi: The second question is, what percentage of PoSP business was retail versus corporate last year. And where are we this year?

I wouldn't want to go into exact specifics. But, as I explained, our retail business is now a very significant portion of our overall business, and last year it wasn't. I think we'd like to leave it at that. It's a competitive market, and I think this is a bit of detail which we can avoid.

Yash Gandhi: The third question is contribution margins are at 45%, despite annualized run rate going higher. And this quarter savings was also subdued. Any comments on the same?

Management: I think savings being subdued, hopefully, it was a quarter matter. By the time the year is over, we may have a different story to tell. Margin at 45% is what we would have expected if you asked us. But if you had asked us last year what we think our margins would be about now, it would have been in the similar ballpark. So yeah, I think no, no surprises at all. It's as I said, a pretty boring business. I would just say that 300 basis points improvement year on year is a significant improvement.

Thank you Yash. Next set of questions will be from Sanskar Singhal. Please ask your question.

Sanskar Singhal: Yeah. Hi, I'm audible. Thanks for taking my question. So just have a curiosity question like, what percentage of premium must be coming from the offline segment that we ventured into the non PoSP business.

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Management: Roughly, 20% of our life and health fresh premium comes from our offline, from our offline visit capability.

Sanskar Singhal: This is the non -PoSP one. Right?

Management: Yes, absolutely. We're not talking of PoSP. We're talking of our core online business. So if in life and health, we do \$100 of fresh premium, \$20 comes from the FoS (Feet on street) capability that's available. Closure happens or the last meeting happens offline. The customer still comes online to the website or app. And he's probably spent a lot of time talking to the person in the contact center. And later somebody also meets.

Sanskar Singhal: Yeah, got it and also another medium term to long term question like I know it's been repeated in the past. But just to get more clarity. What are the main drivers of medium term or long term growth, and how you are you planning to outgrow and how much? In what sense? The industry? And within that if you can shed some color on the segmental growth of each of the products that we provide.

Management: So see, there are 2 parts : one is the revenue growth, and the other is the EBITDA growth. On the revenue growth, we're not decoupled from the industry, but the way we have been executing over the last many years, we believe that we should be able to grow 2 to 3X in life and health. And that's been sort of a guidance we have been maintaining for some time now. If the industry grows at 10 to 15 %, that automatically means that we are looking at a number closer to 30% growth for life and health put together. On the EBITDA part, it is actually quite a simple business to understand. There are 3 operating and 2 non -operating pieces that you will need to just track. On the operating piece, there is fresh / new whatever you want to call it, the core business growth on the new side. The second is the renewal growth on the core side. The third is the new initiatives, and how much we want to invest

in those initiatives. Then, on the non-operating side, there is ESOP charges and other income. Now, if you just think through renewals, ESOP and other income are almost automatic. They just happen because of the base. And that sort of explains 80% of the delta from last year.

or full year EBITDA to what

we are projecting for this year or, in FY27. But you just need to have clarity around these 5 pieces on how they move, which will just explain the whole EBITDA story.

And what we notice is, as Alok mentioned, and I think I mentioned in the last call as well, Tapan Singhal sir, from Bajaj Allianz said it very well to me once. He said, the industry always grows together. It is not like one player will grow, and the rest of the industry will go into the dumps. That never happens usually. You may have player to player shift a little bit. And so that's what we've noticed. Last year was a tough year for protection. And so we

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also struggled. This year protection is somewhat coming back. Although health growth is still somewhat complicated for the industry, for us, we are definitely seeing the benefit of being 2 to 3 x of that growth rate. And this year broadly, except for certain push channels, savings has been a bit challenged. So for us, also, savings is being a bit challenged. So it's not like we can decouple from the rest of the industry. But yes, we will in most situations get better growth than the industry. And keep taking market share. We're still a very small market share. And plus the area we focusing will hopefully grow faster than the rest of the industry, because protection is what we are focusing on. Thus health and term, we expect to grow on a long term basis faster than the rest of the industry.

Sanskar Singhal: Additionally, actually I might have joined the call a bit later. I'm not sure if you have repeated, what about the headwinds you might have faced in the PoSP business in this quarter.

Management: I think the guidance we've given is on new initiatives. We will spend somewhere between 150 to 250 Cr every year. That's the broad range we'll be in. At some point, we will reduce it. Beyond that, it's not too material to get into exactly what is happening in one particular quarter. I'll give you a very simple example. If you think about cycling races, sometimes, and if you, if you think about all of them, they are almost all decided at the last one kilometer. And the person who's leading the race almost to the end is the one who actually loses. So, just reducing volume or increasing volume actually in the PoSP business does not mean too much. As you saw, last year, there was almost 600, 700% growth, or maybe even 1,000 growth over the previous year. This year you will see maybe 10% plus 10% minus. Next quarter you may be surprised. Even we might be surprised, because we will keep changing our track from quarter to quarter on this. And that is the competitive nature of the dynamic here. Now the question is, you may trust us, or you may not trust us. If you trust us, you will believe eventually we'll win. If you don't trust us, you can believe we will actually lose. Either way, it's not a very material outcome to the overall organization. And that's, I think, the point you have to take home, because, the core business profitability will grow enough to dwarf any profit or loss coming from new initiatives. Just give us a bit of time, I think. You will. You will see that happen.

Sanskar Singhal: Okay, okay, thank you so much.

Management: Thank you. We'll take the next question from Nidhesh Jain.

Nidhesh Jain: Can you break up the EBITDA for Policybazaar and Paisabazaar for the quarter?

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Management: We don't break up EBITDA for the quarter by kind of business lines that way. But overall the core business has made about 69 Cr of adjusted EBITDA. A bulk of it would be insurance, and a small amount would be credit.

Nidhesh Jain: Okay, sure. And secondly, what is the growth in the new business, is a new premium health insurance side, because I think health insurance is the most

important piece of business for us

Management: Nidhesh, we have mentioned that somewhere between 2 x of the industry growth rate. We've given enough guidance with protection being at whatever rate, it's not extremely different from protection element. It's not like term is growing at 80% and health is growing at 0. So, if we said about 40, they are in the same.

Nidhesh Jain : That NPV cost ratio that we have been talking about. How that is trending Management: That stays at the same at about 2.8x. As of now. NPV. But but again, that's an internal calculation. So broadly our NPV to direct cost ratio is about 2.8. So that includes the acquisition marketing group. We hope to take it to 3x at some point in the future. That's the objective. So the target is 3x.

Thank you. Nidhesh, we'll take the next question from Sahej Mittal. Please unmute yourself.

Sahej Mittal : Yeah. Hi, team congratulations on a good set of numbers. Hopping back on on the PoSP business. Just one clarification. So if I look at the contribution margins, the margins have been quite volatile in this business, so I mean, when you are doing this PoSP business, what is your objective of doing this business because end of the day, if you look at from located from 3 to 4 year your point of view, where do you see the contribution margins trending? Because the delta can be huge, right from minus 10% to even point 5 -1% contribution, positive contribution margin. The delta to our profits can be huge. That is one. And the second one is on the renewals business. I mean, why would the PoSP business not have any renewals? Generally that is how your contribution margins tend to improve right on the renewals business?

Management: So I will take the second one first, the PoSP business will have renewals. It's just that, because it was a new business for us, the renewals will come over a period of time. Secondly, the renewal rates in the PoSP business tend to be much lower than the renewal rates in the direct online business. There will be rollover. So those people will move to buying fresh policies of other companies. That is the nature of that business.

In terms of the first question, at least the way we look at it, last quarter where you're referring towards, plus one, and this quarter overall is minus 10, right for all the 3 businesses put together. To my mind it's not such a big

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change. I think these are corridors of how businesses operate. Last quarter, fourth quarter, was very special in terms of the life business being a very, very large portion of the overall pie, etc. So I think it's in a very good range, and if you see, it's consistently moving in the right direction when you look at it year on year, and even sort of sequentially. I think the reason to do the business is very, very clear. I think, there's a large portion of the business that is done by agents in the country that will always remain there. Agents need an efficient platform from which they can serve their customers. I think that is the platform that we have built, that we are building, and as our platform becomes more and more sophisticated and more advanced, I think the economics will also keep improving. And you will see that the numbers will go in the right direction. But it's something that one need not move too quickly on, because the shape of the business should be correct. We are happy to invest in that business for the next few years, as Yashish and Alok have said, 150 to 250 crores a year on the outside is what we are willing to do. And I think in that we'll be able to build a very, very nice business, and you'll see that as we go along.

See our fixed costs in that business in the whole PoSP business, are broadly about, let's say 35 to 40 Cr quarter. That's the fixed cost of technology product, manpower, etc., etc. After this, essentially, what you have is payouts. We are

re figuring out quality. We are figuring out things. You would expect someone like us to be fairly mature about how to play this out and at the same time play to win. And there will be moments of weakness and moments of strength and various things. What you will find is as we build out our overall volume in this area, it will not have a material impact on profitability either way. Either way. It can't be more than 10% of our profits or losses either way in FY 26-27, both ways. It's not going to be a material

impact. It gives us huge volume credibility though. There is physical distribution, which is a big part of the industry and enabling it through technology is going to be a big win point. The final winners will be the ones who are able to get the technology right. But also the data right. And all the analytics right. We have a huge amount of experience and a huge amount of understanding of this. It will also require operating profit strength, which our core business provides. I imagine if you did not have the core business and you are running only the PoSP. Then that question which you're asking would be quite valid. That's why exactly are you doing that? Especially when there is somebody there who can support this PoSP business for a very long period through core business profits. I think these are cycles. Yeah. And for us, we have to just wait out the cycle. And that's it.

Sahej Mittal : Got it. Thanks for the detailed answer, I mean, just one on the GST issue, which is floating around in the insurance industry. Obviously, we haven't

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provided for any of those liabilities. But do we anticipate a big amount hitting our P &L, if in case hypothetically, it comes through

Management: We have provided all information or clarifications which have been asked by the authority relating to various discussions they are having with insurers, within the insurance industry. We haven't heard from the authorities after that. We are not expecting any hit, any significant hit on us as of now. And let's see how it evolves, because the issue is complex for the industry.

Sahej Mittal : Got it. Thanks for answering these questions and all the best.

Management: Thank you Sahej. We will take the last question from Nischint Chawathe. Please unmute yourself.

Nischint Chawathe : My question actually pertains to Paisabazaar. We've kind of crossed almost like 1,000 Cr of disbursements a month and revenue will probably be around 40-50 Cr. So just trying to understand what is the point in which we sort of see the J-curve of profitability.

Management: Nischint, thanks for asking. We are at about 1,300 plus crores of disbursement like you said. We're starting to see the profitability improvement. Like we mentioned, this is the 8 month now that we are profitable since December 2022. Our focus is to continue to now increase the EBITDA to revenue ratio. We would be operating at about 7%+ already, and you will continue to see improvement in that metric, and hence the curve is moving in the right direction and that also is evident in the fact that when you see the contribution margin QoQ staying broadly in the 40 to 45% range. As we grow the top line by about 50 odd percent or plus. So, in terms of absolute amount, if we are generating 45% or so margin, a reasonable part of that starts to add to the profitability.

Nischint Chawathe : So what size of revenue or disbursement per month, do we really need to achieve the optimal? Maybe 30-35% EBITDA margin. I mean 2 years away assuming that we are able to maintain this.

Management: We don't want to talk about that kind of far out in terms of the projections. But like I said, we reached 0% in terms of break even in December. We already are about 7%. And we have an internal plan to keep moving forward on the margins and with the growth of top line then

the absolute numbers start to look attractive enough. I'd say that our first goal would be to hit, get towards 20% in a reasonable timeframe. And once we get there, of course, we'll talk about the 20 to 30% jump. You move from -13% to very near to double digit right now in last one year. But that's a very big change which has happened. And then we mentioned the contribution margin very healthy at about 40%. So, as the business grows, a lot of it will slow down, fixed cost as a % of revenue.

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Just to give a bit of color on this, last year our renewal revenue was approximately 20 something crores. This year, our expectation is maybe 4 times that. So now what you're seeing is a 75 Cr delta within one year. And Paisa has, since the very beginning, been always a strategic question mark

and an operational positive surprise. For the last 8-9 years, it just keeps executing and keeps doing better. So I expect the same. Obviously 2021 was a special year when we had Covid and of course credit had a difficult time. We are also exploring if we can get a higher share of the revenue, because today, besides operating at a certain percentage which I believe, could potentially be higher. So I see lots of potential upsides on the Paisabazaar side. Let's wait it out. I think it's going to be the positive surprise on that 1,000 Cr number.

That was the last question for the call. I now request Alok for closing remarks.

Thanks everyone for joining the call. It was wonderful to have you here. We are now taking investor & analyst meetings from now till the end of the quarter. So please do reach out in case you have any queries. We will be happy to answer them.

Thank you.

Call: Nov 2023

November 14 , 2023

To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
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Bandra (East), Mumbai – 400051

SYMBOL: POLICYBZR BSE Limited
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Dalal Street, Fort,
Mumbai – 400001

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Sub: Transcript of the Earnings Call conducted on November 06 , 2023

Dear Sir/Madam,

In furtherance to our earlier communication dated October 30 , 2023 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith Transcript of the Earnings Call conducted on November 06 , 2023.

The transcript of Earnings Call will also be hosted on the website of the Company at <https://www.pbfinotech.in/investor-relations/> .

You are requested to kindly take the same in your records.

Yours Sincerely,
For PB Fintech Limited

Bhasker Joshi
Company Secretary & Compliance Officer

Encl.: A/a

PB FINTECH LIMITED
Q2 FY2023 -24
Earnings Call
November 06 , 2023

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Management : A very good morning to everybody. Welcome to the earnings call for PB Fintech Limited Q2 FY 2023-2024 . We have with us today ,
Mr. Yashish Dahiya (Chairman & CEO , PB Fintech)
Mr. Alok B ansal (Executive Vice Chairman , PB Fintech)
Mr. Sarbvir Singh (Joint CEO , PB Fintech)
Mr. Naveen Kukreja (Co-Founder, and CEO P aisabazaar)
Mr. Mandeep Mehta (Group CFO, PB Fintech)
Ms. Rasleen Kaur (Group Head, Corporate Strategy & Investor Relations , PB Fintech)

May I please now request Yashish to start with the address.

Yashish Dahiya : Thanks, Rasleen . Good morning, everyone . Before I get into the numbers , I just wanted to

say, I'm very thankful to the entire team. This is the first quarter since we went public that I'm actually happy with the results. And it's a very clear reason why I'm happy with the results. It's because for me, the priority 1 is always core business growth. Priority 2 is EBITDA and priority 3 is non core businesses. And within core growth, if I was to call something priority 0, that would be the growth of our health and term business, which accounts for more than 3 quarters of the value of this company. So obviously, I will feel very pleased when those have on accumulative basis, grown at 53%. And before we get deeper, I just wanted to clarify one thing which I don't think gets picked up very quickly. When health grows, we actually lose on Ebitda for the first year and that is very simple, because health on the first year business is almost a 0 margin business. So if health last year, (I'm just making these numbers up) was X percentage of our total business. And this year it is x plus 2%. That's the delta is 2. There is a very clear 1% loss of EBITDA that happens because of that. But it's something we're very happy about, because it obviously comes back in the net present value in a very big way in the future renewal streams.

Now I'll get to the numbers. And so this first part was the unprepared part of my speech. The rest of it is fairly prepared part.

Our online marketplaces Policybazaar and Paisabazaar, which we refer to as core business improved their adjusted EBITDA by ₹66 Cr year on year for this quarter. If you remember, we had guided about 6 quarters ago for this number to be between ₹150 to 200 Cr. We are quite pleased in the last 6 quarters. This is running at about ₹225 Cr, so clearly that ₹150 to 200 Cr was a conservative estimate. As I said, we're very pleased with our health and term business growth which has been the highest since we went public. The total insurance premium for the quarter is now reaching an ARR of ₹14,000 Cr. So it's roughly ₹3,500 Cr for the quarter.

Of our total revenue for online business, credit continues to be about 25% of the total revenue. Our renewal trail, which is the other area which leads to a lot of profit is now up to ₹436 Cr of ARR, up from 294 last year. And that operates at about 85% margin, and is a significant source of profit growth today. And in the future.

We maintain a CSAT of 88% and continue to improve our claims support, and customer onboarding services.

The credit business continues to grow very well, and has been adjusted EBITDA positive since December 22. We are now at an annualized run rate of ₹16,500 Cr disbursal, and about 6 lac credit cards issued on an annual basis. About 39 million customers have access to the credit score on our platform. 75% of the cards are processed end-to-end digitally, and more than 75% of disbursements are from existing customers.

We continue to strengthen our leadership in new initiatives while building further efficiencies. Pb Partners, our agent aggregator platform, continues to lead the market in scale and efficiency of operations. We have moved this business increasingly towards smaller and higher quality advisors. The quality aspect has

s started to really play. It has the highest proportion of non-motor business and is present in 16.3 k PIN codes, covering 85% of the PIN codes in India. We are ever more so convinced about this business than we've been in the past. Clearly our conviction is growing on this business.

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Our UAE premium has grown about 2.5x in since the last year.

Overall on the Consolidated results, the revenue was at about ₹812 crores, and our adjusted ebitda was ₹13 crores. The PAT loss for the quarter was 21 crores. And the PAT for H1 increased by ₹358 Cr to minus 33 crores.

We stay confident of delivering the first full year of positive PAT. That's pretty obvious, because, H2 is always stronger than H1. And I'm extremely confident that this should be our last quarter of losses. So next quarter will hopefully have profits. Happy to take questions now.

Management: Hi, we'll take a minute for questions to gather. If you have a question, please raise your hand and we will request you to unmute.

Management: Hi, Sachin! Please go ahead with your question.

Salgaonkar, Sachin: Hi, this is Sachin from Bank of America. Rasleen, can you hear me?

Management : Yes. Very well, Sachin, please go ahead .

Salgaonkar, Sachin: I have 3 questions. Hi, Yashish your first question, just tying up to the first statement what you mentioned about. You know the growth coming from health . So wanted to understand. You know, in that context, you know the quarter which just passed. And I know you guys don't give a mix between them, you know. Let's say health. And you know, motor. And you know, other insurance. But wanted to get a context in terms of direction. Have you seen more contribution coming from health? And is that something which is, you know, leading to an incremental growth. And you know, of course, a related question is, we did see Ope x increase on a Q oq basis. So is it the normal seasonality, or any one of f. You indicated the first year of health has suppression on margins.

Management : First question is that health, as a proportion of our total business is growing both in terms of new and renewal. Renewal, of course, will happen every quarter because of the cumulative nature of the the revenue. So I think as Yashish explained right upfront , there are 2 things that have happened. One is that health has grown as a proportion of our revenue. So that comes at in the first year comes a t 0 contribution. So that impacts our margin. I think if you look at it on a Npv basis, it's very, very positive. But in that one, in that particular time period it looks worse off. And the second thing is that between Q1 and Q2, we had we spent little bit more money on the marketing side on the brand marketing side. Because, you know, the first quarter is relatively low period in the industry. So we spend less in Q1, we spend our normal amount that we would spend. So because of w hich, you know, you will see a little bit of impact.

And I think the third point, which is there is that typically in, we start building our call center and our feet on street strength for the second half, because the second half is a bigger period. So you have to start investing in that. So that also account s for a little bit of the opex that you referred

Salgaonkar, Sachin: Got it very clear. And can you give a little bit more color on the reclassification? We did see other expenses increase on a Q oQ b asis. See an increase from 1.3 billion going to 2. I do think there's a bit of a reclassification, and that's wanted to get bit more clarity on.

Management : That would be some reclassification, etc. EOM does allow for a lot more reclassification.

Salgaonka r, Sachin: Okay, got it . Second question is on NPA rise in the unsecured lending , so wanted to get some context in terms of you know. Where are we in terms of, you know? Npa for you know.

Management : When y

ou look at any data from, you know trusted sources like bureau, or we have access to data through partners at an overall level, the N PA levels remain well within control . Certain sub segment that's been talked about a lot especially in media, is the under , sub-50k loan segment. Which for context, for industry is, I think, less than 1% with this point 5 or something around that number . For us, also, just to give the context, the sub 50 K segment would be about 5% or so of our loan dis bursals, so the re might be

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pockets of concern on NPAs in that parti cular segment. But a) that's a smaller segment, and b) we are confident we work very closely with the partners we work with and the specific partners we're working with, seem to be confident on that particular segment on their ability to get the right risk adjusted margins out of it.

So basically, I think the issue is more at the smaller ticket items, which is much smaller part of Paisabazar than the broad e -commerce category.

Salgaonkar, Sachin: Got it so in a very simplistic manner, we should not see any impact on group / Paisabazaar.

And last question. On the reinsurance business, you know. How do you guys look at the opportunity? And let's say, at some point in future, you guys decide to enter, what kind of investmen t should we look at this?

Managemen t: So let's be clear, because this is a question that's been getting raised. You know, and we have limited ability to speak on it, because, please appreciate it's again a regulated matter, and we are having, you know, those conversations . But how do we think about it? We see ourselves as the data house . We have a lot of data. We have a lot of customer information , basis which, we believe reinsurance companies can do finer pricing. But we see ourselves as a holder of that information , as a holder of that data. And maybe in some way the process control side.

We do not see ourselves as a provider of capital. I do not think, you know the money we have in our bank is best served, being as a re -insurance capital for the industry . That is not our intent. And no, I wanna be crystal clear about us. So when you think about us, think about us like a reinsurance broker. Do not think

of us as a reinsurance company. What shape structure it comes out in and please appreciate being the regulated entity. Appreciate our inability to be more clear than this. thanks.

Management : Okay, thank you. Sachin. Next question will be from Ankush Agrawal.

Ankush Agrawal: Yeah. Hi, thank you for taking my question . Firstly, again, on the fixed or the indirect cost base for the core business. I think at the start of the year you had guided that you, when you expect sequential 8 to 10% increase, and that should remain flat ish for the remaining part of the year. But we have seen a much larger jump. So since you have highlighted that you spent a little more on the branding part. So is there anything else that you wanna highlight that has led to this growth?

Management : No, it's largely the brand side here. So when I look at the different items I think this this last quarter, we would have spent a little more on a brand and customer acquisition than before. But you know, those are normal changes. Apr was the month we didn't spend too much on the brand . in the past spent we spent on the IPL. these sort of investments, when you do with any particular property, are more lumpy in nature . So any particular quarter , if you want to do any such property, whether it's IPL, world cup, bigboss it will be lumpy. But for the full year , we will be very well, within the number that we had anticipated. How much we wanted to spend on the brand for both the brand both policy and paisa. You know I would, I would say, on these things like brand cost, etcetera. Don't look at us quarter on quarter, because they can be very significant shifts from one

quarter to the other. But on an annual basis it should stay exactly as we said. We don't see any major change in our philosophy on how we think about branding or cost of acquisition.

Ankush Agrawal: Okay . Got it. Secondly, on the contribution margins for the core business. So from last many quarters , it has stayed relatively flat at 44 -45% even though the share of you know the renewals is kept on increasing, and even the underlying efficiency as guided by, say, the new insurance premium per enquiry per month has increased. But this number is not increasing. So 1 point you highlighted that, you know. Obviously the contribution of health is increasing, which, obviously comes at a lower margin. But is there anything else that is keeping this number subdued and not expanding it.

Management : No yeah, not really. I think. If you know, I wanna kind of say this right that , in health , the Npv, when you calculate , it is significantly higher than the first year revenue, because it's a lifetime payout product. And that is where , when we talk about the renewal revenue, a bulk of that is actually coming from health. So it boards very well to have fresh health growth right? And of course, for fresh health growth ,

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the cost of acquisition including marketing, including operating costs etcetera, is very similar to first year revenue. So instead of getting a 46% margin as we usually get , on that part you'll be getting a 0% margin, right? So obviously, that part grows that will have a impact. But it's a very happy impact. You know, this is not an impact to be said about , it's an impact to celebrate.

Ankush Agrawal: I was just trying to understand if there anything else that is keeping it, nothing else . got it. That was very helpful. Thank you.

Management : See, at the ebitda level there are basically 2 things. One is the brand cost from last quarter being 30 crores higher between on the on the core business. and very rightly, some of the right reasons. But it it just seems higher, because q1 was lower and q2 is higher. And the second is this health growth, which, in our opinion, causes about a 1% dampening on the margin simply because health as a percentage of the overall business has grown. and that that has the short term negative, but a long term, beautiful position. So if anything, th is actually makes us happier as well as we look at FY27 results.

Ankush Agrawal: Great. Thank you.

Management : Thank you, Ankush . Next question you will be from Madhukar.

Madhukar Ladha: Morning. Thank you for the opportunity . couple of questions. I'm not sure whether you covered this. But have you given your credit revenues for the quarter?

Management : It's a 154 Cr.

Madhukar Ladha: and posp revenue and premium, both, if that is possible for you

Management : the new initiative revenue is about the 215 Cr and a bulk of that would be Posp, so I would

say 80 90 could be Posp.

Madhukar Ladha: Got it. and are the renewal premiums of for the quarter?

Management : about 1,500 crores.

Madhukar Ladha: Got it . Also on the contribution margin for the new for the new initiatives. That's also been slightly on the lower side. So is that more to do with the growth in Posp and last last quarter you had mentioned that you were sort of consolidating that business and not going to the aggregator. Large agents. but it seems that the growth has been pretty good even in Posp. So so what has happened? Has there been any change ?

Management : I'll explain before I hand over to Sarbvir. the growth was always there. So if you look at the posp part, it has 2 parts of the business right? And one is the Large Consolidated business and one is the small agents or the or the actual what posp was meant to be right. And our growth on the agent side was actually very strong all along.

Management : It is just that we were calling the large the, you know, consolidation kind of business. And now all that's happening is that the small agent part is becoming a bigger and bigger part of the piece. so that automatically lends to higher growth in some ways. And again, it's competitive , the dynamic area we are. I can only make one statement. Eventually we will win in this.

Management : and we know what's going on in the market very well.

Management : I think posp business is fairly misunderstood by the overall market . a lot of it is commercial vehicles.

Management : you know there is. so it's you. If you if you just drive on the roads. You would see that there lots of commercial vehicles out there, right compared to how many private cars are there.

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Management : and those also need to be insured, whether they are school buses, trucks, etcetera, etcetera. A bulk of that business comes through the posp network.

Management : And so it's very different from what we would normally assume. You would. And that's precisely why we never really saw any competition on the core policy business from the posp side.

Management : Because that business is just a different nature of business. So it's it's interesting. We are getting fairly deep and increasingly, very , very convinced on that business, and I think we're not guiding anything yet. But if you were to look forward profitability should be hit in that business much sooner than we originally anticipated.

Madhukar Ladha: Got it . And just one final question, see? You know, I understand that. Right now. You just sort of described that because of the you could call it new business drag on health the first year margins are impacted. Don't we see the same on the term side, or or you know, or the other term premium.

Management : Not really. See, you have to appreciate life insurance is largely a upfront payment business. And general insurance is a continuous payment business.

Management : So in life insurance, you will typically get X percentage in first year and you will get X by 10 percentage in the second year. and then you will get for a few years, and after some years it will just trail off to very, very small numbers, although at our scale they do contribute. On the general insurance side you get paid every year, because every year is effectively a fresh, technically a fresh policy, right every year or 2 years or 3 years, whenever the policy comes up for renewal, it's actually a fresh policy, and that implies you get paid every year. So obviously, you get paid a certain at in health. The premiums keep increasing, and the renewal rates are very strong in motor too. The car like you would appreciate right. A car dies much earlier than a person dies in general because the car has got lower life lifetime, and it gets older as it gets older the insurance premium keeps going down, whereas in health insurance, as people get older, the premiums keep going up. So health is a very special business in that respect, where, the lifetime is far more important than the first year

Madhukar Ladha : understood. This is very clear. Thanks a lot. I'll come back in the queue if I have more

questions. Thanks.

Management : Thank you, Madhukar . We take the next question from Rajamohan.

Rajamohan Vaikuntaraman: yeah. Am I audible?

Management : Yes, please go ahead.

Rajamohan Vaikuntaraman: Yeah, thank you for the opportunity and congratulations on the business growth. especially your explanation on the health growth this quarter and the initial negative impact on ebitda. I was, broadly looking at a longer term kind of picture. In one of your conversations you have indicated, the growth being a priority for Pb till it reaches a critically large size. You also expressed worry about reaching super profitability before reaching that size. What would that size be? Considering the market we are addressing before you are com

fortable to reach super profitability. which will anyway happens happen incidentally, currently, all right, 14,000 odd crores of premium. So from that basis, I wanted to understand.

Management : You also see, as far as I can see my own communication has been extremely consistent. Both internally and externally. For us, Priority 1 is always for business growth. Priority 2 is a better ebitda . And when I when I say priority one and priority 2 to me , those 2 are, I would say, 70 :30, or maybe 80 : 20 in ratio. Priority 0, if I was to call one, is health and term growth.

Management : Because our core business is protection, and our core mission is to have more and more protection.

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Management : So that is the way we look at it now. All new initiatives were historically what I would call priority 3. for me their growth, their ebitda , because in the very, very long term they become immaterial. There they support our core business phenomenally, but in the very long term they become immaterial compared to the core business. Right? And that's the thought process, although I must say I'm changing, I'm getting more and more convinced. And I must thank Sarbvir for his consistent focus on the new initiatives while building the core business. That, I'm getting more and more convinced about the new initiatives.

Management : And whether it's on the corporate side we have got now a 3 to 5 year plan very clear what direction we are headed in . so corporate is no longer a question mark for us.

Management : And whether it is the posp. It is no longer that we are here from a defensive position and etc., etc. We think it's a great business. and we think we have a very clear reason and an opportunity. We have a great team, and we have very clear opportunity and reason to win this business. There's a lot going on in the market. We think they are half truths and half lies in the market, and I think it's a beautiful time, and I think as time progresses, things will unravel beautifully , like in our favor. So yeah.

Rajamohan Vaikuntaraman: yeah, so objectively, like, say, currently, from 14,000 odd crores of premium.

Management: Yeah, we don't have a number. So you know, that's like, that's that's what you should never ask like, what number will you be satisfied with. There is no particular number at which we say, Okay, we don't want to grow anymore. We don't think that way.

Rajamohan Vaikuntaraman: So you have a long run way to growth indirectly, anyway. So final question, you're normally grown to 2 to 3 x industry based on your current position and based on the previous answer you gave in which you indicated to a 3 to 5 year Kind of plan. Would you see this kind of 2 to 3 x kind of growth continuing over the next.

Management : Historically, I've been unhappy about our growth. I thought we should have grown more than we grew in the past . right now. I'm extremely excited about our growth. I think. Last quarter we've grown a little more than we should have grown I think. But these things get sort of standardized over. I don't think you should start assuming that health and term will keep growing at 53 forever. We've always did about 35, 30, 35%, and that is where we continue to deliver performance.

Rajamohan Vaikuntaraman: Thank you. And best wishes. Thank you.

Management : Thank you. Everyone.

Management : Sachin for the next question , please unmute yourself.

Sachin Dixit: Yea h. Hi team , congrats on the great results . quickly on the renewal side, right so it looks like the renewal rates are now hovering around the 75 80% order range. And I do understand some of it might be coming because, health was a major sort of chunk that was sold in the last couple of years. Where do you think these can Flat line, I think? Base? Where do we see these numbers in terms of renewal rates.

Management : So I just wanted to give you guys some comfort before we answer this question.

Management : sort of where I and the whole team did a massive deep dive into renewals and so

Management : I don't see any issues . We came out very happy with the with the overall view as part of the next few years is concerned.

Management : Now, one part I must explain , which I don't want to get into the details in this call, because it's gonna be complicated to kind of explain.

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Management : there are single year policies, 2 year policies and 3 year policies. 3 year policies renew one. Obviously they will renew once in 3 years, and 2 years. One will renew when you look at them over 1 year, 2 year period.

Management : There is no difference in the renewal rates. And actually, the 3 year policies actually do better somewhat . so You will see if you look at annual rates . When you look at quarterly rates you will see some gaps coming in. That could just be because in one year we may have a higher proportion of 3 year policies. So this year that proportion of 3 year policies is much than what it was last year. So that's the other part. Which is the reason I'm over excited about the current year is because actually, the 53% is not the real growth. The real growth is actually higher. If you actually look at it in terms of you know, number of policies, etc., but because the multi year policies has gone down so I don't wanna get into the whole detail right? I'll just get too complicated.

Management : Suffice to say. Our renewal rates stay very healthy, and the margin at 85% is also the right guidance and longer term no changes in the way we look at it. Basically , there's a book of business which goes for renewal every quarter or every month.

Management : The renewal percentage on that book of business by vertical and by partner, how is that trending. And that continue to either hold or do better and better , doing slightly better than in the past? Yeah, absolutely. Thanks

Sachin Dixit: understood. Great . on the core insurance business, competitive intensity , we are seeing across this world cup that phone pe is advertising has very aggressively . the other player, ditto, I think, has also grown decently well, how do you think that is shaping up? Do you think the advertising expenses going up has anything to do with this heightened competitive intensity in core business structurally.

Management : I hope we have a lot of competition, because competition always drive through things better.

Management : and I think competition also grows the industry much faster as as you are seeing, as competition happened in the Posp industry, how rapidly it has grown. It's it's today, almost, you know, 15-20,000 Cr industry. It would not have been that if competition wasn't there. So I actually, we welcome competition

Management : that said without commenting on anybody, we don't have any as of today. So yes, lots of things have happened at, and this has been our story for the last 15 years. I've always said we welcome. Competition has never arrived. Everybody's told us. Every year there will be competition. There's somebody in a different frame, different world view. Ours is a tough business is basically what I've come to understand over these 15-16 years.

Management : and yeah, I hope we have competition. One day it'll be good for the entire country to have more competition and more growth in the protection side and it will help our growth also more.

Management : But lamentably, I don't think it's appearing anytime soon.

Sachin Dixit: Sure. Okay.

Management : thank you. Sachin. We will take the next question from Nidhesh . Please unmute yourself.

Nidhesh Jain: Thanks. Thanks for the opportunity. Firstly, on the credit business. We have been doing quite well, and we have also been able to scale renewal business stream on the on the credit business side. What is the

margin and contribution margin in this quarter for the credit business? And how we see renewal revenue growth in the credit business side.

Management : I think it's a presentation laid out the renewal. But, Naveen , if you want to answer that well . like I said earlier, trail business is coming because of our focus And growth in the co-created products which, where the revenue is linked to the performance and over the lifetime of the loan or the card, as the product may be.

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Management: Our trail revenue currently is at about 14 % which was, of course, not there About 2 years ago. We expect for it to continue to grow slightly , every 6 months, if not every quarter. As we add new partners in the co -created categories we currently have a bout 7 products live, and we have 2 in the pipeline which we hope to take live in the next 3 to 5 months, definitely before the financial year. That's on the trail revenue part. on the contribution side , I don't think we give a breakup but broadly similar across both core businesses.

The amazing thing is the Ebitda margin. We don't give it out. But the very pleased. It's very. It's very similar at this moment to the overall core margin.

Nidhesh Jain : What percentage of the trail revenue is coming from cards ?

Management: We don't share that that level of detail. Okay.

Nidhesh Jain: I just wanted to understand the cyclicity in this business. Let's say there is a credit cycle which plays out how how we will be able to protect our revenue in the credit side.

Management : so let let me just comment on the first one. So both cards and loans are contributing well into that. That's that's what I can share. And if if you kind of see the reason we focus on co -created products was to kind of manage the cyclicity better, and be more robust a covid like, or any credit turn kind of an event where we had our revenue drop by about 90% in one month and as the trail revenue increases which is linked to loan performance or card spends, we expect that is far more robust in a event, predicts vs new business acquisition.

if you look at the business model that we have right now. Yes, they may be a very, very small impact of credit cycle , which I can, because some of the paid revenue is linked to the performance of that book.

Management : And if people are not spending at all, then obviously, the portion that we will get out of that table will be little lower. But it's a very, very small number, because and on top of that. You know, if you actually look at the dynamics , almost 75, 80% of the commercial value, anyway, is coming in the first year itself. It's just a small portion which is getting deferred for next 2, 3 years. So we are not very worried on that side. And yeah, the biggest impact on the trail on the current cycle a ctually comes because the supply gets squeeze d. in the last cycle, so they probably saw the same thing demand continued to be very high, but the supply became a challenge. So they're not very.

Management : If you just think through what happened last time. And it happened when I think P aisa lost almost 90% of its revenue in kind of one month. Essentially, what happens? You stop doing branding. You stop doing Acquisition cost. Some of the contact center gets absorbed wherever it can into into policy sales and servicing, etc., etc. So we bring down the running cost very rapidl y and I remember about 10 years 12 years ago a lot of our investors used to ask us, Why do you have P aisa and i have always said that credit cycles . Because the whole credit cycle questio n has always been there. Credit cycles will come. But that is exactly why we have policy bazaar which doesn't have credit cycles. And so it will support Paisa with Paisa coming out stronger every time.

Management : So if I look at the competitive intensity in the marketplace credit site business before Covid, it was q

uite high. But after Covid, because there was a you know, I don't want to name people, but there were a few people who were doing quite well, but after the credit cycle , They've all gone away. And it's simply because they didn't have a policy bazaar to kind of carry them through that that period, whereas we we clearly did so. Yeah.

Management : thank you. Next question from Parth.

Parth Agrawal: I thank you for the opportunity. I just wanted one number. What is the new premium per inquiry per month? I think you disclosed it around 1,700 last quarter

Management: very, very similar to last quarter .

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Parth Agrawal: And so this others in the segment revenue. This other service part has been degrading. Is there some pre classification there? I just wanted to get a sense that what is happening?

Management : Yeah, we don't get into those details, but broadly, we've explained that it has to do with the regulatory changes, etcetera.

Parth Agrawal: Sorry if I'm being misunderstood. I'm not talking about the other expenses part where the ad expense has been reclassified. I'm talking about the segment revenue breakup.

Parth Agrawal: Whereupon is the insurance broker service and other is the other service.

Management : No. So it's the same thing. Yeah, they are related. They are all related stuff. They are all to do with the same thing

Parth Agrawal: anything. So all I wanted to explain was, there's no significant change in our business from last year to this year. If you add up the numbers they will add up to exactly the same. There could be reclassification matters. And that's all.

Parth Agrawal: Hmm, okay, thank you so much.

Management : Yeah, both on the revenue and the cost side.

Parth Agrawal: Okay.

Management : thank you, Parth, awaiting the next question from Kireet .

Management : Will you please unmute yourself?

Management : Kireet ? Please unmute yourself.

Kireet Atluri: Yeah. Hi, thanks for taking my question I have to. I just wanna get a better sense for what's happening to a market growth and market share I mean. It seems like by accelerating, which is which is not which is not a bad thing at all.

Kireet Atluri : But I don't think we have the correct context for how the market is evolving. If the market is bigger than we thought, and going faster than we thought, you know, would love some context. There.

Management : I can try to give you some context, I think, on the protection side in term insurance. Clearly, there has been a revival in the market, you know, from December onwards , from last December, and we have been growing well ahead of the market as the numbers would indicate . on the health side Very honestly, the market is not really necessarily accelerating. I think if you would have seen, the growth has been very consistent in the reported numbers which include both fresh and renewal at around 18, however, our growth has definitely been ahead of the market, and I think we are , you know that part of our business is growing much faster than the market. There are variety of reasons that is possible. I think a lot of it is due to the way we have organized ourselves, the way we've segmented the market, et c. But overall, I think if you look at the protection side, we are growing ahead of the market, and I would say, protection also is growing in the market as well.

Management : And you know, obviously Sarbvir does this all the time. So sometime, you know, when you are seeing it from too close you may or may not observe the change, but I had the opportunity to start

interacting with some consumers recently in various places, and the word is changing the word I heard was that if earlier, what I used to hear was that when I have a claim, I will be left hanging onto a phone where policy bazaar. now the word I hear increasingly is, if I have a claim, I think my chances of getting

my claim are better if I'm being represented by policy bazaar than many other

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channels, and that is both true. It was always true, but it's become more true now, and that's in reality, and the perception has started moving in that direction. So I you know, actually, I was internally, I've always believed in health, we should grow at 10 0%, because it's such a huge market. And looking at our term performance, I think we do much better in term as a as a percentage of market share vs health. And so, internally, I've always believed that right and to the frustration of some of my colleagues who kind of thought why, he has this special passion for health. I can't give out the number of our growth, but it's not very far from my expectation on health alone. And so it's it's a very interesting phase we get actually delivering to potential. And so somewhere to me, that has to do with something which we could not put our finger on immediately, because it's not like, you know our marketing spend has on health has changed dramatically, or anything of that sort. To some extent. That was the goodwill that we were receiving. And it's it's happening incrementally. So every month we are getting higher growth than the previous month, and that's just continued throughout the year ever since April.

Management : And and very happily zoom and , just to add to our efficiency this is not a very trivial product that people just come and buy. But this is very thought through for our product, then testimony comes on their own, and rather than a person.

Secondly, the industry is very, very resilient

in a particular quarter you may see very different, just because, like what happened in when some of the q1 saving sales got pulled into q4. But if you look at overall trend of the industry. It's a very regulated industry which has got built over last 2 decades plus

Management : now, specifically, currently, we are really excited to look at what's happening. And then listing because people have started to think of creating, you know, much more customer focused products.

Management : People are using much more tech. So the across the industry. Some of it driven by us, some of them, you know, because industry was really at some point they have to go. It's it's a very exciting phase. And what if he mentioned that claim Part is the most important Because that's something for all of industry, including us to be, you know, taken care of, because somewhere in the country would trust on the industry has to be built in a much better way, that if I've got a product.

Management : then the claim is almost a certainty. Unless I have not declared properly. So you know that that's a big jump for the industry to take but overall , I think this is very exciting for the industry. You will see next 3 to 5 years lot more innovation coming out of this industry. And statistically, we are now significantly outperforming other channels in terms of claim settlement.

Management : Significantly, this there's almost no doubt there. And you know, just the way we are doing the claims Samadhan. There was the the physical presence just the number of appreciations from customers. Of course we it's a difficult industry. It's a complaints industry. You get a lot of brick bats.

Management : But there is some beautiful stuff happening on the claim side on, on our, on our business.

Management : Thank you. We take the next question from Sanketh . Sanketh , please unmute yourself.

Sanketh Godha: Thank you. Thank you for the opportunity. can we get that simple breakup of the premium? Number 3 475 Cr into into core , PB Partners and Pb Corporate

Management : Sure. So the core is about 2630 crores , which is almost equally split between renewals and and fresh

Dubai is about 155, PoSP is about 600 or , our corporate business is about 1 17. So yeah, that's the broad breakup

Sanketh Godha

: got it. so in the previous one of the questions you answered that your renewal premium is 1,500 Cr. So so this is all businesses put together, or you are just alluding to the core business.

Management : The 1,500 would be including all. The core business renewal is about 1,350

Sanketh Godha: perfect perfect thanks. And and the second question, what I had is that just wanted to understand the traction on the on the offline of the core given in the past. We said that the contribution was almost 20% of the total new business. whether we are seeing significant pickup in in that number, from from those levels, or or is it on similar lines?

Management : So some get, we see incrementally every month, some progress on on that number. But it's not that number is not obviously growing dramatically now, because, frankly, the core business itself, the online business in the call center part is also growing very, very fast. So if you see our growth, this quarter has been really good, and we alluded to the protection number. But even then other businesses have done very well so overall that number continues to grow incrementally. But

Management : so far it's not like changing dramatically. I also expect in the second half that it will do better. Because we've been putting some capacity in place. And as that capacity, you know matures. It takes a person about 3 months to learn how to sell insurance properly. And I think, as that majority happens, we will see see that impact in the second half.

Management : on the both , the people and the process side , The offline side has been maturing, and those who've heard me consistently over time, have always heard that. You know, we were at early stage of our physical development today, I would say we are getting to a more you know, mature operation. I can see the quality of the operation improving significantly, and the quality of the Management and the people starting to improve significantly, as as whenever I one is traveling, one meets the people subjectively. I'm saying that that part of the operation is getting better and better and and I do believe as we go into this quarter with very strong core businesses.

Sanketh Godha: perfect, perfect, and and just 1 one question is on on the new protection. What you highlight is 53 percentage . looking at the companies results , Life insurance companies results , We all know that protection has come back very sharply, and probably the growth is much higher than 50 percentage for all the companies which are reported the results. So so just just directional, I just wanted to correct you there.

Management : I don't want to get into specific companies, but if you look at the overall industry growth, it is nowhere near that number. Yes, the listed players had a very bad last year. So you saw minus 50.

Management : And then you are seeing 50%

Management : for the listed players which would basically fly over a 2 year basis minus 25 or whatever right? That's that's that's probably what the number comes to. If you take 100 to 50, and then you grow by 50. You grow to 75.

Management : So over a 2 year period, it's about it's minus something. Now. First of all, we did not degrow last year. That was number one and has it, and I don't think the industry degrew that much last year, so I think some players do grew more than others last year.

Management : and yes, some players would have grown more to the base effect.

Management : Health is growing faster, is all I can say. Health is a higher percentage than term on the growth rate.

Management : That itself. I have said too much.

Sanketh Godha: Got it, and and last one from my side. Posp Business, you said, is around 600 odd Cr and and we chose to degrow in Q1, what we did in second quarter, 600 growth seems to be a very decent growth. So this, this is as you highlighted. This is more driven

by the granular business, and and we expect this growth momentum to continue in Posp

Management : we have an amazing team. I am, increasingly impressed by our team and the quality of our team.

Management : And I think we're on the right path.

Management : Yes, I think from day one. I did not like the large consolidation part of the business too much, and I think we all agreed, but at that time the scale was coming from there.

Management : As soon as we could start to cut that part away. We have been doing that. We've been growing in the part we want to, that's becoming a bit larger and larger part. So as I got the larger part, you start to see growth again. But listen. don't get too stuck up on the posp . Think it's a it's a long game, I would say. It's gonna play out over the next 4 5 years. But I'm not saying it'll take us for 5 years to get profitable in that. So I think we are on the right track we've got. We've got a great team . very focused. We understand the market quite well.

Management : I'll make one statement in this a Posp thing from the private world side. The better players will look worse for a while, and this does happen in some industries. I'm not an expert in investing, but right now the amount of misinformation on the posp side is so high that I think, people are getting , investors are getting confused. We're not raising capital for it, right? But I'm saying in the private world the best quality player that players actually struggle because they will not be able to demonstrate the growth and the profitability that they have promised to their investors.

However, the ones who are only selling a story will gain for a while. So I think it's a narrative game. But the business is what it is. I think this year growth will be challenged in the Posp area for almost everyone.

Management : Because, please appreciate you. You've gone from nothing to 20,000 Cr. You can't go to 200,000 Cr.

Management : It's not gonna happen right? So I think I'll leave it there . But but yeah, I just want to add one thing to what you see said that you have to remember. There's one very important difference between Pb Partners and every other posp Competitor, which is the brand value policy bazaar holds . So as you go deeper, and as you go into smaller agents and people for whom, then, lively or depends on this business. they care a lot more about the brand than anyone else, because it stands for reliability and certainty of payout. And that is why I feel that while the numbers, as you see, said, will change up and down, depending on the quarter, month, etc. But more than that, structurally the business is going in the right direction, where we are leveraging the strengths that we have which no one else has, and I think over a period of time This will keep playing out. So I think that's one of the things to keep in mind as you look at the Us.

Sanketh Godha: perfect. If I'm allowed to ask this last one in the annual report we do disclose our renewal revenue.

Sanketh Godha: just just wanted to know. It will be great if you can disclose that number on half a yearly or quarterly basis. Because it helps us in that sense, because, anyhow, you are disclosing in the full years and and if you can provide today that number of core revenue or broken down into renewal,

Management: it is already shared as ARR.

Management : Hi Dipanjan, please Unmute yourself.

Dipanjan Ghosh: a few questions. One is, if you can give some color on the margins of your corporate business. Second, you know you have mentioned in the presentation that your overall hybrid or digital led business has been picking up. If you can give some color on the mix in that, or you know the margin trajectory, or what proportion will be that in your overall business today? And thirdly, you know, you have

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mentioned in the call some

points like, you know, you expect your posp to achieve profitability or improve profitability much better than what you had anticipated before. They've also retained your growth stance in new business you have mentioned that you're you know, you're also growing quite sharply in your high margin or high renewal margin products. So what would be the levers? You know that you would probably look for in terms of upgrading your FY27 guidance? Or do you even think of, you know, upgrading your guidance if you can get some color on that.

Management : That guidance was given in a very weak moment when the world thought we were really a crap company. So I don't think we are going to upgrade guidances and all that stuff. In fact, we will not give too many more guidances, right? So whatever guidance is we gave at that time, which were FY24 being profitable, and FY27 having 1,000 Cr of profit, were the guidances they were given in a moment that I thought people could lose a lot by misunderstanding the company. Because at that time you were a thousand crores loss making company right? So at that time people needed to have that clarity. I knew where our business was headed. So there was given in that context. We we don't get into, you know, specific stuff, etc.

Management : Now, since you asked corporate is a low margin business.

Management : However, it grows on renewals. We have a plan by which we will invest some amount in that development. Specifics of how much, but within a reasonable timeframe, which is, you know, few years out it will start to get towards profitability, and that profitability is a function of how much of our business comes from renewals rather than fresh, and that. Also there's a there's a whole, and there is some types of businesses like the group. Health business has got very low margins, whereas the non employee benefit part has much better margins. The digital side is margin accretive, not margin diminishing.

Management : The reason we invest into digital is only if I get more sales from a certain amount of cost. I have the same person. He could be sitting in a call center, or he could be meeting somebody. If that person has higher productivity. Then, and only then, would I send him out. Otherwise why would he send him out? His salary does not increase because of that. In fact, the air conditioning, and some of the office costs actually go down. Telecom costs go down. So it is the same person. Every customer we handle is the one who came to us digitally. So our marketing and our customer acquisition route stays the same. It is the how we service, the customer is changing, and if we can service the customer better through a physical meeting or a video conversation. we will do that, and it will most likely be margin accretive, so far as being margin accretive, and it will continue to be so

Management : on the post side we are certainly not giving out any guidance. It is a competitive area. All I'm saying is a lot of smoke and mirrors in that area. We understand them. We understand the weaknesses of players, we understand our strengths. We are extremely confident of eventual victory, and you have to somewhere go by our track record also. Right? We are not the only person who set up a business like policybazaar. There were hundreds. If we have done what we have done hopefully, we'll do the same and similar stuff as well. And maybe maybe we are wrong. Maybe we are. We are. We are drinking too much of our own cool aid. That was possible. But I don't think so I think I think we'll be the winners there.

Management : Thank you. Nischint, Please unmute yourself.

Management : We can't hear you.

Management : Hi Aditya, please unmute yourself.

Aditya Kapoor: thanks a lot for this opportunity. And basically congratulations on very good growth numbers one thing that I was looking at was Slide Number 30, and in that what I was

seeing was that whether you look at adjusted ebitda, or Pat, or ebitda till of 23 every quarter. There was a quarter on quarter improvement. However, since then the trajectory is slightly different. It's slightly worsening. What is exactly the reason behind that

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Management : insurance is a somewhat seasonal business, so quarter -four will always be the strongest quarter. And I think q1 and q2 are quite similar to each other. We've explained some of the differences.

Management: which has stayed quite stable, and that was the Delta. I mentioned about 6 quarters ago that Delta should be about on the core business alone should be about 150. Close is what I said. Then some people said, Why not 200? I said, yes, I've been conservative, it should be about 200. That Delta is about 225Cr for the last 6 quarters. which is the year on year annual growth in adjusted ebitda. esop cost will keep coming down every year. But you know that's the broad guidance, and that should not change. If anything, it should keep increasing, because, as we scale, the renewals become a larger and larger part, etc., etc.

Aditya Kapoor: Hmm, cool. The second question is a little bit on new initiative. Normally, most of the startups, or whenever there is a new initiative because of a lower base, new initiatives actually grow much faster.

In our case , core business is actually growing much faster, which is, which is good, but new initiatives are growing a little slower. Any specific thing there.

Management : my friend, our core business is gold. new initiatives are between bronze to silver. We've never shouted from the rooftops about our new initiatives. that you know they are the you know, best thing since sliced bread , or anything of that sort. They are good businesses, they are. They are okay but they don't compare with our core business. I think any of our competitors of those businesses would give an arm and a leg to have our core business.

Aditya Kapoor: Well, thanks a lot. Thank you.

Management : Thank you very much for those questions and the engaging conversation. We'll close now.

Management : Thanks very much.

Call: Feb 2024

February 06, 2024

To National Stock Exchange of India Limited Exchange Plaza, 5
th Floor,
Plot No. C/1, G Block,
Bandra-Kurla Complex, Bandra (East), Mumbai – 400051
SYMBOL: POLICYBZR BSE Limited
Department of Corporate Services/ Listing
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai – 400001
SCRIP CODE: 543390

Sub.: Transcript of the Earnings Call conducted on January 30, 2024

Dear Sir/Madam,
In furtherance to our earlier communication dated January 25, 2024 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith Transcript of the Earnings Call conducted on January 30, 2024.

The transcript of Earnings Call is also available on the website of the Company at <https://www.pbfinetech.in/investor-relations/>.

You are requested to kindly take the same in your records.

Thanking You

Yours faithfully, For PB Fintech Limited

_____ (Bhasker Joshi) Company Secretary and Compliance officer

Encl.: A/a

PB FINTECH LIMITED
Q3 FY2023-24
Earnings Call
January 30, 2024

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Management: A very warm welcome to PB Fintech Limited Earnings call for Q3 FY 2023-24. Today we have with us,

- Yashish Dahiya, Chairman & CEO, PB Fintech
- Alok Bansal, Executive Vice Chairman, PB Fintech
- Sarbvir Singh, Joint Group CEO, PB Fintech
- Naveen, Kukreja, Co-founder & CEO, Paisabazaar
- Mandeep Mehta, Group CFO, PB Fintech
- Rasleen Kaur, Head, Corporate Strategy & Investor relations

I will now request Yashish for the introductory address. Management: Thank you very much Rasleen. Before I start, I know this is an investor

communication, but I just wanted to take 30 secs to really thank our team for being much better than the industry in every area. And I want to thank the current and the past team, because obviously, everything is building on top of works. As I interact with our team, I can feel the sincerity, the patience, and the trust that each member demonstrates in building the business every day. Thank you very much!

Coming to the results, we had aimed for a full year PAT break-even in the FY 2023-24, and very happy to announce that we've already achieved that within the first 3 quarters, with the strongest quarter yet to follow. This quarter PAT is at ■ 37Cr +, which is a 4% margin, up from a loss of ■ 87Cr

same period last year. That's a ₹125Cr delta. For the year till date, that makes us PAT positive, about ₹4Cr of PAT, a swing of ₹482Cr from last year PAT for the same period with the seasonally strongest quarter yet to come.

Our revenue for Q3 was 871 Cr. Now for the core business, the online marketplaces Policybazaar and Paisabazaar which we refer to as core businesses, our growth is 39%. And we've grown to ₹593 Cr in revenue, our adjusted EBITDA has improved by ₹50Cr for Q3 2024 YoY. This is very much in line with the guidance that we provided just after IPO. That our adjusted EBITDA will keep growing ₹150-200Cr every year. For the last 6 to 7 quarters now, we have every quarter grown by more than ₹50 Cr. That means overall adjusted EBITDA is growing at more than ₹200Cr every year and that happened at the back of revenue growth. So just to share on that, as I look at for the first 9 months, the incremental revenue growth is about ₹500 Cr, of which almost ₹170 Cr flew down to the adjusted EBITDA. And I think that's the strength of the business, that with scale, there is operating leverage and there's a renewal piece with obviously much higher margins. We are very pleased that our health and term insurance businesses, which are the bulk of the long term value, we witnessed a 44% YoY growth and I just wanted to clarify, within this, health is almost 20% higher than this. So health has shown a much higher growth than term.

Our total insurance premium for the quarter was ₹4,261 Cr, which is now at a ₹17,000 Cr ARR, which has started to give us good scale. If you recollect, our view was that when the year FY27 hits, we should be about ₹35,000 Cr. At that time, we were much smaller, so it looked like a large number. But now it's starting to look very real. Our growth over the last 2 years is about 2.5x, over the next 3 years getting to 2x does not seem like a very big task. Out of ₹593 Cr of revenue for the

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core online business, credit linked revenue is ₹145 Cr. Our renewal or trail revenue ARR is now ₹454Cr up from ₹317 Cr, and this is the part that operates at a very high margin. And obviously contributes towards adjusted EBITDA. We continue to improve our customer on-boarding and claim support services and maintain insurance CSAT of 88%. While we disclose 88%, we actually measure this in decimals, and do appreciate us, it is very difficult to change this in decimals; it's now from 88.4 to 88.7. Credit business growth has sustained well. However, we are expecting a 10% lower growth rate. If we were expecting 40%, we now expect 30% growth in this business for perhaps the next quarter. And we

expect it to come back to normal growth after that. This is to do with the unsecured credit part where RBI has put in some guidance. Credit business has been adjusted EBITDA positive since December 2022. Now, I just wanted to clarify that we don't have a credit risk issue. However, suppliers have tightened their logics, and getting new suppliers in their place does take a bit of time. That's why the 10% growth delta. We're now at an ARR of ₹14,000 Cr Disbursal, and about 5.6 lac Cr issuance on an annualized basis. Total credit consumer base is now 41 million. This accounts for 75% of the sales because it's mostly on, communication with these 41 million people. 75% of cards have been processed end to end digitally. We continue to strengthen our leadership. If you recollect, after IPO, we really started investing in our new initiatives, we continue to strengthen our leadership there. Our new initiatives are now break even on a contribution basis for the last quarter. PB Partners, our agent aggregation platform, which is the bulk of new initiatives, continues to lead the market and scale and efficiency of operations. We have moved the business increasingly towards smaller and higher quality advisors with 56% jump in number of advisors using our platform. It has the highest proportion of non-motor business, and is present in more than 17,000 PIN codes across the country, which is more than 90% of the PIN codes in the country. And we continue to see improving efficiencies in the business. In fact, I'm very confident; we will see profitability in that business in the near term. However, in the same breath, I would say that profitability or loss will always remain dwarfed. Going forward what we will realize is that the core business profitability will totally dwarf both the profits and loss of the new initiatives. Our UAE premiums have grown at 2.4x and happy to take questions now.

Management: Thank you, Yashish. Please use the raise hand feature to share your question. You will then be requested to unmute yourselves. We'll wait for a minute for questions to queue.

Management: We will take the first question from Sachin Salgaonkar, BofA. Salgaonkar, Sachin: Thanks Rasleen. Good day everyone, and congratulations for a good set of

numbers. I have 3 questions. First question is on your cost. Just wanted to understand should we look at this cost as a new normal, or is this something one-off? And I'm generally asking from selling and marketing expenses which are down on a QoQ & YoY basis, and so are your employee expenses. I presume it's a factor of ESOPs going down. So that's where your employee expense have gone down. Is there anything else which is largely reducing the total employee benefit expense?

Management: There should be nothing abnormal in that. Our head count actually increased by about 535 people. Our salary increased by about 10Cr. Our ESOP expenses are just a schedule, we were overcharged near IPO, which is when everybody beat us up. And as the years go by you guys will start asking us this question more and more, that your ESOP charges are too low because they

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will actually become too low. But that's just the reality of life. And the ESOP charges will just keep coming down every year, because that's just a schedule. So the schedule took about 45% of the costs of 5 years in the first year, then about 25%, and then about 15%. And finally, by the fifth year, 9% and 4%. And every Q2 to Q3 is when this change happens, which is why I've been saying, since pretty much when we did, IPO, that we will break-even in Q3 and because we always knew these charges will go down. So yeah, that's a pretty straightforward thing.

Salgaonkar, Sachin: Got it, Yashish. Ad and promotion expenses are here to stay.

Management: Nothing. See, I would say, we don't decide on our ad and promotion expenses in any way, except what the market expects at that particular time,

but nothing, I think, abnormal about it.

Management: Sachin, I will just add that you should look at our ad and marketing, plus other expenses together, for a fair comparison versus last year. So if you do it that way, then you'll find that the delta is not as much.

Salgaonkar, Sachin: But still, overall EBITDA or adjusted EBITDA. You see a big delta right at the end of the day.

Management: So, I will make a statement there. Our results compared to our actual performance, the way I read it, is a bit depressed. Because when you look at present value results, which is what the management looks at, we've always looked at our accounts on present value. Just to explain to everyone, present value is looking at renewals value and fresh business value and then evaluating our business versus current year stat results. So the stat results, whenever we do more health business, and, as I said, health has grown at least 20% more than our normal growth for the rest of the business, that puts a negative delta in our contribution. Simply because, in the first year health, we make 0 contribution. While overall, our business obviously has 45% contribution. So the more health we do in the first year our contribution goes down. So for the last 2 quarters, from a stat results perspective, it has been hurting. So if you normalize this, probably we would have had a 2% higher margin and a 2% of revenue as a higher EBITDA. This is what I would say. But yeah, it's okay. Again next year we get the benefit of renewals.

Salgaonkar, Sachin: Thank you, Yashish. Pretty clear on that. My second question is when I look at your Core Policybazaar business and generally look at how insurance business has grown on a QoQ basis. Clearly, your fresh business has grown much faster than what industry has shown growth. So any color you could give in terms of - Is it health, Is it Term, Is it ULIP? Something specific which is growing better as compared to industry?

Management: I think that each of our businesses, I believe, has grown faster than the industry, and I think we've consistently maintained that that is our goal also. And I think there are different reasons. But if I were to cull out some common themes, I think one is the fact that our segmentation in every quarter gets stronger. So we are able to bring the right product for the right customer. And this is true in term, savings and health. And the second thing, I think which is there is that, as our customer experience has been improving, and especially on the claim side, I think there is an

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element of greater credibility that is getting established for Policybazaar and that is helping our conversion. And finally, the quality of our business that we source because of the declaration, because of the risk control, etc., that we have, allows us again to, produce better products and process, because in Insurance, process also matters. So I think these are the three factors that are leading to growth being strong.

Salgaonkar, Sachin: Thank you, very, very clear, and my last question is on Paisabazaar. Yashish, well taken your comments in opening remarks with suppliers have tightened, and we could see a 10% slower growth delta. But the key question is, how do you guys look at it? I mean, is there something where you guys need to think that this is structurally different in the business now, what it was few years back. And given how, let's say, Policybazaar has scaled up in a meaningful manner, any general thoughts in terms of, if you want to look to revisit some of the parts of the business from the next 5 to 10 years perspective?

Management: No, absolutely. So, I will actually take that before Naveen takes that. Because me and Naveen have been discussing this for the last few months now. While we believe that the current business is strong and will continue to be strong. But since you mentioned from a 5 year perspective, yes, we are having a ve

ry strong review of strategy and figuring out, which way do we take it? And hopefully, we will have more clarity on that as we proceed.

Management: Sachin, what we are doing currently in credit, and within that unsecured, there is a dominant share and credit cards. I don't see a fundamental issue at all and, if you look at any industry numbers, the level of under penetration, the household debt to GDP. And then you look at the entire financial sector in terms of where is the margin in the industry? Whether it's the banks or the NBFCs. That's in the unsecured & credit cards, and there is reasonably good demand. There's been, of course, a recent guidance by RBI which has led to review of portfolio by various

organizations, and we do see, like Yashish mentioned, a short term recalibration, which basically means a slightly lower growth versus what we would have targeted. If we were, for example growing at about high 40s-early 50s in the first half of the year, we are still at about 36%.

Management: Just to clarify one point because there might be a misunderstanding. The smell we are picking up from our partners is, it has nothing to do with the quality of portfolio than to do with complying with the fact that a regulator is saying there is an issue, so relook at everything. That is what is more what is more driving that rather than anything else.

Management: Absolutely. So, what we do expect is that once a little bit of recalibration happens in one or two quarters, things will come back. Of course, there's a pricing increase which might sustain because the risk weights have increased. But we've seen over a period of time that, given the demand supply gap still and under penetration, the demand is fairly price inelastic to a certain extent. So don't see any concern from a long term growth perspective on the strategy. Right now, we are looking at other areas like Yashish mentioned, it's a little early to talk about other areas before we kind of finalize our strategy.

Management: There are multiple directions. We are thinking in terms of, Do we do this? Do we do this? We are behaving like owners. So we are not just behaving like management, we are behaving

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like owners. We are calibrating the risk, reward and seeing what is the right thing for us to do where we achieve success as well.

Salgaonkar, Sachin: Got it, thanks, we'll wait for further updates as and how you guys provide. Thank you so much.

Management: Thank you, Sachin. We'll take the next question from Sachin Dixit, JM Financial. Sachin Dixit: Thanks Rasleen. Congrats on great set of results, Yashish & Team and this journey to

PAT profitability has been due for some time and you have reached there. Coming to question, So while I do understand that in margin in the core business would have been a bit tepid casting that health insurance accounted for higher mix. What drove the sharp improvement in new initiatives breaking even, right? It was at 9% loss last quarter. And what drove that shift?

Management: See in our new initiative also, we have been explaining every quarter that we have been improving the overall, economics of the business, and one of the things we called out is that we are moving more and more towards retail agents. So, having smaller agents, who do smaller amount of business, but having more of them. So this quarter, the growth in number of agents is at 56%, which is a fairly robust number, and, secondly, as this shift has transpired, we have now reached a point where the business is generating contribution, and slowly, is going to start covering its cost as well. So that is the main reason, in each of our businesses I would say that we have been on a path, and that path, continues every quarter, and kind of, is getting there, so there's no like a sudden jump or sudden change in anything. It's a, slow and steady progress, towards having a robust retail driven agent mix. Management

ent: When you shift your mix from, let's say large partners to agents it's expensive because you need to deploy people. You need to spend more in reaching out to people. You need to do all of that, but once you do very rapidly, you see the benefits as well, so parts of it are cycles. So maybe last quarter what you saw was we had done the right work but the result was the bad result, relatively. So internally in our reviews, we were actually very happy with the performance of the new initiatives. But externally, when you look at the results, you may have felt it was, there was not a significant improvement in the margin in the last 2 quarters, I would say. And then you saw the improvement coming in, because of what work was done in the last quarters; the benefit of it has probably come through now. You guys have been hearing me one year ago you would not have heard me say very confidently, that look, very confident that in this business we will make profits. Now I'm super confident. I'm not confident of the timing but I'm super confident it's going to be sometime in the vicinity of where we are. Like, few years we're going to see it. I have 0 concern, and probably sooner than that, so very confident of the way we are taking the business. I think the biggest reason for that, not trying to impress anybody but doing it because we genuinely believe it is the right thing to do. And, we've been taking to that retail direction which actually has margins, and you can, but this will never become very profitable. See, because the core business profits will start to now rise very rapidly. And even 20 years from now, this business will not give a huge amount of profit. It'll give you a scale. So on that we haven't changed.

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Sachin Dixit: Right. Yeah, I was basically asking in context of last quarter only. And you, I think you clarified that the results did not show it. But in this quarter we have seen the improvement. So coming to Core. And as you mentioned that you will get benefit of renewal in the core business and core business, we have seen that the contribution margins are roughly stable around this 44-45% for a while now. Now, where do you think these numbers can like plateau around? Can these be 50% upwards of contribution in core? Can we reach those numbers?

Management: Plateau is very far away, and I don't want to talk about plateau. If you really ask me honestly, I think plateau is probably at least 10 years away. So, that will probably give you a guidance of where we are going to head. I'll give you some data points, right? And we also, we don't want to talk too much about these things at this stage. If you look at the industry and you look at the fresh versus renewal mix of the industry. I think we are a 7-8 lac Cr industry, of which fresh is about 1.5 lac Cr at industry for everything put together, and I'm including all kinds of businesses. For us, the ratio is 1:1 and obviously, the renewal margin is much higher. So obviously, we will also, eventually, when our growth comes down, we will take in that direction, plus we have huge amount of future efficiency that is going to come from our operations, marketing and various other things. So I think we're very far away from a plateau. I think we've given guidance on our profit numbers till FY27. We are very confident of those. I think this will improve from here onwards. You're probably seeing, perhaps the lowest margin we ever have on the contribution basis. I will give you one data point to look at. Our incremental revenue and our adjusted EBITDA. Incremental adjusted EBITDA is 34% of the incremental revenue. That probably gives you some indication of the minimum that we can achieve. This is while a bulk of our new revenue is also health. It may continue to outperform for the next 3-4 years. I hope so, because that is usually value accretive. If that does, then that does have some implications, because it will also

be then

outperforming at scale. So if something is outperforming at scale and has 0 margins, which is what new business of health is, yeah, it will have some impact. It will put some pressure.

Sachin Dixit: Nice. Thanks. Just one question in terms of ESOP side, as you mentioned, like your ESOP cost is going to decline sharply. Are you thinking of any significant ESOP plan in the future? Considering recently Zomato did one.

Management: We have given guidance on this that you can assume our long term ESOP charge to be about 100 Cr, growing at maybe whatever inflation rate is. So let's say, growing at 5%-7% every year. But that is going to be our long term ESOP cost. Today we are still at 350. This year will be 350. So significant reduction from where we are. And of course, management needs to be rewarded. That's why I started by thanking the management. We cannot not reward them in the future. So of course, we have to reward them, and I think 100 Cr is sufficient to do that reward. Obviously Alok and me need to be rewarded much less in the future. We were rewarded for the past and we don't need to be rewarded as much in the future. Naveen also, because, part of it was past. Part of it is future. So, in future everybody will get rewarded in a shared manner, and I think that should be 100 Cr a year. We have done a lot of mathematics that looks about right. At the right time, we'll let you know also.

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Sachin Dixit: Fair enough. Thanks so much.

Management: So, Do remember in that 330 Cr, me and Alok might be 160 or something of that sort. So that automatically actually makes the real number, 120 whatever already. So it's not very far off from where we are right now. So this year is actually a pretty good indicator of what are ESOP charges in the Long term will actually be. Because this is that median year in those 5 years where we are seeing what the average should be if you cut out the founders.

Management: And there's a big difference here in terms of the exercise value of those shares. In the past, we had given all the shares at the par value; going forward, it will always be linked to market price.

Management: I'm talking about the cost that the company will bear that. There's a Black-Scholes valuation to issuing stocks at par, and when I'm talking about the 100 Cr, I'm talking about the Black-Scholes valuation of those stocks. And that's the real valuation. So that's okay.

Sachin Dixit: Yeah, thanks.

Management: Thank you Sachin. We will take the next question from Nidhesh Jain, Investec.

Nidhesh Jain: Yup, so my, the first question is on Capital Allocation. How do we think about returning capital back to shareholders? Given that we have turned profitable, and we are already generating a significant amount of cash on a yearly basis.

Management: We've actually started to think about it. We don't have any decisions yet, but yes, more and more conversations.

Nidhesh Jain: So we should hear something by the end of this year?

Management: I have no clue. You will hear once we've decided, we haven't decided, and we don't have a timeframe on deciding.

Nidhesh Jain: Sure. Secondly, if you can share the EBITDA margins of the credit business for the quarter?

Management: 8%. Nidhesh Jain: And just to clarify, Paisabazaar business, we are still saying will grow at 30% YoY in Q4 and next year.

Management: So, the industry in my estimate is expected to grow anywhere between 13% and 16% from a long term perspective-next 5 years. And we have in the past, grown and always maintained that we, as a marketplace, who is totally digital, expect to grow at between 2 and 3x of the industry. So, a 30%-40%, depending on macro sounds about right.

Management: I would honestly be disappointed to be less than 40. But I think we'll be at around 40. But let's see.

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Nidhesh Jain: Sure. Sure. Thank you. That's it from my side.

Management: Thank you Nidhesh. M

anagement: Shreya Shivani CLSA, we'll take the next question from you.

Shreya Shivani: Yeah. Okay, thank you. Thanks for the opportunity and congratulations on a good set of numbers. So I have 2 questions. First, is just data keeping. Can you help us with the POSP premium, Dubai premium, which I believe you've said is 2.4 times YoY, Corporate premium and the ESOP charge for the quarter. And my second question is. There is a current discussion in the Insurance sector about this new regulation on surrender value. And there are multiple things going on. One of the things that we've picked up is the ICICI Pru Life launched a new product, an annuity product, where they are giving very high surrender - 100% refund. But they've made the

commissions on a trail basis. So now that two of the most important products of this industry are undergoing some sort of structural changes which may impact commissions also to some extent. So any view on this will be helpful for us to understand.

Management: So first of all, on the numbers, POSP is 801 Cr, Dubai, the 194 Cr, corporate is doing about 300 odd Cr. ESOP. That's published, I think. 65 Cr. I think Sarbvir should answer the question on the surrender value, etc. But I will make one little statement before he comes in. We have been asking the industry for a long, long time about having long-term payout mechanisms. Which is what you are talking about, you know trail based, etc., etc., AUM linked payout, etcetera. And we very much welcome that we almost sell, there are 2 type s of products. We sell one type which is far more consumer centric. And there's in lots of industry discussions that has bigger implications for other channels than for us. But on the whole, I think we should turn out quite okay.

Management: So just the corporate number is 365 Cr for this quarter. On the surrender values, I think, as Yashish said correctly, we, Policybazaar, always focuses on customer centric products. So that's why you see, ULIP mix is very high. We have been selling deferred annuities for a while. We are selling this IPru product. This is something that we totally believe makes sense for the customer, and we are very happy to be paid on a trail basis because it makes sense if the customer continues, if the persistency is high, then we get paid more. And I think that's exactly what we want. We want that our quality of business should be rewarded over a period of time, and rather than having to just talk about first year. So we are very much in sync with this change. Rest, I think is an industry issue, which is a complex issue, I would just say, and I'm sure industry is working towards it. Nothing has happened yet. So I just want to clarify on this surrender value, that nothing has happened yet. It's a discussion point. But I feel that we are on the right side of it.

Shreya Shivani: Got it, so my question primarily was around the IPru product which is going to be on a trail basis. Are you suggesting that you already are selling that product from your website?

Management: Yes, absolutely. We are already selling it. And we love that product. Shreya Shivani: Got it, so those will be my questions. Thank you so much.

Management: Thank you Shreya. We will take the next question from Madhukar, Ladha Nuvama.

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Madhukar Ladha: Hi! Congratulations on a good set of numbers. I have a couple of questions, first on the data keeping part. Have you spelt out the renewal premium for the quarter and for 9 months.

Management: Renewal premiums are, for the 9 months are 4,800 and for the quarter 1,900

Madhukar Ladha: In your opening remarks you had also given the credit business revenue. Was that 144 Cr?

Management: 145 Cr Madhukar Ladha: Yeah. When I look at the ARR for the insurance business. On a QoQ basis, it's at about 359 Cr versus 345 Cr last quarter. So my sense is that this number should have probably grown faster. So are we seeing some stagnation or some h

igher drop.

Management: There are multi year policies whose proportion keeps changing from year to year. And last year was higher than this year on multi-year policies. And the second thing is, last year our health insurance growth was low. And thus you are seeing the impact of both multi year and the lower growth in this year. This year, the multi year is lower than last year and the growth is high. So next year you'll see a different account. I just want to clarify, and you can't look at this QoQ, because our renewals this quarter have nothing to do with our renewals last quarter. Last year it was 280 Cr, for insurance is 359, which is lower than what would have happened if things were exactly the same. Like in the sense, last year was perhaps the lowest growth year for health in the last 5 years. This year is probably the highest growth year for health in the last 5 years. So that is basically what's playing out a bit and there's a multi-year part, which is, it was higher last.

Madhukar Ladha: Got it. we get the adjusted EBIT DA margin, on the credit business like you've just given that, and if 85% is the margin on the renewal revenue, Then if I just do some rough calculation, it suggests that the new business that we write, the adjusted EBITDA margins would be sort of negative even on the core platform business. Am I right, or am I going wrong over here? Management: you cannot look at it that way. In health, the new business is only 20% of the net present value.

Madhukar Ladha: Largely because of health, that means. Management: Yeah. Even in the other products, there is a 15% extra that comes because of

renewal business, right? So I don't think you can go that way. In health, I'll tell you, in the new business. If you look at it, we'll have a negative EBITDA margin. At the contribution itself, it is 0. Right. By the time you get to EBITDA, EBITDA has additional costs. So you cannot look at it that way. A lot of people are trying to look at it that way. That's like looking at the bogies running without the engine. You're saying - If the engine runs alone it will make a loss. Yeah, of course it will make a loss, because there'll be no bogies that is carrying, but the engine is supposed to carry the bogies. They are a parcel of it. The Bogies can't arrive without the engine. I cannot get a renewal business without fresh business. So how? You realize my effort in doing the renewals business is negligible but I cannot get it without doing the fresh business, and that is the biggest issue we've had with NPV. For

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the last 15 years, I have been explaining to even our pre-IPO investors. Every time they said that health business is loss making business because obviously they used to look at the fresh business, they say, why are you doing this business? So obviously, it's a, it's a fairly profitable business, but it comes from adding up the renewals. At an NPV basis, you'll get about 2.7x.

Madhukar Ladha: I get that. I get that Yashish. Just wanted to get like this is primarily because of the health business.

Management: Second thing is, you are looking at it at EBITDA level and not contribution level. At EBITDA level, you have fixed costs of the management.

Madhukar Ladha: Let's say if I were to look at the contribution level, then apart from the health business, are there other lines in the insurance which, that'd be 0 contribution.

Management: No. Madhukar Ladha: Nothing, Only Health would be 0. Management: Health only on first year basis. See, Okay, let me explain. So, this is very clear. Our

NPV to direct cost in health comes out at whatever let's say 4x. I'm just making that up. But my revenue collection, divided by NPV is only 20%. So you've got 20% divided by 25%, which makes your first year revenue divided by direct costs, 80%. And that means we actually made a loss in the first year. That cannot be a decision making factor. That 's

, that's pretty close to what the reality is.

Madhukar Ladha: Got it. But that's true only in health is what I'm saying. All other products even in first year would be contribution positive.

Management: The way we look at it. Health has a very high NPV by first year revenue. Others do not have that significant a gap. And most of general insurance will be about 1.6, in life insurance about 1.1. But health has multiple fold. So you're absolutely right.

Madhukar Ladha: Got it, Got it! That answers my question. Thanks a lot. And all the best. Management: Thank you Madhukar. We will take the next question from Varun Palacharla, Kotak securities.

Varun Palacharla: So I had a question regarding the Take rates. If you look at the revenue, it has grown by 7% QoQ, while premium was up 23%. Obviously, there has been some decline in take rate. But how much of this is because of the trail based commission? And are there any other things that are playing out here like higher UAE business?

Management: Our take rates by business are largely stable. There was a mix shift. We did more savings business in Q3, so that was one of the reasons why the take rate will optically look or is lower. The second thing is within the savings business also, as you must have seen in the industry, ULIPs are doing much better than other products, and for us ULIPs have always been a big portion of our business, and they've become bigger. So that again has some implications for the take rate. So the main reason is the fact that savings has done well. And within savings also, we've sold more

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ULIPs. So that is main reason other than that every other line is the same, in terms of take rate versus last year and last quarter.

Management: Our take rates don't change too much, but in the savings business, year on year, not quarter on quarter, but year on year there is a higher percentage of ULIPs. And the second part is on the quarter on quarter, in the first half the year, we were growing, our savings were growing slower, in the second half, half the year, the saving seems to be growing much faster.

Varun Palacharla: Okay. And with regard to the, what you call, competitors, Bima Sugam, I guess is not going, has done much progress. But recently there's been some news about ONDC starting to distribute

insurance products. Do you see any competition increasing on that end?

Management: We welcome all government efforts to increase insurance penetration. And we support all of them. I think, our job is not to just grow Policybazaar, but our main mission is to grow insurance in the country. And I think all these efforts by the government expand insurance in the country, and we are very, very supportive of them. And we would like to see them all succeeded.

Varun Palacharla: Thanks. Management: Thank you, Varun. We'll take the next question from Rishi Jhunjhunwala, IIFL. Rishi Jhunjhunwala: Yeah. Can you guys hear me? Management: Yeah Rishi Rishi Jhunjhunwala: Great thank you for the opportunity. Just one question firstly, on the POSP

business. How has the economics changed in it over the past, say 4 to 6 quarters, in the sense, especially, on the payout side, that we end up paying to the agents versus what we are able to get from the insurance companies and has the change in regulations around EoM played any kind of role in that.

Management: Rishi, I would say that largely the dynamic is the same. I don't think the dynamic has changed a lot. There are a couple of people who are very active on the consolidator side, who have raised capital, and they're spending a lot of money on the consolidator side. And, trying to buy business over there. As I told you earlier also, we are focusing on the retail side. There the economics are better. And again, we have to invest in that because you have to deploy people, you have to deploy technology, product, etc. So we've been doing that. And I think t

his quarter the

results are showing. EoM has generally helped everybody, because it has made everything simpler and clearer. And I think that has helped us also, and we are a 100% compliant organization. So unlike some players in industry, we don't do any of the other stuff.

Management: I was just thinking right, because all of you guys look at and this this message would even be to the private investors. One of the things that people can look at in order to see if the companies are doing genuine POSP or some kind of consolidation business or kind of large consolidated business; is just look at premium divided by employees. Nobody can do too much magic different from each other. So if you have extremely high premium per employee, that is

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indicative of some kind of large consolidation happening. This is one way to look at things. I'm just sending some guidance, of course. But our focus is entirely in building the retail business. That's where we see the value because of the individual small agent who can get value from a platform in using their technology, their services, their claims assistance, etc., and thus be able to share a part of his revenue with the partner, and also for the insurance companies, it adds value. If you can bring 100,000-200,000 small agents onto the platform from across the country. Then they don't need to deploy as much in terms of their own branch network, their own regional network, so they can afford to pay you more. What's happening in the regulation is fixed costs and variable cost because of EoM are becoming blended. So whether you pay as commission or you pay as branch network costs. It's pretty much a cost to you. It's an expense, and I think that blending implies. POSP, on its efficiency is able to do well at the retail level. But if you're just buying this, that is not your business. It could just go away at some point. So I think the retail is the right strategy. And that's what we're focusing on.

Rishi Jhunjhunwala Understood. And what would be the mix today in terms of segments?

Motor, Health on the POSP side?

Management: I think that's a bit too much detail given the fact that all our competitors don't have to declare that. We would like to, keep some cards close to our chest. But I think we've stated in our note also, that we have the highest non-motor business in the industry.

Rishi Jhunjhunwala: Yeah, yeah, understood. And just lastly, and this is maybe tilting towards the capital allocation. Today, one of the, the Financial Services company which also runs a life and health insurance, life and non-life insurance has announced acquisition of a TPA. Now, for a business like ours, something like a, TPA is seems to be I mean, prima facie seems to be something which could provide synergies, I mean, do you have any thoughts around that?

Management: We have 40 odd percent stake in Visit Health. We have been there for 1-1.5 years. Visit health is a brilliant platform. That's there.

Rishi Jhunjhunwala: Okay. Thank you so much. Management: Thank you. Rishi. We'll take the next question from Srinath V, Bellwether. Hi Sri, please unmute yourself.

SRINATH V: Hi, Yashish! Am I audible? Management: Yes, you are Srinath. SRINATH V: Just wanted to find out what's actually working for the health insurance business.

Last quarter. And I'm guessing this quarter too, growth has come really strong. The sector growth has kind of tapered off a bit and largely driven by pricing. So how is it for us? Is it pricing driven growth? Are we, selling more unique policies. And what is driving the growth? Is it the claims part which we had worked on, offline, porting of policies? Is it the organic upper funnel itself has taken off in terms of lead generation, or is it coming out of conversion. If you could spend some time and help us understand what's driving growth in health insurance for us.

Management: Yeah. So first, I t

ell you what is not driving our growth. Our ticket size has not changed year on year. So that is not a factor in our growth at all. What is driving is actually each of the factors that you mentioned are part of the answer.

Management: I think I was going to give you a very short answer with Karma. But I think Sarbvir said exactly that in a slightly more different way.

Management: So, each of the things that you said is true. Top of the funnel, our conversion, the fact that we've worked on the customer experience, and I think what I assume Yashish is referring to as Karma is the fact that single-mindedly we have focused on quality of the business. So at times, even when conversion has gone other way for us, because we are asking more questions. We are having a verification process, etc., etc. It sometimes in the short run, can act as a break against business, but over a period of time it really creates this virtuous loop where better customers come to us, they find value in what we are doing. The fact that then the claims experience is better, etc. That virtuous circle is kicking in, and I feel that last year was an aberration because of the fact that the comparison with Covid was very tough. So that, I think, hit the fact that we had done a lot of work. The fact of the matter is that work doesn't happen over 3 months. Work takes, many, many months and many quarters, but it shows up only after a certain period of time. And I think right now, that is what is happening. It's showing up. But if it's, it's the work, effort of the team over, I would say, last 2 years, not just this quarter.

Management: I can tell you what's changed in the last 2 years. Because I was running it directly 2 years ago, and now Sarbvir is running it directly. I used the word directly there, because the direct person celebrates every day. You know the indirect person celebrates once in a month, or once in a quarter, and I think what we used to celebrate was volume. What we now celebrate almost every day is claims, customer service and I can see that huge change in the organization, what's really being celebrated is that. And that is what eventually, Karma is. What I'm also seeing is by huge focus on disclosure, which is always there. So I wouldn't say, that's a last 2 years story. That's a that's a long term story that we've had a much better disclosure, and the third part is really the on-ground, teams that we have built over the last 2 years, and please appreciate the last 2 years, we faced higher costs because of these. On the claim management side also, there's no revenue that's coming out of handling more claims. We just have cost. But all of that is eventually coming back in terms of you know better experience. I talked to customers. They tell me 2 things. Basically, your person is explaining it better and love the in-person contact at times. And the second thing is you have the 30 min claims support, and we have seen so many occasions where you have actually intervened and got better claims experience to our customers. That both of those are starting to become real & word of mouth. And when that starts to happen it becomes quite nice.

SRINATH V: Just a follow up here. Yashish, is there any kind of numeric stuff you guys have on claim settlement? How you know what has been the rate of change of improvement. One and Sarbvir what would be the delta on conversions? Or even if you would say time taken for conversions by our team, the call center or the in-person? Is there a significant delta even there, which is probably what's popping growth? Anything you could qualitatively tell?

Management: That becomes too much detail to get into. And we would rather stay away from that, at this stage.

Management: A lot of such things, Srinath, take time. There are 3 things which you also mentioned. One is the brand pull that the customer is coming to us. That doesn't happen

overnight. It takes 16

years of building that brand through word of mouth, obviously doing what you do on a day to day basis. Once you get the customer coming to you, you get good disclosure. But that is just maybe 60% or 70% of the good disclosure part. You also put huge amount of tech and data all the stuff that we do in terms of catching any potential fraud. Now that helps create your book in a very, very different way, and a very, very high quality book for partners, all get aligned to you. And everything is underlined by operating layer, which is the sale s layer, service layer, renewals, endorsements, claims, all put together, feet on street. Now, that again takes very, very long. There will not be a change which will happen any quarter over last quarter, but if you look back 3 years you'll see a huge change.

Management: That's exactly what I meant. That when you look at numbers, sometimes these numbers will not even reflect year on year, and sometimes what is looking bad is actually good, like last year, when you look at the POSP because it's looking slightly, not as great. But now it's looking much better. But sometimes just the effort takes time to go through, and I think we are getting the benefit of the effort in the last 6-7 months, and it's continuing, on the health side. We're getting the benefit of our efforts over the last 2 years. I can clearly see that.

SRINATH V: Thanks guys and congratulations on the wonderful performance on such a high base on health, fantastic, thanks.

Management: Thank you so much. Thank you so much. Will take the next question from Harshit Toshniwal, Premji Invest. Hi, Harshit.

Harshit Toshniwal: Hi, yeah, Yashish. Congratulations on a great set of numbers. Yashish, this is on POSP itself. So just want to understand that if a particular POSP agent comes on our platform, but he leaves after, say, one year, then whatever business he did in that one year, that will still be on our books in the sense that if it's a motor business, then I'm not sure, renewal revenue is an advantage. But in all other business we'll have that renewal advantage.

Management: Let us be very, very clear. Have no doubt whatsoever. In the POSP, we are a tech provider. We are not a commission maker. The business belongs to the agent. It is not our business. Us trying to call it our business is not right, it is their business. We get a fee for our service, which is the convenience we are providing to the agent and the distribution volume we are providing to the supplier. So for the supplier, it's compared with handling agency plus branch network, regional network, regional management network, etc., etc. And the effort that goes into that. This thing that you can get more on fresh and less on renewals and all. No, that is not true, and no agent will be stupid to give you their business. See, in insurance, people have been doing this business, and it's very precious to do this business. It takes a lot of effort. So nobody's going to give you a health business by taking let's say 19% and forget about renewals. They'll come to your house and take that money in. That's obvious. Whether they are with you or without you.

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Harshit Toshniwal: That's true. The reason I asked this was to ensure that, is there a way to improve the stickiness of that retail agent which we are sourcing right now, because if, for example, in a business like health, if it is more that the code in which the business has been registered is through PB. I'm just trying the code PB Partners, just the Code in which the business is registered so, and he knows that he has done a lot of business in the first year, second year. Then he would be more willing to stay with us if that is a clause. So just from that perspective.

Management: There are schemes, etc. You would run, which is very akin to running agencies.

Management: So I think the point is very clear that you have to retain the agent.

The agent is our

customer. We have to retain the agent, and the way you retain the agent is by providing platform, proper timely payout, fair and timely payout. So these are the 3 things which make an agent stick to you and as currently our retention is 76%. So that shows that people are, valuing our platform.

Management: And we are very early. It's only it's only our second year. So it's very, very early for us.

Harshit Toshniwal: Got it, fair point, and I think. One thing you repeated this number, if you can just tell me again the new and renewal premium for this quarter. Sorry to just ask again.

Management: 2400 and 1863, new and renewal Harshit Toshniwal: fair thanks. Thanks a lot. Management: Thank you, Harshit. We will take the next question from Punit Bahlani.

Management: We will try to be shorter in our answers now, yeah, because, I know, there are quite a few people waiting. Okay.

Management: Hi, Punit. Punit Bahlani: yeah, Hi, am I? Am I audible?

Management: Yeah.

Punit Bahlani: What were the Paisabazaar revenues this quarter? Management: 145 Cr Credit Revenue.

Punit Bahlani: yeah. Got it. Management: Hi, we will take the next question from Rahul Jain. Please unmute yourself. Rahul

Jain: Hello! Is my line audible? Management: Yes, please. Rahul Jain: Yeah. Hi! This question is for Yashish & Alok. You have delivered similar or better in

last 4 quarters. But the way you've been guiding, and you've been delivering time. So congratulations for the very strong execution. What I'm trying to understand where your

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incremental bandwidth in the last 6 months, or maybe in the near future would go, is it towards any new initiative that you may expand into? Or continue to do the execution side of it, or more in terms of how you would increase your technology; maybe you'd know that using the call center guys with chat or anything like that. So where you are spending most of your time now.

Management: yeah, I don't think the team required us to get into, whether we are increasing the efficiency of our call center, etc., etc. We have, quite an interesting business mix and lot of strategic things that we need to keep managing. So yes, we continue to be active managers there and we also

continue to expand into new opportunities. I think you also know, we have things going on in terms of account aggregation.

We are looking at the re insurance brokerage. There, there are a few other

things I'm not allowed to announce yet, because we haven't announced them yet, but we haven't

acted on them, or we don't have board approval yet. But we're looking at. Let's say, payment aggregation service. We're looking at lots of services.. Otherwise, we have an amazing team. Since Sarbvir has come in, my Policybazaar people, whom I used to manage directly, tell me, we are so happy, Sarbvir is a much better manager than you are. You were. So that area

I've been thrown out

of, and I'm very happy with that, because it's a friend of mine. He was my senior in IIT and he's been a my friend for the last 30 years. So yeah, I'm very happy, and he's somebody I look up to. So I'm very happy.

Rahul Jain: Yeah, yeah, yeah, I'm sure. They're doing an excellent job. Just one more question. I think you answered in a different way. On the capital allocation part, I know that you would share the thought at the right moment. But isn't it a good idea to at least look forward to do a buyback at least to an extent, you may have plans to dilute over the period of time. So that at least our base remains intact, because you just said every year there would be any ESOP charge, because you would be continuously awarding that to your employee. So is that something which is in your mind, or you should consider at some point?

Management: We have a pretty clear thing in our mind. We do not need so much cash, at some point it will get returned. There is no doubt about it. But when it's appropriate we'll a

nnounce it, and

we are not very acquisitive. So it's very unlikely that we're likely, to that we're going to make acquisitions. But again, we might change our mind. So, we are pretty open minded people. So we'll see, and we'll, of course, keep updating you. It's an opportunity that we have. The amount of capital that we have, and they have the position we have. And more importantly, the team we have. And I think we'll see. And the reason I mentioned team is because the team also means opportunities. So let's see, I don't want to open our guards out yet.

Management: A quarter of PAT positive is a very good start but eventually we are very focused on delivering 1,000 Cr in FY27. Let's get there, and then we'll see.

Management: Yeah, and we will get there obviously. Just like we got here. We'll get there as well. I think it's a very straightforward business, so no doubts there. But I think, yeah!

Rahul Jain: So, Alok, in a way in a way, as you said, that 1,000 Cr PAT, is it like we should not ask this question till that point is that kind of a hint.

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Management: There is nothing to hide but we are clear let's focus on what is most important for us from the business perspective- scale, growth and profitability being the focus area, and we have already committed to the market that we want to deliver 1,000 Cr PAT in FY27. Once you deliver those things, lot of other things become very easy to explain, but it's still an evolving business, even though we have been around for 16 years, the business is still evolving in multiple ways. We have never done crazy stuff on capital. We don't expect that to change. But yes, if there's a good opportunity. Why not? But whatever happens, we are going to come back to investors and communicate whenever we are very clear on whether it's buy back, whether dividend, whether acquisition, whether it's investing. As Yashish said, right now, there's no very clear, concrete plan. And we are focused on FY27.

Management: There is a concrete plan written, not a formal concrete plan. That's all. That's not a Board approved plan, and we cannot speak about it yet.

Rahul Jain: Much appreciated. Thank you. Management: Thank you, Rahul. We'll take the last question from Bhavya Sanghvi from Fortress.

Hi, Bhavya, please unmute yourself.

Bhavya Sanghvi: Thank you, sir. I just wanted your comments on the premium per policy. This back of the hand calculation suggests that it's jumped a lot in this quarter, especially. Is it because of the savings business, as you mentioned earlier?

Management: Yes, the Saving business is about 3 times higher premium per policy than the health or term business. So obviously. But it is just a change in mix thing.

Bhavya Sanghvi: Right, sir. Wanted your comments on the Phygital model, basically the stores that you've opened. So, could you, just qualitatively, talk to us about the advances that you've made over there. What are the unit economics? Is it better or we expect some, accretion because of that. Also, a book keeping question is POSP premium. Thank you.

Management: So, on the Phygital model, it's been a game changer. Totally credit Sarbvir with having thought this up and implemented it. In fact, even in the early stages of implementation, I didn't have questions once he was there, but before that I always had questions on the Phygital model but it's worked beautifully. And there's one more person actually that I would like to credit. He may not be hearing, it's actually Naveen Tahilyani, because I do remember the conversation when Naveen actually gave Sarbvir this idea. So I wouldn't totally credit Sarbvir, his credit that he that he picked up that idea and implemented but actually it is Naveen's idea that you guys should think about Phygital. So, I do want to credit him. So, thank you.

801 Cr. I think the number you want. It is 801.

Management: Thank you very much. We will close the call now. I

know there are a few people who

we have not been able to answer. Sorry about that. Just reach out to Rasleen with your question, and we will answer them. We close the call. Now, yeah, have a have a good evening!

Call: May 2024

May 15 , 2024

To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai – 400051

SYMBOL: POLICYBZR BSE Limited
Department of Corporate Services/ Listing
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400001

SCRIP CODE: 543390

Sub. : Transcript of the Earnings Call conducted on May 08 , 2024

Dear Sir/Madam,

In furtherance to our earlier communication dated April 25, 2024 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith Transcript of the Earnings Call conducted on May 08 , 2024 .

The transcript of Earnings Call is also available on the website of the Company at <https://www.pbfinetech.in/investor-relations/> .

You are requested to kindly take the same in your records.

Thanking You

Yours faithfully,
For PB Fintech Limited

(Bhasker Joshi)
Company Secretary and Compliance officer

Encl.: A/a

PB FINTECH LIMITED
Q4 FY2023 -24
Earnings Call
May 08 , 2024

Page 1 of 18

Management: Hi, a very warm welcome to PB Fintech Limited Earnings call for Q4 FY 2023 -24.
Today we have with us,

- Yashish Dahiya, Chairman & CEO, PB Fintech
- Alok Bansal, Executive Vice Chairman, PB Fintech
- Sarbvir Singh, Joint Group CEO, PB Fintech

■ Naveen, Kukreja, Co-founder & CEO, Paisabazaar
■ Mandeep Mehta, Group CFO, PB Fintech
■ Rasleen Kaur, Head, Corporate Strategy & Investor relations

I will now request Yashish to give the introductory address.

Management: Thank you very much. Good morning to everybody who is in this part of the world.

First of all, I'm super pleased with this last quarter and the primary reason for that is health and life insurance combined, which is the core of our business and a bulk of our long term value; had a combined growth of 53% YoY in new premiums for the quarter. That is clearly what drives our long-term profitability and Net present value of our business. Health, I must call out, has significantly outperformed this number of 53%. We do not disclose specific segment wise percentages. Our total insurance premium for the quarter was ₹5,123Cr, and that gives us an ARR of ₹20,000Cr, which was also a long-awaited milestone. We are also very pleased about that. Our new insurance premium grew at 47% for the quarter. Given everything else, this seems like a fantastic outcome. Our core insurance premium, for our online business, including renewals, grew at 40%. The core insurance revenue grew at 36%. It was slightly lower than the 40% growth and that is primarily because of a lower take rate on the savings side and a few changes. QoQ a few changes keep happening here and then, but that's basically it.

The credit-linked business - Paisabazaar, has slowed down pretty much as unexpected. So we had been guiding towards a 20% growth. It grew at 22%. If you notice this quarter, we are giving out this specific guidance of how much did core insurance grow, etc. We usually do not do that. But it is because there's a number that just needs to be explained here. New initiatives grew at 15%. Now, that may seem like it wasn't a great growth, but that is actually not the case. QoQ new initiatives grew at 50%. So, last year, we had an extraordinary same quarter, where we had grown more than 100% QoQ. So if you think about it last year, Q3 new initiatives revenue was ₹185Cr. It went to ₹365Cr, which was almost a doubling, so it was a very special quarter. And it was very difficult to grow on that ₹365Cr base. But we still grew at 15%. Because it's a significant part of the revenue, that subdues the overall revenue outlook to 25% growth Yoy. So the combination of these three essentially comes out to 25%.

We had aimed for a full year PAT break even and we are very happy to announce that we achieved that ahead of the target in Q3 itself. And have now ended the year with a PAT of ₹64Cr from a loss of ₹488Cr last year. This is a swing of ₹552Cr. I think if you were to ask me my opinion, I think the ₹64Cr in my estimate is a little below where I expected it to be. And as I said, there are quarter and quarter movements which you sometimes cannot control. So that's the way it is. Our revenue for the year grew 34% to ₹3,438Cr. Revenue for our online marketplaces Policybazaar and Paisabazaar, which we referred to as the core businesses, grew 39% to ₹2,375Cr, while improving their adjusted EBITDA margin from 6% to 14%. Adjusted EBITDA for these businesses are now ₹324Cr. This year was again a very special year, because of the growth of health. I have explained it

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multiple times, in fresh health business, our margin goes down to 0 for that year, obviously. So what you see, is approximately 45% coming out on a standalone basis for Policybazaar Core. But when we do fresh health business, the part of that is 0. So any disproportionate growth in fresh

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health will actually reduce margins. And you know some of that you would see but our trail revenue, which was ₹577Cr up from ₹388Cr last year. So if you notice, that's almost ₹190Cr growth, and this comes at 85% margin and is a significant source of profit. I think, as we look forward, that should become stronger and stronger.

We continue to improve on CSAT. This is another number, which was at a particular number, pretty high, but it was stuck there. We have now got a CSAT of 89%, which is actually the highest we have ever reported. Our credit business growth showed moderation, however, it continues to be adjusted EBITDA positive since December 2022. We are now at an ARR of ₹14,000Cr on disbursements and about 6 Lacs Cr on issuance on an annualized basis of Credit Cards. The Credit Score consumer base has now increased to 43Mn. 75% of the cards were processed end to end digitally, and 75% of disbursements are from existing customers. We continue to strengthen our leadership in new initiatives, while building further efficiencies. If you notice this year, the new initiatives broke even at a contribution basis. PB Partners, our agent aggregation platform, continues to lead the market in scale and efficiency of operations. QoQ, new initiatives grew 50%. So please don't get bogged down by the 15% YoY growth. Just the base was extraordinary. We have moved the PB Partners business strongly towards smaller and higher quality advisors. That is a big change that has happened from this year to the last year. And it has the highest proportion of non-motor business, and is present in almost 18k PIN codes, which is almost 93% of all PIN codes in India. We continue to see improving efficiencies in this business, and increasingly becoming more and more confident of the business breaking even sometime in the near future. Our UAE premium grew 2.3x and that business also continues to do very well. Very happy to take questions now. Thank you.

Management: Thank you, Yashish. We'll take the first question from Srinath. Srinath, please

unmute yourself.

Srinath V : Hi, Yashish. Just wanted to understand that there's been a n increase in porting in health policies at the system level. With that context, wanted to u nderstand, how this impacts persistency of our back book and our NPV calculation, given that our back -book in health is extremely profitable. At least, if you could share some qualitative understanding on how per sistency has played out this year versus say last year or the year before, that'll be grea t. I have a second question on Paisab azaar. I'll come after you are done with this.

Management: So, I will hand this question totally to Sarbvir . However, you would obviously expect someone like me to be tracking this also, in addition to Sarbvir. So I jus t wanted to mention our persistency is the highest it has ever been .

Management: I think, two points. The persistency actually, in our opinion, has been at roughly the same level as the previous year. So actually, the persistency is at elevated level, but it has been the same for the last 2 years. Our persistency, as Yash ish just mentioned, and we measure it both by number of policies as well as of course, the premium amount is at the highe st that it's ever been. And we spend a lot of time and energy in ens uring that. And I also want to just share that our fresh business, also, the percentage of porting is at least half of the overall market level. So we bring a lot of fresh new customers to health insurance , and we don't actually end up giving a lot of port ing business to our partners.

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Management: Our porting of our fresh business is about 20%. So just being crystal clear on that (in that range, approximately 20% and not widely off that). And our persistency on renewals in both number of transactions and pr emium, it is the highest ever. It is a percentage or a percentage

to 2

percentage more than it has been in the past ever. And I'm talking about the whole year. It's only continuing to improve.

Srinath V: Got it. Just a clarification on this 20% that you have shared. Again qualitatively, can you comment whether it ha s seen a n increase over the la st 2 years, substantially, or you know, has it been somewh at constant in a range that would be nice again, very qualitatively, would do.

Management: Yeah. P ost Cov id, it has seen some increase. I think it wo uld have been in the 15 or mid t eens kind of range earlier. It has gone up a little bit ove r the last 2 years, but YoY it's kind of roughly been in the same neighbourhood .

Management: The Key point to take away w as what Sarbvir mentioned, that we are at about half the rate of where the system is. And I think, the second part is, we pride ourselves in bringing new customers to the system. Yeah.

Srinath V: Got it perfect. One question on Paisabazaar . Wanted to unders tand - it seems like the regulator is favouring secure products over unsecured products. Is there a way with the kind of evolution of technology, maybe digital signatures and so on and so forth, that we could look at originating some part of the secure pro ducts which go to granular retail. Is there any thought on something like this given that we are a platform, which probably has the highest organic traffic for loan searches coming in. Thank you. That is all from my side.

Management: Thanks, Srinath. You a re right. It is also there in one of our slide s, if you've seen the presentation. Currently a secure d disbursal percentage would be about 13% to 15% on a quarterly basis. And one of our key priorities for this year is to try and increase the secure d growth and hence the secure d contribution. There are multiple categories that we're exploring, within that, we already have Home loans and Loan against Property live. There is some digitization that's happened in those categor ies. But it's still limited to an in come based sanction, kind of stage. Because the primary asset is still kind of non-digital . But there are some interesting new categories that we exploring like Loan against security. We know what's happened to the number of consumers coming into equity ma rket over the last 4 years and that asset or that secured loan category is becoming interesting. So we're exploring couple of additional categories besides home loans and LAP. But the overall priority is to increase the secure d loan contribution.

Manageme nt: So just to clarify, we have seen tightening, and I wanted to take this opportunity since we have all of you he re. Thank you for being around. I had said I expected about a 10% reduction, while that has proven correct for the last quarter. I expect this to last at least one more quarter. And the expectation, I think, is going to be below that. So I think we would be good at maybe 0 to 10% growth for Paisa. And I'm giving this guidance only because it is a very special situation right now for the next one quarter. But we don't expect it to last very long, because at a very fundamental level, it's not a quality based slowdown. It is a process based slowdown. And just to also explain one number, because, Naveen mentioned that about 13% of our disbursals are secured . From a revenue perspective, it's approximately 4% of our revenues from the secured category. So secured does not really exist for us so far, but we are quite convinced that we want to build up that category along with unsecured. We're not worried about unsecured, but we think of secured as an opportunity.

Srinath V: Thank you, Yashish. Thanks for the clarifications.

Management: Thank you, Srinath. We will take the next question from Jayant. Jayant, please unmute yourself.

Jayant Kharote : Thank you, Rasleen and congratulations to the whole team for a strong set of numbers. Two questions from

me at the end. One is on the renewals. Clearly, what you've been saying

Yashish, seems to have played out this quarter. I can see the take rate on our renewal commissions in the core businesses is sort of moved up from that 6% to almost like 7% this quarter. So I'm guessing the non-life mix is improving over there. Is this sustainable, or moves up from here? That is number one. And second is on the other Opex, the QoQ increase, if you could just help me understand these two from my end. And again, congratulations!

Management: So I'll start with the second question. This is just a reclassification of how our PB Partners business works. I think the first question was on the renewal revenue. Of course, as you will imagine, as the book will build, this will continue to grow. I also want to just call out that ever since we became a broker we do get some renewal revenue on the life side as well. So that is also slowly starting to add up. So it's a combination of both the things. And both things will keep going, so that it should be very, very sustainable.

Jayant Kharote: So the 7% stays for the next, or moves up from here. I mean, how should one think about that?

Management: Yeah, we don't think that way. We actually hope it reduces, because we hope that our new business grows so much.

Management: This is not the percentage but just the renewal take rate

Management: Oh, renewal take rate. Oh, yeah, that will inch. See, both are happening. Our life renewals is increasing & our health is also increasing. But yeah, assume they stay in the same range here. Assume this.

Management: We don't look at these things in an overall consolidated basis. We look at each vertical, each case. The mix may change a little bit. But you know it's very tough to estimate that this 7 will become 6.9 or 7.1, because in a particular quarter, things may change a little bit in a particular vertical. If you look at each vertical, the new take rate, and the renewal take rate that is not moved at all unless we have changed the product itself. So, in the opening commentary Yashish mentioned about Savings product. That product itself has changed a little bit, and that's why the take rate has come down for that particular product.

Management: At a fundamental level what you need to appreciate is a large proportion or much more than majority of the proportion of the renewal revenue belongs to health. In the last year, our fastest growing business is health. In the previous year to that, health had not grown so much. So obviously as you look into the future, the renewal revenue should show a pretty smart uptick because of what we have done in the past year, but that's a pretty obvious one. I think what we look at, as Alok mentioned is, we don't look at it at an aggregate level. You know we are quite sophisticated about how we look at renewals and everything, and we'll every year, look at it in a manner, and that has all been reaching upwards. So we are very confident of, you know the renewal performance.

Jayant Kharote : That answers my question. Thanks and congrats once again.

Management: Thanks, Jayant. We will take the next question from Sanketh. Sanketh, please unmute yourself.

Sanketh Godha: Sorry! You can hear me right.

Management: Absolutely.

Sanketh Godha: Yeah. Thanks for the opportunity. See, I have few data keeping questions and few related to strategy. One, obviously, if you can give the breakup or you can spell out the exact premium number of PB Partners and PB Corporate. And if you can give us what was exactly the branding cost which we have done in the current year, and in the fourth quarter, that's the one on data. Second, to add on the data we have. If you can confirm the core new business premium number in the fourth quarter is ₹1,770Cr. Right? That is the first question. Maybe I will ask the second one later.

Management: Yes.

S. Little higher than that. ₹1,777.

Sanketh Godha: Oh, okay, perfect. And if you give me PB Partners and the PB corporate premium, that would be useful, and then branding cost.

Management: POSP is ₹1,200 odd.

Management: Corporate is about ₹200.

Sanketh Godha: Okay, this is ₹1200 for the year, or, okay. Fine. Perfect. Yeah.

Management: 1,200 for the quarter. Yeah. Quarter. You asked for the quarter, right, Q4?

Sanketh Godha : Yeah, yeah.

Management: POSP is ₹1,200. You know, our corporate is about ₹200.

Sanketh Godha : Okay, perfect. And just wanted to understand your branding cost. How is that means, last year I think we spent around ₹240 odd Cr. How is that number moving in the current year? And how do you expect it to play out?

Management: Yeah, Sanketh, I think overall our branding costs have been going up below our revenue growth. So if you see you know, around half, I would say the growth rate. I mean, I think the fundamental point is that the model works on driving new premium growth. So we focus a lot on driving fresh growth, and to deliver that as long as economics look reasonable, we will continue to do that. So there will be some spend again below revenue growth. But we will grow brand spending in the new, this financial year as well.

Sanketh Godha: Okay. Will you be okay to spell out the exact number, just from modelling point of view.

Management: It's very tough to give absolute numbers. I think we don't operate that way, guys. We see there is a good opportunity. We think, if we have a great creative that is working, we would spend a little more. All these decisions for us are very ROI driven and tactical decisions. Yes, we have broad ideas, and broadly, it shouldn't go totally out of whack. But see, at a fundamental level you need to understand our philosophy. Our philosophy is growth is a priority, massive priority. Profit is actually not a priority. Profit is like counting the engine has gone through. And now you're counting bogies going through of the train. And primarily that is because the bogies are essentially the

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renewal. See, the profit mostly comes from renewals. The fresh business does not give you profits, at least on the GI side. So within that we focus on health and life growth because we think we are solving a very serious problem for the consumers. And out there being at 53% growth thrills me. Now, if that means a slightly higher branding cost. You know I feel good about it. That's all. We don't kind of say, okay, last year the Branding cost is much so how much should it be this year? We don't really work like that.

Management: Like Sarbvir said, the brand cost increases roughly, half of the premium increase and as a percentage of revenue, it keeps coming down.

Sanketh Godha : Yeah, yeah, got it. And the next question was largely on this thing. Often you have stopped speaking on it, but just wanted to understand, how you are looking at it. The offline channel within the core business. I believe it used to contribute around 20% of the total premium, what you collected till first half. If you can give a bit of colour how branch addition, people addition, or how this offline has played a role in driving your health growth? Just if you give a bit of colour or understanding of that piece, will be very useful.

Management: Yeah, sure. So I think, the number you correctly said used to be around 20%. It's inching upwards every quarter, every month. You know, the rest of the business is also growing quite rapidly, so it's hard for the proportion to change dramatically. We are deploying lot more people in the field. And we are very encouraged by the response to the model. So I think in both the life side and the health side, we are adding people, and we are adding centres also. And it's growing quite rapidly. But at this stage the number is in the same ballpark of about 20%, but

it maybe 22%. But

it's not dramatically different. The growth in health, quite honestly, it's now been a year, and it's just getting faster and faster, and it is not explained by any particular action that we have taken. It just seems to be at a very fundamental level, some kind of a consumer preference for dealing with us, and maybe some, it's not like one particular action or two particular actions are explaining that growth. Yeah, that's all I would say.

Sanketh Godha: Okay. Actually, that was my subsequent question. Assume the porting would have been little lower in the current year, relatively, at the system level, because it increased, you benefited because this year was a very unique year, because every insurance company took a price hike, and naturally there were customer grievances, and people started looking for porting a lot, and that benefited the entire sector with respect to porting. Yeah, and and you and naturally, participated in that.

Management: No, I think that's a wrong conclusion. Porting for us, we already explained is 20%.

And you know, I don't know the exact number, but might have been 17% last year. Please hear what I said. 53% is the health and life growth and health significantly outperformed, that. It can't be explained by 3% is all I'm trying to say. It is a crazy number of growth. So it can't be explained by 3% here and 2% here.

Sanketh Godha :But can you tell your market share today in the new business of health.

Management: It's quite good, it's increasing fast. I will just leave it at that.

Sanketh Godha: Okay.

Management: I think again, if I would try to answer the import of your question right? Which is, why our help business is growing faster than the market at this point. I think that the answer lies not

in one or some silver bullet answer. The answer lies in a series of actions that have been taken over a series of years, which have come together. One is, I would say, a focus on bringing fresh customers to the category. I think everything starts from the fact that we bring customers to the category. Number two is we have worked diligently with our insurer partners to produce products which are relevant and customize to what customers are looking for. That improves the conversion rate that we have. The feet on street plays into that same angle that people are able to meet customers and close sales at their homes or in their offices. Third thing is the improvement in customer experience that we have the fact that we are assigning a relationship manager to every health policy. Please stop for a second and think about it. Every customer is getting a relationship manager. Number four is at the moment of truth, in claims, we are helping people solve their problems where they're getting stuck. So, I would say, it's an overall series of actions, and I think these actions are coming together, and they will continue to strengthen. Now growth rates by quarter will change up and down. Portability by quarter will change up and down. And now but I don't think that is the fundamental driver of why our business is growing faster. So this is, I think these four things are the reason why it's up.

Management: And on porting, please note 2-3 very special points. We don't encourage porting at all. It's customers who will ask for it. If our customer port within our ecosystem, we keep on getting the benefit. But yes, if a customer comes from outside the system and want to go through us, we get some benefit. But, as Yashish said, the number has not significantly changed. Overall, we do not encourage porting at all.

Sanketh Godha: Got it, Alok. Thanks and that does answer.

Management: Thank you Sanketh. We'll request the next question from Dipanjan. Dipanjan, please unmute yourself.

Dipanjan Ghosh: Hi! Good morning, everyone. So few questions from my side. First going back to one of the previous

questions in terms of the offline business and the traction. We are seeing that channel. And you mentioned on a deployment of workforce. So can you give some colour on the quality of business in terms of the mix that you are seeing in the particular channel? Or how do you see the profitability of that channel from more of a sustainable long term basis compared to, let's say, your digital business in terms of the margins that both these segments can command on, let's say, a like to like product basis.

Management: I think there is a bit of confusion here, because I've heard this word offline business online business a few times. It is a closure mechanism. The customer is still coming on the website. The customer can be serviced either through a contact centre or through a physical meeting. The cost of both these channels are pretty much the same on a per person basis. You pay a salary, and you pay telecom costs, and you pay a seat cost in one, in another one, you pay a salary and you pay some travel expenses and maybe obviously lower telecom costs and lower office costs. We do not really have a branch network. These are meetings at people's homes or people's. It's only to people who have come through the online channel. So it's just a closure mechanism, you could be doing calls, video calls. And the mathematics of all of these businesses is exactly the same. In fact, if you asked us to, really get into it, the most profitable one of it actually might be the physical channel. It might be slightly more profitable than running a call centre, because the conversion rates are slightly higher. The products are pretty much the same. So the mix is, it's pretty much the same.

Management: So basically, the most important part is the channel. The customer still comes online. This is just a way to service the customer. It's almost like you and us talking on zoom right now versus having a physical meeting. The quality of interaction improves a little bit.

Management: It's an appointment model. See, customer can choose to have a call, a video call, or a physical appointment. We will only go there if there is an appointment. We're not going walking on streets, knocking on people's doors and saying - would you like to buy insurance? That is not our model.

Management: I just want to add one final point that we verify all bookings. That verification process is run by an independent team. That team verifies all offline bookings and all online bookings. Now, I'm not sure, if your question was about this or about PB Partners. But we were talking about the retail direct business.

Dipanjan Ghosh: It was about the same point. So you know, maybe I use the word offline. But what I wanted to understand is basically for this. You know, digitally sort of lead originated but converted physically sort of a business, you know. Will then the product mix, be a little different from your let's say, core digital?

Management: So I'll again, explain that. In Health and Term, the product makes it very similar to what it is online, because a person can only buy a certain product. You can only cover your family or

yourself, in either case. In the case of savings, yes, the ticket size does go up. In fact, quite significantly, when a person meets physically versus doing online. But you know, I repeat, that the quality of business as measured by persistency, as measured by Renewal rates is, very much in the same ballpark as the online business. In fact, sometimes a little higher also. So there's no quality issue at all.

Dipanjan Ghosh : Sorry. Just one last question, on the POSP side of the business . Has there, I mean, you used to operate at 80 :20 motor: non -motor ratio . Is there any meaningful change in the number over the past, let us say 6 to 12 months. How do you see this business from a run rate or a growth run rate perspective from here

onwards?

Management: You are right. It is normally runs at 80: 20. In Q4 of last year, because of the changes in the tax regulations, etc. Life business in Q 4 was actually very high. So that's why it was not 80:20 . Now we are running in the same neighbourhood of 80: 20.

Dipanjan Ghosh: So then, lastly, in terms of the growth trajectory. I understand it might be output of the productivity of the POSP partners, and the underlying asset class. But in terms of how do you foresee the overall growth trajectory in this area?

Management: We, think that the growth will continue. You know, we grow above the market. I think if the market is growing around 15 -16%, especially in motor, we are growing 2 -2.5 times that number. I think that growth rate should continue going forward as well. Of course, having said that now, at ₹3,000Cr of scale, we are now a fairly large operation so we are going to be affected by market forces, and how the market behaves as well.

And I think again, I want to clarify that in POSP right , the absolute amount of business that we are doing is not a core focus beyond a point. I think the quality of the business, the origin of the business, working with smaller regions going into deeper into the country, going into tier 3, 4, 5

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cities. I think those are more relevant things for us especially as we look forward. Just gathering premium beyond a point is not really a focus anymore.

Dipanjan Ghosh : Got it. If I can squeeze in one small question on the Reinsurance broking side. I mean, I would assume that sometime during the year you would kind of give some quality to commentary on the progress of that particular strategy. But if you can kind of give some colour on how do you see the acceptability from both side? Both stakeholders, be it the manufacturers or the reinsurers, and which business segment apart from protection, do you think it can really benefit either from a market share perspective or from a pricing perspective?

Management: I think it's a bit early to give too much colour . We just got our license a few months ago. We are working on it. As you correctly said, protection is one category that we definitely see it impacting and we'll see how that goes as the year progresses. I think the good news also is that I think the industry also sees us as a channel , which is a specialized channel, especially for protection. So I think a lot of things that we would like to do, for customers are available from the industry directly as well. But I'm sure, with reinsurance, we will be able to make better propositions as time goes by.

Dipanjan Ghosh : Got it. Thank you. All the best!

Management: Thanks Dipanjan. We'll take the next question from Shreya. Shreya, please unmute yourself.

Shreya Shivani: Yeah. Hi, thank you for the opportunity and congratulations on a great quarter. First, just a data keeping question. Did you share Dubai premiums as well for the quarter?

Management: It's about ₹210Cr.

Shreya Shivani : ₹210Cr. Okay. Okay, thank you.

Management: We are becoming a significant operation that, becoming a decent sized operation, it was ₹110Cr last Q4 .

Shreya Shivani: Yeah, correct. That's also a good growth. And did you share the credit revenue?

Sorry I was a little late for the call.

Management: Credit revenue is ₹146Cr.

Shreya Shivani: Got it. So my main question is great delivery on the life, and particularly on the health insurance side. Just going ahead, what comes to my mind is now that as the life insurers and general insurers have to achieve an Expenses of Management cap and that date is coming closer. Does it concern you that they may try to push more into those channels, which are considered lower cost channels going ahead. And I want to understand the business dynamics that if your website is naturally generating far greater volume in terms of customers , people are

naturally coming to your

website and raising queries more over there. How much flexibility will insurers , who are, who also have cap restriction in, say, moving away from PB Fintech, while they try to balance their growth and their expenses. So just, trying to understand your thought process around this thing.

Management: Oh, thank you, Shreya. Look at the big picture here. We are at a take rate of about

17-16%, maybe 16%. I don't know of any EoM cap below 30%. And in health it's actually higher, at maybe 35. You know the reason someone like me is not hassled about it. You saw, when, the renewal question was asked, I was very precise in my answers. The reason someone like me is not

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hassled is that the ceiling is so far high compared to where we are that you know we really need to be the last person bothered about. So we are about half of where the ceiling is being placed, or whatever you want to call it right? And we are a full cost mechanism, like an insurance company does not really need a branch network, a regional network to do everything we do. In fact, we lean in at the point of claims, also we lean into the point of service, we lean at the point of customer service, issuance, payments. There's a huge amount we take on. So you know, if you really thought about it at some level, an insurance company has to give us a product and we can do a lot of the variable cost expense for them. And so you know, I wouldn't worry about it too much. The second thing I would like to point out which is our POSP business itself, because one thing is just looking inwards one. And looking at market data. Our POSP business is a far higher take rate than our Core business, which again points out because our POSP business should be comparable to the other businesses that exist. So that, again, points out to where the issue is, it's actually not in the online business. And if you again notice, our POSP business is 80% motor, whereas our core business is 80% health and life. And you would appreciate motor actually has lower take rates than health and life. So all of this is pointing towards a very simple thing that Policybazaar on the whole, is actually a lower take rate channel, and you have to look at the total expense. And I think it's a brilliant thing for us, the Expense of Management is coming, because that allows somebody to look at total expense when you run other channels you need a lot more cost. The basic thing is, when you run another channel, there's a lot more hand holding required, and a lot more costs that still need to happen. Whether it's a branch infrastructure, whether it's a sales infrastructure, whether it's a service infrastructure. In our case, Sarbvir mentioned even the relationship manager is us. So, I give a pretty elaborate answer. I don't think that's a worry point or a concern point for us at all. Management: Here, see if you look at industry, the biggest cost will be claims. So the three costs - claims, distribution and servicing. And honestly, if someone were to analyse these three together for any particular channel, online acquired customer will come out to be the most efficient channel, everything put together. So you know this is a channel which is here to stay and to grow more and more. Customers who are young want to be in control of where their money is going, and what product they're buying.

Shreya Shivani: Yeah, no, I appreciate. I appreciate the part on the claims that you're mentioning, definitely the quality of customers which comes via an online channel versus any other channel. There could be a big delta over there just following up on this question. So, if we do a reverse, as in, I understand your take rates are at a certain level, but if I go and pull out the data of the broker channel for different insurers, and divide that by commission broker commission by broker premium. It

does look higher. I know you are not the only broker but at least on the health side, it does look higher than 16-17, and that's why my concern that maybe if the broker channel is really higher than 16-17. Then the EoM cap may affect you, is my understanding correct?

Management: I just want to explain one thing to you that, actually, the Expense of Management: rules in favour of channel, like Policybazaar versus the earlier system of cap on commission. See, Expense of Management is Commission, plus total distribution cost plus all other cost. So commission, plus all other costs for Policybazaar, are lower than or, let us say, comparable to than other channels, and I think that is the crux of the point. Now you can sort channels not necessarily by commission paid only, but by the total cost of operations, and I think the total cost of operation, even excluding claims for a second, is lower for Policybazaar than others. So if you were, if you were to make a graph of suppliers by cost, we would be a lowest cost supplier, and hence, if you start chopping off people from the top, we would be the last in that list.

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Shreya Shivani: Okay, understood. Understood. I got your point. Yeah. That was my question. Thank you so much.

Management: Thanks Shreya. We will take the next question from Sachin. Sachin, please unmute yourself.

Sachin S: Hi, thank you for the opportunity, and congrats for a great set of numbers. I have three questions. First Yashish, just clearly you mentioned growth is a priority as compared to margin. So just wanted to understand. You know, how could one think about steady state margins for core insurance. And you know, how far are we in terms of getting out there.

Management: We genuinely don't think that way. I know it's a desire for a lot of people to have that answer. We don't think that way. We would grow. We would try to do the best possible products for the consumers and whatever is the market clearing price for those products from a take

rate perspective is what we will receive. It is not like we want to have a higher take rate than what is the market clearing price, or we want to have a lower take rate. The take rate is a function of the products we sell right and of where the clearing price is, and we are comfortable. I don't want people to take the wrong message out of this. But our preference for lower and lower Commission products, which are better and better for the consumer. But it is not like Policybazaar as a channel, would be remarkably different from the market clearing price on the total expense basis. See, commission is just one expense but cost has to be looked at overall. And I just had one last comment from the last answer, because Sarbvir mentioned that if you know, some channels were to be removed, then it would not be us. It would be some others who are at a higher cost on a total cost basis. But please appreciate when a channel gets removed, the amortization of fixed costs does not happen, whichever gets removed, and actually that increases the cost for everybody else. So you know, Expense of Management, takes care of everything and it is actually an amortization of fixed costs over growth and volume. So actually, growth and volume become very high priorities in an EoM environment. And essentially, as long as you are below the 30-35%. You're in a great shape, but being lower than everybody else, sort of for the health, I know I've kind of diverted a little bit from your question, but I hope I answered yours and the previous one both.

Management: And if I could just add one thing that see, we have to also remember the context. The context of India is low penetration of health and term insurance, growing middle class, spread across the country. So I think this is not the stage at which one should try to maximize percentage margins. I think one should try to

to serve more and more customers, these customers will become more and more valuable over a period of time, and at some point into the future, there will be some time in 15-20 years from now, when you should start thinking about optimizing that mix. But right now I think the thing is to have more customers, and these customers will become more and more valuable over time.

Sachin S : Thank you, very clear. My second question is more on tech. And since your last analyst day, which roughly happened about a year back, there have been good, meaningful strides and improvement in generative AI. So any big picture thoughts in terms of how you guys are looking to utilize it, and I'm asking it because you guys have a good call centre support system. Are we trying to automate or trying to move and leverage our generative AI in that perspective?

Management: Yeah, absolutely. I think, not just generative AI, I would say that, I think there are a series of technologies that have come up over the last 5-10 years, broadly AI, machine learning, etc. We are using them in a variety of areas, I think, as we showed some applications last time also. One

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is around the whole area of risk. Second, is the area of call centre productivity to see how we can make our advisors more productive, how we can have more productive conversations with customers. Then there is the area of customer service. Again, the same thing - how can we offer more self-service options, how can we understand natural language of customers and again make our agents more productive, and then, finally, there's an overall opportunity to use generative AI in sort of breakthrough kind of manner where I think right now it's more experimentation, I would say, rather than results where we are trying to see what we can do to change the total nature of how a customer reacts or interacts with a digital agent. So I think those are 3-4 areas which we are working on. Each of these areas has dedicated people working on them. And I think over period of time we'll continue to give examples as we go along.

Sachin S: Got it very clear, and my last question is more a book keeping question. I noticed you guys paid some Income tax this quarter. I would assume there are certain tax credit carry forward losses just wanted to get more clarity on that.

Management: Yeah, we have about ₹2,100Cr of carried forward losses. So, of course, as the future years play by, we should get the benefit of those. But please do appreciate there are multiple companies, Profit may lie in one company, loss may lie in another company. But Mandeep is the right person to answer in more detail.

Management: So if you look at the tax laws, if you are generating income from your investments, that is where the setup of carry forward losses are not available, and this is a portion where we are paying tax right now.

Sachin S: Alright. It's basically the Treasury income. That's what you're saying. Right?

Management: So only the losses of the last year and the previous year can be included in that. So that so all I'm saying is, we do have that ₹2,100Cr, but its play out will happen over time.

Sachin S: Alright, thanks all and all the best.

Management: Thank you, Sachin. We'll take the next question from Nischint. Nischint, please unmute yourself.

Nischint Chawathe: Yeah. Sorry. Am I audible? Now? Yeah. Hi.

Management: Yeah. Hi Nischint.

Nischint Chawathe: Yeah. Hi, just, you know, on the take rate. Now, if I look at it your YoY take rate has gone down. And I think you made a small comment on that. If you could just elaborate a

little bit in terms of which segment have you really seen?

Management: There is only one segment. The take rate has not changed in any segment, so whether it's Health, whether it's Term, whether it's Motor, whether it's POSP or even Paisabazaar, take rates have not changed at all. T

he only segment where Take rate has changed is in the Savings segment. And yeah, that's it.

Nischint Chawathe: And that's because you moved from guaranteed return products to ULIPs.

Management: We moved in some portion from capital guarantee products towards pure ULIP. I think that is the industry trend that we must have observed across all the calls. I think that's something that we are also very frankly, very happy about, because we believe that low cost ULIPs

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are the right product for customers, and in the long run it's a happier customer, and that customer comes back and buys more.

Nischint Chawathe: You know, one of the life insurance companies has launched a high trail product.

Management: So we are delighted. We are delighted partners.

Nischint Chawathe: Okay.

Nischint Chawathe: Yeah, sure, just one small thing is, if you could break up the revenue premium of ₹2,000 odd Cr between digital and others, because I believe POSP is also getting meaningful now.

Nischint Chawathe: If you look at the renewal premium, you could just divide it between POSP and others.

Management: Yeah, yeah, I think the core business is about 1,750. POSP is about 105

Nischint Chawathe: Sure, that's it. Just one last one was on take rate in the POSP business. So you know, I think. As we had a discussion, your POSP take rate is kind of on the higher side versus the company average. Although the commissions you mentioned that the motor side would be lower than you know the other the other businesses. So how do we reconcile this?

Management: No, no. There are two reasons. One, I think what Yashish was trying to indicate was that there are channels POSP represents closer to the rest of the industry. So there are channels which have higher commission. POSP also have higher commission in Motor, because we sell commercial vehicles. So commercial vehicles don't actually come through the online route because of various reasons. That's why, the Commission rates are higher in POSP.

Management: Yeah, broadly, at a fundamental level, see on Policy bazaar, because of the competitive platform and competitive on product, and you know, issuance rates, etc. You cannot necessarily increase your volume by paying more commission. Whereas the POSP Channel essentially competes on commission. Yeah, if you really think about it at a fundamental level, it essentially competes on commission.

Nischint Chawathe: Fair but just I think you know, going back to the EoM point, you know. Does this kind of, not for you, for the, but for the entire POSP industry, does this kind of come under some pressure because of EoM guidelines.

Management: Let it play out there. I think a lot of things will play out.

Nischint Chawathe: Sure. Thank you very much, and all the best.

Management: Thank you, Nischint. We will take the next question from Yash Mehta. Yash, please unmute yourself.

Yash Mehta: Thank you very much, and good morning!

Yash Mehta: Can you repeat the renewal premium, which was ₹4,400Cr last year. What does it correspond to in the current year?

Management: ₹5,845Cr

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Yash Mehta: Okay, and if I were to kind of look at the renewal rate, it seems like there is a sharp drop from about 70 odd percent to 50 odd percent. Am I missing something?

Management: It is exactly 69%. It was 70% earlier and 69% right now. So, it's been the same. If I look at the last 4-5 quarters, it's all 68% to 70%. In fact, last quarter is 70%.

Yash Mehta: Understood fair. No thanks for clarifying that. And one more question in terms of, let's say, the employee count that we have at for the full year versus what it was the last year, and within that if you could break up between selling salesforce and non-salesforce?

Management: Can we respond to that Offline? Because that'll be a fairly detailed thing. We will not have the answer right now,

but we will respond to it separately. Is that okay?

Yash Mehta: Alright! I'll reach out to Rasleen.

Management: Thank you!

Yash Mehta: Thank you.

Management: Thanks. Yes, we'll take the next question from Yash Gandhi. Yash, please unmute yourself.

Yash Gandhi: Thanks for the opportunity. I'm audible?

Management: Absolutely Yash.

Yash Gandhi: Thank you. Yashish, so you know you mentioned that ₹64Cr PAT was a bit short of expectation. What number PAT number you thought you would have closed this year?

Management: Yeah, we don't give expectation, but I was expecting ₹80Cr. We came in at ₹64Cr.

Yes, I thought we should have been there. But it's okay. It's not a big deal right? I'm just saying it is. It is what it is, we can't, the number is what it is.

Yash Gandhi: Got it. Got it.

Management: You know in that, in that there's been a ₹13Cr of the taxation. And you know, maybe some quarter movements here and there sometimes. You have to take some costs and some revenue, you know. Accounting is accounting. Yeah, at the end of it. So it is, it is what it is. See, we're very strong in cash flow, if you really think about it, we added ₹260Cr on cash. But we had some classification differences. I am just getting a little bit of detail, but I just wanted to share with you how I think about it right? There was a classification. Now, what that does is certain. You know, the GST, kind of tax if you have, those increase, those goes from 2% to 10%. Now, those are just working capital. You know, something is going earlier. Something is going later. So we have about a ₹150Cr of cash, which kind of went into that and all that is, the cash will come in later. So some of those things affect our cash flows. But if I was to remove that, our positive cash flow for the year is very close to ₹400Cr, which is a very positive result. And I guess anyway, I'll kind of stop there, because maybe I'm just giving more detail than we are comfortable with at this stage.

Yash Gandhi: Sure, sure. Got it. Thank you, Yashish, for that. Just last question here. So, in FY25, you think we can grow about 40%. And about 50% contribution from core business? Is this a right estimate that we can build in for next year?

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Management: We don't give estimates. You are free to kind of draw your own conclusion. I hope we keep growing. I'll be amazed if we keep growing the way we are. And I'll be delighted if that happens here.

Yash Gandhi: Sure. Sure, just this last question Yashish. And this is not in for guidance or anything like that. You know, the website views, I mean, are they higher? Basically in April versus March, on Policybazaar or something has changed? Yeah, the number of website views that if you track this data?

Management: So normally there is a little bit of drop in traffic from March to April. I mean, we don't drop as much as the industry does, but we do have some drop. But it's this year actually, April is similar, I would say, as seasonality is very similar to every other year.

Yash Gandhi: Okay, okay, got it. Thank you. Thank you.

Management: Thanks.

Management: Okay. We'll take the question from Ankush. Ankush, please unmute yourself.

Ankush Agrawal : Yeah. Hi, I'm audible?

Management: Yes.

Ankush Agrawal : So the question is primarily on Bima Sugam . I think the launch of the platform is closest than ever it has been. And you guys, being the industry insiders, you would have some insights on how the platform is shaping up specifically on the point that is being talked about the most that it would offer policies on a preferably lower prices due to charging lower commission. So wanted your thoughts on how I mean, even though the platform is yet to launch. But in case this kind of offering does come in where it is offering lower prices, how do you think, based on your understanding, it would impact consumer pr

ference towards platform like Policybazaar, which is, which would be on a higher pricing versus say, a Bima Sugam, right?

Management: I think it's a fantastic thing that would happen. It would expand the market dramatically, I think with it coming in, the market might be 20x of where it is, and you know, if it is 20x, I'm sure we'll also have some share out there. So I think competition. I don't see this competition, I see as an enabler, and I see it as a you know a massive enabler from the back end, in terms of digital processes, in terms of digital outlook. So, yeah, we are very, very positive about it.

Ankush Agrawal : No, but I mean as a consumer, who's comfortable with buying online. Why would then he prefer buying through your platform versus Bima Sugam if he's getting better prices through Bima Sugam, right? But that's a fundamental question that would impact your business?

Management: Yeah, maybe we will, you know, also have lower prices. And you know, that will really expand the market. So you know, if you really think about it, with UPI; private players have also done very well. You know the Back end rails as they streamlined, it really benefits the digital players. So, I don't want to get too much into speculative mode here. But everything in history tells us when the backend rails really get sorted, the world moves on. And maybe if we get 20 times the

volume will be okay with 5% of our take rates like , why not? And maybe we'll be okay with less, and maybe we'll make money from some other industry and not make money on insurance, so I would say. Don't get too worked up about it yet.

Ankush Agrawal : Yeah. Just a data keeping question. What was the ESOP Cost for the quarter?

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Management: ■63Cr.

Ankush Agrawal : ■63Cr, okay, got it. Thank you very much.

Management: Thank you. We will take a last question.

Management: Let's take one last question because we could not take one.

Management: Hi, Kireet, please unmute yourself.

Kireet Atluri: Yeah. Hi, sorry. Can you hear me?

Kireet Atluri: Okay. Hi! Congrats on the great results! So, if you read some of the industry reports around healthcare insurance. You know, I think there's 2 or 3 high level kind of issues. I just want to understand how you're contributing to solving them. The first would be inflation. You know, there's clearly a lot of inflation in premiums, I think, consistently double increases. So how do we make sure we don't run into kind of an affordability issue? Are we increasing the mix of sort of low -cost plans? How do we sort of, what are we doing on our side from an innovation standpoint to sort of combat this. I think the second thing is which maybe plays into what you've done already. But I'd be curious what incremental innovations coming in that a lot of these claims require high waiting times despite pre-approvals. So people sitting in hospitals for hours just waiting to get approved and have things go through so high amount of inconvenience and decreasing affordability, I guess, with the two biggest issues. So maybe if you could just help us add some.

Management: Thank you, I think a great question . I'm so glad I asked Rasleen to take this question. Sarbvir, please.

Management: Yeah, absolutely. I think you identified two very important issues. Affordability is an issue, especially as prices have gone up over the last 2 years. So if you see, affordability is a segment that we're focused on this year. And we have introduced products and one of the ways to handle affordability is to focus on where the customer lives and what is the area and what product is suited for them. So we are working on many answers. One is a preferred provider network. We are focused on deductibles , offering small deductibles. We are offering monthly and quarterly modes of payment on our platform right now. So I think we're doing a series of things s

tarting from the product

payment as well as certain other deductible co -pay kind of arrangements to make the product more affordable. So I think that's one area that we are very much focused against.

The second thing that you asked about waiting time for claims. You know, yes, it is a issue from time to time. And there again we are working with our insurance partners to try and see that at least for Policybazaar with our customers, are there ways that we can provide , like a green channel kind of concept where you know the documentation, a lot of the stuff that is required, is pre-populated. So that at the end, you know only the last the doctor discharge summary, etc., can be added, and that person can be sent home. So again, this is an area where we are working during the year. I don 't want to talk about it, but we are looking at some innovation around this area as well to offer customers a better experience rather than having to wait. So both, I think are areas that are very top of mind for us.

Management: See, at a fundamental level on claims ratios. We are at the 45% range on 16 -year old book right, which is way below where the industry is and that implies to some extent the benefit of that in one way or the other, can be passed on to consumers, whether it is in terms of more convenient claims handling, and whether it is in terms of smarter products . At a very fundamental

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level my belief system is that insurances for the really big events and not for the everyday expenses, and so deductibles is a great way to reduce cost and make the product more efficient. At a very, very fundamental level , in a product like insurance disclosure is the critical part. If you can't get very good disclosure, then everything else fails. Then you, then your ability to control claims, ability to control inflation becomes like impossible. And I think we're doing a phenomenal job on disclosure compared to most of the other channels. So feel quite confident about that. And you know, I think we will do more in this area. As we go forward, I would say, wait ahead, and I'm quite excited about what all we can do in this area to make this a more robust proposition in the healthcare side.

Management: One last question, I think Sachin can ask. Yes, Sachin. Please unmute yourself.

Sachin Dixit: Hi Rasleen, thanks for this. And Yashish and team, great set of results. My first question is on PAT increase. You have highlighted that PAT rose by almost ■550 odd Cr in this fiscal year. Do you see this rate going up or going down, going forward? I'm asking this because almost ■330 - ■340Cr of impact, I see, is coming from ESOP expense and other income. And that's the light in which I was trying to check, because the ESOP expense impact will decline over time, I guess.

Management: You know, the calculation of profit is a pretty straightforward calculation that we have discussed many times, and you are absolutely right. The profit calculation in the medium term actually does not get impacted by new business growth at all or in a significant manner. Sorry, saying at all, was actually incorrect, but in the medium term, within 1-2 years, profit does not really depend on what happens in new business. And I think that's the key right? And which is why, for the last couple of years, if you hear my commentary, I've said, let's not focus on profit. That's an outcome. Let's focus on new business growth, because that's the engine that will drive future profit. And that's what I'm assuming. All of us are valuing the company on future profits. Right? So, I think the focus stays on and that's not to say we don't care about profits. It's just that's an outcome. We can't really do anything about it. So I think, you are spot on, I'm very optimistic about the profit outlook. But that is just going to show up as we grow, and I think this year's profitability will show up

p in future

years in terms of that. So yes, I feel good about that.

Sachin Dixit: Understood second question, and this was my personal experience. I was buying health insurance on Policybazaar, and the agent was able to sort of immediately send me a link, where I could join, where he could show about what he was talking about. Then displayed on screen as well which was a very new and sort of good experience for a customer. So thinking from those lines, I believe there must be some more initiatives like that going on. Will you want to highlight them? Or secondly, is there incremental cost that comes, because of this is also resulting in better conversion rates. And basically it's making sense.

Management: So, yeah, we are looking at a very segmented and specific approach. I think Sarbvir and the team are doing some very elaborate work on how we should utilize process and technology changes to make things better. But I think it's Sarbvir's question to answer.

Management: First of all, I'm glad that you had a very positive experience. I think we are trying to, as we've, I think, explained, we have a segmentation strategy. So health insurance is not just health insurance. We have broken it into various buckets. In each bucket also, then we focus on making sure that we, the advisor, tries to offer a screen sharing option. We call it screen sharing rather than video call, because the customers prefer that rather than having cameras on both sides. And we show the customer the whole journey as what is the product? What is the comparison? What is good about it? What are some of the issues? So that whole thing very transparently can be

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discussed. So if you think about it, this is an alternative to a physical meeting. So physical meeting is, of course, very good, but this is equally good because you can go through the whole process. So we are continuously thinking of ways to make the process smoother, as well as answer the questions that the customer may have. Some of them actually they directly ask, and some are implied. They may not ask it, but they may be worried about it. So then we share that that information to them on Whatsapp or on email and say that, look, this is some of the issues that you could have. It's around waiting period around maternity, around what is allowed in the policy, what is not allowed. So I think it's a series of things that we are doing to address customer needs, some implied, and some direct. And you know we it's a continuous process that we are going down.

Sachin Dixit: Thank you so much. Cost-Benefit analysis if you can quickly highlight.

Management: Honestly, at the scale at which we operate. All of these are very small marginal costs that come, and the conversion, the change in conversion overcomes the incremental cost very, very easily. So it's not really a cost issue. It's more trying to find ways to get more business. I think, as you know, right, economics of the health business with the renewal is really good. So spending a little bit of extra money upfront is not a challenge.

Management: As we are closing, I'd like to close with particular few statements. We are at a very, very early stage of evolution. We are solving a pretty big problem. At a high level, we are solving the social infrastructure problem, you know social security. Most countries, whichever way, whether you talk about the government or the people, end up spending about 30% of all income on social security. Developed countries that spend a lot of social security is 30% of GDP. And you know, countries which do not spend a lot of, then the people have to pay for the social security, either pay for it in cash or pay for it in kind in terms of you know, agreed situations. But it's a very, very big industry, perhaps the biggest industry in the world. Within that we are very specifically focused on the healthcare industry. And I

know in some of the questions, at this point, you see us as a baby, because basically, some people, are seeing it as some kind of an online platform that gets traffic. And yes, that's the starting point. But as we look into the future to get deeper and deeper in this, at a fundamental level, the problem we are going to solve is what is the problem in the healthcare. It's all about misaligned interests. A person does not want to buy insurance till they need it. By the time they buy insurance. Nobody wants to give them insurance. The hospital wants to overcharge for stay, the insurance-payer problems. Now, all these problems need to be ironed out and solved. And yes, our endeavour, if you ask us in the long run, is going to be to address all the problems, and I

emphasize on the word all. Not on just the front end demand side, and which is where you know, sometimes when, I know we always never respond very properly on some questions. I think the mistake people make of looking at us is looking at us in a very static position and looking at us just the online platform. I think if you were to look at us from a 15-year point of view, that would be a mistake. That's at least not our endeavour. I wouldn't be happy if 15 years from now we just an online platform which is doing some comparison, sending traffic here and there that would actually, for me personally be quite a disaster. So with that, I'll close now, and you know, look forward to these next 15 years. But thank you very much for joining. And yeah, thank you!

Call: Aug 2024

August 13 , 2024

To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai – 400051

SYMBOL: POLICYBZR BSE Limited
Department of Corporate Services/ Listing
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400001

SCRIP CODE: 543390

Sub. : Transcript of the Earnings Call conducted on August 07, 2024

Dear Sir/Madam,

In furtherance to our earlier communication dated July 22 , 2024 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith Transcript of the Earnings Call conducted on August 07, 2024 .

The transcript of Earnings Call is also available on the website of the Company at <https://www.pbfinetech.in/investor-relations/> .

You are requested to kindly take the same in your records.

Thanking You

Yours faithfully,
For PB Fintech Limited

(Bhasker Joshi)
Company Secretary and Compliance officer

Encl.: A/a

PB FINTECH LIMITED
Q1 FY2024 -25
Earnings Call
August 07 , 2024

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Management: A very warm welcome to PB Fintech Limited Earnings Call Q1 FY 2024 -2025. Today we have with us :

- Yashish Dahiya, Chairman & CEO, PB Fintech
- Alok Bansal, Executive Vice Chairman, PB Fintech
- Sarbvir Singh, Joint Group CEO, PB Fintech

■ Naveen Kukreja, Co-founder & CEO, Paisabazaar
■ Mandeep Mehta, Group CFO, PB Fintech
■ Rasleen Kaur, Head, Corporate Strategy & Investor relations, PB Fintech

I hand over the call to Yashish for the initial address.

Management: Thank you very much, Rasleen. Today we share our performance update for the Quarter ended June 30, 2024. We are extremely thrilled with our Health and Life insurance business, which are a bulk of our long-term values; which are witnessing a combined growth of 78% year on year in new premium for Q1 FY25. I just wanted to pause at this moment and kind of give you a sense of the overall picture. I think every organization has a stage. There is a growth stage; there is a majority stage, and perhaps there is a death stage at some point. I believe we are still in the very, very early days of our growth stage. Just to put in perspective; we haven't had growth like this in a very long time and this is on the Core business itself. In anticipation of that growth, we have built up some additional capacity. We have probably overspent by about \$ 3 million this quarter in terms of actual operating capacity but that's a sign of our confidence that we believe this growth could carry on and that's why we've done that.

Our total insurance premium for the quarter was ₹4,871 Cr; new Core insurance premium grew at 66% for the quarter; Core insurance premium grew 46% for the quarter with the Core insurance revenues growing at 40% YoY. The slight disappointment in this quarter compared to where we thought it would end - we thought Credit would end up somewhere between 0 to 10%, that's what we mentioned but it's actually below that. Credit is at ₹130 Cr, but it is about -8% YoY or so. That is something that we need to repair quite quickly. New initiatives grew 2.3 times. New initiatives have really surprised on the positive, 2.3x growth. I just wanted to kind of again lay the landscape out here. Last year, if you notice in the same quarter, we hadn't grown so much, and what we had actually done, and what we explained at that time was, we had moved from large consolidators into smaller and smaller partners, and so we had gone more granular in terms of our distribution base. Now, of course, that granular distribution base is growing and so it is now 2.3x. What you would notice is the losses are actually lower than last year, and in terms of percentage they were -31% last year and today they are about -12%. There is a significant improvement in the percentage of revenue.

Our revenue for the quarter grew 52% year on year to just over ₹1,000 Cr, and PAT improved to a profit of ₹60 Cr. But once more, as I mentioned, we are in the growth phase and we are not trying to optimize profits. Again, as I clarified, this could have easily been ₹90 Cr or so, but it is ₹60 Cr, and that is the over investment in operations. Our renewal / trail revenue is at an ARR of ₹559 Cr, up from ₹418 Cr last year. This typically operates about 85% margin. Don't worry about renewals at all. They are in very good shape, and as the year progresses you'll see that very clearly.

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We continue to improve our customer onboarding and claims support services. This is something we track very diligently. The insurance CSAT is now at 89.9 % and I'm really hoping we cross 90% soon. We were 87%, I think, a few quarters ago. Credit business has seen moderation and growth, however, continues to be EBITDA positive which it has been since December 2022. We really need to think hard and figure out how we grow this business. Our total credit score consumer base is

now at
about 46 million consumers.

We continue to strengthen our leadership in New initiatives. As I said, growth to 2.3x, 131% year on year, with adjusted EBITDA margin improving from -31% to -12%. PB Partners, our agent aggregation platform, continues to lead the market in scale and efficiency, and if I look at the last 6 months, that differentiation in scale growth and quality growth on competition versus PB Partners is now becoming strikingly clear. Which is what we were trying to explain in the last 6-7 quarters but that's now actually playing out. We have moved the business increasingly towards smaller and higher quality advisors and we are most diversified across different lines of business. We are present in 18k+ pincodes covering over 95% of the country. This business really helps us because if you notice, a bulk of this business is still Motor insurance. Our Core business is increasing on the Health and Life side, whereas this business is really increasing on the Motor side. Our UAE insurance premium have grown 64%. I must say I'm very pleased with the way the UAE business is going; it is growing beautifully. It's an absolute B2C business, building a strong brand, and vying for leadership in the UAE market. We are happy to take questions now. Thank you.

Management: Thank you. Yashish. We'll take the first question from Sachin Salgaonkar from Bank of America. Sachin, please unmute yourself.

Sachin Salgaonkar: Thanks Rasleen. Hi Management, thank you for the opportunity. I have three questions. First, following up on Paisabazaar or Credit. It looks like the industry's recovery towards unsecured is also slow. Any general thoughts in terms of how much time we could see from a recovery perspective, or any plans to completely revisit what you are doing from a business

perspective out here?

Management: Hi Sachin, this is Naveen. Like you said, we're seeing industry moderation for the last few quarters driven by the advisory from the regulator on the unsecured specifically and, also equally driven by the changes in the processes at the industry level to strengthen the overall ecosystem. Our sense right now is that on an annual level the growth will come back. If you look at the fundamental level, GDP growing at about 11% nominally and retail credit growing a little higher; and within that, unsecured a little higher than secured, because of NIMs and Margins. The industry should get back to growth in H2 is our estimate, and hence we expect to resume our growth trajectory in H2. We are meanwhile also strengthening our secured business focus. So we expect the secured business to outgrow or grow at a much faster pace than unsecured. Our longer-term strategy for the secured business is to come to about half of our overall disbursements, currently stands at about ~15% percent. We are also evaluating a couple of other channels like POSP distribution but that is right now at an evaluation and background building stage.

Sachin Salgaonkar: Naveen, a quick follow to you. What's the right to win in the secured lending for you guys as a fintech because you end up competing with the traditional guys who have been in the space for many years?

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Management: The right to win would be similar as it is in unsecured. What we offer is a transparent choice, options to consumers and go over a period of time as you have developed the unsecured ecosystem. We go deeper than any other individual player that can offer those options to the consumers, so those parts will remain similar. What is different in secured is the last mile fulfilment, which in unsecured is moving digitally, faster in credit cards, followed by unsecured. And as account aggregator systems stabilizes, it is expected to move even more digital. In secured, the last mile continues to be offline. We will build

fulfilment capacity and we are building, working on that for the last couple of quarters and we'll start to see some results in Q2 and H2. I think that will be the differential in terms of our ability to fulfil. We already see good demand in secured. It's just that we were not able to fulfil that in a digital fashion, and the industry is not yet there from a digital perspective and we're now building the offline capacity.

Management: Sachin to your first point. Yes, with Naveen and the Board, we are really trying to figure out how do we make this a more sticky business rather than only an unsecured credit platform. There is value as an unsecured platform and that will continue to be there, but at the unsecured, every few years, there is a big fluctuation in supply and that makes it a little challenging at times. I think we are really thinking through what is the way there, whether secured is the way. If you look at the European market, out there, secured is the largest part of what Fintechs do from a lending perspective. So there is a value there. Re-mortgage market is largely on what you would basically call Fintechs. That is a market you could be quite large in. I would say, maybe in the next quarter or two, you will have a lot more clarity on the direction of Paisabazaar. But our hope is we come out with a stronger direction compared to where we are right now.

Management: Sachin, just to add one more point. Our credit score business continues to be super strong, and is a way for consumers to experience our brand as a first kind of product that they invariably do, and that has over a period of time helped us build engagement, and hence cross sell and increase the Lifetime value. We are working in the background on strengthening the engagement part by launching more personal finance products, riding on account aggregator framework. Right now, it's at a development stage, so hopefully, I can share more details same time next quarter.

Management: Absolutely. I think it's going to be a data led strategy one way or the other. I think that's where it will play out.

Sachin Salgaonkar: Thank you both. My second question is - I just wanted to check if there is any one-offs in employee expense or ESOP, because that appears to have moved on a QoQ basis out here.

Management: There was a GST cost of ₹25 Cr which we have paid, and that is a one-off.

Sachin Salgaonkar: Got it, and this came both in Employee as well as ESOP, right?

Management: This will not be in Employee or ESOP. This is Other expenses. Sachin, very simply, on operating cost, I explained - we have over-invested from a capacity point of view, so leave that out. In other costs, there is a ₹25 Cr which we have paid on account of GST, and that is what you're seeing. It's a one-off.

Sachin Salgaonkar: Got it. Last question what I have is regarding, your perhaps possibility of shareholder returns. The way we look at it, your new initiatives business is scaling. There's no big

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M&A which you guys are looking to do. And with the Core business growing clearly, you guys will be generating a decent amount of cash going ahead plus there's a good cash on balance sheet. So any

thoughts of potential share holder returns not immediately but let's say 12 to 18 months down the line.

Management: No, I think, as I said, that is something we want to evaluate after I would say March '26. It is not on the cards anytime soon.

Sachin Salgaonkar : Got it. Thank you.

Management: We continue to invest. You're absolutely right. Today, the current business clearly does not require the amount of capital we have on the books.

Sachin Salgaonkar : Thanks.

Management: Thank you, Sachin. We'll take the next question from Sachin Dixit, JM Financial.

Sachin, please unmute yourself.

Sachin Dixit: Hi Rasleen. Thanks for the opportunity and congrats on a great quarter. My first

question is that I am seeing some sort of a divergence between our take rates on insurance business versus the contribution margin that we are seeing in the existing business. If my understanding of commissions is right, when Health and Term as business mix grows, ideally we should see a higher take rate happening, because I believe in the first year itself both of these will be probably your top two sort of take rate categories. We are still seeing a decent dip on YoY basis in terms of take rates. While on contribution margin, I do understand the logic that contribution margins can take a hit if Health gains in mix in a particular quarter. I do understand the dip there but what is explaining the dip in the take rates.

Management: Yeah, so I think, Sachin, there are two points. The take rate is changing because of the mix towards Savings products, because we sell a lot of ULIPs, and I'm sure you must have heard from all other industry players also that right now consumers want market-linked products and that has always been our strategy. So I think because we sell more ULIPs, their take rate is lower, and hence the overall take rate goes down. The contribution margin actually is around the same number, just off a little, and that is largely because of the Health fresh business. When Health fresh grows, it comes at 0 contribution, because we invest in anticipation of the renewal trail revenue. So because of that whenever Health fresh will grow strongly you will find there will be a small impact on the contribution. And that's what it is. So that's why these two are slightly different, and what you are calling divergence is because of this issue.

Management: So Health and Term continue to be at the same take rates as before. There nothing has changed. On Savings, our take rate would have come down simply because the product mix has shifted much more towards ULIPs compared to how we were in the past. On the contribution side, Health growth, which, of course, is part of that Health and Life growth and very similar numbers across both of them. Out there you get a first year contribution, which is 0 versus on average, what is about 40% or so. So whatever is your delta in Health growth versus your overall business, because overall business growth would be lower than that; that has an impact. But in the take rate there's nothing to worry about from any product category except for Savings where the take rates are lower compared to last year, and it is because the Savings is becoming a big category that will have an impact in the overall take rates.

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Sachin Dixit: Understandable, on that piece. Basically what I was trying to refer to, that our new business in Core has grown by 66% YoY. Health and Life, as you have highlighted have grown at 78%, so they have certainly gained in mix, which explains the contribution margin as you highlighted like it's 0 contribution margin in year one in Health. So that's why contribution dip. However, can you explain, like, how much have you ULIPs grown on YoY and have they really gained in mix?

Management: I'll explain. Suppose Savings is 25% of our business. And in Savings, let's say the margin has reduced by 15%. I'm just making up that number. I don't have the exact number that I could give you. Maybe Rasleen can provide those. Then obviously 25%, 15%, you will have an impact of about 4% coming down straightaway. You'll see that across the board because the Savings margin has come down. It's not that the Savings margin is lower than the rest. It is just the Savings margin has come down from last year.

Sachin Dixit: I'll move to second question. Do you have written off some investment in MyLoanCare ventures? I know it's a small investment but can you please highlight like what were

the

original expectations from this business?

Management: MyLoanCare was an investment that we had made. It was one of the original three investments that we made. We made one in YKNP, one in Visit Health and one in MyLoanCare. I think in hindsight the mistake we made there was - we took too much equity. We took a 70% stake. I think that was a mistake. The sweet spot for us is not that; the sweet spot for us is really 20-35%. Because if you go beyond 50%, the founder somehow believes that it's not their company anymore. I don't want to delve into it but it was more of the founder saying - It's your company, so you manage it, and the founder left. So once the founder left, we don't want to run the company, because that

was not our purpose for investing . We always wanted it to be a founder -led company, and I think that is really where our mistake was. That was where early learning was. I think in the future you should not see us making such an investment unless it's strategic for us in some way. We were a financial investor and I think as a financial investor, you should not take such a large stake . I would just call it an early learning.

Sachin Dixit: And what was the nature of business under MyLoanCare ventures?

Management: MyLoan Care was a tech based NBFC , which was supposed to build its own business, and we, of course, had no intention of going on investing forever behind building a bank . That was not our intention .

Sachin Dixit: Got it. Yeah, thanks.

Management: Thank you, Sachin. We will take the next question from Ashwin Mehta , Ambit.

Ashwin, please unmute yourself.

Ashwin Mehta : Hi! Thanks for the opportunity. So one question Yashish , in terms of renewal ARR. There seems to be a dip this quarter, and even in terms of the Policybazaar business, it seems there is a slight reduction. What is driving that reduction in terms of renewal ARR? This is the first time that we have seen something like that.

Management: Sarbvir can answer it in as much detail as required. But we obviously spend a huge amount of time on this. Our renewal rates at every level - R1, R2, R3 are doing much better than before. R1, R2, R3 are our first year renewal, second year renewal, third year renewals; renewals of multi year policies. Everything is doing much better than before. It is just that our growth in Health is

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really a 4 -5 quarter phenomenon. What you are seeing is the impact of the slow growth 12 months ago or so . I don't even know whether I should say this, but I think this was the last quarter where you would see slow growth on the renewals. Next quarter onwards, you should see pretty strong growth in renewals, and that is just a question of how they appear. There are two ways to think about it. There is multiyear policy, single year policies, a lot of complexity in it. But the renewal rates themselves are very robust. What you should see for the year, because it's something we really know. For the year, we'll get about 45% or so. It is just the 1st quarter was at about 34%. Next quarter will be ~40%, and then it will be higher and higher. But it's just how it plays out. Sarbvir, you want to add anything specific .

Management: No, I think you covered it. The only thing I'll just say is that ARR is a moment in time. If you look at the rolling 4-quarter numbers, you'll find that, as you would expect, they continue to grow. They are on Slide 12, and you can actually see the numbers over there. So ARR is just a moment in time, and is a reflection of, as Yashish explained, somewhat slower growth last year. But as you look at the 4 -quarter rolling average, you'll find that the growth is quite significant and will continue to strengthen because our fresh business strengthened last year every quarter from Q2, Q3, Q4.

Management: See at a very fundamental level if there is ever a problem in re

newals, you will

definitely hear it from us. Like right now , the renewals are in superb shape.

Ashwin Mehta : Sure, thanks Yashish. What you are saying is basically - you saw second half of the last year being pretty strong in terms of Health, and that's continued and as you get go through the year, there should be an improvement.

Management: Let me put it very simply . I did not expect our fresh to be outgrowing our renewals. We're in a very lucky place that that's happening. If you ever spoke to me in the last 3 -4 years, I've always said nobody can predict fresh growth. But renewal growth we can predict very accurately. It is just that we're in a very strange position where our fresh is growing at more than double the rate of our renewals, which is a very lucky place to be in , at this scale .

Ashwin Mehta : Yeah, got that, understood. Just if you can just remind me, I missed the part in terms of what's the credit -linked revenue this quarter.

Management: ₹130 Cr.

Ashwin Mehta : Okay, thanks a lot and all the best.

Management: Thank you, Ashwin. We'll take the next question from Srinath, Bellwether Capital .

Srinath, please unmute yourself.

Srinath V : Hi Yashish! I just wanted you to spend some time on the Savings business and the progress. We set up the offline channel and on top, we are kind of under indexed on market share on the Savings business. So how has it been progressing over an 18 -month period from a volume perspective, from a product mix perspective? How successful has the conversion to offline been from this product perspective. If you can help us understand how this is progressing , that would be great.

Management: Yeah, sure, I'll take it into 3 parts. One is , as you said , we were under indexed on the Savings side. Savings is a very large market, and I think if you see in the last, say 4 quarters, we have made significant progress. I think our market share has probably doubled. It was a very small

number and it has doubled from there, and I would put it down to three things. One is, as you said, that we took of fine strategy in Savings first. About 2 years ago, it was the first business to do that. So that first kick we got was from being able to have higher productivity and output from the offline side. The second productivity lever which came last year or over the last 12 months is our regional expansion. When we went offline, we did two things. One is that we had Feet on Street, and we also set up centres. We now have 12 centres all over the country, and these centres essentially have people who speak on the phone, but in the regional languages. The language opportunity took a while to come through. In the first year, the productivity was not that great, but in the second year the productivity significantly improved, to the extent that now our regional language productivity is actually better than our Hindi productivity. That's also obviously because of the quality of leads, etc., that they are getting. What is happening is that two things kicked in - both the physical and then the regional side. The third thing that has happened from a product mix perspective is that we always used to sell; we were always a ULIP shop; but we have a Capital guarantee product as well, which we sell in the domestic market. NRI is largely pure ULIP. I think one thing that we learnt over this journey is that the customer who comes to Policybazaar is a more evolved customer. That person has a greater understanding of financial products, of insurance and interest in the matter. So you have to sell them the best products. And that's why, if you see today, we are selling again some of the lowest cost ULIPs. In fact, many of the ULIPs that we sell are lower cost than mutual funds. We are selling these and our customers have come to appreciate the fact that we are offering very attractive products. Of course,

the fact that the market is doing well is helping us. I think if you put these 3 points together - physical expansion, regional calling, and then the fact that we are selling even better products, has led to this phenomenal growth over the last 12 months.

Srinath V: How would our market shares be trending in ULIP, Sarbvir, given that the traditional Savings product seems like much more push and customer unfriendly in that sense? So if you were to only look at ULIP, how is our market share currently and how has it progressed over again 12-18 months? Any colour you can share that would be great.

Management: Again, as I said, two things have happened. Our ULIP sales have gone up, and ULIP, as a percentage of the industry has also gone up. If you see, the ULIP mix is probably at its highest, at least in the last 4-5 years. But overall I would say that our share of ULIP has gone up, and ULIP's share of the industry has gone up, which is leading to us doing much better on market share in the industry.

Srinath V: One question on Health. Given that, this is my rough estimate, that about maybe 15-20% of retail claims at the hospital level should be coming from our customer base. Can we directly engage with hospitals to provide some extra service or some value addition for our customer base? How are we looking at the fact that now we have gained some sort of scale economics from an administration point of view or a claims point of view? How can we leverage all this to do something better?

Management: So, all I can say is, in the last six months, I have probably spent more than 50% of my time on that, me and Alok, on that particular problem and that particular matter. And we have also discussed at the Board level, we are starting to develop a very clear path in the direction we are headed. Just give us maybe another quarter or so. I think we will have a very good solution out there, which will focus a lot more. See, at a very fundamental level, let me kind of say what I have to say. I think today's healthcare model is focused on revenue per bed. We believe the model of the future will be one that focuses on lifetime value of customer. And the lifetime value of the customer

starts from the insurance premium that they pay. And the value you derive is that minus the total healthcare expenses that exist. Now how that gets divided up, what is for the distributor, what is for the insurance company, what's for the hospital, etc., etc., is a question mark for everybody. But I think unless one develops that, at some level, we will have a challenging time in the next 10, 15, 20 years. And that's what I said, those are the kind of issues people like me really get paid to think about. And that's what we've been spending time on. We've had some good discussions. It's too premature to kind of get into what and how yet, our effort is to make the life of the consumer much easier. That's it. And you're right, the scale does help.

Srinath V: Thanks Yashish! I'll get back if I have any question.

Management: Thank you Srinath.

Management: We'll take the next question from the Dipanjan Ghosh, Citi. Dipanjan, please unmute yourself.

Dipanjan Ghosh: Hello! Good morning! Am I audible?

Management: Yes, Dipanjan.

Dipanjan Ghosh: Hi! Good morning. Just a few questions from my side. First, if I look at your contribution margin trajectory versus your EBITDA margin trajectory. There is a clear difference. So

just wanted to understand what sort of leverage benefits you're getting on your overheads ex of business acquisition cost. Because contribution margins are down but EBITDA is up, so definitely there is some savings per scale, on maybe brand spends or other expenses. If you can give some colour on that.

The second question would be in terms of your incremental investments in the hybrid strategy, and also new initiatives, in terms of

scaling up your Feet on Street or the overall physical presence. How should one think about it?

Lastly, on pb Money and pb Rewards. You have mentioned some pilots that you'll be doing during the course of the year, if you can just elaborate on the strategy behind that. And will there be any cash burn going ahead?

Lastly, two data keeping questions. If you can give the retail Health growth number for the quarter and the second will be just on the renewal ratio follow up. I would assume that in your Core business the renewal ratio is probably up YoY. But the renewal growth rate is just reflecting the trajectory of new business growth rate witnessed in the base quarter. Is the assumption correct?

Management: Okay. Let me try and go through those questions one by one. Of course, if our contribution margins are at about 40% that will have an advantage. Our fixed costs are genuinely fixed except for yes, at times we have to invest for growth. Now, what does growth investment imply? Let us say we are doing the Health business, and you want to start a new focus on a segment, it could be any, it could be various segments. For that we would put together a team and we would start growing it, so there'd be initial investment in that. See any team, any focus, what we have understood, it costs you a couple of crores a year, for that little segment-focused team creation. And then it takes you maybe a year to kind of break-even on that. So there is a bit of cost that comes on the fixed side there. But other than that, our fixed cost definitely fixed here, we will have standard increments at about 10-12%. And I would say, even when we start new businesses, the way we utilize our Management is - most of the Management is ready to think about new businesses, and or

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at least we have some proportion of our Management that can think about new businesses. If you think about our POSP business, our Corporate business, our UAE business, most of that has happened through internal Management and I would say, even if you think in the future, we are envisaging internal management to be leveraged more and more for that. So I think, yes, the costs are generally fixed, and they will obviously grow much slower than the benefits that comes in from there. On the renewal part, I know everybody is having a difficult time trying to grasp why 34%, why not higher. For the year we will be at between 45 to 46%. Just for now, we don't give guidance but on that thing it is so precise you can't really get it wrong too much. So leave it at that, just wait out the year and let it play out. But everything's working well. As the biggest source of long term profits, you can imagine how much time we would spend if we thought some thing was actually wrong there.

Management: For incremental investment in POSP etc., we have said we will break-even in a few years and that is our plan. The Management is going to be incentivized on the basis of profits, but with a 5-7 year time horizon. We don't expect investments to be higher. But listen, we don't want to shy away. As I've always said, there will be a time. We are here to do well in that category; we are very confident of the category. Whenever required, we will invest behind it. We will keep our options open and close to our chest.

Management: pb Money, pb Rewards, Naveen, if you have any update on that.

Management: So like I mentioned in the earlier comment, we are thinking about strengthening the consumer engagement. We've done well in terms of credit engagement and credit management for customers with 46 million consumers taking their credit score, and then a lot of them using that to track their score, improving their credit score. We are extending the thinking on financial management on the back of account aggregator framework. The idea would be to just simplify it for consumers, help them manage

their money better, thereby increasing engagement. That pilot is expected to be launched in Q2. We do not expect any significant cost, if your question was around the cost side. The pb Rewards was more around the loyalty and the customer lifetime value and how do we drive or give a higher incentive for consumers to come back to take the second or the third product as and when they need it. So we're thinking through that. I've mentioned, if you see the slide that our pilot is expected to be in Q3-Q4. So again, no significant cost implication from this year perspective. We'll have more clarity when we do the pilot basis the consumer response. And but yeah, from a this year perspective nothing significant from a cost perspective.

Management: See, where do you spend money? You largely spend money, direct cost money, either in branding or operating costs. Those are all within direct costs. When you're building a B2B business, you're unlikely to spend that much. And I say, B2B, because the core brand out there is Paisabazaar and the core brand is built and everything else is working in the background of that. So don't anticipate anything major on any of those add-on mechanisms. We'll obviously give more

clarity once we kind of get there. Also on the operating costs, since you asked about field people and all. See whether people are in the call centre or whether people are in the field, it's absolutely fungible. So you'd be very surprised, it's not like people are only in the field. Sometimes we have a mix, where people will be in both the call centre and the same people will go out and have meetings. Sometimes we will have separate teams, one doing the calling and setting up appointments, another one doing the physical meetings, and somewhere we will have direct, all the way to physical, and it would depend on location, terrain and various other things. Of course, as Sarbvir explained, there's a lot of sophistication going on in terms of which languages, etc. but that is all part of our direct costs of operations. There is no separate investment going in in any one of them.

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Dipanjan Ghosh : Got it. Just one question on the retail Health growth for the quarter.

Management: There is no surprise that the 78% number is fairly indicative of both Health and Life. So there is not more than a 2% difference between one and the other.

Dipanjan Ghosh : Got it. Thank you, and all the best.

Management : Thank you, Dipanjan. We'll take the next question from Madhukar Ladha, Nuvama. Madhukar, please unmute yourself.

Madhukar Ladha: Hi, good morning! I wanted to just clarify one thing - On the renewal premium growth you mentioned that while for this quarter it's a little bit lower but for the year you're pretty confident that will grow at 45% year over year, and that is for the online business. Did I hear that correctly?

Management: Absolutely. You're absolutely right.

Madhukar Ladha: Okay, perfect. Just moving on, if you look at the retail Health in industry that's growing, closer to 20% ballpark, however, we are growing closer to 80%. We all know that the number of lives covered are not growing at that rapid a pace. So a lot of the business is churn business, right? I wanted to get a sense of the following - In the new lives that we are getting, what percentage is churn and second, how much of this 80% growth is because of multi year policies. My guess is that multiyear policies will be more profitable in the first year itself. Then why is our Core contribution margin not improving even more sharply?

Management: So let me clarify on the second part, Madhukar. Our multi year this year is lower than our multi year in the previous years. So that is certainly not explaining growth. In fact, if anything, our growth is understated because of that. I'm just clarifying that because obviously, that's something

we will track. Churn as a percentage and we clarified this in the past also, as part of our new business is much lower than industry. Somewhere between 50 -60% of where the industry is. I guess that kind of clarifies both points. Yes, we are growing and we are very happy about that. But that growth is as it is. If our multi year was exactly the same as what it was 12 months ago, our growth would be higher, not lower. So yes, we're getting more single year policies than multiyear policies now.

Management : In fact, if I could just add. There are two things that are playing out in health insurance, Madhukar. The affordability is becoming a bigger and bigger concern. So actually, a source of growth for us is the fact that we are able to sell on monthly, quarterly, modes as well. It's not really the multi year policy that are driving our growth, I would actually say the reverse, that the monthly/quarterly modes are driving our growth. And the second thing that is happening is that we are a source for fresh lives in the industry, and that has always been our story that we are bringing fresh lives into the industry. And obviously, companies can sell other products to them, etc. and of course we can also do that. So, I think our portability is not a driver of our growth. It is the fact that we are bringing fresh people and like I said, part of it is affordability, and part of it is the products. If you look at the products that are available right now on the Policybazaar platform, almost significant portion of them are at an advantage versus the overall market. Because as a company, we are not really focused on ticket size, we are not trying to drive ticket size, attachment, etc. We are actually trying to sell Core Health insurance, and while it may sound strange, is not necessarily every distributor's thought process. Those are the 2-3 points which you should keep in mind as you think about our growth.

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Madhukar Ladha: Understood, and just a follow up on the margins. So what will margin differential between like a 3 -year health policy that you sell versus a 1-year health policy. We know that the 1 -year policy is sort of negative contribution margin.

Management: When you look at an NPV basis, they are the same. I know what we report is a financial number, obviously has to be financial. But what we internally look at is NPV accounting. They are exactly the same whichever way you do it. So it actually doesn't matter either way. I know what you're saying. From a cash flow perspective, maybe you make a little more money in the 3-year policy. So yes, you might make a margin on that compared to a fresh policy. That's something we don't think too hard about here, quite honestly. So eventually, it's about building the renewal

base, etc. But again, something that one can spend some time with Rasleen, and try and understand a little more deeply if one is really interested in that. See as shareholders, I would say shareholders would be interested in the NPV, which is where we get interested. Looking at just quarterly numbers may not be the best on that.

Madhukar Ladha: Sure. Thanks and all the best. Bye.

Management: Thank you, Madhukar. We'll take the next question from Yash Gandhi, Stallion Asset . Yash, please unmute yourself.

Yash Gandhi : Hi! Thank you for the opportunity. I'm audible?

Management: Yes, Yash.

Yash Gandhi : Thank you. So my first question is that your total premium has grown 62% this quarter, but your revenue has grown less at 52%. I just want to understand, why is that the case? Ideally, would the revenue and premium grow in sync?

Management : Longer term, you are right, premium and revenue would grow in sync. But, as we explained; in our Savings business, the take rates have reduced in the last 1-2 years. And as Sarbvir explained earlier there were Capital Guarantee products which were a significant proportion, they

are reducing, and the ULIP part is growing, which has lower take rates. It's good, you kind of mentioned it that way. Assuming our product -mix did not really change much, from 62% to 52%, actually Savings has grown, rapidly, but that alone would not explain it. It is a decline in the Savings' take rate, which will explain the 10% gap that you are talking about. So see if you think about it, 1.6x sales to get 1.5x revenue. That is on a percentage basis, a decline of about 7%. If Savings was about 20-25% of our business, and that declined by 15%, that would pretty much kind of cover a bulk of the explanation.

Yash Gandhi: Right. So the percentage of Savings you're saying has decreased like in terms of total mix.

Management: No, the percentage of Savings has not decreased. It has increased, but that increase alone would not explain the shift. What would explain the shift is the decline in the margin of Savings. See, Savings might have been at a higher take rate earlier compared to where it is right now. It's an almost 60% of the take rate or something.

Yash Gandhi: Got it, Sir, and my second question is, Health insurance premium has been very high, this year as well last year, but I just wanted to understand why the ARR in your renewal revenue has reported a sequential drop. I'm sorry if this was clarified before, but I just want to understand that.

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Management: The question is on quarter on quarter?

Management: Yeah, yeah.

Management: Look, the crazy thing is actually our insurance premiums and revenue in Q4 and Q1 are very similar. That in the insurance industry is unheard of. Like, whose Q1 is going to be equal to their Q4. I think the right number to look at; that's why we put it in the presentation, is the 12-month rolling number. That is the right way to look at it, because that takes care of seasonality and then you see the actual growth quarter on quarter. It would be a bit unfair to compare. Please appreciate half the industry goes on holiday in Q1. So you know, Q1 and Q4 comparison is a bit unfair.

Yash Gandhi: Okay, got it. Thank you. That was it. Thanks.

Management: Thank you, Yash. We'll take the next question from Shreya Shivani, CLSA. Shreya, please unmute yourself.

Shreya Shivani : Yeah. Hi, thank you for the opportunity. I have three questions. First is a data keeping question. Have you shared the premiums for POSP, Dubai, and Corporate business for the quarter and if you can share that, please. Second is on the Health insurance industry. This is more to do with the industry, and how it could impact a distributor such as yourself. A lot of the manufacturers at different point in time, since the past two years have been taking different price hike and you did mention about the problem with the affordability in the business for the end customer. So what has been your experience with the customer behaviour when such price hikes have come in? Or will we start seeing this behaviour change, or any impact from that behaviour only once the renewals from 2nd quarter or 3rd quarter starts kicking in? Do you expect the porting out like the customer may still be on your website, but they may port out from one manufacturer to another manufacturer? Do you expect those trends to pick up, or any concerns if you have around that? And 3rd is on your traditional saving products which is par and non-par, if you can help us understand if you had any discussion with insurers in change of commission structure or deferment of 1st year commission. Any colour on that will be useful. Thank you.

Management: So first of all, POSP is ~₹1,000 Cr, Dubai is ₹213 Cr, and Corporate is about ₹272 Cr.

Management: The price hikes that happened in the industry are actually something that happened about 15-20 months ago. We've now been through a reversal of that

cycle that happened then . It is

not as extreme right now as it was back then and our renewal rates have held up. In fact, they are only improving, so we don't see that issue. As I explained, our porting is lower than the market. How do I say it in the simplest form? We are the solution, we are not the problem; is one way I would leave it. I think we have superior disclosures; we have enough data to kind of prove that. We have better sustained claims ratios and we have better claim settlement rates. So, as I said, we are part of solution, not part of the problem.

There is another side of the problem, which is a fee for service model. I think that's unsustainable in any country, not just India, wherever you look in the world, if you have a free flowing fee for service model for healthcare. Essentially, every healthcare provider is looking at room rent per bed. And today you are seeing people having ₹60,000 - ₹66,000 room rent per bed. That , at a fundamental level, forget about insurance, forget about anybody. Who's the average customer who's buying these insurance policies? This person has an income of ₹6 lakhs to ₹10 lakh rupees a year. That's the bulk of the people who buy these policies . How can a person like that afford to spend ₹60,000 for a

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room rent? It's impossible, right? I think our healthcare facilities are really not taking care of that next 20%. It's not an insurance problem. Nothing insurance guys can do about it , right? I think that model needs to be fixed. And we would try to figure out how we can play the most important part in that. Our healthcare today is for the top 4% of the population, we need to figure out how the next 20% -25% of the population is going to be handled. And unless that is done, prices will keep going up year on year because that's going to be an issue.

Shreya Shivani : That is correct. Yeah.

Management: So yeah, I just want to add some colour. You have to understand, Pricing over the last four years - two years they didn't go up at all because of CO VID; after two years we had one big sort of round and then now it's much more normal, as Yashish explained. The reasons we are able to handle these price hikes and yes, they do play a part where they happen, especially when they are very high - there are two things. One is that we are selling a lot of the modular products that are available on our platform. There's a new design that over the last 15 -18 months, we have sort of worked with our partners to introduce. In these products , one of the features that they have is that the no claim bonus accumulates very strongly from year to year to year. So there are some which are 5x over 4 years, there are 7x. Now, there are some which are even having unlimited Sum insured . Now, when you have these kind of products, and when their renewal comes up, we actually find that the renewal rates are higher on a NO P basis than any other product. Because the customer, supposing you started with ₹10 lacs and now you're at ₹20 lacs or ₹25 lacs, your ability to change becomes much less, because the person who's going to sell you a fresh ₹25 lacs product will be much more expensive. That is one way that we are handling this thing. And the second, again Yashish touched upon it , is the fact that when you are paying up for a product, you want to ensure that you'll get that service. The promise that we have around claims , the fact that people are getting more and more confident in our ability to handle those claims , is also helping us on the renewal side. I think these are some of the tangible things that we are bringing to the table on the Health side.

Shreya Shivani: That's very useful , especially this product that you've spoken about, that you've partnered with your insurers. So the insurers are not offering it on any other distributor, it's very exclusive with Policybazaar, is it like

that?

Management: As you know, by regulation there can be no exclusive products.

Shreya Shivani: Yeah, you are correct.

Management: The reason that I think we have an advantage on them is the fact that because we have better disclosure, because you are able to price the customer better on our platform, it is more economical to offer these to our customers versus others. But of course, insurance companies are free to offer.

Shreya Shivani : Yeah.

Management: What is a good quality distributor? A good quality distributor is somebody who wants to sell more consumer -centric products, which may at times have even lower take rates compared to other take rates. A good quality distributor is one who does decent disclosure of customers compared to the rest of the market, so that companies really understand the risk at the point of inception, and do not have to put in that effort at the point of claims. And a good distributor will work with insurance companies and with its customers to create products that allow the customer to stay in the same product for a longer period of time. A good distributor is not one who

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just keeps porting customers from left right centre . And that's why I said, we believe we are a good distributor. We have enough data to prove. We believe on the claim side we have now put in enough ability to really solve for claims. We are getting a lot of positive feedback for that from consumers. We believe that is one of the biggest reasons why our fresh growth is what it is. Nothing else

explains it. Nothing has changed in our business model, except for the fact that we have gotten much deeper on the claim side. And of course we continue to work. You may have the same product but somebody else may not be as keen to distribute it as you are because you are more focused on those pieces. I think it's not fair for us to say more than that.

Shreya Shivani : Sure. And last question on the traditional Savings products, any colour you can give on any communication from insurers on commission structures, etc.

Management: So obviously, we know we can't discuss anything related to our insurers. I'll just give you a sense, we don't sell participating products on our platform, and non-par is also a small portion of our mix.

Shreya Shivani : And we don't plan to expand into that sector, or right now it's a limited portion for us?

Management: Yeah, right now, we have no plans to.

Shreya Shivani : Okay, thank you so much.

Management: See at a fundamental level whenever lower take rate products become available, you will more often than not find Policybazaar as a distributor jumping towards them and you would find many distributors having an aversion towards them. You can be the best judge on who is going to be the eventual winner. The eventual winner, according to me, will be the one who goes for more and more consumer centric products.

Shreya Shivani : True. Thank you so much.

Management: Thank you Shreya. We will take the next question from Nischint, Kotak. Nischint, please unmute yourself.

Nischint Chawathe: Yeah, could you give some colour on your market share in retail Health? You've been growing very fast for the last 4-5 quarters. Just curious to understand, how the headroom would be?

Management: We have our fingers crossed. We just hope this growth continues for the next 3 years. The fact that we just invested \$3 million in additional capacity is just showcasing our hope and confidence both, I would say. I hope we are not proven wrong, and we have confidence that we won't be proven wrong. Let's just leave it there. I think there's no point discussing market shares and all.

Nischint Chawathe: No, that's a fair point. But I'm just saying that as a single player how much market share can one have?

Management: I think we are quite small in the big scheme of things. I think we are overall maybe 3-

4% of the overall insurance piece. I think, looking at it in a very segmented granular way, may or may not be the right way. We also worry about those things that you're talking about. They're not for this discussion yet.

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Management: I just want to be very clear. We are right now nowhere near any such issue that you are trying to refer to. We are a very small part of the industry. There is a lot of work to be done in terms of getting lot more Indians to be covered. 5.5 Cr Indians have retail health insurance, we are very small. There is a lot of opportunity ahead.

Management: Let me give you a data point, which you perhaps are already aware of. In the US, Health insurance industry is \$800 Bn and in India, the Health insurance industry is about \$10 Bn. I know the US economy is bigger and their healthcare is bigger. But it's not that same difference, almost 80x is not really explained. My fundamental belief is Health insurance probably needs to be 8 to 10 times bigger, not grow at 15-20%. I think nothing grows in this linear manner. At a very fundamental level, some issues need to be solved for health insurance to be 8-10x of where it is right now. We are working hard to solve those issues rather than worrying about what shares has who become. India is not a country, in my opinion, where you think about these things. You think about how you can change so that the overall structure can change so that it can become 5x-10x rather than worry about okay, who has how much share of what? It doesn't grow that way and I don't think industry will grow that way. In my opinion, either the industry will do well, or it will not do well. Currently, in my opinion, it is not doing well and that's because of issues. Yes, we are doing well but overall there is an issue, and we all know that. I think that issue needs to be resolved.

Nischint Chawathe : If one is kind of looking at around 70+% growth in Health and Life, what would be the increase in lives covered for you?

Management: There is no meaningful increase in ticket size, it's pretty much the same. So there may be some price increase, but an equal amount of multi year coming down. So actually, ticket size is flat. So precisely, if our total premium has grown by 78%, I would say the number of lives have also grown by 78% for us on fresh business.

Nischint Chawathe : Got it. Finally, within your product mix, do you have some thought process on concentration levels and how you would want to toggle around the various products?

Management: See, our focus is what we've always said, coverage for social security for the middle class. What is social security? It is term insurance; it's health insurance; it's child education cost

planning; it is pensions; it is all of those. Yes, we also do motor insurance, we also do two-wheeler insurance. We have a tech-platform that does that. But our focus is extremely clear, where we believe the middle class defined as anybody earning between ₹50,000 to ₹4 lacs - ₹5 lacs a month or in that band. The 200 odd million people, there is a solution that they require, and that solution needs to cater to their social security. That social security is if they lose their job; if they die; if they fall sick. There are some serious financial consequences of that. We are trying to make sure those consequences don't happen for them, and they are covered for them. That's basically our focus. Management: I just want to add that we obviously have a fantastic team which runs the business. We are only representing them, and I think they don't worry too much about the mix. Everybody tries to do their level best to drive the growth of the business that they are running. So if you're running Motor, you're trying to do the best for Motor, you're not really thinking what the health guy is doing. I think we have very fiercely independent teams,

and they take their job very seriously since they rely and depend very seriously. There is no mix that we are trying to reach. We are basically letting everybody do the best that they can, and we try to give them the resources, encouragement and support. That's how I would say, practically the company functions.

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Nischint Chawathe : Perfect. Thank you very much. Those were my questions, and all the best.

Management: Thank you, Nischint. We'll take the next question from Nidhesh Jain, Investec.

Nidhesh, please unmute yourself.

Nidhesh Jain : My first question is on the Reinsurance business. Is there an update on the reinsurance business, which we proposed, I think last year?

Management: We got a license, few months ago. We have set up a small team led by one of our strongest managers. He, and along with his team are working on it. I think it'll take us a while to figure out. Our focus continues to be that how can we leverage the fact that we are so big in retail and create better propositions for customers. I think over a period of time, you'll see some progress on that.

Nidhesh Jain : This business will be on Reinsurance broking or Reinsurance manufacturing?

Management: No, we are clearly not manufacturers. There are two things we do not do. We are never an insurance company; we are never an NBFC. Those are two things we just do not do, at least as of now. If anything changes, we'll let you know. But there is no intention of changing on those things.

Nidhesh Jain: Okay, sure. Second is on the Paisabazaar business. Is there a thought or process to build a similar business to POSP; aggregating small DSAs all across India. If yes, how we plan to do that?

Management: I think in Paisabazaar we are spending a bit of time reviewing the strategy. So give us some time to come back on that. Currently, we have a business which is non POSP, which is mostly unsecured credit. There is a possibility we could build a POSP business on the secured side. There are 2-3 players that exist on the POSP secured side, each doing about ₹600 Cr of revenue. There are three players out there, as I see it. We feel that is an opportunity that we might leverage, but we really want to be very precise about our direction on Paisabazaar before we act from here onwards.

Nidhesh Jain : Yeah. Lastly, if you can share the EBITDA and contribution margin of the Credit business for the quarter.

Management: Yeah, it's the same ballpark. If the total is 14%, maybe all is between 10 to 15%, at an EBITDA level. On the contribution side again, they are similar. In fact, I would say the Credit business is a slightly higher contribution, as you would expect, because the operating cost on the Credit business is usually lower. The Credit business, if anything, is a slightly higher on the contribution side and slightly lower on the EBITDA side.

Nidhesh Jain : Okay. Thank you.

Management: Yeah, because there is a cost to running an infrastructure.

Management: Thank you, Nidhesh. We'll take the next question from Jayant Kharote, Jefferies.

Jayant, please unmute yourself.

Jayant Kharote : Hi Yashish! Congrats to the whole team for the great set of numbers. Growth certainly looks heady. On the contribution margin, just picking up brains, if I look at this \$3 million investment, the actual contribution margin might actually have expanded this quarter to north of 45%. But you also mentioned to another question that the higher contribution or mix change from

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Health and Savings would have led to some lower margin. So I'm just trying to marry the two and understand what has happened.

Management: Yeah, we are at this moment focused on growth here. We are confident and hoping and praying that the growth continues. From whatever inquiry base, etc., we can see things feel good and in preparation for that, we don't want to optimize.

As I said, as a company, we are in the phase where we are growing like a kid. At this point we don't want to optimize on the input of protein. There will be a time when we do that. It's not right now, but I'm sure that time will come, and that's a very easy thing to do. Trust me, that's a very, very easy thing to do. It's not a difficult thing to do when we want to do it. But it's not something that is the focus right now. But you're right, we spent about \$3 million extra in this quarter on the operating cost than we had to if we just had to maintain just this quarter sales. That is, more in anticipation of future quarters, higher growth, etc.

Jayant Kharote: So is it fair to assume next quarter if current growth rate continues, this recovers?

Management: Nothing happens in quarters, don't get into all that. The only thing I can predict very precisely is renewal rates and renewal premium, which I've already done. Nobody can say what will happen in September. We have some idea of what's going on in August and July, but it's very difficult to predict here.

Jayant Kharote: No, I was trying to say about the new OPEX that you have done.

Management: I do not want to get into that business of you what will it be next quarter, and all that stuff. Where we can be, and we are very open about it. Where we can't, we can't.

Jayant Kharote: Okay, understood. One question, which I've asked you last quarter as well, is the renewal take rate. It seems to have again moved up to a very healthy 7%+ number. As the renewals stack up in the next three quarters, you confident of maintaining this one?

Management: That must be just a product mix shift or something.

Management: Yeah, it is a shift between products but there is nothing in it. It's not like we've negotiated better rates or anything like that. It's a very stable equilibrium right now. And yeah, we're just continuing with it.

Jayant Kharote: Okay, thank you. Congrats once again for a great set of numbers.

Management: Thank you Jayant. We will take the last question from Sanketh Godha, Avendus.

Sanketh, please unmute yourself.

Sanketh Godha: You can hear me, right?

Management: Yes, yes.

Sanketh Godha: One basic question which I had is that you said that you spend almost ₹25 Cr on creating capacity. Just wanted to understand if this has been done on Core or predominantly on POSP?

Management: On Core, only Core.

Sanketh Godha: Okay. Second question which I had on POSP Revenue recognition, and to the extent I understand the sector. In the past before EoM, the payout to the POSP were done by the insurance

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companies directly, and you used to get the net part in the top line. Now, the payout is happening at a gross level to the distributor and you guys pay down to the POSP. So that got effective from which quarter, probably from the second quarter of the last year? I just wanted to understand how things have changed.

Management: Sanketh, while I respect the question. It's an irrelevant question, there's no such change in our system. In our system, the revenue we are reporting are like for like; apple for apple. There is no game there. If I was to just look at premiums alone, this quarter POSP premium was ₹1,000 Cr and in Q1, last year, the premium was ₹360 Cr.

Management: So that is what explains it. So obviously, if the premium has grown, there's some revenue also attached to that.

Sanketh Godha: Got it. Lastly, when you said you invested ₹25 Cr in Core. Is it largely to strengthen your offline strategy within the Core?

Management: There is no such precision. There would be both capacity build; capacity is both at the call centre and at the Feet on Street. Please appreciate Feet on Street is about 20% of sales right now. So it's not just feet on street. I'm sure it happens in many ways. You would go into di

fferent

linguistic centres; you would go into new places. When we say, investing ahead of capacity, it is capacity, which would not have delivered value in this quarter. But obviously our hope is that within 3-6 months that capacity starts to break-even. Not just hope, all our data is pointing in that direction. It is just we have built it up a little faster than we usually would have.

Sanketh Godha: Got it. Lastly, this 78% growth what you said in Life and Health. That is only reflected to Core. It is not a POSP and Core put together?

Management: No, that is just the Core business, and that is just the fresh business. See; please understand our value driver is our fresh Health and Life business of the Core. Yeah, the POSP business gives us a lot of volume. It is not a long-term profit driver for the company. Long term, maybe 5% of our profit might lie in the POSP business, or maybe 10%, but it cannot be more than that. So when the engine works, we feel very happy because the engine working delivers all this Renewals. Renewals are not earned in the same year, as I said; I cannot change my renewals too dramatically. If we say 45, it could be 44 at worst, could be 46 at best. It will not change much more than that in any given year. It is vastly the work of the past engine that is paying up now. But the

engine of growth is this. I think that is where we feel good.

Sanketh Godha : Got it perfect. That is it from my side. Thank you very much.

Management: Thank you very much everybody for joining today. We appreciate your time and hope we could clarify a lot of your questions. Thank you. Have a great day!

Call: Nov 2024

November 11 , 2024

To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai – 400051

SYMBOL: POLICYBZR BSE Limited
Department of Corporate Services/ Listing
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400001

SCRIP CODE: 543390

Sub: Transcript of the Earnings Call conducted on November 06, 2024

Dear Sir

In furtherance to our earlier communication dated October 15 , 2024 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith Transcript of the Earnings Call conducted on November 06, 2024 .

The transcript of Earnings Call is also available on the website of the Company at <https://www.pbfinetech.in/investor-relations/> .

You are requested to kindly take the same in your records.

Yours Sincerely,
For PB Fintech Limited

Bhasker Joshi
Company Secretary and Compliance Officer

Encl.: A/a

PB FINTECH LIMITED
Q2 FY2024 -25
Earnings Call
November 06 , 2024

Page 1 of 20

Management: A very good morning everyone and welcome to PB Fintech Limited Earnings Call Q2 FY24 -25. Today we have with us:

- Yashish Dahiya, Chairman & CEO, PB Fintech
- Alok Bansal, Executive Vice Chairman, PB Fintech
- Sarbvir Singh, Joint CEO, PB Fintech
- Naveen Kukreja, Co-founder & CEO, Paisabazaar
- Mandeep Mehta, Group CFO, PB Fintech
- Rasleen Kaur, Head, Corporate Strategy & Investor relations, PB Fintech

I would now like to request Yashish to start with the address.

Management: Thanks Rasleen. Thank you all for joining, early morning for India. We are extremely pleased that the Health and Life insurance business, which as I have repeatedly said, is a bulk of our long term value, is continuing to witness phenomenal growth , 69% YoY in new premium for the quarter. The total insurance premium for the quarter is now at **■5,450 Cr**, at an ARR of almost **■22k**

Cr. We are just in the second quarter, we are still out of season. The new Core insurance premium grew at 61% YoY. Core insurance premium grew 49% YoY, this includes renewals, in Q2, with the Core insurance revenue growing at 41% YoY. Like we've mentioned, this is now going to be a point where revenue growth and premium growth will start coming in line because this is the phase when we shifted a lot more towards the Unit link products compared to the Capital guarantee products. That is the big difference that you have been seeing over time. So, the Core insurance revenue growth is at 41%. Credit linked revenue is at ₹143 Cr for Q2, new initiatives grew 87% YoY, and at a contribution level are not making any losses now. Our revenue for Q2 grew 44% YoY to ₹1,167 Cr and the PAT improved by ₹72 Cr to ₹51 Cr. We have had slightly higher operating expenses, we understand that. I would say, for this quarter, it was up by about maybe \$4 -5 Mn. In the second half of the year, you will see that correction coming in. It's not a correction, basically, we over invested in Policybazaar in the first half of the year in anticipation of continued growth. Thankfully, we are continuing to see that growth and the benefit of that we will see in the second half. On the Paisa side, we perhaps did not anticipate this slowdown to last so long. We do believe it is lasting a little longer, and so we will take some corrective action there. On renewal trail revenue, those of you who've been following, I mentioned last quarter that this quarter we will grow at about 45%. So yes, we've grown at 45% - ₹633 Cr ARR, up from ₹436 Cr, the same quarter last year. There's no surprise here. This could only be between 44 %-46%, it couldn't have changed too much. You will also see these starting to inch up now. This obviously operates at a pretty high margin of 85%, and is a significant source of the future profit growth.

The most interesting thing is we finally hit 90% on CSAT. If you remember at IPO, we were at about 87%. This is a very hard number to inch -up. We are finally at 90%. So very happy about that. Credit business has been flat. I think the good news is, it is about 9% up QoQ. However, it's 8% down YoY. It's turning some corner but there is still a lot of stress in that business. We will be taking some corrective action on the operating cost front because we do believe that we had anticipated slightly higher growth than this. We continue to strengthen our leadership in new initiatives with the revenue growth of 87% YoY, and the adjusted EBITDA margin has changed by 14% from -26% to -12%. PB Partners is doing really well; very happy with the performance - about 250k advisors, 18.7k PIN codes, 98% of PIN codes in India. The quality of business, which from outside is very difficult to assess, is clearly moving very well in the direction that we anticipate. The UAE business insurance premium has

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grown at 63% YoY. That business also continues to do very well. Our Core Health and Life insurance business are growing ahead of expectation. I just wanted to say this, don't get used to the 60 -70% kind of growth. It's good it's been happening. So far it does not seem like it's changing but this is unreal growth. Our long term guidance, our midterm guidance continues to be 30%ish. This is good, we are enjoying it, we are also surprised by it, but that's what it is. In anticipation of the steady growth, we did, as I mentioned, invest a bit earlier. The other thing I wanted to mention was, our cash balance has gone up by about ₹200 Cr in the quarter, which is quite good. It is now more than ₹5,400 Cr, but this will keep happening as we mentioned. I think next year it'll go up a lot more. So it's just part for the course. We are open to questions now please.

Management: Please raise your hand for asking questions. We'll wait a minute for the line-up.

Management: We'll take the first question from Shreya Shivani. Shreya, please unmute yourself.

Shreya Shivani : Hi, good morning and thank you for the opportunity. I have two questions. First is on the Paisabazaar side. What corrective actions do you plan to take? What is the outlook on credit disbursement that you're seeing over the next two quarters, and what has been the change in the mix of secured & unsecured loans over here? Some colour on that would be useful. Second is on the Core insurance business. I wanted to understand that while the growth is very strong and it's very commendable. Has there been any change in terms of the way the segments were moving, so maybe ULIP has slowed down a little bit, not as fast as the last two quarters or any such colour, just trying to understand, because the overall contribution margins came in at 41%. I understand some bit of it got impacted due to Credit business. But how much impact on that decline in contribution margins has come from the insurance business, and at what rate should the recovery be for the next two quarters. Do we expect that to come up to 42 %, 43% or 44-45% by the last quarter of this year? Thank you.

Management: Sure. Thank you for those questions. On Paisa, I would just like Naveen to briefly give some colour on that.

Management: Thanks. Like Yashish mentioned in the opening comments, in the unsecured side, which is Personal loan, Business loan and Credit cards, we are seeing slow down lasting a little longer. If you've seen or observed the bank results over the last two weeks or so, you see that reflecting in almost the entire industry driven by a) high growth in the previous years, b) the regulatory guidance, and c) some regulatory specific actions around moderating credit growth on unsecured side. We are also seeing slightly elevated delinquency numbers at an overall industry level, which essentially result in the prime and below segments being reduced from a new acquisition perspective. On the other side, like I said earlier, we are investing in the secured growth. So our secured business, on a very small base, has grown very well. Our secured contribution for last quarter was about 34%; 1/3rd on

disbursals count. On the cost measures, like Yashish mentioned, we are now moving to a situation where we expect H2 to remain tight in terms of growth. We are going ahead and moderating the operating expenses ahead of the revenue drop to make sure that we are able to be efficient for H2, and then wait for the markets to show positive definitive signs of unsecured coming back. I would just like to say one thing that at a fundamental level, if you look at the industry where the liabilities growth is back, growing slightly better than previous few quarters, so we expect the liabilities growth for industry to grow at about between 12% and 14%. And once that happens on a consistent basis I expect that once t

he level settles in, the 14% or so needs to be deployed back into credit, in a mix of unsecured and secured. So we'll see that growth coming back.

Management: On the Policybazaar question, I will just request Sarbvir to chip in.

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Management: Thanks Yashish. I think the question was on the segment growth and contribution. Segments have been growing in a very similar way, both Q1 and Q2. We continue to see very strong growth in Life and in Health. On the contribution side, I think there are two points. One is that, as fresh Health grows faster than the overall business, it has a slight impact in terms of the reported first year contribution. So if you take out fresh Health, we're not sharing those numbers, but you will find that our contribution has gone up in Q1 and Q2, if you compare it to the rest of the business. So actually, the contribution growth is exactly as it should be, given the mix of the business. As Yashish mentioned, there has been extra cost in Q1 and Q2, where we've invested in growing our operational capability for the season. Just like last year there was a delta in the second half versus the first half, of I think 200-300 basis points and somewhere in that region, similar outcome should happen. We can't say exactly what will happen. I just want to say broadly that the thought process on the insurance side is that we are seeing strong growth, so we want to invest ahead of that growth. If in the second half we feel that we should prepare more for the first half of next year, or something like that, we will continue to invest because I think our shareholders would want us to invest at this stage and grow the business rather than reporting a few 100 basis points of margin in any given quarter.

Management: Absolutely. There's one little piece in comparing quarters, and it's usually not very good comparing quarters. See in April, we did not have much of brand advertising. What that leads to is that in Q2 you might see a slightly higher brand advertising, about ₹20 Cr. Now, that's a very significant number when it comes to contribution or profit numbers. In Q2, you would have seen a ₹20 Cr higher brand spend but that is largely because in April, May, June, you may advertise in only two out of three months. I don't think there's much else to kind of add in that. To add to Sarbvir's point and to the point I mentioned, we are at this point not trying to optimize for a few basis points here and there. I think the objective is to grow. We know what net present value we do our business at, and it's very, very profitable for us. Of course it will never show up in the first year, because Health is a business where a bulk of the profitability lies in the renewals. So when you grow in the first year, you will not see that, and that will lead to some diminishing of margins. However, that is obviously going to pay up in the coming years, and that is far more important.

Management: Thank you, Shreya. We'll take the next question from Sachin Dixit. Sachin, please unmute yourself.

Sachin Dixit : Thanks Rasleen. Congrats Yashish and team on another great set of results. I had a couple of questions. The first one was in terms of growth. As Yashish already highlighted, the growth that we are seeing currently is unparalleled. I was just wondering, going forward basis, will there be a base effect issue that might crop up in FY26 that rather than having the medium terms like the 30 odd percent growth, we might end up being around more like 24 -25%. Can that sort of thing play out? Management: See, I've always said from the day of IPO, there's one thing we can never predict, which is how much we are going to grow. Everything else is actually very, very straightforward. We can predict everything else quite precisely, renewal growth, profit,

all those things we can predict

very, very accurately. We are very excited that we are growing. We are not seeing any signs of slowdown yet. We're actually growing on a pretty large base already, so this is growth on growth. Now we are starting to grow at 60% on 60%. So we are ourselves surprised, sometimes we pinch ourselves, is this true? But let's see. So me and Sarbvir, we're discussing this all the time, our basic understanding is 30%. This is what we want to target in the medium term, and that's a good target to have. We don't want to be below that, above that is great. Above that I don't ask Sarbvir any questions. Sarbvir, I don't

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ask any questions, anyway. But as long as he's kind of doing double of that, I can't go to him and say, please reduce cost also, or something of that sort. So I don't have any such questions, whatsoever.

Management: Sachin, I would just like to add one thing here. We have always maintained that large part of population who has intention to buy insurance in near future, will come to Policybazaar,

especially for Protection products. And there were some reasons for them leaking out and over the last three years the team has worked very hard in terms of setting up multiple offices across India to cater to different languages; physical meetings; strengthening on the product side; strengthening on claims side with putting up a whole team, etc. All these things have started to add up. A lot of people who would have come earlier, and maybe found some excuse to leak out, that leak out has started to come down over last 2-3 years. India is still very, very underpenetrated from insurance perspective. There's no reason for us not to grow but, as Yashish said, whether it will be 30%, 40%, 50%, we'll see. Obviously, our aim is to grow as fast as possible. The TAM is not a problem in India, to be honest, it's a very, very large customer base.

Management: A very telling conversation actually happened yesterday, and it's just anecdotal. I was actually speaking with somebody and this person said, look historically, I used to actually come to Policybazaar and then go and buy directly. But now I'm actually buying on Policybazaar. This is a very knowledgeable person from the financial services industry. He said, because I know that at the point of claims you guys help. I think that is becoming a very serious position. The reason not to buy from Policybazaar is going away slowly. All credit to Sarbvir and team for kind of executing that, and making sure that reason doesn't exist anymore.

Sachin Dixit: Fair enough. Another thing on PB Health. You have been in the media talking about it, there was no mention of that in the presentation. Is there any update on that? Any board discussion, and any approvals that you are likely to announce?

Management: I wanted to take this opportunity, since you've asked this question, to clarify a few things. I'm not going at pains to explain this. PB Health is not a Policybazaar subsidiary or a Policybazaar initiative. I just wanted to clarify that. Policybazaar wants to make it happen. I think you know the "What" and "Why", maybe the "How" is not very clear. The "What" is very clear to us. Whenever I speak to insurance companies, they are not very happy with the situation. They all believe that there are excesses at the provider end, because of which their claims cost goes up, and they also believe the customer experience suffers. When I speak to hospitals they are also unhappy with the situation. So everybody's sort of unhappy, everybody does not trust each other. I've started doing this recently, I ask insurance companies that what would you do if you owned your own hospitals? And the first thing they usually say is, we'd like to run them as charities. I said, but assume that's not possible,

assume

that's not a feasible option. They have to make money. They said we would just like to agree SOPs with them, and they should just follow those SOPs. If they follow those SOPs, we believe the cost will anyways come down by 20% or so. And I say, but what will you do for the customer if that were the case? The customer has a 25% out of pocket today, will you be able to reduce that out of pocket for the customer? They say, yeah, absolutely. And I say, does that mean the customer will have lower friction at the point of claims. They say, yeah, if it was our hospital, we trust it fully. We actually don't need an approval process. They say, what do we have an approval process for? We don't know what the customer has toward the doctor. We want to know because the customers told us one thing, and he's told the doctor another thing, and we want that this discussion between the customer and the doctor to be disclosed. It's basically a lack of trust. So if there is an outsourced facility for the insurance industry, I think the claims experience can improve. Now, Policybazaar will not be the one who will set

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this up. But if this gets set up, Policybazaar is a huge gainer, the insurance customers will buy more insurance because the insurance experience becomes better. And if Policybazaar is also a shareholder in that and Policybazaar can claim to its customers that listen - when the situation arises, we'll be able to help you in this situation, and we'll make sure your claims experience is very, very smooth. I think Policybazaar will benefit it humongously and the industry will benefit humongously. Everybody I speak to is quite keen on that project happening. What position Policybazaar will take in that, totally depends on its own shareholders and its board. So those approvals we still have to take. The "what" and "why" are extremely clear, the "how" is becoming clearer but there isn't an approval in place yet.

Sachin Dixit: Understood, sounds good. Thanks so much, and all the best.

Management: Thank you, Sachin. We'll take the next question from Nischint Chawathe. Nischint, please unmute yourself.

Nischint Chawathe: Hi! Am I audible?

Management: Yes Nischint.

Nischint Chawathe: Thanks. Just continuing with the healthcare business. Just trying to understand from a very top down point of view, if you have to make it sort of a business of scale. And when I say, I mean, the venture has to be a venture of scale. What kind of CapEx are we really looking at over a multi-year period?

Management: I'll answer in two ways. The only thing that Policybazaar is not sure of, at this point, is whether that venture will make money or not. It has no clue. What it knows is that Policybazaar will benefit and that's the only reason Policybazaar is involved. Policybazaar is not investing in this venture from a financial return perspective. Policybazaar, if it is investing, is investing from an enablement perspective. Because this venture benefits Policybazaar a lot, a huge amount and the industry a huge

amount. That's why the industry supports it and that's why Policybazaar supports it. Now, what happens to that venture?, How much capital that venture needs to raise?, Whether that venture is profitable or not?, are questions for the shareholders of that venture to decide; not for us to think about as Policybazaar shareholders. Because we are not the people who are building that or anything of that sort. I'm just trying to clarify. I think this line, this distinction needs to be drawn very clearly, because I don't think Policybazaar shareholders need to worry about whether that venture is going to be profitable, how much capital that will require. Policybazaar board will decide - what is the upper limit of the exposure Policybazaar wants to have in a situation like this, where Policybazaar thinks of

how much it can invest to make sure that this venture happens. But it is investing for only one reason. Please appreciate this - only one reason, which is to make Policybazaar grow faster, not to make a financial return. Suppose Policybazaar can achieve at the lower end, a 5% extra growth every year, because of this venture, you can imagine what that means over a 10-year period and how that will play out. I would leave it there at this point, because otherwise it becomes too complicated a story that one is trying to justify the PB Health venture to PB shareholders. I don't think that makes sense. Nischint Chawathe: Fair point. PB will be like a founder, promoter, or is it a minority shareholder in this?

Management: That totally depends on what the Board approves. We haven't even gone to the Board for any approval. We don't have a proposal to go to the board yet.

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Nischint Chawathe: Okay, got it. Just moving on, you mentioned that UAE is up 63%. Does that include Corporate as well?

Management: UAE, that includes everything in the UAE and the premium has grown at 63%. Yes.

Nischint Chawathe: Corporate business?

Management: Yeah, it's UAE. They don't have any corporate business.

Nischint Chawathe: Okay, okay, got it.

Management: You want to know how much Corporate business has grown?

Nischint Chawathe: Yeah.

Management: Oh, corporate business has grown at 62%. It's done ₹189 Cr.

Nischint Chawathe: Got it. The new initiatives margin, is it possible for you to split this or give some color between PoSP, UAE and Corporate?

Management: The UAE and Corporate are very small. They would be combined, maybe 10% -15% of the new initiative. New initiative is largely PoSP +, if I would call. 85%, I would say, would be PoSP. Our total new initiative loss - UAE and Corporate are about 45% of the current loss. That's because PoSP losses have really come down. It's about 55% for PoSP. Dubai and Corporate are about the same.

Nischint Chawathe: What's driving margin expansion in the New initiatives?

Management: In PoSP, you have to understand the business very clearly. PoSP is not a massively profitable business ever. So somebody who believes that, PoSP will start generating the same kind of contribution margins like Policybazaar core has, is dreaming because that's impossible. Let's say, Policybazaar core is making, suppose 40% margins, nobody's going to give you their business for 60% of the going commission rate. So if the going commission rate is, let's say 20%, if you give somebody less than 12%, they don't want to give you their business. So that's impossible. That's before you put any direct cost into it. So I think it's a very low margin, high scale business. I think that is where many of the investors have got confused by that business, because that business you can scale very rapidly, like you can burn whatever you feel like, but without necessarily increasing your burn dramatically. I'd say like a B2C business, it does not have marketing costs or sales costs. Basically, you're a platform, and you've a very thin margin. It's like a payment gateway business. You're a very thin margin business, payment gateway business with some operating expenses. So your profit and loss both don't increase and don't change a lot with scale. Unlike Policybazaar core business, where your profit and loss shift dramatically because of scale. In a PoSP business that would not happen. So what you would see is, it will slowly ebb towards 0, and then it will become profitable also. But by that time the Core business will become significantly more profitable. PoSP would almost be irrelevant. See what was happening, if you look at the last 2 years, the Core business was making X profit, and this thin

ing was

making -X loss. So, to an extent, both were looking similar. But as you look at it over a 3-4 year period, the Core business will become 10 times bigger in terms of profit or loss, whatever, I hope not loss, but the profit compared to whatever losses we make on this side. So this part becomes irrelevant. That's what the PoSP business is. I think that's very important to understand, at least from an investor perspective. We understand this, but I think investors need to understand it - B2C and PoSP are very, very different; I still believe many don't understand it.

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Nischint Chawathe : No, fair point. And finally, most of this is motor TP, right?

Management: No, it's not. Now lots of Health, etc., starts happening there. We have the highest share of non-motor.

Nischint Chawathe : What is the mix like?

Management: We don't give out that number. There's a reason why we don't give out these numbers as that can be very misleading to people. But on revenue basis it could be quite significant, more than 1/3rd of the revenue might be coming from non-motor.

Nischint Chawathe: Got it. Just one final one. Life insurance companies have been telling us that on the Guaranteed return products, there is some kind of a discussion/negotiation that's happening with the distributors. Just wanted to understand what kind of conversations are you really having with them?

Management: We are generally not involved in any of those conversations, because we don't really sell those products, but Sarbvir is the best person to answer that.

Management: I think, as Yashish said, the mix of our business is not towards those products. And secondly, I think if you see the persistency and the quality of business that we have, we are really not the channel where these issues will arise. Both those points - a) it's a very small portion of our business, and b) we have the credibility and the quality established with our partners that they are not really coming to us. I think they have to handle it in the other channels, where obviously it's a bigger issue.

Nischint Chawathe : Got it. Thank you very much, and all the best.

Management: Thank you, Nischint.

Management: We take the next question from Manas. Manas, please unmute yourself.

Manas Agrawal : Hi team, thanks for the opportunity. I had a couple of questions on the PB Health but before that one question on the Core business. Is there any change in ULIP momentum because of the recent market cool down? And then on PB Health, you mentioned that PB Health will benefit, I understand, that's very clear. Can you also share, maybe it's too early, the modalities around this? Is this a co-branded product?, Is this a potential distribution exclusivity?, or Is just a larger addressable market? The second is as a PB shareholder and not a shareholder at the new venture, how should we think about capital allocation in this venture? Is this going to be a one-time investment, especially when we are talking about the new entity, not necessarily clear about their financial viability or their model of profitability? Those were my questions.

Management: Sure. I will let Sarbvir answer the first question on ULIP.

Management: I would say that it's too early to say anything. I think last month was a confusing month in any case, because of Diwali and all those holidays. We like to look at October & November together, so we will get a better sense next month. But very generally speaking, a little bit of up and down in the market doesn't affect the business that much. But obviously, if there's a prolonged downturn or something like that, then I think the business will definitely be impacted.

Management: On PB Health, we haven't gone to the board, and the board has to approve this, and we have to first of all go to the

board. My hope is that we would go to the board at some point with a one-time investment option and it'll be somewhere between \$0 -100 Mn, and it's a one-time

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investment it will not be repeated. The remaining investors who come into PB Health are very aware of that, that PB is limited by this as a one-time investment. And to the comment I made about let other people worry, I think once the quality of investors that come on board in the new venture are clear, I think it would be clear that they have clearly thought about why they want to invest in that venture. That would also mean there is enough financial prudence on that venture to make it. What is the problem we're trying to solve? The problem we're trying to solve is a very simple one. Today, the customer is not having a great claims experience and that is largely arising because of lack of trust between three entities - the insurance company, the customer, and the hospital. Unfortunately, at the point of claim, the hospital and the customer, sort of, become somewhat on one side. We shouldn't even be speaking about this, me as Chairman of a large a public company. I don't know how much I should speak about things like overcharging, over treatment, all kinds of things that go on in the market, but they are quite commonplace. I'm not, saying any one entity or a group of entities, is responsible for it. But today we are a pay-for-service health system and what that means is the healthcare system makes money. It's obvious. They obviously make money when a treatment happens. So if I don't go to the hospital, the hospital makes nothing from me. If I have an insurance policy, and I don't go to the hospital, the insurance company makes all the money from me. Thinking through how will the products be constructed, how will it all happen, for that, I would say, wait for PB Health to become a public company, and then, let's have those questions on PB Health once it is a public company. Till then, whoever are the private shareholder of PB Health will handle those questions, and it's their responsibility to lose their money, I would say, if they do lose their money.

Management: You asked about the shareholders of PB Fintech. Two parts here, as Yashish mentioned earlier, if this can allow the growth for Policybazaar to be higher, even by that 5-7%, that is a very material, positive thing for Policybazaar or PB Fintech. From capital allocation perspective,

we propose to have about \$100 Mn investment into this venture, post board approval. Bulk of that investment, if you just think about this venture, will go towards the CapEx. A hospital CapEx, which is mostly a real estate infrastructure play will technically not just erode overnight. So that will hold its value, and it as it becomes successful in its own right, that value keep on increasing. For personal perspective, it is just a small capital allocation which is mostly going toward CapEx with very low possibility of capital dilution. But from PB Fintech perspective, the growth which it can drive for industry and for us, can be very meaningful.

Management: I just wanted to clarify one thing. The reason we are getting into it is not because we think healthcare is a great opportunity, and we should go into healthcare and set up and run hospitals. No, that is not the reason why we are getting into it. So I think this is a confusion, if people believe that to be so. The reason we are getting into it is because we believe the insurance industry and thus Policybazaar - you are seeing our growth rates. With these growth rates, we are becoming a very meaningful part of the industry, and we'll be a very meaningful partner in the growth of this industry. So for us it's very critical to look at the long term growth of the industry, and that is the reason we're

getting into it. Because they're seeing that particular problem. We are seeing this as a potential problem for the industry growth, if not solved. While we don't have the ability to do this entirely on our own, if this is happening, we would love to encourage it in whichever way, so evangelizing, encouragement, etc., etc. I think now, that said, I am just as excited about that side of the opportunity as well, but that is me personally. That's a different matter, and I don't think we should confuse the public company Policybazaar with that thinking of why this is a great opportunity by itself. Because that'll just lead to us kind of hijacking the Policybazaar story with PB Health story.

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Manas Agrawal : Understood. Thanks a lot.

Management: Thank you Manas. We will now request Dipanjan Ghosh to please unmute.

Dipanjan Ghosh : Hi, am I audible now?

Management: Yeah, absolutely.

Dipanjan Ghosh : So just a few questions. First, if you look at, let's say, product wise on the Core insurance side and look at the new business margins, without quantifying, would it be a fair assumption to make that on a YoY basis, across products, you would have seen a margin improvement, but maybe because of the mix shift towards Health or more towards the hybrid strategy, maybe there would have been a drag? But across products what would be the trajectory on a YoY basis in terms of new business margins on the Core business? The second question, in a presentation you have mentioned that because of the hybrid strategy, your premium per enquiry, and your conversion rates have kind of inched up. So just wanted to get idea on two things. One is what would be the mix of the products which gets converted at the hybrid mode. And second, is there a meaningful differential for the same product in terms of margins, whether it gets converted through your call centre or through the hybrid model? Lastly, on the insurance side, you have mentioned that there are like 190 cities where you have health claim support, and there are 200+ cities where the hybrid model is in place. So would you like to quantify on the overall Feet on Street expansion that these two initiatives would have seen over the past 12 months? And just one question on the Credit side - if you can split the revenue between Credit cards and Disbursals and second, what would be the differential between, secured and unsecured realization rates.

Management: Sure, I think I would let Sarbvir cover the insurance questions first and then come to Credit.

Management: Dipanjan, I'll go in order. The first question was on new business margins. New business margin on a like for like basis are largely the same year to year. There may be actually a small delta erosion rather than growth in like for like margins, simply because if you see the quality of products that are being sold on our platform. So you'll find that now we sell, in most cases, products which are have better features, and in some cases lower cost than the average in the market. That is a very conscious choice because of the quality of business that we have. We are willing to trade off that upfront price for greater volume. I think the new business margins are largely the same, if anything, they may be a little bit on the downside only. In terms of the hybrid, the question that you had. See our hybrid business works with the marketing cost being the same. The lead comes through the online channel, and we have already paid for it. So I think it would not be fair to look at just hybrid margin versus overall. We actually look at it as an overall, whether the APE per lead or the business economics are improving or not. I think that you can very clearly see that they are. The hybrid or the Feet on Street is now almost 25% of our business in Health and L

ife insurance and we still feel that

there is potential for that to grow. This team is growing at a faster rate than the rest of the business.

Of course there was a smaller base, to begin with, but we feel more and more confident that this strategy is working and the fact that it has legs. So it's not like we have covered the area that we could cover. But I think now we have the confidence to go deeper, and we are investing both in people, in

leadership, in infrastructure so that we can build this into a much larger business in the years to come. Management: In terms of C credit, your question on revenue mix. Unsecured credit would be about 60%, credit cards would be about 20 -25% and secured would be about 10 -15%. So secured is about

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10%, unsecured is about 70% and maybe 20% is credit cards. On the total disbursement, secured will be a lot larger. Secured is about a third but secured is also about a third of the take rate. So I think that gives you a flavour of the mix there. See, we are growing secured right now, but that doesn't mean unsecured is going away. Unsecured is, in our opinion, just going through a dip. This happened in Covid. In Covid, we went down to almost 0 revenue on the unsecured side and this is happening again. I actually see it as a margin expansion opportunity, to be honest. So if you think on a multi-year basis, when Covid happened, before that, our margins in Paisabazaar used to be 0. After that our contribution margins became 40%. I think we realized we did not need as many people. I still believe that is the case and I think this will give us an opportunity to reduce and not come back up in terms of the actual manpower costs. And obviously, technology, etc. helps. So it's a phase we are going through. The phase is lasting longer. We thought it would last two quarters. It's probably lasting 4 -5 quarters but that's fine. It's just a phase. I think I would hope FY26 will be a very different result from FY25.

Dipanjan Ghosh : Got it. Just one small follow up on a previous participant's question. When you say 30% medium term sort of vision, I would assume it would be on the fresh business, right? Because your new business growth you've seen over the last 2 -3 years should kind of mirror on the renewal side, let's over the next 3 -4 years, I mean, is that a fair assumption.

Management: I would say is, yes, the renewal growth is quite predictable, and we can build it out quite easily, and so can you. I think fresh business is very difficult to predict. Please hear us. What we're saying is over a 3 -4 year period, our target is to have 30% fresh business growth. It's a good stretch target. It's not an easy target. Now, if there come s a few quarters where it is lower, don't start shooting us. Just like we're not asking you to put us on a pedestal, just because we're growing at 60%, for now it's gone on for like 4 quarters or so. But I would say these things will happen. Things will move up and down. I was looking at the numbers, our 3 -year CAGR is about 41% on fresh business. I think our 3 -year CAGR is quite strong, and what we are saying is, maybe the next 3 -4 years CAGR is going to be maybe 30%.

Dipanjan Ghosh : Got it. Thanks for the detailed explanations and all the best.

Management: Thank you, Dipanjan. We'll take the next question from Jayant Kharote. Jayant, please unmute yourself.

Jayant Kharote : Thanks Rasleen, and congrats for a good set of numbers. First is on the addition that you've been doing to your teams, both online and even offline. If you can help us understand how is the gestation period over here? If you could quantify the number of people you've added over here and what are the plans going into Q3 & Q4 and then the gestation period? That is the first question. I'll come back with the second question after this

Management: It's a variable cost. As we anticipate business and enquiries (our enquiries are also been going up), we deploy people. As we have said repeatedly , Q1 and Q2, there has been about \$1 Mn a month of extra cost on the ops side which we deployed because we were seeing a higher than expected growth and we continue to see that growth. So our hope is that in the second half of the year , we would not need as much additional capacity. I think it'll play out quite well. The gestation period is a few months. People don't sort of come in our shop and suddenly become productive. And that's the reason we said that in the lean period, which is the first two quarters, let's deploy a little extra so that we can really reap the benefit when we get to Q3 & Q4. Hopefully, this will be a good strategy. It could have proven to be a bad strategy if we did not get the growth. But so far it's looking

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okay. Fingers crossed, it will prove to be a good strategy as we go through, but we don't expect number of people to go up too much from here for the rest of the year, because we would now kind of live off the vintage.

Jayant Kharote : Great. And is there any product gestation as well? Does the new staff starts with certain product, and then the basket increases? Is there a strategy like that?

Management: Yeah, most of our people go into specializing in a particular product. Handling a single product for customers from 20 companies is quite a complicated task to start with. So they're mostly specialists at any one product.

Jayant Kharote : Understood. The second question is on the PoSP business. We see the losses have come down significantly over here. There's also some news of a merger in that space, and you have been talking about future consolidation at some stage in this sector. We see signs of that playing out. Does this mean that this place can start seeing better profitability, and probably we are nearing that phase of consolidation in the next, say, 4 to 6 quarters?

Management: Hear me very, very clearly on this. I've said it in the past. We will be acyclical. That is the right strategy to follow. So when the market starts becoming profitable, we'll start making losses in that area and when the market starts making losses, we will hold back. I will not clarify more. That's a general strategy, does not mean anything from a quarter on quarter perspective, but that is exactly the strategy we follow. I'm saying over a 5 -10 year period that is the strategy we follow. We will always be countercyclical, which is what a market leader should be. A confident market leader who's a Marathon runner, has to be countercyclical. He does not start sprinting just because some kids are sprinting for 5 km, he waits them to tire out. When they tire out, he tells them that you're tired, and I'm going fast now. I think I'll stop there. Countercyclical is the word.

Jayant Kharote : One last question. Are you open to inorganic acquisitions or inorganic growth in that area?

Management: Zero. Not at any price like this in the market. Not even 1/3rd of those.

Jayant Kharote: Great. Thanks guys and congrats once again for a great set of numbers.

Management: Thank you Jayant. I will now request Rishi to ask the next question. Rishi, please unmute yourself.

Rishi Jhunjhunwala : Thank you. Just one question Yashish on the thought process around PoSP . So if we really look at it, our new initiatives are now almost 40% of our overall insurance business revenues, maybe slightly less and has grown at almost 2x our Core insurance revenues. Just wanted to understand how much of this growth is intentionally pushed by us versus how the business is evolving and how the business is coming to us. And if we are driving this growth to be that much faster, then what is it

he thought process around it, given that it is anyways considered not that much margin accretive in the long term, as well.

Management: I'll answer it up to some level and then I think Sarbvir is the right person for this. See strategically we are doing PoSP for scale. We started doing it because it was happening. So we were a late entrant. If you remember, we were almost the last entrant in the market. We became a market leader within about 3 -4 months. That usually should tell you how easy or difficult a business. If somebody can become a market leader in 3 -4 months, it usually means it's not a very complicated

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business, and almost anybody who's tried to scale in PoSP has succeeded, if they had the money. There is almost nobody who's failed if they had the money to scale in PoSP . Now, that said, that scale has humongous benefits from a relationship perspective for us, because our overall business grows because of that, and we would be delighted to have a larger business. Nothing wrong there, it doesn't cost a huge amount, its losses are coming down, and we'll continue to do so, at least in a medium term basis.

Management: I just want to say that, about 5 quarters ago, last April -June quarter, we made a decisive shift in the business from really forcing the growth. I think the word that you're using. If I were to say that perhaps we were forcing the growth till then, but after that we have actually switched gears, and we have gone deeper into the market, both in terms of working with smaller and smaller agents, and in geographies where other people are not there. So now, if you see, I think it is no longer that we are forcing the growth, because if we were forcing the growth, then our profitability could not come. We would lose more and more money. So the fact that we are able to grow at, frankly, almost 100% in the first half, and improve our losses or keep the investment constant or lower than last year, indicates that we are not forcing the growth but we are doing something right. To give credit to the team, I think, the fact that our platform is now clearly superior to everybody else; the fact that our sales capability is now superior to everybody else; the fact that agents are trusting us more than they are trusting other platform. Finally, this is about agents. This is not about anybody else, and the fact that agents are not trusting us more than anybody else, because we pay on time, we pay in full, etc., etc. I think, now it's starting to bite. Today I don't think we are forcing it, and this has implications, for how this business will grow in the future. This is not going to be a business where you're going to make a lot of money in terms of margin percentage. But perhaps at some point, if you have a lot of scale, you will start making some money. That's our hope and that's why we are trying to drive this business. Our confidence in growing this business and investing behind it has only grown in the last three years. It's rare for a business in its 4th year to be growing faster than it is in its first few years. That's quite a rare thing, and that too with better economics. There's everything to like. But we have to be very realistic about the shape of this business. Hence, comparison of PoSP premium with Core business premium and saying that it's 40%, or whatever is probably not the right way to look at it. I would not encourage you to go in that direction .

Management: Yeah, certainly not. It's like India has a football team and a hockey team and we're saying, because our hockey team does well, our football team shouldn't do well, or something of that sort. They're totally different. We want gold medals in both of them. But I want to say, Policybazaar core is growing the fastest it has ever done in its 17th year. Just saying.

Rishi Jhunjhunwala :

Fair enough. The second question is, you've talked about extra investments you have made in the last one or two quarters on building up capacity and there is typically slightly higher ad spends and other things that has happened in Q2 as well. Is it fair to assume that our overall cost pool should be relatively flattish over the next 2-3 quarters, given the capacity built up, and some of the extra expenses that have done already. And, secondly, is there any change in the ESOP charge trajectory, which was ₹200 Cr this year, and ₹100 Cr next year? Is there any change to that roadmap? Management: So ESOP should flatten out, and maybe somewhat come down. That's the easy part. On the operating investment, I think it'll be a mixed bag because we also have incentives for people and as the business grows, hopefully, the incentives will also grow, and I always say incentives is a good thing, not a bad thing. However, there's always a wastage, and I'll explain what that wastage is. See when you have new agents, in the first three months, they are not able to do a lot of business and

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that is their training time, hiring time, and there are costs involved in that. I think in the second half, you will see much less of that, and that was demonstrably at scale, in the last 2-3 quarters. That delta, the benefit of vintage, you will receive. However, it won't be like absolutely flat. Obviously, in season, we hope something great happens from a business perspective.

Rishi Jhunjhunwala : Understood. Thank you, all the best.

Management: Thank you, Rishi. We'll take the next question from Suresh Ganapathy. Suresh, please unmute yourself.

Suresh Ganapathy : Yashish, first on this PB Health a gain. I know a lot of discussion has been done. Is this entity already set up, the construct of the entities clear or that will evolve with time? Who will be the partners here, and all those stuff?

Management: There is no entity set up and nothing is finalized yet.

Suresh Ganapathy : So how have you guys arrived at the fact that this will contribute 5% more growth? You will have exclusive arrangements as a broker to sell or how did you arrive at this 5% number? I know these are ballpark numbers. But then, what is the thought process of arriving at this?

Management: See, if the customers' experience improves, the industry will grow faster. Today, I would assume you would agree that claims is a pain point in the industry, would you agree with that or not?

Suresh Ganapathy : Yes, yes.

Management: Sometimes it takes people up to 6 hrs in the claims. What is the insurance company trying to verify at the point of claim when it is giving an approval to the hospital? First of all, insurance company has to give an approval to the hospital. What it's trying to verify is what was in the customer Declaration proposal form? I won't go into the long story, I think we all get it. Basically the idea is, if claims experience becomes better, the industry will grow faster. We, as a part of the industry, will obviously be a beneficiary of that higher growth of the industry. What I expect is, if the claims experience becomes better, the industry too itself grow at 5% faster rate over a 10-year period. Maybe because Policybazaar is involved, it could actually do much better than that. But I think 5% is a relatively straightforward and a low ball assumption to have over a 10-year period for the expected growth one could receive, if claims process was to get streamlined. That is what is driving it. It is not very scientific, why 5% and why not 7% or 3%.

Suresh Ganapathy : Yashish, 5% for a \$100 Mn investment is a complete bargain. My point here is, I don't think you can do away with a \$100 Mn investment. So if you're so really convinced about the venture, why not go all in. A \$100 Mn

is not going to give you a 5% growth for a long period of time.

The commitment should be larger, if that's the case.

Management: I'll explain. Policybazaar is not once questioning what will be the profitability of this venture. It's not a financial investment for Policybazaar. Whether that investment works or does not work financially, is not really Policybazaar's major concern. Other investors who are coming into it, for them it's a concern, but for Policybazaar, that's not the concern. Policybazaar is investing in it to enable the venture, if the venture requires X amount of investment, Policybazaar is saying, I'm here to support it. Policybazaar is also there to provide it aerial support, in terms of customer evangelizing that look, this is a good thing. And Policybazaar has a great role in that. Today, a very large percentage of

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customers who purchase health insurance come to the Policybazaar platform. So it can be a very big evangelizer for this. Policybazaar benefits this platform and this platform benefits Policybazaar. Now, this platform actually does not care whether Policybazaar makes money and Policybazaar does not care whether this platform makes money. But they both benefit each other sufficiently that these ties make sense. The investors in this venture, by the way, are interested in Policybazaar having an equity stake in it, not for the money, but because Policybazaar's involvement is important for them, because it has a huge steering role. They want some skin in the game from Policybazaar to make it. Policybazaar is playing an enabling role, and this venture is helping Policybazaar. So I think it works on both fronts, and I agree with you. It would be a big mistake not to do this. I totally agree with you, but

once it is set up, this venture has to take care of itself. Whether it does an IPO, whether it raises money from other investors. But once it establishes own credibility, it's like, in a way, when Info Edge invested with us, of course that is not operational partnership. After that Info Edge was not responsible for our future; after that we were responsible for our future, and similarly, the management of this venture will be responsible for its future and not Policybazaar.

Suresh Ganapathy : Okay. What are the rough timelines, you believe, by which this entity can be operational and official? Could take another 12 months?

Management: I would hope before the end of this financial year. That's a hope and that's what Policybazaar would want to happen, but it takes two hands to clap. The other parties also have to be willing.

Suresh Ganapathy : Yeah, and your annual free cash flow would be how much, what you're expecting for FY25, roughly?

Management: FY25 should be about maybe \$60 Mn but next year, FY26, should be more than \$100 Mn.

Suresh Ganapathy : Okay, thanks so much Yashish.

Management: Thank you, Suresh. We'll take the next question from Preeti. Preeti, Please unmute yourself.

Preethi RS : Hi! Good morning!

Management: Guys, we are out of time right now; it's already 9 o'clock. We want to continue because there are a lot of questions we can see. So maybe we'll extend by another 15 min, if that's okay.

Management: Preeti, Please go ahead.

Preethi RS : Yeah, thank you. My question is again on the stage of growth that we are in. So the retail health industry is growing at 18%, and we are growing almost a 3x+. So how do you think of this math? Because I think we had a broad thumb rule when we were going public that if the industry is growing at 15%, we should at least grow 2x, given the accelerated online penetration. So what is happening right now? And this is happening at a time when the growth of lives in retail health is actually quite muted. Could you help us understand what factors you could attribute

this supernormal growth to?

Management: Sure. I think, Preeti, we are a large advertiser in this category. We have been evangelizing this category. I think, in the last 17 years, if you ask customers who has been educating

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them about health insurance and term insurance, it is Policybazaar, and that stands out. I think we are somewhere reaping the benefits of that. To a large extent we have done the right thing - good disclosures, which means a profitable business for insurers with decent claims ratios. So on the whole, I call it Karma, and it is kind of coming to roost, where we are benefiting from that karma. But in addition to the past, there's a huge amount of effort that's gone in the present, which is the Feet on the street; which is the new products that the team has been working on, which is the claims assist platform that we have built. And I think what we are encouraging in the Health side is just another thing in that same direction. And if you really think about it, if you take Policybazaar out of the equation - assume Policybazaar, and simplistically just subtract it from the entire industry. You would see a steep decline in the lives covered in Health insurance. So I think there's something good going on because now it's been consistent for the last 4 quarters or so. We have been growing at a steady rate and now growing on growth and we hope it continues. In Car, we have started the Assured delivery program, which is also working well where there are tie ups with garages, where the timeline for the customer is reducing, and the cost for the insurance company is reducing. However, the biggest benefit to the customers is that he's being informed all the time - What is happening to their car? Is their car in the garage? Is their car repaired? Is the car ready for delivery? And I think the customer just wanted that feedback, that engagement and so Policymakers stepping out. We are a strong operations company. I think Sarbvir and his team have done a phenomenal job on the operations strength, and it does not take one thing. I'm sure if we cull out each of those things that we have done, we will come back to 0 growth, not 0, maybe 20% growth. But a lot of additional growth is coming because of the extra things we are doing step by step. And there's multiple ones of them. In the Term insurance, we're doing a Nominee relief program. In Health, there is in-hospital assistance. So there's lots of stuff that we're doing.

Preethi RS : So where would our current retail health market share be?

Management: Yeah, it is growing, that's enough. It's difficult to say exact numbers. I think the retail health numbers are out there, and our numbers are out there, so if you take the overall percentage we might be 10-12%, if you take, renewals into account. If you take just fresh, will obviously be much higher.

Preethi RS : Only on the new business.

Management: Yeah, it's embarrassingly high. So let's leave it at that. I think everybody can do the calculations here. It's quite high.

Preethi RS : Great. Thank you. Thanks Team.

Management: Thank you, Preeti. We'll take the next question from Nidhesh Jain. Nidhesh, please unmute yourself.

Nidhesh Jain : Thanks for the opportunity. Just one question. Can you share contribution margin in Credit business and EBITDA margin for the Credit business for the quarter?

Management: We are not breaking out the businesses for confidentiality reasons between Credit and Insurance from a contribution and profit standpoint. On profit, obviously insurance is higher but on a contribution basis they are similar.

Nidhesh Jain : Sure, thank you.

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Management: Thank you Nidhesh, we'll take the next question from

Yash Gandhi. Yash, please unmute yourself.

Yash Gandhi : Hi, thank you for the opportunity. I have two questions. First one is that our contribution margin is 27% for Q2 FY25. By 2026, do we expect this number to substantially increase, to let's say 45%, and then, over a couple of years to 60%?

Management: We haven't done that much math. Maybe Rasleen can try and answer. But yeah, it will inch upwards because of renewal. See, renewals is 85% margin story. So renewals will continue to make your margins inch up and the past year of growth, whatever else it may mean for future new business growth, the one thing it does imply is renewals growth in the future, because this new business that we have done will play up there. And this new business has meant depressed margins. When we sell new Health, once again saying, we make 0 margins, all that margin comes in renewal. So yes, you will see margin improvement into the future.

Management: We don't optimize for contribution margin percentage number. As Yashish said, the mix of new and renewal can really have a big impact. Just assume that if we grow at 60% new business versus 10% new business growth. Obviously, our renewal percentage would be very different in that particular year, and that would directly flow down to the contribution margin percentage. So whole effort is, how we grow faster in the new business, that is the P1 for the company, and that's the main focus for everyone. Renewals is more of a process that has to be managed in an efficient manner, and that obviously has a huge impact in terms of what contribution flows down. But we're not optimizing for the contribution margin percentage.

Management: Renewals are at the highest percentage they've ever been. We track it at a very granular level - R1, R2, R3. They are the highest percentage they've ever been, all of them, in numbers and in premium.

Yash Gandhi : Sure got it. I'm sorry, I think I missed the initial commentary. I don't know if you've given any sort of guidance on your premium growth for the next 2-3 years.

Management: 30%. That's always been our guidance. Over a 3-4 year period, 30% fresh business growth.

Yash Gandhi : Got it. Thank you.

Management: Thank you Yash. We'll take the next question from Sanket Godha. Sanket, please unmute yourself.

Sanket Godha : Thank you for the opportunity. Yashish, maybe next year, when you'll start PB Health, is it fair to assume that you and Alok will take active executive roles there, and probably you will be more non-executive board guys at PB Fintech and that's the way the management movement will happen?

Management: We don't know as of now. I would say we've taken too many questions on PB Health already, but at this stage we don't know.

Sanket Godha : Okay and just adjacency to that point. If you make ₹800 Cr or ₹850 Cr of investment in PB Health, so the cash on the books of PB Fintech will come down. So is it fair to assume that your other income will take a hit, and the ₹1,000 Cr profit guidance which you have given in FY27 still will remain intact?

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Management: Yeah, the guidance will still be intact.

Sanket Godha : Other income potentially can come down.

Management: It would, that is absolutely correct. Actually, it could, not it would. If the board approves this, it could. You're spot on. But factored that in, we will still be fine.

Sanket Godha : Got it. And lastly a data check. Just trying to confirm the numbers on premium data. So the new business premium for the Core platform is ₹2,060 Cr, and renewal is ₹1,860 Cr. That's right number?

Management: Approximately, yeah.

Sanket Godha : And your PB Partners is ₹1,085 Cr. Is it the right number? And Corporate is ₹189 Cr, and Dubai is ₹253 Cr.

Management: Absolutely.
Sanketh Godha

: Perfect. Yeah, thanks. That's it from my side.

Management: Thank you Sanketh. We'll take the next question from Srinath. Sri nath, please unmute yourself.

Srinath V : Hi, guys. Naveen wanted to first understand , in the secured business, what kind of products are we doing, how the fulfilment works , given that there has to be a document identification, and so on and so forth. If you can help us understand how that works that would be great? For Sarbvir, we wanted to understand how conversions are playing out from upper funnel in Health. Clearly, the growth indicates conversions have gone up. So qualitatively, if you can help us understand how rate of change of conversions is playing out. Again qualitatively, if you can help us understand if it's across the platform, or certain cohorts are doing better. That would be great. Thanks.

Management: On the secured business, currently, Home loans is our major product, followed by LAP. We are doing two experiments in smaller products, which is Loan against car and Loan against mutual funds but they're very, very small. From a fulfilment perspective, we are focusing on top 3 cities which is about 30% of the overall industry - which is Delhi, Bangalore, and Bombay . We are setting up the fulfilment teams there. And you're right, of course, there is extensive documentation and a back and forth process, which is why we believe that adding fulfilment and FoS would add to the overall funnel and will pay for itself as things stabilize. It's still kind of early days for us, but we stay through the customer through a longer gestation period of secured loans in terms of collecting documents and assisting the customers, and connecting both the lender and the consumer.

Srinath V : That means we would have a Feet on Street here to fulfil , similar to what we have in Policybazaar.

Management: Exactly. So we mentioned some of the numbers that we have about 130 -140 people already on the ground. We think this will go to about 300 in the next few months.

Srinath V : Perfect. Cool. Thanks.

Management: On the Health conversion side, definitely, conversion is going up. I think Yashish covered the reasons broadly. We're getting more enquiries, we have better products on the platform , and we are able to offer the customer the choice in terms of language . Our regional language

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capability has significantly improved in Health this year. We have Feet on street which has expanded - more cities, better depth, and better trained manpower. Even on the call centre side, I think the way we are segmenting the customers, etc ., is leading to much higher conversions. I think, the most important thing is the confidence that the customer is getting that Policybazaar will be there at the time of the claim that we service. I think, this is finally tying this whole sort of cycle back. So the funnel, is complete because people are getting to hear about these stories, that their friends, their relatives, somebody they know, has been helped. And it takes time. See, in my opinion, we are just getting started, and I'm very confident with the quality of work that the team is doing, next year this will even further build because people are seeing the concerns that they have with health insurance being handled by Policybazaar. And I think this is a very heartening initiative and result.

Srinath V : Would you be able to substantiate, explain a little more on this regional language bit? That would be helpful.

Management: Yeah, regional language. We have the capability, we have the technology to guide the call to the right person, in terms of which language the customer would like to speak in. We have the ability to transcribe calls. We have the ability to then go back and service the customer in that language. The most important thi

ng is not just about sales, it's also about service. So if I bought speaking in Malayalam , then you must service me in Malayalam also. So we are able to do that. And it's incredibly hard thing operationally to keep managing this cycle. Because then renewal, you have to make sure that the renewal happens in that language. So it's a capability that we are building. And I think we are still evolving and learning in that.

Srinath V : Sure, perfect thanks.

Management: I just wanted to kind of answer the previous question, where I think Sanketh had asked about executive, non -executive, and all those kind of things. I wanted to be crystal clear, but I don't want to be wishy -washy about it. You have to at least understand me as a person. Alok too, if he wants to speak , can speak for himself. One investor just called me up about 3 months ago, and said - Listen, I think, for corporate governance, it is better if you're not on the Audit committee and straight away I requested Alok that please get me off the Audit committee, and I'm off it. All I'm trying to say is, we are always trying to do what is right. Sometimes we just may not know what is right or wrong. So that is where we sit from a heart perspective. This is the first time we're running a public company, and I'm not very experienced at running these. The second part I wanted to mention was we are deeply passionate about solving this particular problem of social security for the middle class. There is no other reason we run this company than social security for the middle class. What role we play, whether

we are chairman or vice -chairman or executive or non -executive, outside the company, inside the company, is just going to keep changing from time to time. But if you tell me something else needs to happen, I'll do that also, because our intent is not wrong here. The intent is very clear that India middle class must have social security, and that's the only thing that keeps us kind of going and running to office every day. I don't know, Alok if you want to add anything.

Management: No, I think you've covered it, because, we obviously have a choice of doing it outside, but if we are deciding not to do it outside, but internally, where the commercial outcome is not going to be as great if you've done it outside, there has to be a reason. So you have to look at the intent of the company and the thing that usually drives us. Just think about it, we moved our ESOP from par value to market value last year. There was no specific force driving us. Because we heard from the shareholders, that's the right thing to do, so we just did it. So you'll find multiple times that the value

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system and ethos in the company and the management team, they are very well aligned with solving for a very large and hard problem and super focused on that. Now, as Yashish said, whether we do it here, there, it doesn't really matter till the time problem is getting solved and eventually PB Fintech and Policybazaar is growing through that.

Management: Thank you Srinath. We'll just take the last question from Rahul Jain. Rahul, please unmute yourself.

Rahul Jain : Hi, I hope my line is audible.

Management: Yes.

Rahul Jain : Hi, thanks for the opportunity. Just wanted to understand, of course, this has been touched in a certain way, but still making an attempt. So is there a way to understand what kind of overall volume or exposure we could help resolve through our new health initiative directly or indirectly for us to making that effort.

Management: Sorry I didn't understand the question.

Rahul Jain : So let me try to rephrase that. So what I'm trying to say is that you explained "why" of investing in this PB Health initiative. So I'm just trying to understand because there is a reason which seems pretty fair. But what

kind of volume or exposure you could probably, directly or indirectly, address the problem?

Management: I think from a Policybazaar perspective, we have said that the exposure that we, as a management, would take to the board is between \$0 -100 Mn. The board might shoot it down, the board might say, no, it's going to be 0. We don't know but at some point we would like to go to the board once we have an understanding from other partners what we need to do. We would like to take to the board something between \$0 -100 Mn investment opportunity. And that's the upper limit of the exposure. All I wanted to clarify is, whoever else the other investor in the entity is, knows that, that is the upper limit. I'm saying it here so they can hear it – that's the upper limit of PB Fintech's exposure. Situations may change in the future, but I don't anticipate any of that. Now, the second part, the benefit also we've quantified that we expect a minimum over a 10 -year period. We expect some benefit in terms of higher premiums. If you ask us to quantify, we should be able to achieve 5% higher premiums. Now as I said, whether it's 3 % or 7%, we can't really tell. But my view is, 5% is really underballing it because it could be much higher. Now, let's see what happens, if it happens. It hasn't happened yet. It may not happen, and it may happen.

Rahul Jain : And is it safer to assume the benefits would be much long ended as you know, the stress factor would get resolved only over a period of time ?

Management: I'll explain one very simple thing. If this was a 5-year project, there's no point even doing it. This is a very long gestation project. It is at least a 10 -year project and that is the negative of it. Even from a public markets investor's perspective, you may see some benefit 1 -2% in the next 5 years, but you will not see any significant benefit to anybody in the next 5 years. It may happen sooner, but I think it's a very long gestation period. That's a negative of this project. The positive is it can have a very big impact, very, very material and very big impact. But yes, it's a long gestation project, and it does have upfront investment compared to most others.

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Rahul Jain : Thank you. Appreciate your vigour to solve the insurance problem from every angle possible. Thank you.

Management: Thank you, Rahul.

Management: I see a lot of people have still raised hands. I would request you to please send your questions at investor.relations@pbfintech.in. We will try to answer them as soon as possible.

Thank you all for your time, and see you next quarter.

Call: Feb 2025

February 01, 2025

To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai – 400051

SYMBOL: POLICYBZR BSE Limited
Department of Corporate Services/ Listing
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400001

SCRIP CODE: 543390

Sub: Transcript of the Earnings Call conducted on January 30, 2025

Dear Sir

In furtherance to our earlier communication dated January 17, 2025 , January 30 , 2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith Transcript of the Earnings Call conducted on January 30 , 2025 .

The transcript of Earnings Call is also available on the website of the Company at <https://www.pbfintech.in/investor-relations/> .

You are requested to kindly take the same in your records.

Yours Sincerely,
For PB Fintech Limited

Bhasker Joshi
Company Secretary and Compliance Officer

Encl.: A/a

PB FINTECH LIMITED
Q3 FY2024 -25
Earnings Call
January 30, 2025

Page 1 of 26

Management: A very warm welcome to PB Fintech Limited earnings call Q3 F Y 24-25. Today we have with us

- Mr. Yashish Da hiya, Chairman & CEO, PB Fintech
- Mr. A lok Bansal, E xecutive Vice Chairman, PB Fintech
- Mr. Sar bvir Singh , Joint Group C EO, PB Fintech
- Mr. Naveen Kukreja, C o-founder & CEO, Paisabazaar
- Mr. Mandeep Mehta , Group C FO, PB Fintech, an d
- Ms Raslee n Kaur, Head, Strategy & Investor Relations, PB Fintech .

Management: I now request Yashish to make the introductory address

Management: As we share o ur performance update for the Quarter ended Dec 31, 2024 we are very pleased that our health and life insurance business, which are, as I always say, the bulk of our long term value, witnessed a combined growth of 47% year on year in new premium for Q3 . In this health is just shy of 60%. And

I think if I was just giving you a color for the quarter, our savings business grew a tad slower than we anticipated, and thus we had built up our capacity, expecting a higher growth in savings. But that did not happen. So just to take away the thing. Health grew really well, term grew quite well, and savings were a little slower, and the other the good news is motor, and two-wheeler actually came back. And so, it's a pretty balanced growth this time across the board. Our total insurance premium for the quarter was ₹6,135 Cr, up 44% YoY. Core insurance premium grew 42% in Q3, with the core insurance revenue growing, 45%. Credit linked revenue was ₹119 Cr for the quarter. New initiatives grew at 87%. And now are at a 3% positive contribution margin. Overall, our revenue for Q3 grew 48%. I wanted to signal here that phase where our premium growth was higher than our revenue growth is hopefully behind us, because that was because we were moving from the traditional products to the products of the saving side. That part seems to be now behind us we are. It's been more than a year of that change. So, the revenue has grown at 48% to ₹1,292 Cr, and the PAT grew 92% to ₹72 Cr. Our trail revenue is now at an ARR of ₹665 Cr, up from ₹454 Cr last year. And just to complete that story, this same number was 287 Cr exactly 2 years ago. So, what that means is much more than doubling every 2 years. As we all know, this is a key driver for our long-term profit growth. So, this is quite secure. We continue to improve our customer onboarding and claims support services. And the insurance CSAT is now for the 1st time above 90% and 90.2% up from last quarter.

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The credit business has been down. It's about 20% down YoY, and this is actually the 1st quarter where we've seen a significant reduction compared to the previous. So, it's even on quarter and quarter. It's about 13% down. In terms of disbursements, in the online side of the business, however, the good news there is – secured is building up very fast. Secured is now much bigger than unsecured in terms of total disbursements. It's about 1.4 times now. So that's clearly taken over. Of course, it has materially less revenue per disbursement. And the good news is that the secure business was just started in Q2. So, it's just been a 6-month-old business. So, it's a very rapid growth and all organic. This is now in the new initiatives, and showing a disbursement of ₹2,570 Cr. So, this is largely secured business, which is now at almost ₹1,000 Cr a month and ₹24 Cr revenue for the quarter, so that part is acting as a filler. The core credit business continues to be adjusted EBITDA positive. However, I must say, in this year, we will face about a ₹40 Cr negative delta on the Paisabazaar side. However, that should be taken care of by some incremental EBITDA coming from the other parts of the business.

We continue to strengthen our leadership in new initiatives with the

revenue

growth of 87%, as I said, and adjusted EBITDA margin moving from minus 13% to minus 7%, with a 3% contribution. P B Partners continues to lead, which is our agent aggregator platform. Today it has 270,000 advisors. Last quarter was 250,000 advisors. So, in the last one quarter, we've added another 20,000 advisors. We have moved the business increasingly towards smaller and higher quality advisors, more diversified across different lines of business and present in 18.9 k PIN codes covering 99% of the PIN codes in India.

Our UAE insurance premium has grown at 58% YoY and is now aligning more and more towards health and life similar to our India business.

Our core health and life insurance businesses are growing ahead of expectations. In anticipation of the steady growth, we continue to invest in operational capacity as well as brand awareness campaigns.

Happy to take questions.

Management: Thank you Yashish. We'll take the first question from Sachin Dixit, JM Financial. Sachin, please unmute yourself.

Sachin Dixit: Hi Yashish and team! Hope you can hear me. Congrats again for delivering a good growth quarter. My first question was with regards to profitability. So, while obviously revenue continues to ramp up, the jump in sequential path seems a bit muted. What is driving this? Is this just Paisabazaar related impact,

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or there is more to it, in terms of contribution effect. Sorry I have not been able to go through the presentation, so the question might be a bit naive.

Management: No, it's not your fault. It's our fault, because the presentation just got uploaded some time ago. No problem. So yes, as I mentioned earlier last year, if I look now at our credit P&L, it was about ₹40 Cr better than this year. So yes, there is an impact that's coming from there. The other part, as I mentioned at the opening of my speech, was we anticipated a certain growth and that growth delivered in Health, it delivered in Term, but we fell short of that growth rate on the Savings business, and that's partly reflective of the insurance market; of the market cycle that's going on. Because most of what we're selling is ULIPs, which are market related, so they are, in a way, the same alignment as mutual funds. So that did get impacted. If you remember the last call, I said, yes, we have invested in anticipation of growth. That growth did not really come in the Savings side. So, we were left with some additional operating capacity, which I think, as we get towards through the next quarter, we are aligning also. Our overall growth is at 44%. But the Health growth, as I said, is about 15% higher and that continues to hit. Even our Health renewal growth is at 46% or so. Whereas the new business is growing faster, fresh health business comes at 0% margin. And that's obvious. In fact, a little bit of loss actually. So that continues to hurt us. Obviously, that doesn't hurt us from an NPV perspective. And we should also always look at the NPV. But from medium term it does. And so, till we stay in this cycle, where new business is outperforming, and especially new business of health is outperforming, that stress will stay. But it's a good stress to have, not a bad stress. However, on the saving side, I think we made the right call because we saw a lot of growth in September, October. That growth did not translate in December.

Management: I just wanted to add: So, the seasonality this year has been a little bit typical in the sense that September was a very big month, and then October, because of Diwali, we expected it to be where it was. We thought November and December again would be very big months, but I think there was general slowdown in some kind of consumer demand also. So, it took a lot to get this growth and that's what you are seeing. But I

just want to again say that if we

can grow at these rates, we cannot prioritize three-month profitability.

Sachin Dixit: Just a quick follow up on the Savings piece. The markets, obviously, January has started very badly, and who knows how it's going ahead. So, Savings could continue to be a laggard. So, are you building accordingly or you still believe that other segments will take care of the investments that you've already done?

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Management: See when we say slow growth, do appreciate, it was still north of 30 for the quarter, and even for the month. Well, it was quite okay. And even in January we are seeing quite okay. So, it's not like we are where the rest of the industry is. We are definitely ahead but it is just obvious we can't be not impacted by the cycles.

Sachin Dixit: Got it. On my second question quickly - An update on the Healthcare foray? If you have anything in place, we'll love a good update?

Management: That is the same as last time. I was authorized by the Board about 45 days ago to have negotiations with the multiple parties in trying to get investors on board. We are in deep negotiations with the investors. We are in a position to announce something in about 30 days or so, I hope. That's the best, I know. Multiple negotiations of SSAs have happened and at some point, we'll reach closure. Investors have been identified, of course, because that's why we're at that stage.

Sachin Dixit: Understood. Thanks a lot for the update and all the best.

Management: Thank you, Sachin. We'll take the next question from Jayant Kharote from Jefferies. Jayant, please unmute yourself.

Jayant Kharote: Thanks for the opportunity. First one is on the margin Yashish. While I understand that Savings is falling a bit short, if you could just sort of touch upon your long-term guidance of 50-55% on the contribution margin. Should we still continue to expect that over the next 2-3 years, or is there any revisit on that? Then I'll come back with the second question.

Management: I think as you look at longer term, 2-3 pieces have to play out, and strategically, nothing has changed. Strategically, the renewals part, which is the NPV, is a

great driver of profitability, and eventually, both in Health and Life, that does contribute, and even in Motor, it does contribute. I guess we are still a very early-stage business. If your fresh business is growing at the rates that we are growing, we are still quite early. I guess as time evolves, that's the first part that plays out. The second part that has to play out - we have for the last 12 -18 months decided been pushing the pedal in terms of operating spends and cost of acquisition spends, etc. It is the right thing to do, because for us, if we had 5% higher growth, that is better than having 5% higher profitability at this stage, because that's the stage we are at and we know which side of the coin we need to back on. As we get to a more mature phase, clearly that part would also shift. I haven't actually thought of the exact numbers, but I don't think one should rule out a much higher contribution margin than today, and I don't think

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a 10% delta from where we are is out of imagination in any way. Obviously, efficiency, etc, would also come in. We are also doing a lot of work on AI, on Product development, etc. Let me explain - the kind of things that we're doing right on the Garage network, we are able to have opened 100 different garage networks with our partners, and what that does is allows us to give better service to our customers, and that's again, part of the reasons why our Motor business has started to grow again. One of the reasons, as we do these, hopefully, our sales also become easier. So, these

are all linked activities, and

all of these should drive further and further efficiency. But I would say, in the last 3 years we've been in a phase of high investment, in capabilities that would enhance future sales.

Jayant Kharote: Understood Yashish. So, the second question is on the POSP business. This 3% contribution margin looks impressive. Is this the Dubai and the Corporate business, or this is largely the POSP piece? And if we can sort of expect this number to stabilize and move up from here to the sort of 5 -7% range that you had at some point entered to?

Management: So, in our new initiatives, nothing swings the needle like the POSP. So, it's largely POSP. But I think the key thing there is, POSP is a low margin activity, and then it depends upon if are you dealing with really small individual agents or are you dealing with people who are slightly larger agents. With larger agents, you do not have negotiation ability. They are essentially auctioneers of business with smaller agents, and they tend to be more of your partners. Thus, you make better margins when you deal with smaller, but when you deal with smaller agents, you have to also deploy your own sales team, your own relationship team, etc. So, I think, 5% is certainly not out of reach. I hope we do better than that. Let's see how that market evolves.

Jayant Kharote: We should hold on to this 3%+?

Management: I don't want to comment on that. You do realize that is a competitive area, and we will always be counter-cyclical. We want to hold our cards close to our chest, and we don't give short-term or mid-term guidance on that.

Management: By the way, now even Paisabazaar's PB Connect is also included in that and Dubai is a contributor as well. Of course everybody is a contributor, but now the new initiative is four things - Paisabazaar's PB Connect, Policybazaar's PB Partners, UAE business, and the Corporate business. So, all four are there. But I don't want to tie our hands in any way, shape or form in the POSP business. It's a competitive arena, and we will stay competitive, and we will be somewhat counter cyclical. I think that's the only guidance one can take away.

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Jayant Kharote: Perfect and congratulations for a great set of numbers.

Management: Thank you, Jayant. We'll take the next question from Ankush, Surge Capital. Ankush, request you to please unmute yourself.

Ankush Agrawal: Yes. Am I audible?

Management: Yes.

Ankush Agrawal: Yes, just to clarify. If you clarified the secured business is now part of new initiative, and it's not considered the core business, right?

Management: No, the secured has two parts to it. One is what we sell as a marketplace on our platform, which is Paisabazaar, and the second is what

essentially is a platform in a way, like a consolidation platform like POSP . Basically, it's the same as PB Partners. So, we have both sides of the secured, and the number I gave you was secured was a total number on the offline side.

Ankush Agrawal: Okay, got it

Management: Main business will be in the Core. The PB Connect is, of course, larger in terms of disbursements. About 3/4th is PB Connect, the POSP business of the total secured business.

Ankush Agrawal: Can you give the Core online business disbursement for the quarter?

Management: It's ₹2,866 Cr for the quarter.

Ankush Agrawal: Okay. Got it. That was helpful. Thank you.

Management: Thank you, Ankush. We'll take the next question from Shreya, CLSA.

Shreya, please unmute yourself.

Shreya Shivani: Hello! Can you hear me?

Management: Yes

Shreya Shivani: Hello, thank you for the opportunity and congratulations on a good set of numbers. Keeping the quarter aside, I wanted to understand your outlook for the coming year in terms of growth across the major segment

s. I will not go into the lending business, but the Health insurance segment. So, what we are hearing from the underwriters is a fresh round of price hikes are going on in the industry right now and that segment already has challenges in terms of affordability. Now I understand you have a major market share in the fresh business that

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you get over there. But the theme of the year that is coming through is, first, the fresh rounds of price hike; second rising pressure from the regulator on the underwriters to keep their expenses under control. FY26 is the year where they all have to comply with the EOM guidelines. So how do we look at our business going ahead, given that the underwriters would be going through a sea of changes in the year ahead, on the Health?

Management: I will pass this over to Sarbvir, because he will have a much better answer. I just wanted to leave you with one thing which I'm sure you all know. I'm not talking about Policybazaar business, I'm talking about the industry. On new business, claims ratio is 25% and on renewal business as an industry, the claims ratio is 75%. This has nothing to do with Policybazaar. This is the reality. Policy bazaar might be better on both. Let's leave that out of the equation. So, everybody wants new business. I will leave it there. I'll pass it on to Sarbvir.

Management: I don't think anybody is anticipating that they don't want to grow in new business. I think that's the key point. That fresh business is the solution.

So, if you think about it from an industry perspective also, the only solution is to grow your fresh book faster than your renewal book and manage that. So, I think anyone who can bring fresh business will always have higher value. And I think that's what we are doing right. We are bringing fresh new lives into the industry. We are bringing them at a reasonable sort of loss ratio. We are a positive channel in terms of quality and disclosures. So, I think our proposition is in fact much more valuable in a year, where you have stress on your book, and you have various other things going. So, I don't necessarily anticipate that to be a major challenge for us. I would only say that you are right - Affordability is the key issue to work upon, and I think this year we found a lever in terms of going much more into monthly mode policies and things like that.

Management: Now, as we go through that next year, we'll have to find newer and newer ideas. But if you can get fresh business, I don't think you will have a huge challenge next. And last thing I would mention is if you go through the notes of all our calls and our conversations with each one of you, what's happening is exactly what we've laid out over the last 3 years. So, all I'm saying is, there is 0 surprise for us. I don't know where the surprise is. I'm just talking about my own

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communication with all of you. It's always been exactly on the lines of what's going on right now.

Shreya Shivani: Got it. I understand the part of your ability to bring new lives into the industry, etc. Do you see any advantage in the past 3 months or past month? Have you seen any advantage of other distributors in the industry slowing down, or particularly in the last 3 months? There was a lot of news around other distributors, having some sort of pressure. So, in those terms, where would you see sense anything on ground or was it just the great momentum that has been?

Management: Shreya, honestly, I appreciate the question. But we genuinely don't even have time to think about any of the others. As far as Health insurance is concerned, in terms of distribution, we are kind of in our own race. Honestly, I remember first few days in IIT, when I had joined.

There was a run going on, and I think in the 800m race, I was about 100m ahead of everybody else. Then it became just my race. There was nobody else to compete with. So honestly, this is just us, that's it. From a distribution standpoint, I don't know what else is going on. and I don't know who we can focus on.

Shreya Shivani: Got it. Thank you so much. This was useful, and all the best.

Management: Thank you, Shreya. We'll take the next question from Sachin Salgaonkar, BofA. Sachin, please unmute yourself.

Sachin Salgaonkar: Congratulations to management on good set of numbers. My first question is on your Core growth. Clearly, every year we have a new base, and you guys continue to positively surprise on the overall growth. So, on this high base, should we continue to see 30%+ growth for next couple of years or do you see downside risk to this growth?

Management: New growth is the only thing nobody can predict, and I have always maintained that for the last 5 -6 years. We think we can grow at 30%. It's a hard problem. It is not an easy problem, but if it's less than 30% we'll be very unhappy also. It is all I can say, but it's impossible to tell what your growth over the next 5 years is going to be, but I think the way we are growing, I hope we can maintain. It's absolutely very hard to say anything. I think the main thing as we go forward is that we have to execute fearlessly, and we can't be worried too much about what happens in certain time periods. I think you have to think beyond where you are today, and we have to keep our eye on the future. I mean, you

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can't just say this profitability this month or this quarter. So, I think that is the main thing to avoid and if we can avoid that and focus on basic building blocks like affordability, product, disclosure, service claim support. I honestly think that there is no reason to believe that we cannot grow for many years. No, and I totally agree with Sarbvir, and I echo this. In fact, I specifically wrote a note out to management because sometimes communication gets misunderstood, because I do believe that this quarter our profit was slightly less than what I anticipated for various things. So, I specifically wrote the message, saying, please, that is not important at all. What is important is our growth and let's focus on that. And this ₹10 -20 Cr up or down will keep happening. Just don't worry about it at all over the long term, it'll all even out. So, let's just focus on that. And let's focus on the building blocks. So even next year, if we had to err, we would err towards growth rather than err towards trying to get profitability by 5% lower growth. No, that is not what our objective is going to be.

Sachin Salgaonkar: Thank you, very clear. In one of your slides, you did mention that the future growth will be coming from tier -2 & tier -3 cities. So, question out here is, can you help us in terms of the contribution today for premium from tier -2 & tier -3 cities? Where do we see that going? And again, incrementally, should we see higher investments or a bit of pressure on margins as we go and target consumers into these places?

Management: I would say that today, about 2/3rd to 70% of our business comes from tier-2 & tier -3 cities. And I think this number will grow. That's the way I think growth in the country is happening. So, I have a feeling that we will definitely reflect that is it going to be more expensive or less

expensive than where we are today? I'm not really sure, because our funnel works in a way that we do digital as well as television advertising which brings people into our website. And there, it's not really like we have to spend on hoardings in Bombay versus hoardings in a smaller city, or something like that. It's all national kind of work. I think it brings

these people, and then yes, there will be a service element that we have to manage. In some cases, we have to be distributed more in terms of where we are today, I think, serving in over 200 cities. We have sales capability. So maybe that will keep growing incrementally as we go along. You could argue some cost associated with it. But honestly, I feel that it's in reasonably good shape right now, because we do gain in productivity, we learn how to manage ourselves better in the existing areas. The new

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area may come in at a slightly lower profitability but then you also have existing areas which improve. I think Yashish mentioned the use of technology is very exciting. There's a lot of opportunity. I'm sure you all are hearing about all the Gen AI models and things like that but practically what it really means is that you can bring some productivity gains; you are able to translate what is the intent of the customer more clearly, and I think that will help. So yes, I don't know the answer to your question, but I feel it will be all good.

Sachin Salgaonkar: Got it, very clear. My third question is - Clearly, we are seeing a better growth coming from secured versus unsecured. Question to management is in medium term, how should we think about the growth coming from unsecured space? Is this something where the company is looking to defocus, or, how the stress in this part of the industry goes down, we should see growth again, picking from unsecured?

Management: As you may have heard from the various concalls that happened in the banking and the lending industry, that the industry consensus seems to be that the risk is speaking, and we should hopefully have bottomed out in terms of the growth in the last quarter. We are starting to see some positive signs already in our conversations with the partners. So firstly, hopefully the growth will come back. And again, if you look at the fundamental pieces on, banking industry liability is growing at about 12-14%. Those have to be deployed into assets, and within that secured assets give you a 1% or less than 1% ROA. Unsecured is one which gives you higher ROA so unsecured as an industry should get back from this base to about 15%+ growth, which the regulator also hopefully would be comfortable with and as that growth comes back, we, as a digital player would hope to grow faster than the industry. So unsecured will remain a focus area and we are working hard in terms of going deeper into the product and use of technology which we also alluded to in terms of improving our productivity, reach and efficiency. So unsecured will remain a focus area but secured will have its own growth path because it started recently. And we found a segment in PB Connect - a PB Partners equivalent, which, where we see a big opportunity, although at a lower margin, but a big scale opportunity absolutely.

Sachin Salgaonkar: Thank you Naveen. And my last question - Yashish, your last guidance in the company was 2+ years back. Today we are pretty comfortable in

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terms of PB Fintech, raising more than ₹1,000 Cr+ in terms of net income for FY27. Given the fact that even your new initiatives margins are improving, your core business margins continue to improve, any thoughts in terms of coming up with a new guidance, or revising that guidance as we head forward?

Management: We don't like to give guidance very often and usually we are long term thinkers, and that guidance was on some fundamental blocks of the business. Those blocks are fairly unshakable. I think we will be able to hit those numbers and quite easily so, but I don't think we are giving any new guidance, and we don't give any guidance. We don't have any

guidance for next year or for the ye

ar 2028, or anything of that sort. We just gave a guidance for 2027 once. And I don't think we're changing guidance if we do better.

Sachin Salgaonkar: Got it. Thank you.

Management: Thank you, Sachin . We'll take the next question from Manas, Bernstein.

Manas, please unmute yourself.

Manas Agrawal: Thanks Team. Trying to peel into unit economics a bit. I've never really liked the fact that your first-year business is actually not making money.

In an industry, it typically makes money almost entirely in the 1st year.

I understand the LTV, so wanted to understand what is the CAC trend

and what really sits in the CAC - is it just digital marketing or is it

something more? So that's the first piece. and as a follow-up.

Management: Yes. So, if you wanted me to answer the first piece that way or finish the follow up and then we can answer it all in one go.

Manas Agrawal: Sure. The follow up is related. So next year, sitting on this very strong new business growth, you should have very strong renewal business growth in terms of commissions, and therefore margin should flow through, if the economics is what it is?

Management: See, when I gave the ₹1,000 Cr guidance, there was a very simple principle behind it. It was a long, long time ago, right? But it was at that time when we used to make ₹1,000 Cr losses. That was a time when that guidance was given. And why was the guidance given - It was based on one simple premise, nothing else. It was based on renewals doubling every 2 years. And that's why I emphasize on one number renewal ARR out of the ₹665 Cr 2 years ago. That's the reason I mentioned 2 years ago is ₹287 Cr. So, we are more than doubling. And this will happen

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once more within the next 2 years. Right. It's currently growing at 46%. Whether you grow at 40% or 45%, you'll be in that ballpark. And that is your guarantor of profitability. Now coming to your question. The first question - See, ours is a very simple business. Life insurance - You make the bulk of the revenue in the 1st year; Motor insurance you make about 2/3rd of your lifetime value in the 1st year; or something like that. In Health, fortunately or unfortunately, whichever way you want to think about it, we think it's fortunate, you make only 20% of your revenue of your NPV in the 1st year. Health is a product where the premiums keep going up; commissions are flat, and in the 1st year nobody makes money by selling Health within one year. Thus, our CAC is about 22-23% of LTV. So, it's a very high margin business for us. But the point is, our revenue in the first year is only 20% odd of NPV or thereabouts, thus, in the 1st year we make a loss. It's a beautiful product; it's a product where we have our book for the last 17 years. And around IPO, we put out some of those numbers, and we can always start putting all those. All those renewals are holding up and the renewals are higher than they've ever been before. Because of the growth we've had in the last 18 months on Health, that should reflect into higher renewals and you're seeing that. If you look back, our renewal rate was slightly lower in the beginning of the year than in the latter part of the year. But again, if you look back, we had guided towards that. Because see, the only thing I will ever guide you on is renewals, because that is fairly certain. Like we know what our renewals next quarter and next year are going to be; the other pieces, we don't know. We don't know where fresh growth is, and so fresh growth, we always shy from guidance. We just say our target is 30%. We don't know; it's not a guidance. And all our businesses at an LTV level, operate at about 2.7x. So, what that means is our cost; our acquisition cost; our customer service cost is less than 40% of our lifetime value calculated with an IRR

of 15%. And it goes through lots of checks and balances. It is not that business just puts it, and we take it. It is based on a lot of scrutiny and a lot of data over the last 17 years. But that's our current number. We're at about 2.7x. We would love to be at 3, but that's not

as important as growth. Because if you're at 2.7x, you do want to grow.
Manas Agrawal: Thanks for the detailed answer. Would love to have more disclosures around this from the DRHP time. But that's it. Thank you.

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Management: Sure. Thank you, Manas. We'll take the next question from Dipanjan, Citi. Dipanjan, please unmute yourself.

Dipanjan Ghosh: Hope I'm audible.

Management: Yes.

Dipanjan Ghosh: Yes. Hi, so just a few questions. One, I missed the POSP premium data when you mentioned it. If you can spell that, and the PB Corporate premium data. Second, you mentioned in a presentation that the revenues from the lending business to the partner channel was around ₹7 Cr in the Q2. Could you give the similar number for Q3? And third again, if I just look at your overall disbursements to existing customers in Paisa, the ratio to existing customers seems to have dropped. So, are you getting new customers because of your relative change in mix towards more of secured business and how do you see this trajectory going ahead?

Management: Paisa, I'll leave for Naveen. From numbers perspective, POSP is ₹1,326 Cr the premium of the quarter. Corporate is about ₹390 Cr

Dipanjan Ghosh: Got it.

Dipanjan Ghosh: On the Advisor revenue for the Paisabazaar business.

Management: Okay. Your question was PB Connect Q2 Revenue was ₹7 Cr and Q3, that number would be ₹24 Cr. Right, and your second question was around the customer growth.

Dipanjan Ghosh: Sorry just to follow, this would be included under the new initiatives - Contribution, profitability from this quarter onwards, is my understanding correct?

Management: This is not profits, this is revenue. It is as of now, a loss-making business. It makes a loss of about ₹4 Cr, a quarter.

Dipanjan Ghosh: So, if I understand correctly, ex of this, I mean, if you were comparing apples to apples, the new initiatives might have been, maybe of whatever 3%, maybe 4% or 5% contribution margin during the quarter. If you are doing it on a historical accounting basis.

Management: It's very small right now. ₹24 Cr is very small in the overall scheme of things, as far as new initiatives is concerned. But yes, you may be right. A couple of points here and there.

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Dipanjan Ghosh: Got it.

Management: And on the existing customer disbursements, I mean, that seems to have dropped. Our new customers coming into the ecosystem because of this product mix.

I will explain to you in a very fundamental way and leave Naveen to answer. Consumer demand is not down; supply is down.

So, it is not that we are seeing less consumers. It is just the loans available to people are far fewer, and we continue to acquire new customers. Customers typically experience credit score as a first product. So, there we continue to acquire about 5.5 lacs new customers every month. That's not down. Secured is not very relevant from the number of consumers perspective because the ticket size is very high. It's a ₹40 L average ticket size, so that is not a consumer driver. It is a disbursement, and then, eventually a revenue driver, but not a number of consumers. Number of consumers is more credit score driven, which is now at about 49.5 mn, and then, of course, some of them unsecured. Some of them take credit cards, some of them take some of the other products. Secured is not a number of consumer drivers.

Dipanjan Ghosh: Just one small question if I can squeeze in. Your yields on the insurance

business seems to have gone up. So, is this more of a function of mix change, or if you can give some color on that?

Management: It's nothing very dramatic, is what I would say. I think it's fairly within.

Dipanjan Ghosh: Got it. Thank you, and all the best.

Management: And obviously fresh business might have slightly higher yield than renewal business that may have some impact. It's almost flat by the way.

Dipanjan Ghosh: Right. Thank you.

Management: Thank you, Dipanjan. We'll take the next question from Neeraj, UBS.

Neeraj, please unmute yourself.

Neeraj Toshniwal: Hi team. So, I just saw in one slide that we have entered into FLDG arrangement with one of the partners. Can we elaborate more on that?

Management: Yes, so Naveen will answer this. But I will just give you a very quick detail as board authorized it. One partner because of lack of supply in the market. We went in for this the way we are reporting our revenue, we

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are assuming that the FLDG; whatever we have promised in the FLDG. We've lost it at the at the beginning itself. That's the assumption. So, if we don't lose anything, it'll come back. I don't think I should give out the exact number. I think Naveen just stopped me from saying that. But yes, we've 100% provisioned on day one.

Neeraj Toshniwal: To restrict it, only secured business, or even unsecured?

Management: No, it's unsecured. You don't need FLDG for secured.

Yes, it's with one partner. The rationale was to try and work with them and see how the profitability plays out over a 36 -38 month, which is a typical tenure of a personal loan. This allowed us to expand the segment which was our objective. We've taken a much lower FLDG than the allowed threshold by the regulator, and, like Yashish mentioned, we are provisioning that fully. As we kind of do the business, we've already seen. So, this was the end of December, we've already seen the expansion of the segment happen in January because of that category.

Management: From a revenue reporting perspective, please appreciate it, there is no further risk. It is not like anything else is coming, whatever we have provided put, we have already written it off and if it comes back is only positive, and it is helping us expand the category. We may or may not do more of it. We'll see there'll be two filters that we will use to consider any other proposal. One would be that either it helps us expand the segment and expand the number of consumers we can go to and test it out along with the partner. The second would be to expand the margin. So, if it's fitting one of those two objectives, then we would consider it and take it through the process of board, approval, etc, before we go live.

Neeraj Toshniwal: And is the unit economics higher than the normal unit economics in this category.

Management: Unit economics are very similar. Like, I said this particular deal. The objective was to expand the segment. So, by expansion or we've seen the higher disbursement growth. But unit economics is similar to what it would have been without the FLDG.

Just wanted to clarify net of FLDG, your economics is similar. But I think, it's a specific deal. I don't think we should comment too much on that particular deal in terms of its profitability, loss to us, etcetera.

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Neeraj Toshniwal: Sure, and in terms of Pb Connect which we are now entering. POSP model into Paisabazaar. How is the unit economics? And can it be scalable significantly from here? Again, it will be like similar to insurance POSP model, where, the margins will be low for a very long period of time.

Management: Yes. So almost all the points that you mentioned in your comment. It's very, very scalable. The opportunity is very high.

We've seen it over the

last few years, and PB Partners has kind of shown the path there that in secured especially home loans and LAP, there is a lot of business that's out there which requires physical processes and fulfillment. And it's very, very distributed. And spread across multiple partners. So, we're trying to build a platform to bring all of them together. As we build the scale, it will continue to be low margin. Currently, it's at negative

margin, small negative margin like Yashish mentioned, and the objective would be again as we scale it up and bring more efficiencies and bring more smaller distributors the margin should continue to improve, and at some point, like P B Partners, has reached. Now it gets into the positive contribution zone.

Neeraj Toshniwal: Sure.

Management: Yes and secured is quite cyclical. So, we're building this strategically. So that cyclicity goes down. That's one of the primary reasons why we're building this. And of course, it also includes an influence with partners, because suddenly we do large volumes with them. As you can see, it is already 1.4 times the unsecured business in terms of overall disbursement. And it's going to grow quite rapidly. So that's the other part like POSP build our relationships. This should also build our relationships with partners.

Neeraj Toshniwal: Got it, and last question, if I may squeeze in is on the cost rationalization we talked about in the last call that we might free up some of you know, on the capacity on Paisabazaar given slower growth so wanted an update on that.

Management: Some of it has happened. But, when you do that, it doesn't reflect immediately, because there are, processes, etc. You'll see some effect of it now onwards, like from December onwards started coming, and a lot more impact will come from April onwards. That's not really doing anything else. It's just we've got empty offices right now. So those empty offices we've given notices to leave those offices. But you can't

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just leave them right. Your accounting still takes the costs, whether they're empty or fulfilled.

Neeraj Toshniwal: So how much savings, if we can quantify, we will be able to add,

Management: We once we do the exercise, we'll update you. And maybe Rasleen can update on that. We haven't quite done the exact exercise but just to put in perspective. May may sound a bit odd, And that's a lot of seats. So, if you do a per seat analysis a seat typically costs about 8-10k per month. I'd leave it there. But.

Neeraj Toshniwal: Got it. This is helpful. Thank you. Yashish.

Management: Thank you, Neeraj. We'll take the next question from Nischint Chawathe, Kotak. Please unmute yourself.

Nischint Chawathe: Hi, 3Q was a weak quarter for life, as you mentioned. And I think you've capacitated for more. But volumes were a little weaker. Just curious. How are you looking at 4th quarter? Have you sort of made similar investments. And any feelers that you have from insurance companies.

Management: First of all, maybe I've given the wrong impression here. Our life business grew at more than 40%. Just putting that out there, so I should not give the wrong impression that it's been a weak quarter or anything of that sort. The only thing is in savings, we had got used to 100% growth YoY. Our health and term businesses have grown exactly as expected, and that is a reflection of the market that the savings business has been, but it's still decent growth over last year. Even if I look at current, I don't see any challenge in, giving what our usual projections are, as growth. Only for the savings business, and of course, health in terms should outdo that. No point giving any specific guidance here. But that's how I see it. I think, savings, we're okay. If the if you are selling unit li

nk products, and if the market is soft there will be some impact. I think that's what we are seeing.

Nischint Chawathe: Just moving on to the non-life part. The regulator has asked the insurance players to move to 1/n formula. Obviously, you're not part of it. So, your premium numbers continue to be the way you've been doing it in the past. But have they changed the commission structures? Have they deferred the commissions for long term policies.

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Management: I think we would prefer not to discuss commissions. Obviously, we are

part of the industry. We follow all the rules and regulations as per the industry. And we continue to do that. See Policybazaar is not a commission-hungry platform. I think we are more focused on number of customers, good & better-quality products, more affordable pricing, better service. So, I think, yes, it's not really clashing right now, with that approach. And the data proof. If you want data-based proof that, we are saying, we're not commission hungry. But actually, we must be commission hungry. That's how everybody is supposed to be. Just look at the data from the day of the IPO till today. Our premium is about 6 times higher but our commissions are exactly the same. Obviously a 6 times larger player with larger market share should have been able to attract higher commissions. If, if they wanted to muscle into it, or something of that sort. That's not our intent here. That's never been our intent. We are exactly where we were. We are getting the same commission today as we were getting when we were 6 times lower, and even when we were 30 times lower, we're getting the same commission.

Nischint Chawathe : Sure, got it. Thank you very much, and all the best.

Management: See, read us very clearly. We are growth-of-premium-hungry. We are not growth of commission hungry. I know that at some level from a financial perspective, that sounds very stupid. But I think at another level, it's very smart. We really want to be large in our impact. That's all.

Nischint Chawathe : Got it. Thank you.

Management: Thank you, Nischint. We'll take the next question from Sanketh Godha, Avendus. Sanketh, please unmute yourself.

Sanketh Godha: Thank you. Thank you for the opportunity. Probably the question is on similar lines. So out of the total health, what we do, what portion is long term. Say, 3-year indemnity health you sell. And just if you were getting upfront. Whether you were recognizing commission on deferred basis, or on accounting basis you were recognizing on deferred basis, or you are recognizing on cash basis. So that that's the only thing I wanted to check.

Management: So, I'll give you a very simple answer to this. We have renewals, and we have fresh. Overall when you look at it. It all evens out because if you

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are doing 3 year business, then your renewals from the last 2 years will not come up as renewals. So eventually, when you look at it, it's not a big impact to anyone, at least as far as we are concerned. I'd leave it there for now. We don't want to go to very specifics of how much is 3 year, how much is 2 year, etc. What I can say is our 3 year, and this is important. Our 3 year in the last 18 months has been lower than our 3 years in the previous 18 months. And this is important. So that you know that our number of transactions actually growing. It's not like we're growing because we've had some 3 year story, or something of that sort.

Sanketh Godha: Got it. And just on the contribution margin on the core business. Last year, if you see, on an average, you reported around 44-45% contribution margin on the core business. But now that number every quarter in the current year at least seems to

be dipping today, it is at

40 or 41 odd percentage. So just wanted to understand, is it largely because of Paisa or is it largely because health has done very well? So just wanted to understand. How do you see.

Management: You are absolutely right. Health has done very well. Health takes away about 3 to 4 percentage points. Let me explain to you in a very simple terms. When a business continues to grow for 18 months, 2 years it scales up compared to the other businesses. So if you take everything except health, it is growing downwards of, . Maybe it's growing at 35, 40%. Right? And health has been growing at 55, 60, 65%. So let's say, it's growing at about 25% more than the rest of the business. Essentially, on that, you're making 40 compared to 45% that you were making on the overall piece earlier, right? And that affects you. Of course, your renewal piece is also coming in. That helps you, plus.

We have explained to you that on the we put a little extra effort in trying to get sales on the saving s side. And we anticipated a hundred percent growth. Maybe we got a 40% 50% growth, it wasn't 100, that was all. And I think if you think about it over the multiple years Policy bazaar has been in that 42 -44-45% range and th ese changes are very minor compared to so all. All I'm saying, is. Yes, you might want to worry about them. That's your choice. If you want to hear me say it - don't get fussed by this too much. It is largely some new health happening, some little investme nt here and there . Wh enever we want to, which is going to be at any point, we can always take this a few percentage points up very

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quickly. And that's just a question of when do you get into a into a slightly lesser growth mode. It's not anytime now.

Sanke th Godha: Got it, and lastly, give n you have a very strong health growth in the current year we as it flows to the next year in in the.

Management: The market is growing at 10 -12% , we are growing at like a multiple of the market growth. It's not like we ar e the only ones trying. Everybody is trying. So, I think Sarbvir is spot on. I don't think we can focus on, this quarter , you had this profit or last quarter. That has to be seen over multiple years, and I'd say, draw your attention - there's a very intere sting slide that Rasl een puts out right, which has a 4 quarter rolling average. Actually, if you look at that 4 quarter average which has gone through various cycles, right of different businesses going at different rates. You can see the very steady progr ession that we've been able to maintain for the last 3 years, and I think that is perhaps the right thing to focus on. You know, because one quarter here and there is very hard to explain also, actually, sometimes.

Sanketh Godha: Okay, got it. And lastly, one small thing , my back of the envelope calculation suggests that probably if a retail health in insurance industry size is around ■10,000 C,r you, you are probably at 23 to 25% market share on new what industry is generating . If you're already at 25 -26% market share, there is a meaningful, more scope to gain market share or incrementally, the growth might be not be 3 x of the industry, maybe a little lower than the industry average.

Management: Yes, I don't think it's a market share problem anymore. I don't want to get into what our exact market share is, and whether what you're saying is correct or not correct. But I'm saying it's not a market share problem anymore. I think all of us need the industry to grow. And for all of us, for the industry to gro w, certain things need to fall in place. And we are part of the solution. We will be a larger and larger part of the solution, because we want to be. And I think we are being welcomed by the industry for that reaso n. As a seller, as a solution provider as a bearer of n

ew business , I think from many perspectives we are coming at it. But the whole idea is to have a steady industry which grows a lot. I think the industry is currently facing a challenge right that the growth is being restricted by the trust in the industry you're seeing, , parliamentary conversations, this, that, and the other. There is a belief that, , claims is a hard process, and I again don't want to get into. I think that problem

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does need solutions. And as I said, we are part of the soluti on. So , we allow growth to happen because we allow claims to be settled better. And I think that is the biggest part of our proposition.

Sanketh Godha: Got it. Thanks. Thanks for the answers.

Management: But a simple, a simple way to think about. It is on ly 4 Cr people in India today have health insurance , all said and done whether you even come to the middle class. The middle class alone is perhaps 20 -30 Cr. So you have a lot of people who don't have health insurance yet. And I'm talking a bout lives. I'm not talking at number of policies. I'm on the retail side, and I'm not really talking about 140 Cr Indians. Right? I'm just talking about the whatever 30, 30, 40 Cr middle class.

Sanketh Godha: Yes. Got it? Thanks. Thanks for the answer.

Management: Thank you, Sanket h. We'll take the next question from Srina th, Bellwether. Please unmute yourself.

Srinath V: Hi, guys, I just wanted to understand, how are the performance marketing costs trending. My assumption is that, our growth in health and term has larg ely been driven by conversions , may not be that much of upper funnel growth.

Srinath V: So would the performance marketing cost, , as a percentage of revenue or premiums. Have they seen a significant reduction given that, , health insurance has seen sign ificant growth over the last 2 years

Srinath V: Question on this would be, I would like to understand how persistency in health insurance renewals is playing out in the context that in the base last year , already health insurance growth had taken off. So j ust wanted to get a feel if how persistency is broadly trending. Yes, these are my 2 questions on Policy bazaar .

Management: I'll just answer the 1st part. Whenever we have to advertise on Google or any performance, marketing or anything else, we are another commodity player with a brand. So we are slightly more efficient than anybody else. We're probably 2 times more efficient than anybody else, because it's a recognized brand. But our primary way of growing is brand, which is that people come to us w ithout us having to spend on performance marketing, and that is the bulk of our business, and specifically on health and term , that is the large part of our business. I also just want to explain to you on performance marketing that you

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have to understand it's an auction platform, right? Google is at the end of day, an auction platform, and while we are obviously going to be a more efficient player than anyone else , given our brand , given our experience in conversion, having multitude of choices , it is our job to keep pressing the pedal. We would not like to leave room on that side for anyone to find efficiency right? So you should expect that whatever we can do to get the lead, we will do. Because, as Yashi sh e xplained, our majority of our business is comin g from our direct side, so that 20% business or so that we're getting from performance , I would never want to leave anything on the table, because that is essentially leaving oxygen for someone else. So that we will never do . As far as renewal rates are co ncerned, very happy to tell you that in December, and we look at it on a number of policies basis, because I think that's the most important nu

mber both our 1st year renewal and our second year renewal onwards are at the highest rates that we've ever had. And again, this is because obviously, our team has done a phenomenal job. The products that we have introduced with our insurance partners over the last few years, , we've been talking about the modular products. They have this feature that the no claim bo nus increases rapidly every year, and that, as you can imagine, acts as sort of a barrier to leaving that product, and hence we have seen, , our renewal rates, and I think we have room to grow in terms of improving our renewal rate persistency. All the wor k that we do on the service side should finally translate to higher and higher renewal rates. I think that's a fairly straightforward equation.

Srinath V: Fantastic congratulations on that. On Paisa . Just one question. There's this number in our presentati on monthly inquiries that number has actually seen a significant growth. Wanted to clarify or understand what drives that particular metric. Monthly Inquiries.

Management: I think that should be a typ o. A pologies for that. That should be quarterly inquir ies. It should not be monthly.

Srinath V: Okay. Thank you. Congratulations on a good set of numbers , guys. Thanks.

Management: Thank you, S rinath . We'll take the next question from Nidesh Jain, Investec . Nidesh , please unmute yourself.

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Nidhesh Jain: Thanks for the opportunity. The 2 questions. Firstly, if you can share

contribution margin and EBITDA margin for credit business for the core credit business.

Management: It's in line with the overall core business so roughly in the forties, and the overall EBITDA margin is 9%.

Nidhesh Jain: On the on the credit side, core credit side.

Management: EBITDA margin is 9% and contribution is 45%. So it's actually more efficient than Policybazaar, because there's also a factor of the NPV of Policy bazaar.

Nidhesh Jain: Secondly, what would be your market share on new health side?

Management: We don't discuss that.

Nidhesh Jain: Sure, and lastly, just a comment that if you, if you can share the renewal rates the way you have shared in DRHP

Management: I'll explain to you. We're not cagey about this. Our mindset has shifted.

Our mindset has shifted from Policy bazaar should be big towards the industry should be big. We know that if the industry is big, then we will also be big. So would our partners be big. I think that works for everybody. That's really how we are thinking about it. And I think for that, fundamental problems need to be solved. We have deep problems. It's not an easy problem to solve for any nation as far as healthcare is concerned. And we hope we're going to be part of the solution.

We'll look into it. We'll probably try and share it in the future.

Nidhesh Jain: Sure. Sure. Thank you. That's it for my side.

Management: Thank you. We'll take the next question from Madhukar Ladha, Nuvama. Please unmute yourself.

Madhukar Ladha: Hi! Good evening. Congratulations on a good set of numbers. Your contribution margin has been lower. But if I look at your adjusted EBITDA margin for the existing business that has improved so there has been a pretty good control over cost. The indirect cost.

Management: Don't say that. You're making my life harder.

Madhukar Ladha: But and this is despite you telling us that you mentioned 1,200 to 1,500 vacant seats. So, I wanted to understand what is really driving this and

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, when do we see either we eliminating some of these seats, or we filling up these seats for.

Management: Don't take it too seriously. We've already given the notice to the real estate Guy, that we are getting rid of those seats. So the

offices will get

emptied by April. Notices are playing out. And, financing costs coming down hopefully. Don't take them too seriously. Yes, it'll have some impact, and you'll see it by April. We did over plan a bit, and the requirement was much lower. Finally, so that's what I would say, and no our OFC (other fixed costs) are not low. Please don't get that wrong. Our revenue has increased by the percentage OFC will look low. Of course, if your revenue is going 45%. Thank God, our OFC is not growing at 45% there. But I just want to explain to you that our marketing, actually, our television in Q3 was higher, significantly higher than last year, because we were on air all 3 months, many times in Diwali we don't. That month we reduce our spend significantly, but this time we were on air 3 months, so I would say that, whatever be Yashish's view on the cost. But as far as the numbers reflect, the fact is that this quarter, we were able to leverage our fixed cost quite effectively.

Madhukar Ladha: Yes, because, , when I look at when I back out the fixed costs or indirect cost between, , contribution and adjusted EBITDA margin for 6 months, there's a growth of about 12.5%. But for 9 months there's actually a decline, on a year over year basis. Is this sustainable? Because then, that could lead to a higher margin expansion. Q4. And beyond. So how should we think about this, and what is driving this.

Management: Yes, I would look at it more on a long-term basis. Yes, we try to maintain, as we've always mentioned, that we would like to keep our fixed cost growing, , significantly slower than our revenue. And again, I would say, 3 months is not the right way to look at it. But yes, over a period of time that should happen, and we'll see how it goes.

Madhukar Ladha: Got it. And also coming back to this, whole thing by the regulator of,

accounting for long term policies on 1/n basis , are we changing our strategy in in any way?

Management: We are not so small there like, honestly, we're not. We're not so small that we would change our strategy basis, some commission payout or something of that sort. No, not at all. We want to be big in health. We will continue to be big in health. We will continue to do 3 year plans, 2 year plans, one year plan everything. In fact, if I was to say from a

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competitive perspective , it is a huge advantage to Policybazaar, right?

Because as a player, we are very keen to go down that direction of investing in our growth. Not everybody can invest in growth.

Madhukar Ladha: And as an insurance broker , I would tend to believe that it's always better for you to sell a 3 year plan over a 1 year plan right? Because it guarantees you persistency upfront or reduces lapse rates.

Management: When you look at a 10 -year view and because we have the data thankfully of the last 10 years , the numbers, it basically becomes Even Stevens. There are lots of factors. And, it's a more detailed conversation. There are lots and lots of factors that go into this this decision. But over a 10 year period of the same story, whether you sell one Year Plan or 10 Year Plan becomes the same thing. A 3-Year Plan will have one decision point at the end of 3 years, which will have a higher drop than, a continuous drop that there'll be. There'll be lots of complexity. It's a long conversation.

Madhukar Ladha: Okay, got it. And can you just give me your renewal premium for the platform business and for the new initiative separately.

Management: Our core business on renewals is about about ₹2,050 Cr.

Management: That's our renewal premium. ₹2,042 Cr. That's only core.

Management: And all the new businesses put together about ₹500 Cr more.

Management: Which means we had an ARR of about 24,000 Cr about half is fresh. A little more than half

is fresh. About 50, 57% is fresh. 43% is renewals , which is a great place to be. If your new business is more than your renewals, because that means you're really growing fast.

Madhukar Ladha: Understood. Thank you, all the best .

Management: Thank you, Madhukar. We'll take the last question from Rina Mehta, Trident Capital . Reena, please unmute yourself.

Rina Mehta: Congratulations for the good set of numbers and thank you for providing this opportunity. So, I have basically 3 questions, what is your market share in the incremental life business within the industry ; another is like, how big is your saving business for you now in terms of premium. And the 3rd is, what is your agent productivity like? If you break down your growth between your agent, product, agent, growth and productivity growth.

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Management: We don't discuss market share, as you would have heard on the call. I think it's not a necessarily a very relevant metric. Obviously, our term market share is more than our I would say, savings market share. We are obviously a big source of term business for the industry. So, I think that will be a disproportionately high share for us as compared to the overall industry, and I think the last point you asked was about agent productivity. And thing I would say, this varies by quarter because we build scale for the season. So, what happens is that the 1st 2 quarters typically, we build agents size and numbers and etc, etc. And then we try to convert . Obviously, the back half of the year. We tend to do better in terms of productivity. So, I would say in Q3, it was similar that yes, productivity was not as good as we would have hoped to be. Because, like you said, we had just set very ambitious growth targets but other than that, I would say largely it would be 50 50 in Q3 and in Q4. I think it will be higher on the productivity side than on the growth side, because we will not add capacity in Q4.

Rina Mehta: Okay. So, then it is better to assume like, if you expect to grow 30 , then you will be adding 30% more agents or employees will bring business

for you, or there will be the existing agent who will be more productive and can bring 30% more business.

Management: I think it's a mixture of both. It's not an exact science in that sense, because what also happens - it depends. If you're opening a new center, it's a different geography versus existing geography. So overall we look at, we assume a certain productivity growth of existing people. And then we do our capacity planning and typically we are not aiming for 30% growth. We are aiming for much higher growth. So, there is an element of always having to add capacity as we go along.

Rina Mehta: Okay? And if you can say that, how big is the saving business in terms of percentage of total premium right now.

Management: We don't discuss that.

Rina Mehta: Okay. Okay, sure. No problem. Thank you.

Management: Thank you. Thank you very much. Everyone. I really appreciate your patience. Listening in until quite late. And once again apologies for the late start.

Take care. Have a good evening.

Call: May 2025

May 22, 2025

To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai – 400051

SYMBOL: POLICYBZR BSE Limited
Department of Corporate Services/ Listing
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400001

SCRIP CODE: 543390

Sub: Transcript of the Earnings Call conducted on May 16, 2025

Dear Sir

In furtherance to our earlier communication dated April 30, 2025 , May 16, 2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith Transcript of the Earnings Call conducted on May 16, 2025 .

The transcript of Earnings Call is also available on the website of the Company at <https://www.pbfintech.in/investor-relations/> .

You are requested to kindly take the same in your records.

Yours Sincerely,
For PB Fintech Limited

Bhasker Joshi
Company Secretary and Compliance Officer

Encl.: A/a

PB FINTECH LIMITED
Q4 FY2024 -25
Earnings Call
May 16, 2025

Page 1 of 19

Management: Good Morning. A very warm welcome to PB Fintech Limited Earnings call Q4 FY 2024-2025. Today we have with us :

- Mr. Yashish Dahiya, Chairman & Group CEO, PB Fintech
- Mr. Alok Bansal, Executive Vice Chairman, PB Fintech
- Mr. Sarbvir Singh, Joint Group CEO, PB Fintech
- Ms. Santosh Agarwal, CEO, Paisabazaar
- Mr. Mandeep Mehta, Group CFO, PB Fintech, and
- Ms. Rasleen Kaur, Head, Strategy & Investor Relations, PB Fintech

I hand over to Mr. Yashish Dahiya for his introductory address.

Management: Thank you Rasleen. Good morning all. Sharing our update for the last quarter and the year FY24 -25. Our total insurance premium for the quarter was at **₹7,030 Cr** , up 37% YoY led by growth in new health. With this, the total insurance premium for the year was **₹23,486 Cr**, with a growth of 45% in the new core online insurance premium and 48% in the

new health and life insurance premium. I just wanted to make a little comment here, as I look at our insurance revenue over the last 5 years - in 2021 we were ₹619 Cr; in 2022 we were ₹984 Cr, and I won't go through the whole list but we are now at ₹2,573 Cr and if I do the CAGR for 5 years and talking about just the core insurance premium, our CAGR for 5 years is 43%. The new insurance core premium for the quarter is up 21% YoY, and we don't feel very happy about that. However, if you exclude savings, now for the last 9 quarters, we have been between 35 to 45%. And yes, this is lower, because it's been pulled down by savings in this quarter, and savings has come in below our expectation that we had at the beginning of the quarter also. The health business has surprisingly continued to grow. By now I would have expected it to slow down a little bit, but now it's been 9 quarters, and it's been growing very, very strongly. We have seen other parts of our business -like motor, two-wheeler and travel returning to the above 30% growth which it wasn't for some time. We continue to improve our customer onboarding and claim support in the insurance area. Our CSAT is now consistent at above 90%. To be clear, it's actually 92.1% but we are saying just 90% right now, because we are revalidating that 92%. It has gone up quite a bit, so we are doing some more assessments around it. Our consolidated operating revenue grew at 38% YoY to ₹1,508 Cr for the quarter. The core insurance revenue is up 46% YoY, and the core credit revenue is down 21% YoY. This brings our total operating revenue to just shy of ₹5,000 Cr; it's ₹4,977 Cr for the year, which is 45% up YoY. I just want to take one second to remind people, the year we went public, this ₹4,977 Cr at that point was about ₹890 Cr. The company is about 6 times larger in the last 4 years from FY21 to FY25. And just to kind of keep that in mind, what we used to do in the whole year, we are now doing in every 2 months. Our trail revenue is now at ₹817 Cr from ₹577 Cr last year in the same quarter; 42% growth YoY. This is at an ARR of ₹817 Cr. And this is a key driver of long-term profit growth, as we've always said and the delta between 4 consecutive quarters has consistently been increasing, and this will keep going up. I think we

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have that number in our presentation, you can see how it's been going up. Our credit revenue for the quarter is at ₹115 Cr. We also had a management change during the quarter, and that is why you are seeing Santosh here. Disbursal is at ₹2,368 Cr for the core online business. Do appreciate beyond ₹115 Cr, there's another ₹55 Cr of revenue which is coming from essentially a POSP type business in the credit side, which is more focused on the secured side. We continue to strengthen our leadership in new initiatives which have been doing really well with a growth of 50% YoY and an adjusted EBITDA margin moving from -10% to -6% with

in

the year and there is now a 4% contribution. PB Partners, our agent platform, is now standing head and shoulders above any of the competitors, and continues to lead the market in both scale and efficiency. We have moved the business increasingly towards smaller and higher quality advisors, so we're working a lot on that. And it's showing a very decided move in that direction and consistently so. We have the most diversified business across the various lines of business and we are now present pretty much everywhere; 99% of PIN codes we have a presence in. Our UAE insurance premium has grown 76% YoY, and there is a bit of a positive surprise there. That business has turned profitable and I feel confident it's turned profitable kind of forever. Because, you usually can't react to one month or two months, but now it's kind of steadily moving in that direction and I don't think it will ever go back into the red again. And that's a very interesting phase for a B2C business because that means it's kind of started making enough revenue to cover its fixed costs, and from there onwards life should be a lot better. Our consolidated PAT for PB Fintech grew from ₹64 Cr to ₹353 Cr, which is quite interesting but again, it was quite anticipated as well. Our margins have moved by 5%, from 2% to 7% for the full year. Our closing cash balance was ₹5,400 Cr. I think we've spoken about various things, and you can see how the growth has been. There's a CAGR of 52% for the last 3 years, from FY22 to FY25, and the PAT margin has moved from -58% to 7%. But once more, while these numbers sound very good, -58% to 7% and they are; they were pretty much as planned. The only thing I would say which we think we should start to deserve some credit for. This is a Management that is delivering as per its plan and that's quite hard to do over a multi-year period. So now you've seen about 3-4 years of us saying, this is what will happen; and we actually go ahead and do that. With that I'll open up to questions. Thank you very much.

Management: Thank you. Yashish. We'll take a minute for questions to gather. Please raise your hand and wait to be unmuted and then we'll take the question.

Management: We'll take the first question from Sachin Dixit, JM Financial. Sachin, please unmute yourself.

Sachin Dixit: Hi, Rasleen! I hope you can hear me now.

Management: Yes, very well.

Sachin Dixit : Hi! Congrats Yashish and team on a decent set of results. My first question is with regards to the contribution margin expansion. Obviously, you had guided towards it, so credit to you to have delivered on that. The jump was quite sharp; QoQ 5%. Obviously, we could understand some of the drivers. What I needed you to do probably is if you can break down those drivers, maybe between let's say renewals, how much of the impact would have come from there roughly, or maybe the change in new business premium with savings being lower, health continuing to sustain the growth. If you can break that 5% jump between different segments that will be helpful.

Management: See if you think about it, we have margins coming from 3-4 different angles. And if you look at our business, we try to break it down and I am talking not just about last quarter but if you look at our business in general, there is not much change in take rates of any one business line. We have broadly 4 kinds of businesses. One is our core fresh health business; second is our core health renewals business. So just kind of keep these two in two buckets, or let's even call it all renewals business. The fresh health business, we are getting sharper and sharper at defining this, comes at a negative margin, of 15% -20%. And the renewals business comes at a fairly high profitable cliff. On the other hand, our overall core business, if you leave

out renewals, and if you leave out fresh health, that operates at a broadly a 20% kind of margin. Okay, so these are the two areas. And you have Paisabazaar, which is doing its thing and the new initiatives are largely at 0 to a few percentage points margins. A lot of things depend on how these move. Now the structural shift is that renewals keep growing on a consistent basis, and as they keep growing margins somewhat keep expanding. However, the core online business, without renewals and without fresh health, is not without profits. That also has a 20% margin, and as it keeps growing, it also keeps driving profits up. If you ask me about half and half of the profits and the margins are driven by these two - core online business (that includes Paisabazaar) as well your renewals growth. Now, the margin depleting part is actually your fresh health. Look, we struggle to explain this in many ways. Whenever fresh health grows, that's a cause of celebration, not a cause of worry, but it will dampen your profitability, and it will dampen it quite sharply. A lot of the things have to do with those mixes. We are at a stage where for the last 3-4 quarters we have been somewhat investing with an expectation of growth on all business fronts. And today, if you think about it, maybe on the savings business front, we have invested, but we haven't reached the rewards of that in the last 1-2 quarters. We're thinking hard about it. We're not at a stage where we think we will not have growth, we're certainly not and it is just one quarter and you don't make a strategy basis one quarter. But we are certainly thinking about diversification of products and figuring out how we do better on an ongoing basis in that area. I think those are the pieces that are driving it.

Management: Sachin, apart from what Yashish explained, I think your question perhaps was about the sequential improvement in the margin. That is because we have been investing in

the call centre side in Q2 and Q3 especially, and that investment obviously came down in Q4 because we maintained the scale of our call centre. So that is the other reason why the margin has expanded because the growth in call centre cost was lower this quarter as compared to the first three quarters. And I would encourage you to look at it on a full year basis, because these things move up and down, depending on what one is doing in any one given quarter.

Management: I agree, a full year is a great way, but it's always the 12-month rolling, it's a beautiful way of looking at our business, because that takes away any form of seasonality and that's why we specifically give that breakup. Just look at it on a 12-month rolling at every given point.

Sachin Dixit : Right. Just a quick follow up on this one. Like earlier, you guys used to mention in the presentation that renewal is 85% contribution margin. This quarter, we noticed you have changed the language to being 80%+ contribution margin. Any particular reason for that?

Management : Look, there is a science to it and of course, there's a lot of allocation of costs. I'll explain what that means. Initially what we were looking at was the cost of doing the renewal in terms of payment gateway costs, our calling costs in creating that sales. Because if you look at our cost base, there is marketing cost, there is sales cost, there is a call centre cost, and the sales cost has got a loading of management, etc. However, there are costs beyond that. There's customer service cost, there is claims management cost, and we've been investing in those very heavily over the last 2-3 years. Now there is no difference between the claims cost on a fresh business and renewals business, and if you actually get smart about it, the claims support come more in the renewals business than in the fresh business.

business. We're just getting smarter and smarter around these allocations. At this point, what I would say is, it's somewhere between 77% to 80%, that is where we are. Of course, some streams like life might be at 93% but overall it comes around at that point. As we learn more, we communicate more. But it's just getting smarter among all the allocations, and a little more what you call ABC kind of allocation.

Sachin Dixit : Fair enough, really helpful.

Management: What we are doing internally, Sachin, just to explain, we are moving all our businesses to a fresh and renewals P&L kind of review. Earlier, we did not do it to that extent because that has an implication. Because the moment you get to that, then the internal people force these allocations a lot sharper, and that's what we're bringing out in the outside world as well.

Sachin Dixit : Makes sense. My second question is on the OCF Side. While we noted that the company turned OCF Positive last fiscal year. This year we seem to have reverted back to being negative with receivables being a major factor. Will be great to have some light on that as well?

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Management: Receivables have got multiple things but one of the big shifts that's going to drive over the next few years, and we should all keep that in mind is going to be the 1/n, which essentially means that while the business is happening, there is a shift in how the money is being collected, and that is because of the 1/n accounting of the insurers. This is something that will play out over a couple of years' time, especially for the first 12 months.

Management: Yes. There's 1/n and the second thing is that in health, we are selling a lot more plans on monthly mode. Till last year our business was largely on annual mode, now we are selling a significant amount of our business on monthly mode, and obviously, as you can imagine, the collection happens over a period of time. It'll take about another 2-3 quarters for this to kind of normalize.

Management: One last thing I wanted to add. Our Q4 call centre cost, we did not grow it. But the way we do most of our accounting, we have some volume-based targets and some volume-based incentive targets, etc. We don't account for them till they are hit. What that implies is a lot of them get back loaded towards the Q4. You see some benefit coming from that also every year and it depends. This year to be brutally honest, we miss some of our targets in the savings thing, and actually our revenue from savings would have been a lot higher than it was. So that's fine. You miss some, you get some. That's the way life is.

Sachin Dixit : Got it. Thanks so much.

Management: You can't predict growth too sharply.

Sachin Dixit : Great year, and all the best. Thanks for the responses.

Management: Thank you Sachin. We'll take the next question from Madhukar Ladha from Nuvama. Madhukar, please unmute yourself.

Madhukar Ladha : Hi, good morning. A couple of questions from my side. We're seeing a lot of changes in the health segment with IRDAI saying 1/n; the whole method of reporting and there's a lot of pressure and talks on deferring commission pay-outs for long term health. I wanted to understand from your viewpoint, how has that played out in those negotiations with insurance companies. Second, given the pressure, I'm hearing that there is probably going to be some reduction on renewal commissions as well. Some comment even on that, if there are any talks going on, and if we felt anything on that side. Lastly, just on the expense structures, if you can just spell out how the expenses have been bifurcated, the employee, advertising and the other expenses between direct & indirect and existing & new initiatives, for sort of our modelling purpose going forward. These would be my questions. Thanks.

nks.

Management: Thank you very much for that question. First of all, we should not miss the wood for the trees. Health insurance is a very simple area where the customer essentially pays a certain amount of money, and he basically expects his claims to be settled. Policybazaar has

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a phenomenal position there because we have done very good disclosure assessment at the beginning, and it's always competitive. I'm not saying we are perfect, but we are much better than many of the channels in terms of disclosure assessment. What that implies is our claims book is standing strong and that means is the insurers are not getting surprises as much as they may be getting in some other channels. Thus, we feel lesser pressure than maybe the market feels on both the claim settlement side as well as some of our pay-outs, etc. One of the things is because over the last three years we have worked so hard on ensuring customers get their claims. Some of our own renewal claims ratios will also start to move upwards because we were not able to put as much effort in that, and we will be getting in the same

range, or maybe just lower, a tad lower than other channels, because we are putting in that effort. But that is coming at a much higher claim settlement than many other areas, and that is in my opinion, allowing us to attract more and more customers along with our better sales training and better advertising, etc. I'll kind of defer to Sarbvir to kind of answer on those two, but that's how I think about it.

Management: No, I think Yashish covered most of the points. The only thing I would say, which is probably not a surprise to you all, is that clearly now health insurers, like other general insurers, are focused on the combined operating ratio. I think on that basis, if I were to summarize what Yashish said, our channel comes out on a fairly attractive end of the spectrum, and because of that, I think the pressures obviously will always be there for everyone. But I think those pressures are much more manageable, and at least so far, we don't see a change in our economic structure. And the second thing I'll just add is that we are actively working on this subject. It's not like we don't understand what these issues are, how to make sure that long term renewal claim ratios are controlled, what else can we do, how do we segment the customer base better, etc. We're working with our partners on these issues. I feel quite confident that this whole economic model will continue for us.

Management: I think the conversations have got very evolved around how do you maintain claims ratios into the future, whether that means add-on products, whether that means like a higher cross-sell, whether that means you work with different cohorts differently. As Sarbvir said, we're taking on a lot of effort and responsibility in that area. We are clearly maturing. We are not where we were three years ago in terms of our processes for both fresh and renewal. Now you asked about the different costs and the contribution margins, etc. See, if I look at this whole year, our core margin is about 43%; that is very similar for both insurance and credit. It's not very dissimilar and it has stayed the same for both for a very long time. Now new initiatives, of course, are very different. At the beginning of the year, they were at -1% and they kind of moved up a little bit last quarter, they were at 4%. But overall, they were at a 2% positive. I think that is the way it is. And if you look at the core business, the EBITDA is at 16% positive for the year. It started at 14%, ended at 22% but again for the whole year it's about 16%. Again, at the EBITDA level, if you look at new initiatives, we are at about -

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9%; started at -12%, ended at -6%. But I don't think you should look at either -12% or -6%, you should look at it all with a 12-month rolling basis and right now, the 12-month rolling is -9%. Right now, the 12-month rolling situation is core is at 16% and new is at -9%. But both are inching upwards clearly, and I think that is what is important.

Management: On your question on Insurance companies and how they look at Policybazaar as a channel. See for insurance company, there are three basic costs and I am telling very high level in health. Claims, which is roughly 70% of the cost; Distribution, which is roughly 20% of the cost and OpEx, which is roughly 10% of the cost at a granular level in the industry. Now, 20% is obviously a big part, but it hasn't seen the context of other 80%. Then any company works with Policybazaar because of a very deep tech integrations, and all the OpEx requirements are very, very low related to any other channel. Similarly, the claims on a blended book continues to be lower, because we provide a lot more new customers to them. So overall, this is the most profitable and fastest growing channel for all of these insurance companies, and the way our discussions happen with them in terms of new product introductions, all the innovation that we can do for the customer, the claim servicing part, everything continues to be very, very strong. So practically short term, don't see any specific issue on this.

Management: Very simple data point. The retail health industry at 23% fresh, 77% renewals. Our fresh is still bigger than our renewals. So that is a very clear indicator. Forget us, if you look at the claims ratio of the entire industry, the fresh claims ratios are about 1/3rd to 1/4th of where the future years lie. We are obviously important in the profitability of the industry and driving new volume to the insurers, which is what the game is, I guess.

Madhukar Ladha: Understood, this is helpful. Just a follow up. Now given that our base has increased significantly, and our market share also in this health fresh premium is pretty high now. I know it's a difficult question to answer but if you were to talk about sort of growth going into FY26 and FY27, maybe in the near term; then how should we sort of think about that, any changes over there?

Management: See if I look at our last five years now, as I said, our core business has been growing at a CAGR of 43%, which is ahead of my expectations honestly. I thought we would be here from a revenue perspective. If you've asked me in FY21, I thought we would be here maybe 6 months to 12 months later, because I always think the revenue CAGR should be about 30% or so and that's what we've always thought. From a long-term perspective, we believe 30% is the right CAGR for us to sort of plan for. However, I'm honestly being surprised by

health, but at the same time let me kind of put it to you another way. We have a term business, we have a health business, and I think term as an industry is about 1/3rd of health. And for us, our fresh businesses in term and health are very comparable. Of course, health is bigger, but they're still comparable. I think, within our own setup, health has at least a

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doubling to go to catch up with term. I shouldn't say this but if you brutally ask me that look which of your teams do you think is actually sharper between term and health, I actually feel, looking at the last 3 to 4 years, our term team was actually sharper. By the way, our health team is catching up very, very quickly and is becoming better and better but we have a way to go. I think in health we have a natural right to win, which actually in term is far harder, because in term, you can't differentiate a huge amount in terms of claims settlement, but in health you can, and we are doing that. I think, in health, our right to win from a distribution standpoint is pretty clear.

Management: One more thing here. We always maintain that our growth rates will usually be about 2-3x of the industry growth rates, generally. That's what we maintain. But in health we seem to be doing it up to 4-5x of the industry growth rates on an overall basis for new business acquisition. Now see the real deal for Policybazaar has been that the customers come to us. Customers come to us when they see any incidents happening in their circle, whether it's friends, colleagues, family and the reality is for a lot of young people, the incidence of hospitalization is much, much higher, and a lot of people are coming to ask for these products now. They actually feel that this actually serves a very big need at that state of their life when they're, 30-40 sort of age group. So, yes, health has done much, much, much better compared to other channels and our growth rate, as we said, I mean, we always expected 2-3x but this is sort of going 4-5x.

Management: Yes, if you're just looking for some kind of broad direction on various things; our health continues to do well, and we're feeling confident. In fact, I feel confident this will be so for the year, or for a large part of the year at least. I think our savings business at this point is very challenged. We are struggling to grow, and we're thinking very hard on that - how do we grow. Of course, there's a pensions area, there is a child insurance area. We are working hard at it. I think the good news is, if you look at the last 5 years, our motor & two-wheeler growth, was a bit subdued due to various reasons but that is solidly back. We are feeling confident. If you really look at Policybazaar over the last, I would say, even 10 years, it's always 3-4 of our businesses are firing and 1-2 are always struggling. That is the way life has been but those 3-4 do enough to kind of keep us above the 30% on a regular basis. And I think that's what you should think about. The good news is now we are also confident that the credit side is going to grow. We are seeing good month on month growth. We feel very confident that we should have a good future in the credit side.

Madhukar Ladha : Thank you, and all the best.

Management: Thank you Madhukar. We'll take the next question from Dipanjan Ghosh, Citi. Dipanjan, please unmute yourself.

Dipanjan Ghosh : Hi! Good morning. Hope I'm audible. Just two small questions from my side. One, in the answer to your previous participants question, you mentioned that savings is

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challenged but if you can give us some colour on the savings contribution either to premium or top line, how should one think of it for FY25, or Q4 that would give us some colour on the trajectory that we should kind of forecast or think of going into the next year. Second, you have kind of given some slides on PB Money, and it looks quite encouraging. So just wanted to understand your overall strategy from the next 3 to 4 year perspective on the PB Money side, and how you can leverage that to maybe further milk the customer, or achieve a better cross sell sort of ratio out there?

Management: Sarbvir will answer the savings question, and then we'll move over to Santosh for the PB Money question.

Management: On the savings side, if you see the industry also, there was a sharp slowdown, especially in February and March, with negative growth on the retail side. Our business to some extent reflects that in Q4 and based on what we can see, it will take a few quarters for this to move up or move away from where we are. We are planning that probably the first two quarters of the new financial year will also be quite slow on savings. As Yashish mentioned, we are focused on building new segmen

ts like pension; we are focused on bringing back products that have done well for us in these kind of market conditions, like our capital guarantee solution, etc. But I think it will take some time. Ex of savings, as we showed you, we

stay in that 35 -40% kind of corridor, and I think that should continue for the new Financial year as well.

Management: On the PB Money side, there are two reasons for why PB Money is critical for a business like credit. One, it allows deeper understanding of customer's risk because over and above bureau, you start getting data about the income of the customer, and you can do sharper underwriting. We've rapidly acquired customers on the PB Money side, that allows more curated products and better risk. The other bit to this is that savings is a large area. We do a lot of savings through insurance on the Policybazaar side. There is an opportunity to do savings on the Paisabazaar side through bonds, fixed deposits, mutual funds. So that opportunity exists, and I think PB Money will be the backbone to use the data to advise customers on how to manage money better, and that should be a rapid area of growth for us this year.

Dipanjan Ghosh : Got it. Just one small follow -up. What would be the monetization strategy, it would be more product cross -sell or driving higher engagement and then trying to sell your existing product book. What would be the monetization strategy?

Management: Monetization largely will come from selling bonds and fixed deposits this year, and it also helps indirectly in monetization, because we have a better understanding of a customer's credit, and hence it will lead to growth in some of our unsecured lending areas. So that is a shadow way of monetization but of course, direct monetization on bonds and deposits will exist.

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Dipanjan Ghosh : Thanks. Just one final question before I kind of drop the mic . Any plans to go into broking or sort of entities?

Management: Not in the way you are thinking about it but what we just said -bonds, fixed deposits, these kinds of things, pension products, NPS. Not in the traditional trading sense, that is not how we are thinking about it. But yes, from a licensing perspective, there may be some context to that. There's no decision there but yes, there are conversations internally. So just in fair transparency there are conversations but again not from a trading perspective. It is much more from a long -term savings perspective.

Dipanjan Ghosh : Got it. Thank you, and all the best.

Management: Thank you Dipanjan. We'll take the next question from Shreya Shivani, CLSA. Shreya, please unmute yourself.

Shreya Shivani : Yes. Hi, can you hear me?

Management: Yes.

Shreya Shivani : Good morning and congratulations on a good set of numbers. Thank you for sharing your views on what's happening in the savings segment and health insurance segment. I wanted to get back to the protection segment. The industry as such has been seeing very strong growth for the past two years straight. The monthly sum assured data indicates there was some moderation, not slow down, but after two very strong years there was some moderation in growth in March on the protection sum assured front. What is our understanding of how things are moving? I'm not talking about you being slower but is the industry sort of moderating after two very strong years? That's my first question. Second, on your healthcare business, if you can give us what has been the updates. We've seen the disclosures on the exchanges. How has our thought process evolved? And third I'm not sure if you've given your breakup of premium across POSP and Corporate, I know Dubai is 76% growth. That'll be my last question. Thank you.

Management: Shreya, the sum assured that you are reading in the industry data is actually not directly reflective of term insurance in the sense that a lot of the sum assured growth for

the industry has come from attaching riders on ULIPs to make ULIPs more attractive, as you know, last couple of years have been about that. So the reduction in sum assured growth that you're seeing in Q4 is actually a reduction in the growth of ULIPs rather than the growth of Term. Term has largely in last two years, based on the numbers that we know, has been growing in a very similar, I would say 12 to 15% kind of range only. From a protection perspective, we are obviously growing multiples of that growth rate. We are, through this, appealing to the industry also that all of us need to focus on driving demand for protection and growing the term market.

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Management: On the breakup you had asked for, you can make a note. Our core business is **■16,144 Cr** for the year. POSP is about **■5,000 Cr** ; Corporate is about **■1,000 Cr** ; Dubai is a little more than **■1,100 Cr** . On the core; new and renewal continue to be at about 50:50; they are about half and half.

Shreya Shivani : Got it. And healthcare; your thought process now , etc. ?

Management: Healthcare is a very long drawn project. It will take a long time, and I would give it enough space. The strategy will not change on a daily basis. The strategy is very, very clear. As I said, I think these are just nomenclatures, who's an insurance company, who's a broker, who's a hospital. Eventually, if we think from a consumer's perspective, he's saying a very simple thing. I'm giving you ₹10,000, whatever happens to me, take care of it. That's what the customer is saying. The customer has a lot of pain in that process. I always say, when you think long term, think simple. The customer has a lot of pain in that whole sequence. And we're trying to solve that sequence with all our efforts. So Policybazaar is doing some work at the disclosure front and the hospitals will do some good work at aligning with the consumer outcomes. We've had the round, we've had the money come in, we've acquired one asset, in the sense we paid for it, we've taken it over. We are looking to do the same with maybe 3-4 other assets, and I think what you should see is, we'll probably buy if you look at the five hospitals that we're looking at in NCR, we'll probably buy 2-3 operating ones, and 2-3 more like shells which we are going to convert rapidly into operating hospitals will be a combination of existing revenue and profits; new from scratch builds. We've started bringing on doctors; we've started bringing on people who know how to build hospitals. But even today in our team there is more tech people and product people than healthcare people, and that is also a reflection of some of the things we are going to do in terms of wellness. Basically, think of yourself as a customer. You've paid ₹10,000. Now you've also said I'll pay ₹20,000. Take care of everything, take care of OPD, take care of everything don't ask me for a bill, don't ask me for a claim. If something goes wrong, just take care of it, and I should have no pain whatsoever in this process. Of course, the physical pain will be there but shouldn't have financial pain in this process. That's what we're trying to solve at a fundamental level. This is a big project, and that's why I said, don't expect sort of any rapid changes. We are reviewing everything on a weekly basis, but don't expect any material changes in a very rapid manner.

Shreya Shivani : Got it. Thank you so much. This is very useful, and all the best.

Management: Thank you, Shreya. We'll take the next question from Manas Agrawal, Bernstein. Manas, please unmute yourself.

Manas Agrawal : Hi Yashish, thanks for the candid answers. I actually wanted to ask two things on a medium term/long term strategy perspective. One is, you're talking about pr

opping up

savings in various ways. One clear way to do it is par and non-par where you don't operate, and a large market in terms of TAM, so any thoughts on that? The second is slightly more

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philosophical - on AI. It can affect both customer servicing and customer acquisition.

Acquisition side, we've seen Google say search is changing; SEO will change as a function of that. How you guys are thinking about it? On the servicing side we've started seeing some start-ups operate collections for banks using voice bots, replacing call centre operations. So is that a threat or is that an opportunity. Wanted thoughts on that.

Management: I will request Sarbvir to answer on the savings aspect and of course we have a view on this. I'm quoting somebody else. I think our view is very aligned to Mr. Sandeep Bakshi's view - Sell good products, and we have a view on that and I have a huge amount of respect for the man and sorry for bringing his name into it. But I think, when he changes his view, we'll also probably change our view. But I would say, Sarbvir, if you want to answer that more specifically, and also the AI question, because I know we've been having these debates. We're on the same page on this.

Management: The best way to think of it is that every channel and every distribution platform has its own set of characteristics. Our characteristic is that we get customers who are informed customers in general, and they're looking, they understand the difference between products and they're looking for transparent comparison. If you see slide 41 in our deck, we have actually shown that the ULIPs that we are selling today are better than most mutual funds that are sold in the market; if you are willing to stay for the 10 years or the 20 years that the ULIP is meant to be so. The products that we are selling today actually are extremely good products from a long-term saving perspective, which is the role of these products. And we believe that as the middle class grows, consumers will need to save for their goals. The goals could be children's education, general retirement, their own personal sort of pleasures that they want to save for. And of course, finally, there's a whole pension area where after you stop earning, you need to have enough money to live. If you think about it, we are more focused on the goals rather than just the products. And we believe that we have to sell efficient products, because if we don't sell efficient products, then the customer who comes to us will see through the issue and will be disappointed, and will not buy more products from us. At this point we are very clear. I don't want to go into par, non-par, etc. I think the main issue is products that make sense. And as long as the products make sense, we continue to offer them.

Right now, obviously, we are largely a ULIP platform. We do sell non-par because in our capital guarantee solution one part is a non-par, and the other part is a ULIP. That's how that will continue, and we feel quite confident. See, in the first half of last year we grew at over 100% in savings, I think we should not forget. I mean a few months here and there is part of the course, and our team is creative enough, and we will figure it out again. As far as AI is concerned, I think we are right at the forefront of all these use cases that you spoke about. We do a lot of our collections through AI bots, agents, etc. And we continue to sort of stretch the boundary on this. We still believe that for sales, especially in life and in health insurance, it is important to have a person explain the whole product in a very systematic and logical

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manner, because you also want to elicit disclosure, because if you don't elicit disclosure, I

think you will go down the wrong path, and I think that's what we continue. But I can assure you that we have enough experiments going on in every area to look at what is the cutting edge, what are people doing, and how can we leverage that. And we firmly believe that in AI, what we call man in the middle is the right format where AI helps to improve the productivity and effectiveness of the person, and that's what we've done on the risk side, I won't go into all of that. But if you see our last couple of years, I think a lot of work has been done, which is leveraging the latest and greatest AI technology.

Management: Just to kind of add to what Sarbvir said. Already we have got what you call AI agents, who are doing initial warm-up, initial calling, kind of across the group. That's starting to happen. When you think about AI, you got to think of it from - what are we doing to protect the supplier, what are we doing for ourselves, what are we doing for the consumer. Look at these three kinds of buckets in a triangle. At least from a supplier's perspective, risk is a very big area that we are working on and we are trying to understand risk. When we talk about ourselves, a big amount of the effort is both in terms of sales efficiency, reducing the non-talk time because that's a huge amount of time. At the same time empowering the agent with a lot of information which is coming in terms of prompts or supports. That is what you know largely is being worked upon.

Management: And just to add, our technology teams are now using a lot of AI to do their jobs; a lot of technology costs can be saved in the future.

Manas Agrawal: Thank you.

Management: Thank you, Manas. We'll take the next question from Rahul Jain, Dolat Capital. Rahul, please unmute yourself.

Rahul Jain: Hello! Hope I'm audible.

Management: Yes, you are.

Rahul Jain: Most of my questions have been answered. Just two questions. Firstly, if you could share your thoughts on the increased receivable for this year. Any colour on it and going forward basis, what is the sustainable level of investment that can go in this? Secondly, which is just an extension of the previous question around AI. What kind of headcount optimization, purely from a call centre perspective one should see. Is it safer to assume that irrespective of the scale of the business, the headcount growth would be at lesser than what has been the last few years' growth on that part? Those are my two questions. Thank you.

Management: I'll just answer your last question. I think things will happen, it'll take time, which quarter nobody can say, but if you look at it on a year on year basis, if I look three years out, a lot of things would have happened, and I see no reason why that wouldn't happen. The

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receivables is largely a 1/n thing, which we explained will have some impact. It's already started having some impact and now it will have some impact for maybe a few more quarters, and then some limited impact which will be limited to the multi-year policies and all that stuff. This is a cycle that will play out. We're not too fussed about it in the sense, of course, we would wish it wasn't the case, but it is the case, and we have to kind of live with that.

Management: See Rahul, when it comes to the deep tech, as you mentioned, there's an efficiency part, and there's a risk part. As a company, anything that we do can have three types of impact - either we can work on improving the revenue or becoming efficient on the cost or better customer service. The biggest impact of deep tech for everyone, including us, is on the customer service because that can be automated to a large extent as we look for next 1-3 years. This includes renewals, claim support, all sort of endorsements, all sort of service elements. Sales, speci

fically in insurance, is a very involved process. There are some parts of it which can be automated over time. But broadly, there will be very, very close physical

contact with the customer all the time. If you look at the cost of sales operations as a total NPV revenue for us. It is roughly somewhere around 20 -25%. It's not a very big bother yet. We'll do whatever it takes in terms of becoming more efficient, but I think the bigger impact will come on the service side before it comes to sales.

Management: We all have our own opinions, and, my opinion is over a three -year period, you will see a lot of impact in sales as well. But my other opinion is consumer brands are very important in this. My view is AI is commodity and basically consumer brands are going to be the differentiator, because the human mind is still limited and of course, we'll have some impacts coming from this. But, as you hear, all of us have somewhat different views, and that's the way to carry on.

Management: Thank you, Rahul, we'll take the next question from Nidesh Jain, Investec. Nidesh, please unmute yourself.

Nidhesh Jain : Hi! Thanks for the opportunity. My question is on credit business. We have done extremely well on the insurance side. On the credit business with the change in management team, how are we thinking from this on this business, from a longer -term perspective and how are we trying to build the "right to win " in this business over medium to long term.

Management: See on the credit side, I think last year was a year of moderation based on what happened in industry. As we now scale back, there are three aspects around this. One - that we will go deeper in the secured area. It has built up very rapidly ; this year we will expand the secured area and we will do home loans, loan against property, loan against cars . These are the areas we will expand in. We will also start savings area to deepen our understanding about a consumer, and that also allows for better understanding of our customer 's risk and means sharper underwriting which will then help in scaling our unsecured lending. And the third area

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is collections. Collections is something that we will focus on. Deep collections capability, especially tech -led, will help us again scale our unsecured side, because as we work with a lot of new NBFCs and Fintechs, that capability is required. So that should also help us expand our supply side on the unsecured lending.

Nidhesh Jain : On collections, will we be investing in physical collections also?

Management: Right now, largely tech -led and Delhi based collections, a lot of AI is going to get used in that area. We are not thinking of Feet on Street at the moment but again, as we get deeper into it, that may change.

Management: If you kind of think from a last 10 years perspective, one of the things we've done is built a huge amount of risk capability in the Policybazaar franchise, specifically on the life insurance side . Outside -in it may or may not be visible but within the industry it's quite respected. I think that allows our partners and our channel to be a little more profitable and a little more long lasting than many others. I believe that's one of the things that Santosh also brings to this area and so she's quite serious about thinking around risk and making sure that the right risk is picked up by the right organizations. And one of the things in that is, you understand risk better when you're yourself collecting as well. So that's one of the reasons we want to move into that area. Especially some of the early Fintechs may not have a lot of collection capability, and eventually in this business, if your money is not being collected, then there is an issue.

Nidhesh Jain : Sure. And we've also been experimenting with FLDG in the last few quarters.

Is there any thought process on that?

Management: See, when we started FLDG, we started from giving some kind of guarantee, but we did not really get into how we are differentiating on risk. I think that is what we are starting to do now. Santosh if you want to answer specifically.

Management: I think our confidence on doing some of these FLDG partnerships will go up, because we are starting to understand risk better and that means responsible lending. And we need to have skin in the game to really go deep in this area, so then we are comfortable in doing these arrangements, and that should be the right way of scaling our unsecured business.

Management: Just to kind of explain our accounting policy on that, because that can be a cause of worry. Our accounting policy is very clear, whatever FLDG we take on, we provide for it on day one itself, and then as and when we eventually come out of the woods, we kind of start considering it. But we start with a zero base.

Management: Thank you. Nidesh. We'll take the next question from Neeraj Toshniwal, UBS. Neeraj, please unmute yourself.

Management: Hi Neeraj! Please unmute yourself.

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Neeraj Toshniwal : Hey. Can you hear me now?

Management: Yes, we can.

Neeraj Toshniwal : My question is on the contribution margin. The expansion in contribution margin is quite decent. So, wanted to understand, has there been any reduction in incentive pay for the POSP Agents in this quarter, which has helped increase in contribution margin. That is first question. Second question is on the cost. Employee cost that has gone down, so is the advertisement; while other expenses have increased significantly, if you can throw some light over there that will be helpful.

Management: Sarbvir can answer more specifically, I would just say, please don't look at anything QoQ, because we should just look at it on a 12-month rolling basis, that will give you a much better picture. Otherwise sometimes you will see the impact of incentives from other places, etc. playing up and that's what I always said.

Management: Neeraj, I explained in the beginning of the call that we have been growing our call centre capacity or our sales capacity over the year and in Q4 we kept that flat. That is one of the reasons why our contribution margin improved. Apart from that, there is some extra money, etc., that you may get at the end of the year. That is the main reason. I would again encourage you to look at it on a rolling basis, as Yashish explained. As far as the POSP part is concerned, I understand there was some media article on the issue that you are referring to but the facts of the matter are that we have always been very consistent in offering a very attractive opportunity to POSP agents, but the real trick is not in terms of trying to reduce the margin. The real thing is to work with smaller agents, whose incomes are getting enhanced by working with PB Partners. I think that is the journey that we are on, and that journey is getting better and better, and because of which the overall mix will also improve, and our contribution will improve. It's not really about reducing pay-outs; it's about optimizing pay-outs and the right set of agents to work with. That's really where this whole thing has come from.

Neeraj Toshniwal : This is structural, this will continue in the coming quarters as well?

Management: There is some structural aspect to it, there is some quarter aspect to it. But when we speak about the POSP business per se, there is an easy way of doing POSP, and there is a hard way of doing POSP. The easy way of doing POSP is, you work with large POSP people who are themselves in a way POSPs, and you get bulk volumes. And that's why, if you notice, the one way to check for it is, how many employees do you have for every business d

one. And

you do require people to manage agents, however tech driven you may be, etc. You do require people to recruit agents, manage them, etc. and that ratio is quite telling. The second way is to actually get small, small agents and get them to do more business for you, and more types of business for you, and that is hard. It actually, is not something you can do just through remote control. A person can only manage a certain number of agents, and those people also

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need to be trained hard and trained well to do it. We are very clear, we are down that path, so we can't answer for the whole industry but for us we only value that part. That's the only thing we kind of look at. Now on the various things, just look at it 12-month rolling, and you should be fine. I don't think you should see any material change from a 12-month rolling perspective. Like all the structural changes are there, as I said, renewals growing. See our health fresh, if I take a 5-year view, we cannot keep growing at this rate, but our renewals can and so, obviously the margins will come at some point.

Neeraj Toshniwal : That is helpful. Thanks, Yashish.

Management: Thank you, Neeraj. We'll take the next question from Sanketh Godha, Avendus Spark. Sanketh, please unmute yourself.

Sanketh Godha : Yes, thank you for the opportunity. Yashish, the way I understood it, just for a clarification, if you have sold a 3-year long term plan on health. Though the insurer is paying commission spreading over three years, you are recognizing 3-year commission upfront, and that's the reason why the receivable number has gone up. That's the understanding right.

Management: That's the understanding. Yes, you're right.

Sanketh Godha : And just to follow up on that point. Out of the total health, whatever we do, how much portion would be contributed by long term?

Management: I think we would not like to disclose that at publicly.

Sanketh Godha : Okay. Fine.

Management: It's a pretty steady number. All I wanted to say was it was similar last year and the multi-year plans were a little higher than that two years ago. Our growth is not explained by that. That's what I'm trying to explain. Don't get the wrong impression but we don't want to disclose the number.

Sanketh Godha : Okay, perfect. And the second question was that the contribution margin of the new initiatives which improved. Is it fair to say that as you highlighted in the initial comment that UAE turned profitable, and that contributed to the margins to improve? The

biggest delta came from there, or the POSP, and the Corporate segment also did relatively well?

Management: See from profit perspective, at this stage, I just want to be very specific. UAE is not that material in the whole scheme of things. UAE from a loss or profit perspective would probably explain 10% or maybe 20% at best of the entire piece. I wouldn't go there now. I would say, if you take a 3-4 year view, then it does have the potential of being a big determinant of profitability, because that is actually like a core business. There's nothing non-core about the UAE business. It is exactly what we do in Policybazaar. Our Corporate business

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and our POSP business, on the other hand, are somewhat different. And again, we don't plan for these things, but we believe they should come to somewhere around 0 in the next two years, like from a break-even perspective. That's a journey, and it may happen one quarter, but we are constantly on that journey slowly. I don't think there's any very quick aberration in that. Yes, UAE has surprised positively with its profitability but it's not having a material impact on the overall piece yet.

Sanketh Godha: Okay, got it. And one data keeping

question. On the credit side, if you

can break up that ₹7,652 Cr, and ₹20,460 odd Cr into new initiative disbursements, and the core that would be useful. And lastly, if you can spell out the adjusted EBITDA margin for the credit business in the quarter.

Management: See on the new initiatives, I think it was a scale up of the last 5 months for the year. Roughly new initiatives contributed to 40% and the core is 60% for the year. For the quarter, it will be roughly 70:30. I think new initiatives is largely pass-through kind of business from a revenue perspective. So that is why you would see that though year on year the disbursements went up by about 38%, the revenue shrunk by about 14%. And you know that's what it is.

Management: Just to be clear, our new initiatives in Paisabazaar is at a very, very early stage right now, and it is largely lumpy. In a sense, what I said right now - easy POSP, hard POSP. Right now, it is the easy POSP. We want to be clear about it, so don't assume we've got a hard POSP done in Paisabazaar yet. We're starting that journey now; the journey we started in Policybazaar maybe two years ago. Initially in the first year, we also had easy POSP there, but after the journey we took on two years ago, and it has been constant shift towards more and more granular agents. That is a journey we just starting out right now. Right now, it is almost zilch on that front.

Sanketh Godha: Understood. And lastly, if you can spell out the adjusted EBITDA margin of the credit business.

Management: The adjusted EBITDA margin of the business is 7% for the year.

Sanketh Godha: Okay, perfect. Thank you very much. That's it from my side.

Management: Thank you, Sanketh. We'll take the last question from Srinath from Bellwether Capital. Srinath, please unmute yourself.

Srinath: Hi guys. Just wanted some qualitative feedback on persistency of the health renewal books. If you can give some qualitative understanding as to how the older cohorts are doing, and the newer cohorts are doing over a year on year basis or 6-month basis. Any qualitative feedback you can give on persistency of renewals, that'll be great. Thank you.

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Management: The qualitative answer is: all is well but Sarbvir will answer in a more specific manner.

Management: We are really proud that we are at all-time highs. We look at it always on NOP-basis, because that is the most important thing; the number of people who stay with us. The first-year renewals, we call R1. Our R1 Persistency is at all-time highs; we have never been at these levels. It's largely structural because it's driven by the nature of the products that we have been introducing. Over the last two years, with our insurance partners, we've introduced products that have very high No Claim Bonus. Every year your No Claim Bonus increases dramatically. When you come for renewal, your comparison with outside market becomes very different. Your current product looks very superior compared to anybody else because of the sum insured that you have. Our first-year persistency has increased a lot, and we are at all-time highs. Our R2+, which is second year and beyond is very consistent, it has largely been very steady over the last few years. So overall our persistency is at all-time highs, both in terms of number of policies, and even in terms of premium. But I think the most important thing is the number of people who stay with us.

Srinath: Perfect. Thanks a lot. Congratulations again, guys. Great set of numbers.

Management: Thank you very much. With that, we will close today's session. Thank you very

much for attending. Look forward to interacting with some of you over the next few weeks.
Thank you.

Call: Aug 2025

August 07, 2025

To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
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SCRIP CODE: 543390

Sub: Transcript of the Earnings Call conducted on August 01, 2025

Dear Sir

In furtherance to our earlier communication dated July 14, 2025 , August 01, 2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith Transcript of the Earnings Call conducted on August 01, 2025 .

The transcript of Earnings Call is also available on the website of the Company at <https://www.pbfintech.in/investor-relations/> .

You are requested to kindly take the same in your records.

Yours Sincerely,
For PB Fintech Limited

Bhasker Joshi
Company Secretary and Compliance Officer

Encl.: A/a

PB FINTECH LIMITED
Q1 FY 2025-26
Earnings Call
August 01, 2025

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Management: A very good morning and warm welcome to PB Fintech Limited Earnings Call for Quarter 1 Financial Year 2025-2026. Today we have with us:

- Mr. Yashish Dahiya, Chairman & Group CEO, PB Fintech
- Mr. Alok Bansal, Executive Vice Chairman, PB Fintech
- Mr. Sarbvir Singh, Joint Group CEO, PB Fintech
- Ms. Santosh Agarwal, CEO, Paisabazaar
- Mr. Mandeep Mehta, Group CFO, PB Fintech, and
- Ms. Rasleen Kaur, Head, Strategy & Investor Relations, PB Fintech

I now request Yashish Dahiya for his introductory address.

Management: Thank you very much, Rasleen. Good morning to all. Thank you very much for joining. I just wanted to start today by acknowledging and thanking our team not just for this quarter, but for the continued years of very good work. And what I mean by very good work is staying focused on what is right for the

consumer, putting that at the centre of everything we do and at the same time delivering every plan. I know we are broadly on plan, but every plan becomes waste the moment you get punched the first time, and our team takes multiple punches every day and continues to hit plans which is never easy. I just wanted to acknowledge that right up, and that goes for the entire 23k of us. Thank you very much.

Our total insurance premium this quarter was ₹6,616 Cr, up 36% YoY. This was led by growth in the core protection business, but specifically, Health, which grew at 65%, which is one of the highest in the last 9 quarters. The core online insurance premium grew 35% with 46% from Health and Term, which is the protection area. Our consolidated operating revenue grew at 33% to ₹1,348 Cr for the quarter and core insurance was up 37% YoY. The core credit was down 22% year on year. Our renewal and trail revenue of the last 12 month rolling basis is at ₹725 Cr up from ₹506 Cr last year, so about 43% YoY growth. This you're seeing at a very consistent rate, moving at about 43%. For instance, the Quarterly Renewal revenue is that an ARR of ₹673 Cr right now, up 47%. This is only for insurance. So the insurance quarterly Core revenue is at ₹673 Cr up 47% YoY. So what you're seeing is the insurance revenue has actually been growing at about 47% right now. I don't expect it to be at 47% forever. This would be somewhere in the 45%ish range for the foreseeable future. This is a key driver of our long-term profit growth. From a rolling 12-month perspective, the delta between four consecutive quarters has been increasing consistently, and is now ₹218 Cr at an overall level. Steady growth continues for our core new insurance premium net of savings business. This is another metric which

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we have been highlighting for some time. If you take the savings part out, our core business has been growing at ±40%, now for 9 quarters, and we were at 42%, this quarter. Our Savings business has grown at more than 100% at times, and is currently at about -5% YoY. We continue to improve our customer onboarding and claim support services and the insurance CSAT is consistently above 90%.

Our credit revenue for the quarter is ₹102 Cr and disbursements are at ₹2,095 Cr for the core online business.

We continue to strengthen our leadership in new initiatives with a revenue growth of about 50% YoY with adjusted EBITDA margins moving from -12% to -6% with a 5% contribution now.

PB Partners, our agent aggregation platform, continues to lead the market with 350k advisors. We have moved the business increasingly towards smaller and higher quality advisors and the growth is much higher in that segment. We are now present in 19k Pincodes covering 99% of the Pincodes in India.

Our UAE business, along with our Health business, is another star performer in the group. They've been growing at 68% YoY and they have now been profitable for the last 2 quarters, so that's starting to become quite consistent.

ent. Our consolidated PAT for PB Fintech grew from ₹19 Cr, excluding exceptional items last year, to ₹85 Cr, basically from 2% to 6% margin.

To summarize our performance since the listing: Our revenue has grown at a CAGR of 54% from ₹238 Cr in Q1FY22 to ₹1,348 Cr in Q1FY26. And our PAT margin has grown from -47% in Q1FY22 to 6% in Q1FY26. Of course, we have seasonality. Q1 is usually our weakest quarter but that's just the way the industry is. I'd be very happy to take questions now. Thank you very much.

Management: Thank you. Yashish. We'll take a minute for questions to queue up. Please raise your hand, and I shall request you to unmute yourself.

We'll take the first question from Sachin Salgaonkar, BofA. Sachin, please unmute yourself.

Sachin Salgaonkar: Thanks, Rasleen. Hope I'm audible. Thank you, Management. I have three questions. First question - want to understand again how is management thinking in terms of balancing between growth and profitability. Clearly, as Yashish indicated for last 7 quarters, we are seeing 40%+ growth in terms of core business. But when I look on a YoY basis, your core online EBITDA margin is largely flat at 14%. Should we sort of look at this business that it's

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matured from a margin perspective and management is focusing in terms of growing at 30 -40% odd percent plus going ahead. Or should we also continue to see a margin improvement plus the growth out here? So that's question one. Let me pause here and pass it on to you guys.

Management: Q1 is actually fairly straightforward. Our focus for the time being is entirely on growth. Yes, we will deliver profits, but they will be an outcome. We are clearly not optimizing for profits right now. There will be a point when we will perhaps optimize for profits. I hope that is as late as possible. Don't get me wrong here, because this is not meant to be a statement of any sort. We are a profitable company. We will keep becoming more profitable. But that will be a natural course for a while. Of course, if we wished, we could have a lot more profit right now but our bias is entirely towards growth. So whenever there's a call we have to make on - can we make this investment and maybe there's a doubt that it will help us in terms of growth or not, we will more often than not make that investment and err on the side of having taken on extra cost, and not being able to deliver the growth rather than having the growth opportunity, and not being able to deliver because we did not take on a particular cost. So that's the state we are in. Now, just to specifically get into whether that's a sign of us maturing, or that's a sign of us being young, I think that's a sign of us being young. You could take it whichever way, because I think there's an easy part which is to deliver the higher profits which we can do at any stage. But it's clearly not the stage to do that. It's like a 14-year-old kid. Do I want the highest performance from him today, or do I want him to train and have a lot of protein so that he grows into the future and becomes a far stronger adult. I think we are in the stage where we are still growing into becoming a far stronger adult in the future. And that is why, when we talk about 2030, we start talking about a ₹1 lakh Cr premium, we're not talking about profitability, because for us, that is the North Pole goal that we want to achieve growth and we want to achieve a certain scale. Profits will automatically come.

Sachin Salgaonkar: Got it, very clear Yashish. That was question one. Question two to Santosh. Wanted to understand if there is any change in strategy at Paisa bazaar since you've taken over. Clearly market, especially on credit lending on Unsecured, continues to remain soft. And I know you guys were exploring and focusing a bit more on Secured. So it would be great to understand from you broad changes in strategy

since you've taken over Paisa bazaar.

Management: Three things. One, that we are growing the Secured area, and you'd see that Secured has actually come up well. From a disbursal overall perspective, we are growing YoY. I would say we have a lot of existing customer base, about 5.3 Cr

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customers are on our platform. We wanted to monetize our traffic for other products as well. So you'll see us doing savings, we've already launched bonds, we've already launched Fixed Deposits. You will also see us do mutual funds in a while. I think that is another area that we are investing in. And third I would say, is building a lot of alternate data sources to basically sharpen our risk ability. Our ability to underwrite better and help our partners underwrite better. That is one area we are heavily investing in. I think the sharpness in risk and being able to qualify a customer better for credit that is the third area that you will see us do a lot of work in. You will see us now doing collections, you're seeing us now doing bill payment, etc, a lot of that really builds up from a deep risk capability.

Sachin Salgaonkar: Thank you. Last question. Of late, there appears to be some increase in competitive intensity from some of the smaller players and platforms in the new initiative space. Wanted to understand are you guys seeing any competitive intensity and any impact of that which could be visible on the numbers?

Management: I think you may be speaking about the POSP platform, so I'll just defer to Sarbvir on that.

Management: Sachin, I would say this has been a very competitive space all around. I don't see anything very dramatic that has changed over there. I think there's a whole bunch of people who've been competing and the basis of competition has to shift. We have to focus on more granular business and work with smaller partners and add value to them. I think that's the race. If you ask me honestly, it's no longer a competitive issue. It's issue of, can we add value to our agent

partners, and how much so that we can all have better economics.

Management: Sachin, I just wanted to add there, more from outside in perspective. I believe every market with scale starts to become more and more real. So that market in a way started with any scale is equal and any scale is okay. I think slowly the understanding is coming within the investor community as well, that look, granular business is better, and business quality is important, and I think people are being able to assess that better. For us, quite genuinely, and me and Sarbvir were discussing this before our call as well. As the market matures towards reality, we benefit because in reality, we are actually a player that does the right things, anyway. I would say that's the kind of stated play. I think the market is becoming more and more real, and that plays to our favour.

Sachin Salgaonkar: Very clear. Thank you guys and all the best.

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Management: Thank you, Sachin. We'll take the next question from Suresh Ganapathy, Macquarie. Suresh, please unmute yourself.

Suresh Ganapathy: Thanks, Rasleen. Just one main question is now that Health is done so well, and of course Term has always been doing well for you guys. What would be now your market share in these two products Yashish. If I were to take retail Health premiums overall in the industry, what would be PB Fintech's share, and also on the retail Term? Roughly, if you can state those numbers.

Management: I'll try to but I'll state something else a little before that, because I've been thinking deeply about this. The year Policybazaar started, the total Health and Term business in the country for retail was about ₹200 Cr. If we thought market share at that time. Actually there was an investor that time, Suresh. I won't name them. But they said, "Listen, the total market is ₹200 Cr. If you guys are 30

% of this market, that's ₹60 Cr opportunity. Why should we invest ₹20 Cr behind a business like that and so they left it out." Another investor did not know what the Health and Term market was, and so they did invest, and they kind of reaped the benefit. I think we are not in the market share game and I think that's a very important statement to make. We are in the "market creation" game. Since you asked the question the very specific answer would be, I think, in Health we would be (of the fresh retail business) somewhere about maybe 15%ish or so. And in Term we would probably be a quarter of the business in the country. But quite genuinely, we don't think in those terms. We just think in terms of our own scale. I'll tell you how we think about it. We think in India there is this 300-400 million people who earn sub of about ₹1 lakh as a family, and they can't afford the current healthcare solution, because everything is getting hard. Claims is getting hard, prices are getting hard, everything is tough for them. We hope we can play a very meaningful role in enabling Health insurance for them with our partners. In so doing it, make Health insurance a much larger industry than it potentially can be in the next 4 or 5 years, and should we be a participant in that, we should have a significant part of that growth. But that is really how we think. I think currently, it is a little stuck as an industry. But yeah, 15% and 25%, those would be the real numbers.

Suresh Ganapathy: And in Savings you would be how much?

Management: Maybe 2% or so. About 5% of the non LIC, maybe, but about 2% overall.

Suresh Ganapathy: Okay, 5% of non-LIC, that's clear. I know these questions keep getting asked. But you guys have done a very good job about your growth being at 36%. I know you guys have also been realistic, you believe medium term we should grow twice the industry, may be closer to about 30%. The problem that

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I have got is that you're already 25% of the term market and I don't think the term market is growing beyond 15% and so should be Health. When you are already at such a high market share, and the industry growth rate itself is curtailed. It is becoming difficult to digest that you can even grow at 30% when the overall market growth is stunted to some extent. Is my assessment right or how do you look at?

Management: That is a very fair way of thinking about it, and I wouldn't expect any outside person to think any differently but that is not how we have ever thought about.

That's the point I was trying to make. When we started in 2008, the total business was only ₹200 Cr, and nobody expected it to grow very rapidly. I'll

make one statement. I'm sure you have a market projection, let's say, of the next 10 years, for both Health and Term. Whatever that market projection is, our belief is Policybazaar alone will be bigger than that market projection over the next 10 years. But now that is the gap right. The gap is we are coming at it from - There is an opportunity out there; we feel we are better placed at solving that opportunity, and that opportunity is solved; the market will actually grow much faster. There are two parts to the market, and we believe we are a contributor to the growth of the market. So as we become bigger and bigger, the market actually does start to grow faster. For example, you heard one of the public players go out there and say that, look our digital business is growing at 73%. Yes, we are growing but the digital business of the entire industry is growing and somewhere, this is a phase shift. That part of the business is perhaps going to grow faster, because perhaps it has better disclosures; perhaps it has better cost controls at the back-end. There are things that are happening which make it a more viable business. All I'm trying to say is there's a more sustainable way of doing business, a

and that sustainable way doesn't have a scale problem. And there's one kind of non-sustainable which does have a scale problem.

Suresh Ganapathy: There's one last question on the Savings thing. I'll just squeeze in. So you are right now, 2% of the market but it's stuck around that for quite some time, right? And the growth has not been great here. I mean, that's an enormous opportunity, because 80-85% of the market is Savings business. What's wrong here, or what's getting stuck here as to why you're not able to do this at a faster rate?

Management: Suresh, I'll just answer that question once, and then I'll hand over to Sarbvir. At IPO, we were point 0.4%, we're at 2% now. In these years, we have moved from 0.4% to 2%. I think Sarbvir is perhaps better placed at why we are at 2% and not at 15%, like Health, etc.

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Management: Thanks Yashish. I think Suresh, it's a very difficult question to answer on an open forum. I would say that you have to look at it from a relevant perspective. If you look at ULIPs, if you look at the better-quality products that are sold, I think our share is more meaningful, and we always believe and in line with what Yashish was explaining on Health and Term, that in the end, the better-quality products will win, and they will become a greater and greater part of the market. And as that happens, our growth will also come. I think it's an enormous long-term opportunity. Like we have entered the Pension area in the last 12 months. I think slowly but surely we are building a very robust business on that side, and you would agree that Pension is a very big opportunity in the country, and it is coming. It is going to be an issue for the next 10-15-20 years. So I think we are building such anchor legs. We are selling very high-quality products. I would encourage you to look at a slide that we have in the deck, which actually shows that some of the low cost products that we sell, on a cost basis, are lower than mutual funds. From a time when your ULIPs were discredited and there was a concern around cost structure, etc, to a point where they are now in the long run, actually better than mutual funds. I think we are moving. It will take time for these lower quality products to come through, and when they come through I think all these questions about market share, etc. will become less relevant. It's a game of patience, is how I would look at it.

Suresh Ganapathy: Thanks so much, Sarbvir.

Management: Thank you, Suresh. We'll take the next question from Sanketh Godha, Avendus Spark. Sanketh, please unmute yourself.

Sanketh Godha: Yeah, thank you for the opportunity. Just again, on that Health point.

See, we know that underlying industry is not growing. So you delivered 65% growth in the current quarter. Is it fair to tell that large part of your growth was driven because you have a higher contribution to long-term policies, because that materially improves the growth for you? On that line just wanted to understand, given, you have chosen to take commission in a deferred way in the long-term policies. Is it fair to say that your take rates, because you are chosen to take in a deferred way, will be better when you recognize on upfront basis on revenue? That's my first question.

Management: Sanketh on the revenue part, I will defer to Sarbvir. I just wanted to answer one

question, not just for you, but for everybody. When we say we've grown at a particular rate, our number of transactions has actually grown at faster than that. So that lays to rest all kinds of questions like, has ATS grown faster, have

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you done multi-year policies more than last year? All of those questions get laid to rest. I will answer one last thing which just came to my mind. It's not because one customer is buying three policies because that can also happen. It's simply because we are adding more

customers than ever before, and our number of customers added is growing at a faster rate than our premium growth because this is something we obviously check. Sarbvir can answer the question on the commission side and the cash flow side.

Management: So Sanketh, as Yashish explained. I'll just reinstate simply, there are no games in this 65% number. This is based on number of policies going up, number of lives covered going up. Our multi-year share is roughly the same as it was last year, in fact, in decimal points here and there. If I were to actually answer your question, maybe the real question that you're asking as to what is driving this growth, then I would say that three things. One is, customers have seen the value that Policybazaar brings in terms of comparison, in terms of having more efficient products. They are buying those products. They are getting a better customer experience, both in the policy issuance process and at the point of claims, and that is in turn creating a positive word of mouth. If you see, our marketing is totally talking about how people are being benefited at the point of claim. I think it's a virtual circle right now, and as Yashish said right up front, I would say that our teams are doing an outstanding job. We have set up regional presence, we have Feet on Street team. I think every part of the business is firing, and I think that's why you are seeing the results. So far, it looks like it's a very robust performance.

Sanketh Godha: Okay, thanks for that one. And the second question just wanted to check on the new initiatives contribution margin, which every quarter seems to be improving. Today, it is at 5.3% for the Q1. So can you give a bit of colour of this 5.3% broken down into POSP, UAE, and Corporate. Where this delta improvement in the contribution margin in new initiatives is coming from. Maybe if you can break this 5.3% number.

Management: Sure. I'll explain. See, there are three aspects to it. I don't know if we want to give out all the specifics right now. UAE has become profitable, and so obviously that contributes to the margin. In fact, UAE and Corporate kind of balance each other, so they together become very close to 0. POSP has been improving in margins, it has been growing in scale and improving in margins. And it's just the quality of business they are doing, and they're constantly transforming towards smaller and smaller partners. I would say, look, if you want directionally, there's a likelihood that next year we should be very close to, numbers which have become meaningless from a profit or loss perspective

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both from a new initiatives perspective. But we don't want to hold ourselves to it. As I have always said we could end up being a bit counter cyclical in this, because we do want market share, and I don't think we will hold ourselves back for any short-term profit delivery target. We will always do what we think is best for the long-term strength of the business. So yeah, that's the sort of story there.

Sanketh Godha: The reason I'm asking - this 5.3% can improve to, by end of FY27, to around 7.5% -8%, or you assume this number to hold up at the current levels?

Management: I would say next year you should expect it to be about 0. I don't know, were you asking from a more short-term perspective than next year?

Sanketh Godha: Even in long term, say FY30, the contribution margin or EBITDA margin, how do you look this business to play out?

Management: Maybe a few percentage points. There isn't that much margin. I've explained this, and you know this very well, Sanketh. Please understand POSP business is basically a pass-through business. It's somebody else's business which you are providing them a tech layer for but your revenue accounting is essentially for the entire business. So you are getting a commission of, let's say ₹100 but of that ₹85 - ₹90

is going to somebody else. So eventually, as a percentage of revenue only about 10 -15, whatever is staying with you, and in that you have to incur all your costs. So it can't be like the core business. But yes, it can deliver something, and I would say, let's see, we're not putting pressure on that but I would suspect, maybe something like a 5% should appear at some point but whether it happened by 2030 or 2029 or 2031, I don't know.

Sanketh Godha: Okay, so basically long term you believe this is a 5% adj. EBITDA margin business in that sense.

Management: Let's see, let's see, but yes why not?

Sanketh Godha: Got it, got it. And lastly, a few data keeping points. If you can give a premium breakup of POSP, Corporate and UAE. UAE we have but maybe POSP & Corporate if you can give. And second in new initiatives, revenue of ₹514 Cr, can you break it down into insurance and credit.

Management: Yeah, Corporate is ₹430 Cr. POSP is about is almost ₹1,300 Cr.

Sanketh Godha: New initiatives, revenue of ₹514 Cr broken down into credit and insurance.

Management: That much I don't have. Maybe Rasleen can answer that offline.

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Sanketh Godha: Okay, perfect, that's not a problem. That's it for me. Thank you.

Management: Thank you, Sanketh. We'll take the next question from Shreya Shivani, CLSA. Shreya, please unmute yourself.

Shreya Shivani: Hi, thank you for the opportunity. Just on the data keeping question you had given us the PB Connect revenue last quarter of ₹55 Cr. Have you shared the equivalent number for Q1? And my second question is on the ESOP cost. So, we were following a certain trajectory, the ESOP cost, which has come in at about ₹55 Cr. Can you help us understand what would be the outlook for the next 2 years probably? Now, my two main questions, apart from this is. First is on the non-ULIP savings business, and we had indicated that we are considering certain other sectors or certain other segments where we would want to expand into. Can you elaborate anything incremental on that? And my second question is, while I appreciate the part that you are prioritizing growth, and for that your expenses are up in this quarter. But what I see is that your expenses outside contribution has picked up faster than the expenses within contribution. So just wanted to understand, how does this pan out when you start the year? How does it pan out that if it is for growth; shouldn't have been the expenses within the contribution that should have scaled up and just trying to understand. How does the math work out? Thank you.

Management: Thank you. So PB connect is ₹43 Cr this year. So it was for ₹50 something, and there's a bit of seasonality in that. On the non-ULIP, we had an aspiration to grow into Pensions. Please appreciate Pensions was almost 0 last year, it's about 15% of our Savings business now and getting bigger. Of course, we have Child plans. When you think about ESOP charges. Basically, if the management performs which I think we are all working very hard, and we will; then the management must be rewarded. I have zero doubts there. Now the only thing we can say, and that's what came across in our ESOP thing is we will only get rewarded when over a long period of time, over a 5-8 year period, the stock price also does. Of course, we're getting rewarded in terms of our basic compensation but our ESOP compensation is largely linked to our share price performance over the long term. So we are aligned with investors in that respect, and yes, it will over time, increase and decrease. That's okay. But it will be associated with that sort of price movement. Then we have new initiatives. In new initiatives, because they are not yet profitable, the management team's long term incentive planning is linked to the profitability of those business, so the only number that matters to the management. But this is not from a short-

term perspective, it's with an 8-year view. Their entire ESOP is, or whatever you want to call it Long Term Incentive Plan, is all linked to those businesses

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becoming profitable and significantly profitable, because that is when they make serious money. On expense planning, what you have as a contribution and non-contribution line. There's also brand out there, and sometimes in a brand one month we may do something extra one month, we may not do enough. But over the year the cost will not grow in line with our revenue. It will

grow at maybe about 2/3rd of our revenue growth or so.

Management: Increments is something that hit every year, but they hit in the Q1. So when the increments happen, you can have some impact coming from that. That is how it is. But otherwise, if there's any detail, I'm sure Rasleen can provide that. But that is how the planning happens. Of course, before the beginning of the year, we do have a plan. Obviously, we don't just have a plan, we kind of have a multi-year plan usually. And we give out some of those numbers to the market, like we did about 4 or 5 years ago, about a 2027 profitability. Today we are broadly starting to talk about our 2030 premium numbers. But more than that, we don't put out in the market in terms of our short-term business plans, but of course, our intent is not to have our fixed costs growing faster than our revenue, of course not.

Shreya Shivani: Got it. Sorry, I didn't understand on the Pensions you mentioned that you've already started scaling up the business versus it being at 0 last year.

That's the only product that you've decided to go ahead with.

Management: At a fundamental level, when you think about insurance, there are five products that matter to social security. I'll talk about all five. First is Health and Pensions, because you can fall ill, and if you get older you need to cover yourself for Pensions. The second is Term and Child education. If people die early, then they can have a problem with their family costs, that is Term insurance. And just in case something goes wrong, people haven't planned adequately for their children's education, that can get affected. These four, and then to some extent Credit is another enabler of social security in various situations. These are five products we focus on. Now, ULIP was a somewhat market linked opportunity, it did have a component, but our intent was always to sell more Child education and Pension plans, and I'll hand over to explain that there's been a beautiful transition in that over the last year.

Management: I think Shreya the way to think about it is that product is a means to an end. And I think ULIP, we believe, is more efficient, and in a growing country like India, equity is a better long-term solution. So if you are trying to save money for 10 years, 20 years, 30 years, then equity is the most efficient solution, and you can look at Indian equity returns. I'm sure you guys know better than us

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that over the last 10 years, on any rolling basis, you will find that they tend to converge around 14-15%. So that is the basic philosophy that we have. In that philosophy, we try to offer products for Children education, as Yashish just explained, we have created a Pension line where we are talking about long term savings for Pension products. These are accumulation products, then they have a annuity component. You can have straight out accumulation if you like. Then the third thing that we have focused on is protection of capital. For a lot of people, the concern is they want the upside of the market, but they also want to protect their capital that they are investing. So we have a capital guarantee solution which is comprised of a ULIP as well as a fixed return non-par product. So I think these are broadly, I would say, the three big areas that we focus on. Over time, we will look

at, especially as Paisa bazaar gets into the savings area, we will look at forming more complete solutions for some of these areas. I think that's the direction we are going. Right now, we have no particular interest in going down other Savings insurance products.

Shreya Shivani: Understood. So just one follow up. So in this Pension product, there's a slide where you've mentioned how many partners you have in the Savings, and in Health insurance, etcetera. So almost all of the partners are offering the Pension product, or it's just at nascent stage, and you're doing it with some partners. It's not 14 insurance partners. Is that a correct way to think?

Management: Shreya it's pretty much everyone. I think it's over 10 already, and whoever is left is slowly come on board. I think everybody sees this opportunity, and I think we are presenting an attractive way of accessing that audience.

Shreya Shivani: Alright, this is very useful, thank you, and all the best.

Management: Thank you, Shreya. We'll take the next question from Dipanjan Ghosh, Citi. Dipanjan, please unmute yourself.

Dipanjan Ghosh: Hi! Good morning, everyone. So just few questions from my side. First, would it be possible to quantify the sort of sales personnel or Feet on Street really supporting that journey, and how that have scaled up over the past few quarters or years. Second on the POSP side of the business, if you can quantify

the mix between Motor and non -Motor, and if there is a strategy to increase a non-Motor portion as your granularity of the franchise on the PB Partners side increases. Third is on the Paisa side. You have mentioned at the start of the call that you will be introducing mutual funds out there. When we see the broader space, it seems that most of the platform players are kind of converging towards the stage where the focus is on mass wealth advisory sort of a

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proposition. So would broking be on the radar for you guys. So those are my third questions.

Management: Actually, Sarbvir is better placed at answering at least the first two, and then we will come to Paisa. So both the hybrid and the POSP .

Management: We have about, I would say, almost 25% of our sales team present in over 200 cities where we offer Feet on Street capability; about 30% of our business comes from there. Yeah, of our Health and Life; assisted business I would say. So I think that was on the FoS side. I think the second question was on PB Partners and granularity. I would just say two things on that. One is that the percentage of business that we are doing with smaller agents is growing, I would say every month and the contribution of them to the business is now almost 2/3rd or more of the business comes from people who are doing very small amounts of business every month, and that to us is the most important metric as we go forward. The second metric that matters is that what are other things that these people are doing. One of the powerful parts of a platform is for an agent to be able to do other things. So if they sell Motor insurance, which mostly people do on our platform, can they sell some Health insurance, can they sell some PA cover, etcetera? So I think that part of the cross -sale is also continuing to grow every month. Those are the two things I would say at this point, I mean wo uldn't want to get into too much detail beyond this.

Management: For Paisa, I'll just hand over Santosh to kind of answer the question about mutual funds and more on that.

Management: On the Mutual Fund side, the industry is growing at 20% rate. There's still a lot of adoption coming. From a Paisa perspective, because, we have a very young customer and that customer needs both saving solutions and credit solutions. So, having both on o ne platform makes the platform far richer from an engagement perspective, solutioning perspective, and also that when these customers come

to our platform we already know how much do they save. We already have a PFM product called PB Money. So w e did have access to what was the money lying in the bank account. All we are doing is educating people - Why do you want to keep money growing at 2.5% -3% when you can invest in equity, especially when you're young and take benefits of the country that we are in and make money , at least 12 -15% CAGR is something that this industry can generate for you. It is an extremely consumer centric product. Just with bonds being launched a month back, we are already a ■1 Cr AUM without any marketing spend. I think that also raises the confidence that there is customer

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who's wanting to look at good saving solutions, and I think Paisa should be that platform.

Management: See, I think it's very, very early days. Paisa right now has dual challenge as I see it. One is they have a current quality of operations and a current quality of business which they are transforming very rapidly. And second is, there is a future platform that's being built. I would encourage some of you to spend time on the PB Money part of Paisa bazaar. It's in early stages . But you see account aggregator platforms have really levelled the playing field in terms of what you can offer to consume rs from access to their own banking data and access to their own investing data perspective. And to some extent Paisa is leveraging that to build up a platform with its own consumer base without further marketing. But, as I said, early days, I think this is going in many ways – Corporate Bonds , Deposits, Mutual funds, there could be some Pension element here, the various pieces coming along . At this point. Not a major revenue driver, the big revenue driver continues to be Lending. I'll just share one thing . Businesses have financials and businesses have the soft part of it , not the soft part of it, I call it the harder part of it. As I interact with Paisa's

partners and now I've been interacting with quite a few. What I hear across the board is that your focus on quality of book has changed. They feel far more comfortable with us as we distribute for them into the future. And that is the soft change one is seeing. Also from a platforms perspective, what you're seeing is a lot of the back-end platforms that Policybazaar had built which have a lot of integrated capability in them, are somewhere being leveraged by Paisa bazaar now because the Paisabazaar platforms were not of the same quality in terms overall ability. Policybazaar is perhaps one of the world's best sales platforms, whereas Paisabazaar was an early stage in that. A lot of changes are happening in the background which should make good sense. But on this part, very early days, so I wouldn't account for too much in terms of what's going to happen in mutual funds or investment products.

Dipanjan Ghosh: Yeah, just one small follow up to Sarbvir. You mentioned 25% of your sales team is deployed in these 200+ cities. What would this similar number would have been, let's say, last year?

Management: It's been growing.

Management: Maybe even 20%, maybe I don't know. See now, it is not growing at a very dramatic pace anymore. I think what is happening is it's deepening a lot more. So which city, what kind of people, what mechanism. So in some cities the call centre person is taking calls and also doing physical meetings. In some cities,

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we would have dedicated people who are only doing Feet on Street who get appointments. So it is a mixed model. What you can see is, it seems to have settled. On the assisted businesses, about 30% of our business seems to be coming from physical meetings. This might grow a bit, I would say, if you look 3-4 years out, maybe it's 50%.

Dipanjan Ghosh: Got it. Thank you everyone and all the best.

Management: Thank you, Dipanjan. We'll take the next question

from Nischint, Kotak.

Nischint, please unmute yourself.

Nischint Chawathe: Yeah. Hi, hope I'm audible.

Management: Yes, you are audible.

Nischint Chawathe: Thanks, just two questions. One is, what was the receivable figure as on June. I know you don't share the entire balance sheet, but if you could just share this number.

Management: Rasleen can provide that to you. But I'm trying to understand the question behind the question. So look there is going to be till September, a little bit of drag on cash flow from normal course. That is because the collection is on 1/n basis. This is a cycle that's playing out since last September; it will play out till September this year. The other point is, of course, our Health is growing very rapidly, and that is where this 1/n has some impact. But at our scale, it's not material enough. It's just being digested in the flow, is what I would say, but Rasleen can share the exact numbers.

Nischint Chawathe Sure, the other one was on tax rate. If you could guide, your tax rate is, I think, closer to 7-8%. So what sort of a tax rate would be for this year, and the next year. If you would give some guidance on that.

Management: Yeah, Mandeep has got an opportunity to speak here.

Management: Hi Nischint. So our tax is, primarily, if you track Policy bazaar, you will notice that we have accumulated losses, the carry forward losses benefit which is available to us right now. And whatever tax we are paying is largely on our investment income which we drive from investing our surplus funds. So otherwise, there's no special tax rate to us. This is normal nominal rate of tax which is applicable to all businesses. It's just a combination of business profits, other income and carry forward losses.

Management: But yeah, somewhere about 8-10% is, I think, the right number to assume for the next 18 months or so.

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Nischint Chawathe: And the profitability guidance that you have shared in the past, that assumes 8-10% tax?

Management: Have you ever heard us change our long-term guidance?

Nischint Chawathe: No.

Management: That's it. If we haven't changed now, it is so close to that. Why would we change

it?

Nischint Chawathe: No, I'm not saying change.

Management: It stays exactly the way it is . Nothing ever changes . Please appreciate we don't give short term guidance. We usually give these 4 years or 5 years out . Let me give an example. Right now, we're saying we want to do ₹1 Lakh Cr of insurance premium in 2030. What if we do 95 ? Is that bad? Not really. If we do 105, if you do 110. Is that great? It's okay. The point is : we observe, we should be there , we put out a goal which is sort of feels good to everybody and we should be about there. Yeah, it's okay . I think then we feel confident that should be fine. There will be no challenge there. Now, if people in their own mind assume it's going to be much more than that and much less than that , that's their minds working. That's not us saying anything. I want to point out one thing, and in this you will face challenges . Like just to give you the operational part of it. Paisabazaar, in the year 2024 had a ₹64 Cr profit . They may barely hit ₹64 Cr in 2027. Now, when I put that out, obviously, I thought in my back pocket I had ₹200 Cr of profit from Paisabazaar. Because if it's gone from now, maybe the quality of that wasn't as strong, and that is why we are facing a challenge. But these things will happen, and we have always factored in sufficiently when we give our long -term guidance , for a few hits here and there . What I take heart from is not that gap on the Paisabazaar , what I take heart from is the quality of business is actually improving and now we have control over that quality of business. But I'm just trying to explain to you how, when you're managing stuff, some things will go wrong, and you h

ave to always factor for that in and still

achieve your plans. So, your plans will always have a bit of buffer.

Nischint Chawathe: Got it. Got it , fair enough. Thank you very much, and all the best.

Management: And please appreciate. You know our Health growth is not helping our short -term profitability. But that doesn't mean we don't do it. It will be almost Harakiri to not do our fresh Health growth.

Nischint Chawathe: That's true. That's true.

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Management: Yeah, thank you Nischint. We will take the next question from Nidhesh Jain, Investec. Nidhesh, please unmute yourself.

Nidhesh Jain: Thanks, Rasleen . I have two questions. First question is on trends on the Health insurance renewal take rates because we believe that as the vintage of the portfolio increases, the economics for that portfolio, for Health insurance companies deteriorates. So how do you think about the trends over longer term on the Health insurance renewal take rates.

Management: Nidhesh I will defer to Sarbvir for a more medium -term answer. I'll explain to you in the long term. In the long term, we are responsible for our business , whatever we say , whether we believe it, whether we don't believe it . At our scale , we will never be able to pass on even 1% loss to anybody, and that is not a reason why anybody should work with us. Our objective is to make sure we have a sustainable, profitable industry, and we want to work with all our partners in making sure that our business stays profitable in the long run and we will never shirk away from being partners with them and taking on that responsibility . What we also expect in the long run is that as we do that, we also have more and more control over our destiny in the sense if it is our customers, and we are in some way responsible for bringing down their claims ratios, then we should also be part of that ; in making sure that we help in that, and we work in that direction. I think eventually the industry is getting more and more real. So, as I said, whenever the industry gets real that actually benefits us. I'll hand over to Sarbvir , because he's the one who's kind of dealing with the situation on a regular basis.

Management: Nidhesh , I, 100% agree with whatever Yashish said. There's always tempting to make predictions for this year , next year, and all that but the truth of the matter is that at this point we have a favourable fresh to renewals ratio. Quality of our book is better than , I would say, average . We are actively managing the book, whether in the short run, in terms of disclosure , in terms of looking at different cohorts ; how to manage that with our partners . The final thing I would say is that all that we are doing on the PB Health side, in a way, is going in that direction, that where we are saying that the industry will go more and more towards preferred networks , work more with providers who are providing a more efficient outcome both from a consumer perspective as well as from a n

economic perspective. I think over a period of time, we are part of the change that the industry is going towards, and the direction that the industry is going, and I think in that scenario we will get our fair share of what is what is due to us, and I don't, particularly at this point see that being a huge challenge. Having said that, if we don't act and we don't move in the direction that we ought to.

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Then definitely, what you're saying is right, that there will be pressure on everything. I think that's how we look at it. It's a dynamic thing versus a static view of the world, and I we are moving directionally to solve these problems.

Nidhesh Jain: Sure. Can you also comment on the near-term trends that we have seen in the renewal take rates? Are they steady?

Management: At this point we have not seen any change.

Nidhesh Jain: Sure and second question is on Credit bu

siness - EBITDA margin and

Contribution margin for Q1, if you can share that.

Management: On the credit business, Santosh? Okay, let me try and do that. Rasleen, do you want to just say it?

Management: From contribution perspective, it will be closer to 30%; on adjusted EBITDA margin basis, it will be -20%.

Management: I think till about July, August last year, we benefited because of very high approval rates in the industry. Today we are on the opposite side of that. We have bottomed out clearly. We are on a month on month growth course.

However, this is an issue you will see somewhere with our Savings business and with our Credit business. We are being benchmarked with our high marks. Our high marks were last year, August, September, and of course those were great positions. But we've been now benchmarked against that, and that's fine. I'm sure next year we'd be benchmarked against these lows, if anything, these may or may not be lows, so I think we are good to take that, and we'll move in that direction. As I said on the Saving side, the great news is Pensions, Child plans becoming much bigger part of the of the channel. On the credit side, the big advantages we are now becoming very good quality partners with our suppliers. I'm increasingly hearing from our suppliers that listen on your old book, I want to pay less, but in a new book maybe we can pay a little more, and that's a great sign, because that implies they are more comfortable with the quality. Of course, it's early days, but the focus is much deeper in terms of getting data pieces together, etc. But yes, there's stress right now.

Nidhesh Jain: Sure and just one more clarification on the PB Money. So the mutual fund that we will be originating, is it a fee earning mutual fund, or its direct plans?

Management: Its fee earning.

Nidhesh Jain: Okay, thank you. That's it from my side. Thank you.

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Management: Thank you Nidhesh. We'll take the next question from Sachin Dixit, JM Financial. Sachin, please unmute yourself.

Sachin Dixit: Hi Yashish and team I had couple of questions. I know some of the question, at least the first one has been answered in some way or the other. My question on this is on the contribution margin side for core business, we have seen a YoY dip. Obviously, there are factors which you highlighted that you have been investing in things. Can you give us some drivers or some pointers on to what is driving this dip, because at least on YoY basis, renewal income should have come from last year, and also there should have been slightly upward trajectory is what we are anticipating.

Management: In a very simple terms our renewal business has grown but equal amount is our fresh Health business and our fresh Health business has grown faster. Our fresh Health business on a 1-year EBITDA basis probably operates at -20%. Our renewal business probably operates 75-80%. So obviously, there's a trend upwards, and this trend downwards. Clearly, that is the reality. It is just that the trend which is coming from fresh Health growth. The second part is Credit. Sorry if you're looking at the core business because I was talking about just the insurance part. But if you're looking at the credit business, I think the insurance part is stable. I think it's at 43%. It's the credit business which is on the negative and that is what has caused the problem. The credit business has lost about 15% on the contribution margin.

Sachin Dixit: Fair enough. My second question is on basically slightly higher level. In the presentations you have highlighted how the penetration of Life and Non-Life insurance is happening. And what we see is that the penetration has now dipped back to FY18 odd levels. I mean Obviously PB has done quite a lot, has grown quite well during the same time period. What do you think is actually plaguing the Indian Insu

rance sector like how do we recover out of this? How do we actually play the insurance story in the long term?

Management: Yeah, I think we can only speak for ourselves. And I would say, we are part of the solution. The solution is complex. It's never a straightforward solution. In India, it always looks like it's very straightforward. The moment you get into the 400 million Indians who are in that zone of earning under ₹1 lakh a year but they are the middle class, and they are the aspirational class; they want their children to do much better than themselves, so they invest in child education; they want to make sure that they have health coverage. All those things. The moment you speak about that segment. It is not a simple solution, because on one side they are seeing price hikes ; on another side, they are seeing stress on

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claims. It's all been in the news. There's nothing I need to say there. That's the reality of the situation and they are looking for solutions, and that is where I believe exactly what Sarbvir said, that somewhere Policybazaar is coming out as their hand holder who can help at the point of claims, who can help at the point of issuance, who can give them the right guidance, who also keeps them on the right path in terms of disclosures and overall is part of the solution, and as that grows , the industry doesn 't have a lack of opportunity. Our solutions may have had challenges with circumspectness, with covering all the different angles. As we start to cover all the different angles, and a solution does appear , I don't think that has a challenge in terms of growth. So somewhere, you're going to see a big transformation towards a more viable, more growing, more stable industry. We were discussing , in 10 years, our nominal GDP for the country is triple. There is no reason why insurance should not have been, 6x or 10x, given the under -penetration levels. And I think that's absolutely achievable as long as the right solution gets created in a very circumspect manner. That's a challenge. It's not an easy, trivial problem to solve.

Management: One other thing Sachin, just think about insurance as a product. Eventually, you're getting into a contract where both sides have to be truthful. And if the disclosures are not up to the level it's required, that impacts the whole claim experience as well. So, it's a very tough situation for the industry, you're right. People need to get this product early on in their career , in their journey but somewhere they think of the product very, very near to the actual claim incidents, and that obviously doesn't help anyone. So it will be more about education , it will take time. We do what we do , as Yashish said, I mean in terms of creating awareness, in terms of fraud control, in terms of higher disclosures , now trying to help customer with that claim for last couple of years; trying to look at the network hospital; everything. We are still a very small part of the total industry, so, we can do what we can do.

Sachin Dixit: Sure. Thanks, Alok. Just my final question on the healthcare foray side. We have not heard much, so any update will be helpful. Thank you, and all the best.

Management: The work is going on, in terms of both creating the whole healthcare service layer, which includes hospitals as a physical part and a lot of other stuff from the tech solutioning, from the digital GP layer, from creating a lot of solutions which can keep patients outside the hospital. It's a slow build in that sense. It will take us another few quarters to get everything in place and that's when the real impact starts to come in. See , the way to think about any of these stuff that we do, whether it's PB Health or Garage network, or a lot of stuff that you heard about in the credit space that we are trying to do today is not to do

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immediately something whi

ch is going to impact in next quarter or two

quarters. It's planning for next few years of how we see industry shaping up, and we need to be ready when that opportunity appears. So this will take time,

I think in about a year time , you'll start to see some impact. You'll have to give us almost a year from now.

Management: And Sachin, just to kind of answer that question. We already have a consumer base. What should we be doing with our consumer base. People who are not very well, we should start working with them and trying to make sure they take the right steps to stay out of hospital. We should start to guide our people at the point of renewals towards narrow networks. We should start to guide our people/our consumers towards using hospitals appropriately in terms of different care pathways, at home care, day care, secondary care, tertiary care.

I think you will see us acting on all those steps , which apps are absolutely integrated into making health insurance more viable for the same consumers, and giving them a great walk -in/walk -out experience . Now please do appreciate whatever I said all of that does not necessarily require us to be in the physical infrastructure. So, you will see the whole thing playing out. There are a lot of actions that will happen even before the physical infrastructure comes into place. And I think, as you see the next few quarters, you will hear a lot more action happening from our side on that front along with our partners.

I think we, as an industry, need to work together in solving this problem.

Sachin Dixit: Got it, and all the best.

Management: Thank you, Sachin. We'll take the next question from Madhukar Ladha , Nuvama . Madhukar, please unmute yourself.

Madhukar Ladha: Hi, morning. Thank you for taking my question. So first if I calculate the core insurance renewal take rate. I'm not seeing any improvement over there.

I would have expected some improvement over there, given that over the years we've been selling more Health. So, what exactly is causing this drag. Second, if I look at the indirect costs of the new initiatives, that have grown pretty sharply in this quarter. So, my calculation suggests that's grown about 41% YoY .

I wanted to get a sense of what is driving this and on a continuing level, what should that sort of number be? Third Health business is growing really well for us and we're saying that new business Health growth is at 65% YoY . I wanted to get a sense of what is the porting business over here and how much of the porting is from within our customer base opting for a new sort of insurer ? How much of the porting is from outside our customer base who are coming to us ? Those would be my three questions.

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Madhukar Ladha : I have some data keeping questions also , which I'll go later.

Management: On the renewal take rate. FY24, we were at 6.5%; FY25, we were at 6.7%; now, we're at 6.9%. These are not going to change dramatically, but they are sort of on the way up, if anything, and that is reflective of the fact that Health is becoming a larger part of the renewal base. In APE terms, it remains pretty stable, because our renewal rates of Life are also very high. And what happens is that Health, the vintage renewal take rates are obviously lower than the first-year renewal take rate. So actually, there are lots of puts and takes Madhukar. I think you're going to a level of detail which is hard to model from the outside. So that's the only reason, otherwise as Yashish said, they have inched upwards over the years.

Madhukar Ladha: Over the years, yeah, that's right. But I was just looking at it on a YoY basis like Q1 to Q1. But I get your point.

Management: I would encourage you to look at these things on a rolling 12 -month or a year over year basis. It's very hard to model months.

Madhukar Ladha: Understood, understood. Got it.

Management: I think

both the indirect costs on new initiatives as well as the port questions I would defer to Sarbvir. But on the port , I would essentially say, we are part of the solution, we're not part of the problem, but I'll kind of leave you there.

Management: First of all, for our own base, we don't port. We do not encourage customers to renew with another insurer. That's why, if you see the same insurer renewal rates in Health are extremely high. We do not do any kind of porting at that level. Number two on the fresh business, I can give you an exact number : 82% of the business that we did was from "New -to-Insurance " customers. They may have had a corporate policy, but they did not have a retail health insurance policy. I think that should give you a sense and this number, actually, if anything has grown. We have less porting now externally, than we had last year.

Management: Madhukar, we are the beautiful solution. We're not the problem is all I would

say.

Madhukar Ladha: Thanks for that. On the indirect costs on the New initiatives ?

Management: I would say Madhukar, we are very acutely conscious that, especially in the PoSP business, it is a business where costs have to be controlled. Yashish explained, very well upfront, that it's a fixed business. You'll have to cut the cloth to what you have. I think over a period of time all other costs will be controlled, and will come down in any given quarter, it may have been up or

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down, depending on some investment in people, some investment that we may be doing towards something. It's nothing more than that.

Madhukar Ladha: Alright and just some data keeping questions. Can you give us the renewal premium breakup of POSP , UAE and Corporate?

Management: Yeah, sure . POSP would be about ■180 Cr . UAE would be about ■111 Cr and Corporate is a huge ■292 Cr. That's the beautiful part about the Corporate business, and I think that's where I'm taking a lot of heart over the years . Our renewal rates are very strong. So ■292 Cr of renewal. Just to kind of put this in perspective, if you look at our total business last year, same quarter , from Corporate is ■272 Cr and we've done ■292 Cr of renewals. So, if anything, our premium from the ■272 has grown, which is a signal of how the Corporate business kind of is edging and it's largely built on renewals.

Madhukar Ladha: Right. Great . Thanks for this and all the best.

Management: Thank you, Madhukar. We'll take the last question from Prayesh, Motilal. Prayesh, please unmute yourself.

Prayesh Jain: Hi. Firstly, on this Healthcare part where you mentioned that things are on progress. But more importantly, from an insurance point of view. All the partners of yours would be working along with you on this or how would this kind of pan out or you will need a special duration with the insurance company for product or would all your existing customers would get that option? How will kind of this thing move?

Management: Prayesh, what is our responsibility as an industry. Forget Policybazaar, forget insurers. We have a certain base of customers. Policybazaar has a base of customers and there's a base of customers in the industry. Our job is to make sure these customers have trust. They have paid with their trust, and they've laid their trust in the insurance industry. That look at the point of claim, I should have a great experience. Not a great experience. Sorry, wrong word. I sho uldn't have a poor experience a t the point of claim. Now for that two things need to happen. Number one the incidence rate needs to go down. Now, the incidence rate is a factor of two things. One is people, maybe not taking care of their health, and I would give that or not doing the right things to kind of stay out of hospital. But the second is , in a fee -for-service model, there is an incentive towards over -utilization. I think the whole industry is coming together in

working at this, some through narrow networks . If you look at countr ies like South Africa, this is the primary business they do, and that is why people like MMA, Discovery , even Bupa does a lot of this globally. What they would do is

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with their cohort of customers, they would work towards improving the lifestyle of these people, so they stay out of hospitals. In case they do need to get go to hospital, they break them down into care pathways, and they say, listen, if you have malaria, you don't really need to be in a hospital, the chances are you will probably catch a bug in the hospital which would be more serious for you. Maybe at -home care is much better, and so you need to invest in that. And for that there is infrastructure that ne eds to be built. Maybe there are day-care centers. So if you need an operation, a bulk of those should happen at day-care centers so that people can come and go back . Today , a 24hr insurance thing is there, that look, if you're not hospitalized 24 hr, pre -hospitalization, post -hospitalization, the coverage rates could be challenging. So the industry has to go through a transformation . To the specific question , of course, every partner in the industry is doing this. There is no doubt the entire industry is moving towards a narrower network, towards a more managed care approach. We cannot have as an industry, a conflict of interest wit h our suppliers. Our suppliers currently have a conflict of interest. They make more money, when

we lose money. Essentially as an industry, whenever we lose money, our partners make more money. So that imbalance can somewhere only be corrected if you have some active role in that, and you'll have an active role if you're adding value to your customers. So yes, that's the journey we are on, and every partner is with us in this. There is no doubt about it. We are with our partners in this. Like it's not just us. It's the whole industry.

Prayesh Jain: The other question was on the mutual fund piece of the business. You mentioned that it's going to be a commission led model, not the direct one. First of all, is this a second attempt at mutual funds, if I recollect well?

Paisabazaar earlier also had some mutual fund business and is this new avatar, or what is it? And second you have so much competition on the direct side with these discount brokers, giving all the tools for investing as well as advising. So what is the right to win that you would have to kind of grow this business?

Management: Right to win comes from execution. Nobody's born with the right to win, neither are we born with the right to win. Yes, we have some insights into the consumer. And yes, we had a previous attempt at this about 5-6 years ago. By the way, that did not do badly. That did quite well, but there was internal conflict between management, because of which that group left, and that group set up a separate business. In fact, truth be told, I'm a small investor in that business. Very few things I invest in, but I'm a very small investor in that business. I don't believe they're doing a bad job. They're doing a great job actually. Now, Santosh believes in this, and I also believe in this. That through

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the PB money app that we have, we can get consumers, and our attempt is to give an array of offers, which goes from corporate bonds to bonds, to mutual funds, to some of the insurance products, and, yes, mutual funds also. But that said, it is very, very early days for us to comment on whether we will be successful, what is our right to win. Unless Santosh, you have a different answer on this.

Management: No, absolutely, I think the fact that Mutual Fund is a large part of household savings for the country today. I think that gives lot of confidence that we should be in this area and PB Money is now far more mature as a business to be able to talk about savings as a holistic

istic solution, and I think mutual fund sits very well as part of that solution. And over time, we'll have an answer of right to win. I don't think we have that answer very clear upfront today, but there's a play for another partner, and if we execute well, this will definitely be a business to win.

Management: Yesterday, Alok and I were also discussing this. As I look out into the medium to long term, I actually see Paisa bazaar now in a position where it will become a very, very strong player. I have a lot of confidence. I, at a fundamental level, and again, this is something I was discussing with Alok. Businesses don't succeed or fail because they are great businesses, they succeed or fail because the people are very aligned to building them for the long term, and those people are of great quality. And I feel more confident than ever that we have that alignment and we have that team now, which is moving in absolutely the right direction. Rest, I could be proven wrong here, but I think that's our bet here, and let's see, how we fare on it. It's very early days right now.

We are in dumps right now, as far as Paisabazaar is concerned. We couldn't be in a worse position from a financials perspective, but we couldn't be in a better position from a team perspective. Rasleen's saying, time out.

Prayesh Jain: Just last one small question, Rasleen. Allow me for that. On the loan part, for the core online business, where do you see it bottoming out and when do you expect it to kind of start picking up momentum again?

Management: I think Q3 is when we see things really turning. I think the first two quarters we are taking this time to build our back-end operations, build product maturity, do a lot of integrations where we have a lot of digital solutions and not do lending in the traditional way. I think we're building a beautiful solution where for every consumer who comes to our platform, what is the best chance of approval. A customer has to get a loan and at the best possible rate, we are building that solution. I think Q3, all of this should come together, and we should see healthy growth resuming from Q3.

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Prayesh Jain: Great. Thank you so much, and all the best.

Management: Thank you Prayesh.

Management: Thank you everyone for joining. For any residual questions, please reach out to us on investor.relations@pbfintech.in . Have a good day.

Management: Thank you guys. Thank you very much everyone.

Call: Nov 2025

November 04, 2025

To
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SCRIP CODE: 543390

Sub: Transcript of the Earnings Call conducted on October 29, 2025

Dear Sir /Mada m,

In furtherance to our earlier communication dated October 07, 2025 , October 29, 2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith Transcript of the Earnings Call co nducted on October 29, 2025 .

The transcript of Earnings Call is also available on the website of the Company at <https://www.pbfintech.in/investor-relations/> .

You are requested to kindly take the same in your records.

Yours Sincerely,
For PB Fintech Limited

Bhasker Joshi
Company Secretary and Compliance Officer

Encl.: A/a

PB FINTECH LIMITED
Q2 FY 2025-26
Earnings Call
October 29, 2025

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Management: A very good evening everybody and a very warm welcome to PB Fintech Limited Earnings Call, Q2 FY2025 -2026. Today, we have with us:

- Mr. Yashish Dahiya, Chairman & Group CEO, PB Fintech
- Mr. Alok Bansal, Executive Vice Chairman, PB Fintech
- Mr. Sarbvir Singh, Joint Group CEO, PB Fintech
- Ms. Santosh Agarwal, CEO, Paisabazaar
- Mr. Mandeep Mehta, Group CFO, PB Fintech, and
- Ms. Rasleen Kaur, Head, Strategy & Investor Relations, PB Fintech

I now request Yashish for his introductory note .

Management: Thank you, Rasleen. Before I start, I just wanted to share a very small incident. On 3rd of September this year, it was the last month of our quarter ; it was announced that there would be a GST change on the 22nd September. Any sane customer should not have bought any Health policy or a Term policy between 3rd-22nd September and I was obviously

worried about what would happen. I must totally congratulate our team which had found solutions before 9am that day. Our sales on that day were not lower, and as you will notice, for that month also were not lower. And I think that is what becomes a PB way, where execution is the key, and execution happens in hours. I really wanted to thank all 23,000 of our employees once again, for how they kept things up, and with that, I'll proceed to give the performance update for the quarter.

Our total premium for the quarter is now ₹7,605 Cr, up 40% YoY, and 15% QoQ led by the online protection business, which is at 44% YoY, Health being at 60% YoY. Once again, please do take this with that backdrop of 3rd-22nd September, but despite that, this is here.

Consolidated revenue grew 38% YoY to ₹1,614 Cr for the quarter. Core Insurance revenue was up 36% YoY. Core Credit revenue was down 22% YoY. However, it has bottomed out, and our QoQ Core Credit revenue was up 4%. I just wanted to add, our QoQ Core disbursements growth was 9%. So, the bottom-out has happened. Our renewal trail revenue on a 12-month rolling basis is ₹774 Cr. The Policybazaar side of it, the insurance Core revenue has grown at 47% YoY and overall, it's a 39% YoY growth. The quarterly insurance renewals revenue is now at an ARR of ₹758 Cr, which is up from ₹516 Cr in Q2 last year. So that is a growth of ₹242 Cr. That's just how the annual growth is kind of going on right now. This is a key driver of our long-term profit growth. Steady growth continues in the Core insurance premiums, net of savings at 39% YoY. Savings continues to be stressed. I just wanted to say this is against a high base of Q2 last year. Q2 was highest placed last year, in fact, Q3 was almost 10% below Q2. So, excluding the Savings category, we have been growing between 35-45% very consistently for the last 10 quarters now. We continue to improve our customer onboarding and claim support services and insurance CSAT is consistently now above 90%. Our Credit revenue for the quarter is ₹106 Cr, and disbursements is ₹2,280 Cr for the Core online business. We further strengthened our

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leadership in New initiatives, with a revenue growth of 61% YoY, adj. EBITDA margins have moved from -12% to -4%, with a 5% Contribution margin. PB Partners, our agent aggregator platform, is clearly consolidating its leadership and accelerating its growth momentum. It now has over 380K advisors. It's not just in 19k PIN codes, but it's really driving growth from Tier 4 and Tier 5 towns. It's clearly got the most diversified business lines out of all the players in the market today. We've moved the business increasingly towards smaller and higher quality advisors at a rapid pace. I think all of these things are really positioning it in a very clear leadership position. I would say almost as big as the next two combined, or something of that sort. Our UAE insurance premium grew 64% YoY, and is clearly aligned towards

Health and

Life, very similar to our India business. It's also using the cross-border situation quite well, where basically when people retire, they retire into India. We have a unique value proposition on those kinds of products, and the business is now consistently profitable for 3 quarters. Our consolidated PAT for PB Fintech grew 2.65x or 165% YoY, to ₹135 Cr, from 4% to 8% margin. I think it's a very important stat, which I feel quite strongly about. This is 1.77% of our insurance premium. Effectively that's how hard this category is. After 17-18 years; we are in our 18th year, and we are able to get to about 1.77% of insurance premium as a profit pool. It will, of course, grow. This should kind of keep growing into the future, but that's where we are today. To summarize our performance since our public listing, it's always good to look at things; now that 4 years are over: In these 4 years, from Q2FY22 to Q2FY26, our revenue grew from ₹280 Cr to ₹1,614 Cr, about 6x and, that's a CAGR of 55%. Our PAT margin has gone from -73% to 8% overall for the entire business. Happy to take questions now.

Management: Thank you, Yashish. We'll take the first question from Sachin Salgaonkar, BofA. Sachin, please unmute yourself.

Sachin Salgaonkar: Thank you, Rasleen. Congrats Yashish and team for a great set of numbers. I have 3 questions. First question, a bit of clarification on how or if there is any impact on the business post the GST cuts, which we saw from September 22nd. And this question is both on the consumer demand as well as on your commissions, because we are hearing private insurance companies have reduced distributor commissions.

Management: Let's get to both these answers. I think demand has been very strong, and I would let Sarbvir answer that, but it's been extremely surprising and positive. And on the commission side, it's a complicated situation and I wouldn't go with any of the media narratives or whatever you're hearing out there, because they tend to kind of paint things in black and white. We are a very large source of business, specifically Fresh Health and Term. And our business quality is fairly superior compared to many other channels. There are multiple stakeholders here: Insurers, Us, Regulators, Governments, Consumers, our Employees. We are having very constructive conversations. It's not - Do this, Do that. It's a very constructive conversation, and I feel we'll end up in a good place. Sarbvir, do you want to speak about both the demand and the GST impact, please?

Management: Yeah, sure Yashish. On the impact, 5th September and 22nd September were the biggest demand days, I can say, in the history of Policybazaar, on both Health and Term, as well as for other lines also. On 5th, of course, the conversion was not as good, but on 22nd, even the conversion was very, very good. What we are seeing is that because of this, there is a lot of dialogue about Health insurance, Term insurance and Life insurance in general, there is a lot of demand and interest in the category. It is translating into higher conversion, into bookings as well. I think from a demand perspective, it's very good. October, normally with Diwali, etc, can be subdued from an insurance perspective, I think definitely saw a good lift because of this change. I think on the second question on the revenue, which I think Yashish has largely covered it. The only thing I just want to explain to everyone is that I know it's a matter of great speculation and intrigue, but actually it's not so complicated. There are 3-4 factors. What is the increase in business that we are getting? What is the quality of business in terms of real fresh versus people who are already existing insurance customers? And the third thing is the P&L impact of that for everybody. If you have high-quality fresh customers, the value of those custo

mers to insurance companies is very high. I think we are in a very constructive dialogue, and I think the fact that we have a relationship with insurance companies, and we are not just, I would say, a distributor in that sense, is really coming to the fore right now, as we are having these discussions. We are absolutely committed to working with everybody, or with all our partners, and I think if you hear the calls also, I think all the insurance companies have said the same thing. And we think this will leave the industry in a better position than where we started. And that's the key from our perspective.

Sachin Salgaonkar: Okay, so net-net, maybe not too much of an impact on distributor for commissions for you guys, maybe something here and there, but generally it's a win-win for both you and the insurance companies. Is that what we should expect going ahead?

Management: I'll focus on the second part only. I would say that, yes, we want to ensure that it's a win-win for both. Actually, there are three parts to this thing. It's a triangle always.

Consumer, Insurance company, and Policybazaar. All three have to gain. Because otherwise it's a zero-sum game. If you take something from one person, give it to the other. I think all three will gain, and that's what we are really focused on.

Sachin Salgaonkar: Got it. My second question is on the sharp EBITDA margin and adj. EBITDA margin improvement we saw in this quarter, and this was clearly led by momentum at the Core online business. The question out here is should we see this momentum being sustainable? Because I remember Yashish mentioning in the last call that you guys are focusing more on revenue growth, and margins is derivative and eventually follow. But we're also seeing margin growth being strong. Is this something which is sustainable going ahead?

Management: I would not read anything into any margin growth, etc. Those things, I think they are just the same. See our focus is very clear. Our focus is on growth. Yes, one quarter

you may see higher margin. Our revenue for the quarter is ₹1,614 Cr. So, even if that changes by 2% here or there, that is ₹32 Cr positive or negative. What is 2%? It is 2 days or 1.5 days of revenue, or something of that sort. So sometimes, you may get some premium ahead, some payment later. Do not read into margin movements on a quarterly basis, and that's the message I would give. It may be some spill over from previous quarters, it may be some spill over from next quarter. But don't read too much into quarterly margin shifts. There has been nothing dramatic to change our Contribution margin in the last quarter. It is just, maybe some money came from some quarter here and there. Because you'll always see this 2-3% movement from one quarter to the other.

Management: There are costs below contribution line, which don't grow as fast. You definitely get some benefits between Contribution & EBITDA. But as Yashish said, tactically, we are focusing on growth, and that drives everything else.

Management: One month might just have a higher issuance bucket, some delay, some Sunday. Those kinds of things can make some changes, so don't read too much into, in one quarter, how much did the margin happen. I'm just trying to explain. ₹30 Cr can shift with just 1.5 days.

Sachin Salgaonkar: Thanks on that. And last question is it would it be great to have an update on Pensionbazaar and PB Money in the last 3 months. How the business has scaled up, and should we see incremental investments into both these New initiatives?

Management: Both PB Money and Pensionbazaar, there haven't been much incremental investments. I think all of it put together, the total investment may be less than half a million dollars. I wouldn't say that anything major has happened yet. I'll just ask Sarbvir, if you want to talk about Pensionbazaar, or Santosh, if

you want to talk about PB Money.

Management: Sachin, it's a bit early to really say too much about Pensionbazaar. I think, we've set up a small team, we are looking at various things. I think the good news, I would say is that a lot of changes have come in the NPS scheme, and they're making it more consumer -friendly. It's still a tough business. For 15 years, you have to lock in your money, etc. But I think it's a very serious problem that we are trying to solve, and I think right now we are focused on figuring out our way forward, and I think, we'll have more to say as we go.

Management: On both PB Money and Pensionbazaar, we're at drawing board stage. And that's our usual style in such things. Till we are sure about exactly how we're going to do it, we will stay at the drawing board stage, and at some point, we'll become confident and move forward. PB money is exactly the same thing. On the Paisa side, we want to have a more holistic offering. Besides just Credit, we also want to have certain Savings products, etc. But we are not moving aggressively on that yet. Right now, we're still testing. I don't know, Santosh, if you want to say anything?

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Management: Absolutely. I think with PB Money, we've been able to now put a person's investments in one view, with multiple insights that we're giving consumers. Now, monetizing that for Savings products, of course, is the next step, but again, nothing major has happened yet. We're doing some of the products that launched Bonds and Deposits, but very early stage.

Management: Here's some guidance if you want to hear it. On both Pensionbazaar and PB Money, don't expect anything from a results perspective, at least for a year. I think we are in a drawing board stage, and any scale that happens will be irrelevant compared to the scale of our other businesses. But at the same time, here's one more thing, we are deeply committed to both. Sometimes you can be very deeply committed to something, but not act on it immediately, because you don't know exactly how you will act. Both Pensionbazaar and PB Money are at that stage. I do believe Pensions is a very big problem in India, and there will be some solution. We don't know exactly what yet, and similar with PB Money, I think our customers need a more holistic solution. We will figure out exactly how to do it. Also, on both of them, don't expect any significant loss or anything also, either. It's not like we are investing a lot of money in any one of them in the early stages.

Sachin Salgaonkar: Got it. Thank you and all the best.

Management: Thank you Sachin.

Management: We'll take the next question from Sachin Dixit, JM Financial. Sachin, please unmute yourself.

Sachin Dixit: Hi, Yashish and team, congratulations on a great set of results again. I had a couple of questions. My first question was on this piece, with regards to cross -sell. With GST exemption being there on your renewal book as well, and you already are sitting on a decently large Term and Health book. Do you think there is opportunity, and if you have seen any evidence of that in October, please let us know? Do you think there's substantial opportunity to cross -sell, or upsell to the same customers who are renewing premium considering that their overall payments are declining, thanks to GST?

Management: Sachin, if I understand your question, basically what is going to happen is that in Health renewal especially, people will see a lower price, or a much more attractive price, as compared to what they would have seen with GST. So, our objective, and it's, again, early days yet, but our objective is to significantly try to build up our renewal rate. And we measure renewal rate on the basis of number of policies, because number of customers is what really matters. Our first priority is to increase renewal rates, both first year as well as second year onwards.

Sachin Dixit: Second priority is what you are, I think referring to, which is to try to cross -sell some more products, to maybe increase the value of the customer, etc. But I would say that it's a second priority. Our first priority, actually, is to increase the renewal rate, because if you think about it, the more customers we can carry into the future, actually has a very high outcome

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and very high value, versus just trying to increase first -year premium and have fewer customers going forward. So that's what we are trying to do, and we believe that the nature of products we have spoken about it, that the nature of Health insurance products with a higher cumulative bonus is also favourable, and now with this change, I think we should be able to drive even higher persistency. That's really what our focus is.

Sachin Dixit: So, where I was coming from largely was, like, if you look at, for example, Term, a lot of people might be investing in Term, thanks to 80C benefit as well, and they already have a defined amount in their mind on which they need benefit. So, in case that number, thanks to the 18% cut, becomes lower, do you think you will be able to sell more, rather than the customer actually paying just a lesser amount?

Management: Yes, absolutely. In Term insurance, what we are trying to do is that we are saying that you should buy ₹1.5 Cr (₹1 Cr is our most popular price point), because as we've calculated, for most people, it's like ₹100/month extra, and you can get ₹1.5 Cr instead of ₹1 Cr. We are actually trying to increase the sum assured in Term, and saying that, look, this is a great opportunity for you, and you should buy more sum assured. Again, these are slow burns, it's not very easy to drive these things very quickly, but this is a very calculated and very well-oiled effort that we are making to try and drive this going forward. And let's see how it goes.

Sachin Dixit: Got it. Sure. My second question is, Yashish obviously mentioned, that since that GST announcement came in, you guys figured out, or at least a team figured out how to ensure that growth remains on track for September month, as well as going ahead. Can you talk about what were these initiatives? What did you do? How did you ensure that the growth did not fall apart after that?

Management: The Master Chef never sells their secret sauce. I'll just leave it there. And honestly, there is no secret sauce here. Actually, it's just hard-working people and they just get at it, they figure out solutions, they do it.

Sachin Dixit: Sure. Just one housekeeping question, if I may. On the premium slides that you have shared, you have also shared the premium calculated using GST exemption at the bottom. So, if at some point of time that becomes the norm, should we expect a step decline in the premium that you will show up on your report?

Management: From next quarter onwards, we will share the premium without GST, and it'll be apples to apples, so the past will also be shown without GST. GST will be removed from the past as well.

Sachin Dixit: Understood. Thank you so much, and all the best for the future.

Management: Thank you, Sachin. We'll take the next question from Nidhesh Jain, Investec.

Nidhesh, please unmute yourself.

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Nidhesh Jain: Thanks, Rasleen. Hi, Yashish & Team. First question is on Health insurance. So, have you launched narrow network policies already? And, if yes, what is the share of narrow network policies in the Health insurance business?

Management: Yes, with many of our partners, we have Preferred network policies, where essentially if you take a rider which limits the network, you get a discount upfront. It's a small percentage right now, in the order of 15 -20%, and it will grow with time, but I think this is an area which we are very deeply interested in for many reasons. I think this is an area where we will work to make it more and more valuable, so that customers feel the value also of going to a narrow network. It should not just be a cost issue, it should also be a better experience when you go to a narrow network. We are really focused on solving with our insurance partners the second part of the problem as well. We are focused on this one.

Nidhesh Jain: Sure. And secondly, if you can share the Contribution margin and EBITDA margin for Core Credit business?

Management: See, so many parameters are there because they have Credit cards, Secured lending, Unsecured lending. So giving a single number becomes very odd for such a large category. They're not very different from what people get in the market.

Nidhesh Jain: That's it from my side, thank you.

Management: Thank you, Nidhesh. We'll take the next question from Jayant Kharote, Axis Capital. Jayant, please unmute yourself.

Jayant Kharote: Thanks, Rasleen, and congratulations to the team for a great set of results. The first question is slightly longer term, for Yashish. We see this slide where you mentioned PAT as a percentage of premium at 1.77%. While you've clearly said you don't want to look at quarterly margin and profitability, if I were to slightly zoom out and look 3 -5 years out. Where do you see this number, let's say, by FY30?

Management: I think, about 3% or so.

Jayant Kharote: Okay, and this will take into factor the ₹1 Tn premium number, that you're aspiring for.

Management: The ₹1 Tn Premium, obviously, there'll be a bit of a change because of GST, but how much, whether it delays it by one quarter or two quarters. I love this thing, guidance and all these words. I'm just talking from heart. In November 2022, I just said, yes, at some point we'll make a certain amount of profit. Now, I didn't know that was going to be a guidance, but okay, it's a guidance, fine. And that's the same message that we again put out. These are our aspirations, these are what we can see. And I think to an extent, those numbers are put out there because at that time, they are not the norm in terms of the thought process. And then, when they appear, people say, yes, this would have happened anyway. Actually it doesn't

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happen anyway, it takes a lot of effort, but it somewhere kind of comes out that way. So, the ■1 Lac Cr was in a similar way. When I made that, I didn't know that GST would not be part of that ■1 Lac Cr. It may happen one quarter later or two quarters later, because there may be some impact of GST. Maybe there's a 6% impact or something, I don't know, on our accumulated look. So, yeah, we'll see how that how that appears. But yes, I think 3% of that. Jayant Kharote: Great. Thanks for this Yashish. Second question is linked to growth again. Now that I think Savings on the base number was the largest for Q2, and moving into Q3, Q4, that base effect is going to wear off. Shall we assume now we will move back to our 30% plus growth trajectory for the foreseeable future? And am I correct that by fourth quarter, Savings was already negative for you last year?

Management: Yes, Savings was, but all I'm trying to say is without Savings, we've given the number very clearly. Without Savings, we've been in that zone of 35%-45% for a long time, like, 10 quarters is a long time, and we don't anticipate that changing. But yes, we do believe that as we move into the next few quarters, the Savings growth will naturally come back. If you think about it, Q4 last year, was already 20% below Q2. If we just do what we are doing, you will see a kind of decent growth anyway, and we are seeing growth. Actually, when I'm looking at the numbers, I'm seeing quarter-on-quarter growth in the Savings business clearly and in the Paisa business, there's a lot of effort going in making that quarter-on-quarter growth come out. Jayant Kharote: If I could just squeeze in one

last question. I remember you passionately talking about Child education and Pension problems that you want to solve for. Is there any update? Is that part of Savings climbing in the way you had expected it to?

Management: Yeah, so I think, the Pension category, we started about 3-4 quarters ago, so I think that continues to grow, I think both sequentially and on a YoY basis. The Child Education business we have been doing for a while, it does grow, but we've also broadened the appeal. The appeal's essentially that there's a waiver of premium feature that if the person dies, then the premiums are paid by the insurance company in place of that person, so that whatever goal you were saving for, in this case, Children's education, would be fulfilled. We have extended that same benefit to all other things. Supposing you are saving for your house, you're saving for your retirement, so let's say if something happens to you, then your wife, your family would continue to get that amount of money. We broadened the appeal, we are continuing to drive that. Of course, right now, given the overall business was soft in Q2, I think this part also didn't necessarily grow very dramatically. But it continues to be a key sales pitch, and I would say it's a very real story. It's something which really differentiates ULIPs from Mutual funds and other instruments.

Jayant Kharote: Great. Thank you, and congratulations once again.

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Management: Thank you, Jayant. We'll take the next question from Neeraj Toshniwal, UBS. Neeraj, please unmute yourself.

Neeraj Toshniwal: Hi everyone, congrats on a good set. First question on Contribution; it seems to improve despite Health still growing upwards of 60%. What drove the change from Q1 to Q2? Because Health is still growing very fast, but Contribution has surprised here. Second question is on the New initiatives, looks to be very strong. If you can give more colour on the same. Now getting on the net take rate, are you leaving some bit of money there, or still have a Contribution at 5%, and we might see the journey a little while to turn into profitability? Any timelines will be helpful?

Neeraj Toshniwal: And third would be the breakdown of the premium in New initiative and the renewals, and all those numbers you can share, that would be helpful.

Management: On Contribution margin, so that I think I answered, that it may just be, some extra issuance may have happened this quarter, some extra payment may have happened this quarter. All I'm saying is, always assume that 2-3 days of payments can move from one quarter to the other. As long as it's ■30-40 Cr moving from one quarter to the other, don't take it too seriously. That was really the explanation. Yes, you are absolutely right. For those who may not be aware, Fresh Health does move at about -20%; so every time we do Fresh Health, our margins get pushed down. In fact, we make a loss, clearly at the Contribution level itself. But then the renewals are growing just as fast, so renewals is also growing at about 50% or so. Management: Only thing I would add. I think it's best to look at it on a rolling four-quarter basis. The only little bit of element in Q2 was that if you see Q1 through Q2, Health renewal growth was stronger in Q2 than in Q1. But again, I think these are small pieces which move up and down every quarter.

Management: I think what Sarbvir said just now was the most important thing. That's why we put out the 12-month rolling piece. Always look at that one. That is backward-looking, because 12 months is over, so it's kind of bit dated, but that's almost the best way of looking at our

business. It takes out seasonality, and takes out these quarter -on-quarter movements also.
Neeraj Toshniwal: Got it. And on the New initiatives, if you can give more color in terms of the kind of growth you're seeing?
Management: One of t

he things that we are seeing in the PoSP side, if you see the growth actually accelerated in this quarter. We grew at 55 -56% in this quarter, and I think what is happening is that : One, we are going deeper into the countryside, we are going to smaller and smaller towns, we have expanded, we're investing behind increasing our team, etc and obviously, they're recruiting more agents, more granular business is coming. And I think the second thing that we are seeing is that a little bit of the industry structure is also favouring us. We are actually, right now the most focused organization on the PoSP side. We've always

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explained that we bring a huge amount of focus and capability to the table. Some of our peers in that business are going through their own, some kind of corporate actions, and some are focused on other matters. So , what is really happening is that our team is able to drive very effectively. And I think this is very heartening, because 4 years into the project, we are now growing at 55% on a very high base. I think that's really heartening, and if I understood your question also, this bodes very well for improving the economics of the business as well. Profitability, etc, is a different thing, but I think the economics of the business are improving with scale, and I think the delta between PB Partners and other peers is increasing very rapidly now, every quarter.

Neeraj Toshniwal: In terms of net take rate, when can we turn the table and start making profits out of it?

Management: Is the question that when does the PoSP business become profitable?

Neeraj Toshniwal: Yeah.

Management: Okay, so I think next year, our hope is that the PoSP business , in the normal course of things, may not have any meaningful loss. We don't want to commit to that, because we will play this strategically. We are very good at execution and we are very focused on winning and adding value to the customers and our partners. We will do whatever feels right at that point which could be anything. But in the normal course of things, I think our losses should be meaningless next year.

Neeraj Toshniwal: Okay. Last question is on the bookkeeping, you can break down the PB Partners, Corporate, and UAE.

Management: Yeah, so for PoSP , it was about ₹1700 Cr, about ₹415 Cr for UAE, and Corporate was ₹230 Cr.

Neeraj Toshniwal: And new business in renewals ?

Management: They're fairly similar for Core Policy.

Neeraj Toshniwal: Got it. Thank you, and all the best.

Management: Thank you, Neeraj. We'll take the next question from Dipanjan Ghosh, Citi.

Dipanjan, please unmute yourself.

Dipanjan Ghosh: Hi, hope I'm audible.

Management: Absolutely.

Dipanjan Ghosh: Yeah, so just one or two questions from my side. First, Yashish, to one of the previous participants' questions, you mentioned that somewhere around FY30, maybe plus minus a few quarters, you aim to take the profitability number to 3% of premiums. But on t he

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flip side, you also mentioned that you want to sustain growth on the PoSP and the New initiatives, and not lose out on the opportunity. Now we would presume that even 4 -5 years out, these businesses should probably not operate at a margin where your Core business operates. So, let's say when you kind of visualize this 3% of premiums, how are you really extrapolating the growth in the Core versus the New initiatives? Does that have an implication on this 3% number, in case the growth rates across these two segments were to flip or change?

Management: My expectation is PoSP is reaching a point as a channel where I think future growth rates are going to be similar. I don't think the share shift will be too much from here. When we do Health business, we lose money. And that is why there is a reward in terms of renewals premiums. There could be two ways of paying for anything. Somebody co

uld say,

okay, you will be paid upfront, like happens in Life insurance. Or somebody could say you will be paid annually , like happens in Health insurance, or Motor insurance, or General insurance business. There we have that renewal advantage. The renewals part is always a little more predictable than the fresh business. I was just talking to Sarbvir before this meeting, and I was

saying, in fresh business, even 0% growth is an achievement, because it is actually hunting every year. Because people have to come in, you have to convince them to buy, and that is why we add a lot of value along with our partners to the industry in bringing fresh customers to the market, both in Health and Term. Motor, at least, they have to buy, so they will buy from somewhere, but Health and Term, people don't have to buy mandatorily. I think but the reward we receive for putting in that effort and actually making a loss in the first year is the renewals, and that becomes a predictable source. So yes, I do think that is what explains it a little more than what the PoSP explains it, and I think PoSP will be a similar share as we go forward. When I say this number, it is a very robust number. It doesn't change very easily. These numbers don't change very easily. Just like our, FY27 guidance was a fairly robust number. It can't change too much. You can't change it by more than 10-20% here or there. Management: And Dipanjan, we are not saying 3% or 2.5% or 3.5%. What we want to achieve and work towards is ₹1 Tn. This is not our objective. Our objective is the ₹1 Tn premium. This is a by-product. But if you do that much, I think maybe the industry wants to pay you a little bit more. Maybe you make a couple of percentage points of profit also. Dipanjan Ghosh: Absolutely. Just two small questions on this. One, in the PoSP business, is the mix still predominantly inclined towards Motor? Because you've mentioned that you have diversified, and probably on the PoSP side, you're probably one of the most diversified companies as on date. One is how has the diversification progress been? And second on that line, is the contours of the contract or profitability of the products on PoSP similar across Motor and non-Motor? And last question is basically on the Pension or the Savings business, ex of pure linked business. What is the strategy to really scale up the hybrid model? I would presume that that would be one of the levers to really scale up the Pension category as a segment, and its related other businesses.

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Management: Yeah, so I'll just take them one by one. I think in terms of PoSP, Motor continues to be the, obviously, a large majority of the business. We are the most diversified in terms of having other lines of business: Life, Health, and other stuff. If I were to look at it right now, I would say, actually, the Motor business is responsible for driving the above average growth that we are seeing. In terms of the shape of the P&L, Motor tends to have little lower retention but also lower costs. Life and Health tend to have higher retention, but you also need to invest in them. So, net-net, I don't think there is that much difference at the EBITDA level. Our thought process in that business is actually not focused on product, it's focused on the agent. Because our agent is our partner. We have to improve the earnings of the agent. If the agent earns more money by working with PB Partners, he or she will stay with us longer, and they will see greater value with us. So that is, I think, the crux of the discussion, and that's what we are trying to achieve. That's to give them an earnings opportunity which is superior to what they may be able to do anywhere else. If you ask me honestly, that's what is winning so far. Management: And have the agent's trust. One of the things you will hear as you go around the market, if anybody does the

due diligence, is that Policybazaar always pays and it pays on time, those kinds of things; does not snatch people's customers; does not try to steal the renewals; does not try to cut them out of the renewals commission, etc. Those kinds of things you will hear in the market. That is one of the reasons why people are starting to gravitate towards us. Because eventually, it's a game of trust.

Management: I think on the second thing, in terms of the Savings business, yes, absolutely, hybrid has been a driver of our growth. We had done the top 10-12 cities earlier. Now, what we are trying to do is we are pushing into the next 15-20 cities, where we are trying similar models. We have to manage that in a lower cost, because we can't put that many number of advisors in each of those cities but we are doing that, I think we are working on 20 cities right now, and that project is also slowly gaining traction. I think, yes, Savings will require a hybrid approach. Customers like to meet people face-to-face, they want to understand the products taking time, and I think that's something that we will continue to keep driving as we go forward.

Dipanjan Ghosh: Got it, Yashish, Sarbvir, and Alok, and, all the best.

Management: Thank you, Dipanjan. We'll take the next question from Kushagra Goel, CLSA. Kushagra, please unmute yourself.

Kushagra Goel: Hi, thank you for taking my question. Congratulations on a wonderful set of numbers. I just have one question now. So, there was a sharp increase in the other expense line item this quarter, so just wanted to understand what exactly sits here, and how to think about this going forward.

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Management: Just give us a second here. Could you just kind of try to highlight the number or something because we can't see this sharp increase story?

Kushagra Goel: It's up 29% sequentially, QoQ and about 67% YoY .

Management: Where do you see? Where is this? 29%? Which is the other expenses ?

Kushagra Goel: ₹592 Cr.

Management: Maybe, we will get back to you.

Kushagra Goel: Got it, yeah, that's all, thank you.

Management: Thank you, Kushagra. We'll take the next question from Manas Agrawal, Bernstein. Manas, please unmute yourself.

Manas Agrawal: Hi, thanks for the opportunity. Two questions and two clarifications. First question is, let's say, hypothetically, if something was to happen on take rate compression and then there is a volume offset, which is a favourable move. What kind of cost levers do you have in the next coming quarters to protect your margins for the year? That's question one. Question two is, as part of these negotiations around take rate, since a lot of your profitability comes from the renewal book, is there distortion between how take rates are being negotiated on new versus renewal, and does it change your renewal -led profit build up in any shape or form? Those are two questions. From a clarification perspective, if we are saying that GWP includes GST, that basically means your take rates are actually higher than what we've optically seen them to be. And, wanted to understand narrow network policies. Is this your PB Health policies, or that is same concept but yet to be launched? That is it.

Management: So, very quick answers, first of all, and I'm sure Sarbvir will also pitch in on this. Look, in reality, our conversations with most insurers are not as shallow as : This is your commission, take it or leave it, or anything of that sort. It is much more around operating ratios, the quality of the book, around how fast we are growing. And if you notice across channels, what you would notice is, our fresh growth is very high. Our percentage of the fresh is much higher than our percentage of renewal and we and our partners are very aware of our operating ratios, our combined operating ratio, which is actually far more favourable than many other channels.

Is. It's only fair that if somebody is growing for you faster, doing higher fresh business, is also doing good quality business, which implies our claim settlement rate is much higher, which is actually a very big positive for insurers. Because if your claim settlement rate is higher, your complaints are lower, the customer distress is much lower. By the way, when companies do well on the Policybazaar platform, there's also direct traffic creation, which builds direct business for insurers, so it's a little more complicated conversation. We're not just a distributor, we are a distributor, a marketer, a claims partner. We're a partner in every sense. So our conversations are there and we don't want to comment in the market

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about which way these are going to end, etc. I think we want to keep our conversations with our partners, which are very constructive, in a closed room. At this point, genuinely we don't think anybody needs to worry about this too much, is the broad answer we would give. On the narrow network, the entire thought process is the same. PB Health is just a word .

Management: I have nothing to add on the GST thing. I think the only thing, again, I will just repeat, we have a relationship with insurance companies, and in a relationship, you work things out between the two partners, and do not talk about it too much in public. I think that's what we are also doing. On the cost side, I would say that, please understand that we are focused on cost efficiency in any case. It's not like, because today commissions or something has happened on GST, so we should now look at our costs. We started this whole approach years ago. We look at our costs on a daily, weekly, monthly basis, and actually, hidden in a lot of the overall stuff is that our marketing efficiency has improved quite dramatically over the years, whether it is the proportion of direct traffic that we are able to bring to the platform, whether it is the fact that we are able to leverage our own customer base more effectively , what we call our Growth business, that now has become a big contributor to our fresh business. It used to be almost nothing. I think we have focused a lot on marketing efficiency, we focus a lot on call centre efficiency, we focus a lot on improving the productivity of our advisors. Irrespective of what is happening, we focus very heavily, and I think we achieve good outcomes there also. That's where I would leave the discussion at. On the network products, right now, as and when PB Health hospitals come online, we will obviously leverage them also, but right now, we are leveraging the existing hospital network that are there and working on that. I think that's kind of where we are at. You did ask that if the GST is removed from the premium, then yes, obviously, optically, our take rate will look higher than it used to look earlier.

Management: And I just wanted to say one thing, sometimes in the media it's portrayed like this is some kind of commodity that anybody can bring Health customers or Term customers to the market. Remember, with 17 -18 years of effort, a lot of hard work, a lot of brand build,

a lot of direct traffic, with all those things, and everything we are doing ; of the premium, we are able to make 1.77% at our scale. This is not an easy thing that anybody can just do. I'll give you an example. Suppose I wanted to get traffic from Google for Health insurance. There's only a limited amount I can get. That's it. I may be willing to spend 10 times that money, but I will not get more traffic. So, to some extent, it is a pretty rare commodity. And, we are very fair partners, and our partners are very fair to us. We are working things through. I don't think it's that simple.

Manas Agrawal: Got it, thank you.

Management: Thanks, Manas. We'll take the next question from Madhukar Ladha, Nuvama.

Madhukar, please unmute yourself

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Madhukar Ladha : Hi, good evening. Congratulations on a great set of numbers. So, I have three questions actually. First, on the adjusted EBITDA margins . Obviously, we're seeing a pretty good improvement. But, if I look at the indirect costs, like, the cost sitting between Contribution and adjusted EBITDA, that also seemed to be well contained. I wanted to get some sense of how should we be looking at this number, on quarterly basis, annual basis? What are the components here , and what sort of growth, let's say, even annually, if we were to look at this number, how should we think about this because that will help us run our adjusted EBITDA sort of calculations more clearly. Second, last quarter, I think you had given a number of, sort of Paisabazaar margins of -20%. That is the EBITDA margin. So, can you give a similar number for this quarter or the first half? So that's my second question. And, finally, if you could just give me; I think you did mention these numbers, but if you could repeat what are the renewal premium numbers for PoSP , Corporate, and UAE separately, that would be helpful. Thanks.

Management: Okay, a lot of questions there, but good. I think when you look at operating cost, specifically fixed costs : Brand, other People, other Office costs, Central cost allocations. We are doing a lot of innovation, we're doing a lot of new segments, a lot of new products, a lot of those things. And thus, a lot of experimentation is going on across the organization. And at an early stage, like, whenever you start a new BU or a new sub -BU, it takes a lot of effort. It takes a while before it scales up. And we've been doing a lot of that, simply because our focus has been on growth. I've repeated this many times over the last 3 -4 years, and I think by now you would have seen enough proof of it. See, there are two stages an organization can be in : It can try to maximize profits, or it can drive growth. Usually, both of these don't go together. And, we are in that zone where we're trying to expand . Eventually, we will have enough to take care of all these costs, and that's our approach. In terms of growth rates, they should stay similar to what they have been over the past, maybe a little lower as we progress on the fixed cost side. And again, now coming to margins on the Paisa side, we don't want to comment on this. There's been a slight improvement. I don't want to be exact about the number. I know we were exact last quarter. There has been an improvement, but the improvement is limited, so it's not like a marked improvement and I'll leave it there. Brand is mostly a constant for a few quarters. I think that should give you enough information.

Management: On the renewal piece, in the New initiatives, we have about ₹180 Cr for PB Partners, about ₹110 Cr for UAE and about ₹140 Cr for the Corporate business.

Madhukar Ladha : Got it. Thanks, that's it from my side.

Management: Thank you, Madhukar. We'll take the next question from Shreya from Nomura.

Shreya, please unmute yourself.

Shreya Shivani : Hello, am I audible?

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Management: Yes.

Shreya Shivani : Okay, great. Congratulations on a great set of numbers. I have, two questions. First is on the Motor piece. So, quite interesting that your PoSP book actually grew very well, in the quarter, assuming similar trend in October, because we know that the car sales and vehicle sales has been going very strong. But surprising that the PoSP actually attracts a lot more fresh premiums on the Motor side. So, some colour on whether PoSP model is a better suited model for cracking the fresh motor business. That's my first question.

Management: Shreya, I think if by fresh Motor you mean new cars, then, frankly speaking, neither PoSP nor our B2C business actually have very high amount of business coming from new cars. The growth that

we saw in Q2 was not driven by new cars, but by actually growing our market share overall , I would say, in the PoSP business. And it continues to be a mix of,

like I said, growth in distribution, going to areas that we were not present in, and increasing the share that we are getting from areas that we are already present in. It is largely that which has driven it till Q2. You are correct in saying that in October, typically, in the Diwali month, there is a higher degree of new car business, etc. But for us, actually, that is not a key driver of the business. It's largely the stock of cars and trucks, autos and school buses that are part of the business.

Shreya Shivani : Okay, that makes sense. Thank you for that answer. What is the overall Motor segment growth? Just like your protection has grown at 44%, Health at 60 %, what would it be for, Motor for the entire Policybazaar and PB Partners included?

Management: The Core business or the including PB partners?

Shreya Shivani : Including PB Partners, the total premiums.

Management: Maybe about 40% or so

Shreya Shivani : Okay, sure. My second question, is, you had mentioned that your ₹1 Tn premium can move by one to two quarters and all of those things. We have a guidance for next year also, which is your net profit guidance. Fair to assume that, there also that ₹1,000 Cr could get delayed or not get delayed, any comment on that?

Management: If there was a change, I would have said it.

Shreya Shivani : Okay, sure, that's useful. My last two questions are data -keeping questions. I wanted the PB Connect revenue that was ₹43 Cr last quarter, so what is the number this quarter. And have we defined the ESOP pay-outs going ahead? Because, you had shared some a couple of years back, but is there a new ESOP pay-out that can be shared with us?

Management: Santosh, do you want to just answer the question on PB Connect?

Management: Yeah, the PB Connect revenue for Q2 is ₹66 Cr, 53% up from last quarter.

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Management: On ESOP pay-outs, they should stay similar now. What you are seeing in ESOP is, we had an old scheme and a new scheme. The new scheme started last year, and the old scheme is going to be phasing out by FY28. So, what you're seeing is, on one side the costs are coming down, on the other scheme, the costs are ramping up. But quite honestly, on an annual basis, you should not see much change. It should see very similar from here onwards.

Shreya Shivani : That is useful, congratulations, and all the best for the future.

Management: Thank you, Shreya. We'll take the next question from Ashwin Mehta, Ambit. Ashwin, please unmute yourself.

Ashwin Mehta : Hi, Congratulations on a good set of numbers. Just two questions. One, if I look at your trail revenues in the Credit side, there's been a fall, and understandably so because of the slowness of that business. But as you build the incremental book here, what are the initiatives that are being taken to kind of possibly build a higher trail here or any sense in terms of that? And the second is in terms of any updates on the PB Health side, when do we start to see the first operations?

Management: On the trail side, we did see slowness, and I think the Credit area has been going through a tough time, and, the NP A rates were higher than we thought for or anticipated. That led to some softening on the P&L side for the partners, and we kind of shared that burden, and hence you see softening of trail revenue. Going forward, we've doubled down on risk assessment, we've doubled down on alternate data collection for consumers, so our ability to basically build quality of business for our partners is increasing as we move forward, and most of that will translate into better revenues.

Management: I think as we realized in Policybazaar, being a bucket shop distributor is not sufficient, you have to be more involved, you have

to have more inputs into the process, and that is how you will earn properly into the future, but our renewal revenue got affected because our partners, in general, suffered. It could not have been one way, so we shared in that. On PB Health, I'll try to explain to everybody the way we are thinking about it. First of all, the narrow network is part of the strategy. That look, you have a narrower network, so you have fewer places. The second thing that is part of it is care pathways. That if a customer is ill, they get appropriate care. Whether it needs to be primary care, secondary care, or tertiary care. And in the network, there are hospitals and care facilities that can take care of each one of those, so customers are directed on that. And, lastly, there's a technology and hospitals layer, and on that, I think the update is, four facilities have been part acquired, or part whatever, so there's work going on that. But please appreciate, these hospitals will just become part of that network. So eventually, it's about running a narrow network, which will over time, be more and more controlled, or integrated, but it's a slow move again. A bit like I said on Pensions and PB Money. All these things will happen over time. I think the narrow network will come before the facilities. The facilities just become the preferred part of the

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narrow network, if you would. And, I think that's how you should see it. There's obviously a lot of work going on in tech, etc, but for that, we'll have to have a totally different conversation.

Ashwin Mehta : Sure, thanks, Yashish.

Management: Thank you, Ashwin. We'll take the next question from Sanketh Godha, Avendus Spark. Sanketh, please unmute yourself .

Sanketh Godha : Thank you for the opportunity. So, my first question is on the non - Contribution expenses, fixed costs. Basically, the growth in those costs naturally has come down probably improving the margins. So that number looks around 15% growth YoY , so for the half and not for the Q2. So, just wanted to understand a bit of colour on this number, how you see this to play out eventually, whether it will be in this range, or you see it to grow at a much lower pace. So, large part of the cost will be sitting only in Contribution margins.

Management: 15%, yes, it should stay around this. As I said, every time we start a new business, suppose in Savings, we started a Pensions category. And the Pensions category requires a new BU head, it requires a new focus from a technology perspective, it needs new product people, it does all of those things. And that is really it, and we keep trying out new things? In Health, we will have NRI, we will have old people, young people. Our success is not just achieved just like that. We have all these narrow segments, and thus, fixed costs goes into creating those segments, and making the success of those segments. Now, once those segments scale, the fixed costs are less necessary also. And quite honestly, we've not focused on reducing them, so 15% seems like a safe thing. I do not think it would be very different. It might be a little higher, a little lower. I think maybe between 15 -20%. As long as we're giving the 30% fresh growth. I think 15 -20% is okay. If we did not do that, then of course this would come down. See the Management rule is quite straightforward. As long as 30% fresh growth, let's not focus on the fixed cost side, let's keep going. If we miss that on a consistent basis, not one quarter or something, but on a consistent basis, then we look at our cost side, and we act on that also.

Sanketh Godha : Okay, got it Yashish. But if I do a similar exercise for the New initiative, 33% growth in fixed cost. So naturally, it should converge to that 15% number what Core is reporting right now, right ?

Management: See, if you look at the components of this indirect cost, there are 3 main components.

One is the office and office overheads, which is quite slowly linked to the number of people we have to hire, so that behaves more like a direct cost in nature. The second one is brand, where, as we had mentioned earlier in the call, it has become more constant sort of a number, maybe linked to inflation of the country. The third and very big part would be the whole Support teams , IT teams, Marketing teams, Management teams. Obviously, there is an increment which is given. To blend it, and as Yashish said, you can take it to be roughly half of

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the growth of the top -line growth. And that's where we are comfortable today. And if things change, obviously we'll have a re -look, but we are very happy with roughly half the growth rates for indirect cost relative to the revenue growth rates.

Sanketh Godha : Understood. This is very useful. The second question I had was that your Contribution margin on New initiatives is 5.5% for the quarter. So, if you can give a bit of colour. Of this 5.5%, how much is coming from PoSP , or Corporate, or who is heavy lifting this 5.5% number?

Management: It's a combination . UAE, which is now a profitable business, and obviously that profit has increased because last year it was a loss -making business; now for three quarters it's been a profitable business. I think, Corporate has been at pretty much the similar number in terms of burn, and PoSP has been reducing its burn, but obviously increasing its scale also. It's a combination of all three that's coming through. But, as of now, PoSP and Corporate are still loss -making businesses. I think on an overall basis, if you look at all new initiatives put together, my hope is that next year, 2027, our New initiative should be very close to zero. That is the whole thought process, and I don't see why it should be very different.

Sanketh Godha : Okay, understood. So basically, what you're trying to say is that, at Contribution level, PB Corporate and PoSP are still loss -making, and large part of that is driven by PB UAE.

Management: It's a few things, PoSP has reduced losses, but increased scale. It's grown 55%, but its losses are much lower than what it was last year, whereas Corporate has got less growth in scale and similar losses, while UAE has both grown and become profitable. I think all three of them are a bit of a moving situation. And from a profit and loss perspective, they're not very dissimilar now . PoSP used to overwhelm in terms of losses, now it is not the case. Now, they are all in the same zone in terms of both profits and losses.

Management: And Sanketh , at Contribution level, we are positive now on the New initiatives.

The initiatives are also one area where you have competitive intensity, in all three, whether it's Dubai, whether it's Corporate business, or whether it's PoSP. That competitive intensity keeps on also going up and down, and we have to react to that as well. But directionally, I think, we have managed to become Unit Economics positive few quarters back, I think two or three quarters back, in the New initiatives. But yeah, if tomorrow we start something like Pension bazaar or PB Connect or something, that will also go into that. So, we don't want to restrict the team that, you have to break even only, and then we'll invest. I mean, if we see any right opportunity, we'll invest. These numbers overall are going to be meaningless. So, when we talk of ₹1,000 Cr profit next year. Whatever happens in New initiatives is not going to create a big delta either way. +2% or -2%, really doesn't matter.

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Management: See, already, if you look at it from a Contribution perspective, New initiatives is maybe 7.5% of the total Contribution. So, it's becoming meaningless in the sense of either as a Contribution percentage, or as a profit percentage compared to the Core business, which is perhaps why you guys v

alue the core business. That the Core business has different mathematics as time progresses.

Sanketh Godha : The reason I was asking this is that, by FY30 or FY29, whether this business will become adj. EBITDA positive, the entire New initiatives?

Management: I said FY27, not FY30. Next year, it should be very close to adj. EBITDA zero.

Sanketh Godha: Understood, perfect. Last two data-keeping questions. One, can you quantify hybrid to the Contribution of the Core new business, which, I believe you said 25% or 30% is previous quarter? And in this, Health growth, 60% growth or 65% growth previous quarter, how much Contribution came from Long-term plans?

Management: The meaningful answer there is, it hasn't changed dramatically from last year. There is no major YoY change. I'll try to explain. This question has been asked many times, that is there a trick behind this 60-70% growth that's been going on for the last, I would say, 8-10 quarters. The simple answer we've always given is there is no trick. If there was a trick, the trick should have caught up with us by now. Because, you can't play a trick over 2-3 years continuously. And, speaking out of turn here, but I hope we will very, very positively surprise you in Q3, with both what comes out. So, all I'm saying is there's no trick here. It's not like premiums have grown, or multi-year has grown, or anything of that sort. It's just, we are adding new customers, that's it. And that's very valuable to all our partners, bringing in new customers, and we need the partners' help. The partners have also helped us a lot by giving us better products, creating better products, creating better underwriting, settling more claims. All of that is part of the growth, which is why customers are increasingly choosing to utilize Health insurance and Term insurance.

Sanketh Godha : Understood, yes. So basically, when you told the narrow network product might pick up, so that can add one more extra layer of the growth to what you're delivering today. And if it is the case, any number you have in your mind?

Management: I'll explain in a simple way, Sanketh. I think from a distribution standpoint, we are by far and away, like, there's not even a comparison, the most focused and the most scaled-up players in terms of protection, Health insurance and Term insurance, and you'd all agree with that. You couldn't even name somebody else who would be nearly as focused. Now, what does that mean? When you're focused on something, you're thinking about problems ahead. You're trying to create solutions for them before they become problems for you. And what are proofs of this? Getting into claims : If you look at our advertising for the last 3 years, a lot of it has been around claims. Of course, that is a differentiator today. We

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have a higher claim settlement rate while maintaining operating ratios for our customers. Narrow network is part of the same thing. The reason you are thinking about it is because you are very focused on this area, so you are creating solutions before time. The solution is very clear to anybody. It's obvious a narrow network should be able to reduce your cost, because you have better control over the service. You should be able to deploy better SOPs with a narrow network than with a wide network. It's a pretty logical thing. But why are just we doing it? For example, let me say, why isn't the Bank doing this? While a bank is also a distributor of insurance, or any other distributor of insurance, why are they not doing it? It's not because they don't have the money. It is because maybe this is not as critical to their survival and to their mission as it is for us. For us, this is critical. The reason we come to office every day, is to make sure that more and more customers have Health insurance and Life insurance, they have a great experience. I think it's just that. I do

n't think there's any other word to it, than just focus.

Sanketh Godha : Understood Yashish . And lastly, a data -keeping question, Hybrid as a percentage of the total new business?

Management: Sanketh, it's about 25%. It's been in that range for a while.

Sanketh Godha : Okay, perfect. That's it from my side. Thank you very much.

Management: Thank you, Sanketh. We'll take the last question from Rahul Jain , Dolat Capital. Rahul, please unmute yourself.

Rahul Jain : Thanks for the opportunity. Most of it has been answered, but just I'm trying to make an effort in a different way. On the consistent improvement on the CM for the New initiative business. What I understand is that the CM for PoSP business was supposed to be maxed out at 1 -2%, or maybe 3%, does that remain the case even now, or the bulk of the upside on the CM is coming from the other part of the New initiative or there is more potential for CM to go higher, even in the PoSP part?

Management: You guys all really want the answer, so I'll give you the answer only. The PoSP CM is 1%. So, yes, if we are at 5%, it's coming from other parts. The biggest contributor in that CM; 85-90% of the CM is actually coming from the Dubai business. So, that's the reality of it. Everything else on a CM is 0. It's the UAE business which is giving the CM. Actually , UAE should not be a New initiative. From a classification perspective, what we should actually do, is UAE should be part of Core, because it is actually Core business, there is no difference there. I think we should just separate out PoSP and everything else. Maybe Corporate & PoSP because these Corporate business & PoSP have very different dynamics, and our Core business has very different dynamics. So, if you segregate that out that way, it just might start making a lot more sense, because I really don't see why UAE is in New initiatives . It should actually be in Existing.

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Because these dynamics are exactly like our Core business. So, as time progresses, we'll get more and more profitable.

Rahul Jain : Yeah, I completely agree. That's it from my side. Thanks a lot.

Management: Thank you, Rahul. I still see some hands being raised. In the interest of time, I request you to please send your questions to investor.relations@pbfintech.in . We shall get back to you as soon as possible. Thank you for your time.

Management: Thank you very much for your attention. It's quite late in the evening, so really appreciate you attending and asking so many questions. Thank you so much .

Call: Feb 2026

February 06, 2026

To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
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Bandra -Kurla Complex,
Bandra (East), Mumbai – 400051

SYMBOL: POLICYBZR BSE Limited
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Mumbai – 400001

SCRIP CODE : 543390

Sub: Transcript of the Earnings Call conducted on February 02, 2026

Dear Sir/Madam,

In furtherance to our earlier communication dated January 27, 2026, February 02, 2026 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith Transcript of the Earnings Call conducted on February 02, 2026.

The transcript of Earnings Call is also available on the website of the Company at <https://www.pbfinetech.in/investor-relations/>.

You are requested to kindly take the same in your records.

Yours Sincerely,
For PB Fintech Limited

Bhasker Joshi
Company Secretary and Compliance Officer

Encl.: A/a

PB FINTECH LIMITED
Q3 FY 2025-26
Earnings Call
February 02, 2026

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Management: A very good evening, every one and a very warm welcome to PB Fintech Limited Earnings Conference Call, Q 3 FY26. Today, we have with us:

- Mr. Yashish Dahiya, Chairman & Group CEO, PB Fintech
- Mr. Alok Bansal, Executive Vice Chairman, PB Fintech
- Mr. Sarbvir Singh, Joint Group CEO, PB Fintech
- Ms. Santosh Agarwal, CEO, Paisabazaar
- Mr. Mandeep Mehta, Group CFO, PB Fintech, and
- Mr. Mohit Khobragade, Head, Investor Relations, PB Fintech

I now request Yashish for his introductory note.

Management: Thank you, Mohit.

As I start, a very clear thing which is becoming crystal clear to almost everyone and specifically to us, is that people will buy insurance from the person who can help them at the point of claims. This is becoming super clear, and specifically in the Indian market. I think Policybazaar,

with the efforts that it has put over the last 3-4 years, is clearly outstanding in that space, and that is leading to a huge amount of positive PR, and I really want to commend the entire team on that before I start this, and that's the primary reason why we are growing. Now, one more thing I would add. The right to settle these claims, the right to help people at the point when you settle their claims comes from the fact that you have done the right disclosure up front. Because without that right disclosure, you, we or anybody loses that right. And we retain that right because we stay very good at disclosure capture.

As far as the Q3FY26 results go, our total premium grew 45% YoY, led by new protection premium at 68% YoY. Within this, health was at 79% YoY. PAT grew 165% YoY, to ₹189 Cr. From a scale perspective, now net of GST, our insurance premium is almost ₹8,000 Cr (₹7,965 Cr), up 45% YoY. The core online insurance premium is up 44%. And I've already explained the health and term leading this. Lending disbursements are up 84% YoY; this is the overall disbursements. The Core online Disbursement is up 8% QoQ. From a financials perspective, our operating revenue is at ₹1,771 Cr, which is also up 37% YoY. Just wanted to break this up for you. Core insurance is 42% up, Paisabazaar is 4% down YoY, but QoQ, it's 8% up. All the new initiatives are 41% up YoY. Adjusted EBITDA grew 154% YoY to ₹199 Cr, and the margin is up from 6% to 11%. PAT grew 165% from ₹71 Cr to ₹189 Cr. For those who are watching that particular number, our Core renewal trail revenue on a 12-month rolling basis is now ₹841 Cr. Of this, the insurance renewal revenue is at an ARR of ₹863 Cr, up from ₹538 Cr in the same quarter, last year, when you do the ARR, and what that means is an increase of ₹325 Cr over the year. This is obviously a key driver of long-term profit and growth. However, given our life business is also growing and our term business is also growing, that is also a significant driver of growth. Growth accelerated for the Core new insurance premium, net of savings. See, this number has been between 35% to 45% over the last 11 quarters, which itself is a very high number, but this

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quarter is 56%, so it's clearly accelerated from where it was. We continue to improve our customer onboarding and claim support service and the insurance CSAT has consistently been above 90%. Our credit revenue for the quarter is ₹115 Cr, and Disbursement is ₹2,470 Cr. We continue to strengthen our leadership in the new initiatives. With revenue growth of 41% and adjusted EBITDA margin moving to -3% from -7%, with a 6% contribution margin. As I see the new initiatives part of our business, I think here onwards, we should be break-even or profitable. So, I think, as you look at the P&L overall, what's starting to happen is, of course, Policybazaar is doing what it's doing and Paisabazaar, here onwards, is profitable, and New initiatives here on are going to be at break-even or profitable. So, overall, from a profit perspective, we seem

to have very sound ground. And of course, the growth continues across the board. PB Partners, our agent aggregator platform has been consolidating its leadership and accelerated growth momentum. It is clearly the number one player, and far ahead of whoever the number two would be. We have moved the business increasingly towards smaller and high-quality advisors, and this is really driving growth in Tier 4 & Tier 5 towns now, and we have the most diversified portfolio across the business. Our UAE insurance premiums grew 62% YoY. Aligning more and more towards health and life. This is another interesting thing, when we entered the UAE, the entire market was just motor insurance. Today, more than half of our premiums come from health and life. And that is a change we've driven, and today we are the market leader in the UAE as well. We have a unique value proposition of cross-border health insurance products and claims assured program. Both for motor insurance and for health. This business is now consistently profitable for the last 4 quarters. Our PAT at ₹189 Cr is 2.38% of the insurance premium, and overall, it's an 11% margin on the revenue.

To summarize our performance since our public listing in November 2021, our revenue has grown at a CAGR of 48%, from ₹367 Cr in Q3FY22 to ₹1,771 Cr in Q3FY26. Our PAT margin grew from -81% in Q3FY22 to 11% in Q3FY26. With that, I'll open up to questions, please.

Management: Thank you, Yashish. We will now take the first question from the line of Sachin Salgaonkar from BofA. Sachin, please unmute yourself.

Sachin Salgaonkar: Thanks, Mohit. Hi, management. Congratulations on a great set of numbers. I have three questions. First question is about the QIP announcement. Would love to understand how management is thinking in terms of investments, particularly on the lines of international markets, and which area could be of interest for you guys from an international market point of view?

Management: You want to finish the other two questions, and then we can take them up?

Sachin Salgaonkar: Okay, sure. So, second question, again, wanted to understand, some impact, or, if management could give a clarity in terms of impact from transitioning towards a COR-based model for health and term. I understand the impact will be seen in subsequent quarters on the P&L. Anything you guys could help in terms of allowing us to model that

properly would be helpful, so that's the second question. And third question, wanted to understand, generally, how the premium growth has been since the quarter, because part of a growth in the last quarter was largely driven on expectations of a price increase in premiums. So, something changed out there, from an expectation point of view? And Yashish would love to understand your thoughts on multiple media articles which talk about potential commission cuts happening in the sector. Thanks.

Management: On the QIP, we have asked for a board meeting on the 5th of this month. Assuming we get that time from all the board members, that'll be happening. And then we will go to shareholders to take approval. Our approach in this has been a long-drawn one. We have spent the last 3-4 years looking across markets, Middle East, Southeast Asia, European markets. As you would appreciate, when we look at these, we look at size of market, and we look at our ability to transform that market. This has two components: what is that we have done in India and how does it apply in that market, and how could we bring that to bear? But more importantly, our comfort with that market as well. And so, when we look at these three, we seem to be zoning in on certain market areas, which we think are very interesting for us. We have not identified any target as of now, and that's what we mentioned in our note. It's an area we want to definitely work toward, and I'm fairly convinced that it's the

right thing

for the company to do at its stage, where our Indian business is very, very strong. We have arguably 93% market share, and it's growing the way we are growing. One thing is very clear. See, our health business, let's say, is growing at 60%, and once GST came, it grew at 80%. I think it's becoming crystal clear that we are growing at about 40% more than the rest of the market, and it's being driven by a very fundamental force. I think the India business is in a very, very strong position, and thus, it's the right time. I will request Sarbvir to come in on the Core premium growth and, on commission cuts, maybe both of us can pitch in, but that's fine.

Management: Sachin, I think, in terms of transitioning, I would say two things. One is that we have always worked with insurance companies based on the quality of our business. And I think what is happening is, especially in health insurance, as the size of the book has increased, it has become very important for, obviously, both insurer and Policybazaar to look at it that way. I would say that it's not like something is dramatically going to change next quarter, or two quarters from now, or something like that. This has been a journey that we have been on, and I think we have continued to go down that journey. I think the reason it got discussed this time, perhaps more than what it has been in the past is because of this whole lot of questions around GST and, how commission would be handled based on GST, etc. And I'll say the same thing that we said last quarter, that we work closely with our partners. It is truly a partnership, and, we have figured out solutions, which are win-win for both sides. I think you've seen that the amount of business that is happening has gone up post-GST, so that is obviously helpful. I think the quality of our business is there, so that gives you room, even as an insurance company, to share more with Policybazaar. And then, there are a bunch of such things which

we have been able to do, and I think things have worked themselves out, if you see in Q3 so far. As far as price increase, etc, is concerned, that is a very, very small, or I would say a very tactical thing, right. Prices do go up from time to time, etc, and as, they have not gone up at all, right, in health insurance for the last 4 months. So, there is a tailwind, because GST got cut, and there was a lot of discussion about health insurance, a lot of people came to search for health insurance, and obviously, we were able to convert a fair share of them. But I don't think that there's something inorganic that happened, beyond this extra 20-30 points that we got. We have been growing fairly rapidly, and I think it is on the back of what Yashish explained, that we have good disclosure, and we provide support at the time of claims. So, customers can buy with confidence. If you see, the whole point in insurance is trust, and if you can build that trust, and obviously we have a long way to go, we've just got started. But I think as we go down this journey of trust, it really helps. So yeah, I think that's kind of what I would like to say.

Management: Coming to various debates that have been going on in commission, etc. Look, I can't comment on the debates and what's going on there. See, we as an industry graduated about, I would say 33 months ago, into what I would call, the EoM framework. The EoM framework basically says that – because what matters from a customer's perspective is how much expense is going in. And for General insurance industry it's 30% and for Health insurance, it's 35%. This is largely in line with global norms. It's not different from global norms. And I think this is a great framework, and I'll explain why. Because there are different companies at different stages. Some company wants to put money in its own marketing, its own call center, its own employees, and get sales. Perfectly fine. Y

ou can do that within 30%

or 35%, please go ahead and do it. Some companies would pay somebody on a variable basis, the same amount. It's actually fungible. Some companies may have a hybrid model. They may use somebody to attract data, etc, and they put their own call center or their own people to make those sales happen. But whatever you do, whichever hybrid model or single model you follow, you have to stay within the 30% or 35%. Secondly, I'll tell you where my heart lies in this. I would always welcome anything that reduces the EoM across the industry. I would also welcome anything that reduces take rates. As long as the benefit actually goes to the consumer, which is the right thing to happen. Please do understand where we stand in this situation. Because our quality of book and our efficiency is mostly higher than most other people, in that situation, that leads to a disproportionate market share gain towards us. Suppose let's just say, argument's sake, tomorrow commissions are X, and they are equal for everybody, and our quality of business is much better. What would happen is we would request for a discounted price for our customers, which would mean that price may not be available anywhere else. Because other people are not able to operate at the same price point. That's what I tried to explain to you guys. You have now seen us over 17 years. You have seen the point when there were commission controls, but that is nothing. You have seen us at a point when Life insurance commissions were zero for us. Till 2018, our life insurance

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commissions were meant to be zero. You've seen us through all these stages. Our take rates have never changed. There is a particular reason why that solidity has stayed, because we add value. We actually bring in customers, and we bring in good quality customers, and do good quality disclosures. You've now got the last 10-12 quarters of recordings and every time I've said I would always welcome reduction in take rates as long as the benefit does get passed on to the consumer. Sarbvir, if you have anything specific to add on that.

Management: Only thing I want to say is, EoM framework was introduced about 2 years and 9 months ago. I think it's just been less than 3 years. I think it's playing out. We should, hopefully see how it plays out into the future. And the fact that it makes costs fungible is a very powerful point. It allows different companies to choose different routes to market, as Yashish explained, and I think we are very happy to work within that framework, and, whatever number that comes out, we will work towards it.

Sachin Salgaonkar: Thanks, guys. Just maybe one quick follow-up out here. You see, typically we've found Indian companies going out of India in search of growth when the growth in the core market starts slowing down. But for you guys, it's the opposite. If anything, the growth in India is accelerating, and clearly there is a huge runway from a growth point of view. I was just trying to understand, is it something really great in an international market that makes you guys look at an international market? Or is it just that, whatever you guys are looking to do in India, trying to replicate that in other markets? What is that area of expertise which you guys have been looking to bring into the international market?

Management: I think, it would be fair to say that Policybazaar is perhaps the most evolved insurance distribution model across the world. We add a huge amount of value to the consumers and a huge amount of value to our insurance partners. We bring them profitable business, lots of business, and to the consumers, we make sure that the price stays controlled, but also that their claims are settled. If you actually walk around the world, you will not find too many distribution players doing all of this. If you look at certain markets. The US is, I think, 50 times bigger than

the Indian market; Europe is 15 times bigger than the Indian market; and genuinely, we have been observing, like, I have been particularly observing. Please do appreciate in 2006, I was meant to lead Confused.com. I'm just saying, that was the offer I had, that is where Policybazaar started from. We've been observing those markets for the last 20 years very, very closely. They are very profit-rich markets, but they have almost zero innovation. Almost zero. And, of course, they are crying for innovation. So, I do think we will add a lot of value. If we did not think so, we wouldn't want to expand globally. And many of the people who've operated worldwide in financial services will agree with this that diversification has its advantages. Clearly. You want to be in multiple countries, and also, I think it's time for India to have its own MNCs. Why should only Google and Facebook operate in India? Why would companies with their head offices here not operate abroad and serve international customers or international partners. I see many reasons why this is a good thing.

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Let's hope our board agrees, let's also hope our shareholders agree, let's hope we get all the regulatory approvals, and then, let's see where we head.

Sachin Salgaonkar: Alright, very clear. Thanks a lot.

Management: Thank you, Sachin. We will now take next question from the line of Sachin Dixit

from JM Financials. Sachin, please unmute your mic.

Sachin Dixit : Hi, Yashish & team, congratulations on a great set of results again. My first question is on the growth, basically, on Core insurance side, new business premium.

Obviously, you have highlighted the reasons why you should get the growth, but if we try to look into these contours of this growth, where is it coming from? Because most of the industry data does talk about a much lower growth, some of the partners who work with you more closely have grown faster, but still, probably half of what you have grown at. So, can you give more color on what is happening? How are you driving this growth?

Management: I think Sarbvir is the best person to answer that.

Management: The first point, Sachin, which has been written in the press release also, is that we've grown our protection business 68%. If you see, protection is over half our business and if you're over half of your business is going at 68%, then, at least mathematically, you can get to the numbers, that we are talking about. Now, coming to the how of this whole thing, I think protection or risk products have a unique property, which is that, actually, in the end, they cannot be sold on commission alone. Risk products have to be sold on the basis of disclosure, and the fact that, in general insurance especially, that you are able to produce or help a person at the time of claim, because that's the only way that that person will renew the policy again, will stay with you, etc, etc. I think the point that comes through, in risk products, is that it takes a while to build capability. One is in sourcing. One is to attract customers, which you see, Policybazaar has spent 18 years of solid advertising, talking about why you should buy health insurance and term insurance. We are not talking about just why you should buy from Policybazaar, but we are talking about the genuine need for these products. Because of which, obviously, customers come here, and because they come on their own, they have a tendency to disclose more. We deploy, state-of-the-art models, whether it's GenAI now, ML earlier, etc, etc, to make sure that we capture that disclosure, make sure that we have a sales culture which ensures disclosure, which is captured, which is communicated, etc, etc. This allows the insurance company to price the risk appropriately. Once the risk is priced appropriately, you are able to then, obviously, pay the claim and move forward. It's a virtuous circle. This circle takes

a long time to set up. I think what we are seeing today is the benefit of decades plus of effort that Policybazaar has put into the market. And I think that effort is today paying off, and that takes, as I said, it takes a while to get going, this cycle, and once the cycle gets going, obviously, then if you can run it properly, it should go to your favour. So I think that's exactly what is happening. If you see, when the industry grows stronger, we also grow ahead of that,

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and when growth is not so great in the market, we still are able to find the growth. So this is the core reason in risk businesses, you have to get this virtuous cycle going, and at this point, touch wood, I would say we have it going. That is, I would say, the key reason.

Sachin Dixit : Right, thanks for that. My second question is on the commissions that we are effectively getting. Let me know if I'm doing the wrong math. So, if I'm looking at your business YOY, health and term, which are probably the highest commission product in year one, have grown fastest. So ideally, it should have gone up. In this quarter in particular, your new business premium has also grown at almost a similar rate to renewal. So, again, don't see any dilution from that. Still, they were roughly flat. Are we reading too much into it, or as Yashish used to mention in earlier calls that this is more of a quarterly thing?

Management: Sachin, you might be reading too much into it. There are various pieces that move. We have different products. See, one of our highest-selling products, and I will refrain from talking about a particular company, etc. on such a large forum. In health, our largest selling product is also our lowest commission product. Why is that? It is a product in which we give disproportionate benefit to the consumer. Disproportionate benefit. And we do that because it's the right thing to do. And we do that because the insurance companies agreed to pass that benefit on to the consumer. Usually what happens, the insurance company struggles with something like this, because they say, hey, you can do it but others simply can't, because they don't have the ability to do that level of whatever, diagnostic, etc, and that causes issues. But I'm just telling you where our heart lies. That is the product that we sell, pretty much the most. And yes, because the company allows us to sell that product, that company also grows faster. So, we've laid our heart out quite clearly here, and I don't know, how else we can convince you guys that we are not commission-centric, we are consumer-centric, and we make ourselves so efficient in risk, exactly what Sarbvir said, in risk capture and, disclosure capture, so that at the point of claim, we are standing there to do that. And I think what has happened over the last 4 years, the discipline in the claim support has become very high and the ethos and the culture is very, very strong. So that is leading to positive outcomes.

Sachin Dixit: Got it. Thanks for the clarity, Yashish there. My final question is on the size of this potential QIP that we are looking at. We already have ₹5,000 odd Cr of cash and we are

looking to add more. Are we looking at, something very sizable, or this is more of multiple acquisitions that you're looking at?

Management: Let's see, I think in 3 days time, we go to the board. I don't have the permission to talk about it till I have board approval.

Sachin Dixit: Sure, sure, alright. Thank you and all the best.

Management: Thank you, Sachin. We will now take next question from the line of Manas Agrawal from Bernstein. Manas, please unmute your mic.

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Manas Agrawal: Hi, team, thanks for the opportunity. This COR approach on health; is it right way to say that this is a defensive move against any potential regulations on commission? The question I'm asking is, will the non-commission part of the t

otal take rate be

outside any potential commission cap? That is question number one. Question number two, in case there are commission cuts or deferrals in whatever way; what are the levers that you have? Can you touch call center costs, or it'll be marketing only that you can play with? And third, from a capital allocation perspective, so I see there is a chunk of cash on the balance sheet. If you guys are looking at some potential acquisitions and talking about a QIP, how should one think about, future cash deployment, and then other income is a meaningful part of the bottom line today? So those are the questions.

Management: Manas, I'm gonna let Sarbvir answer most of that question, but I will just say a very simple thing to you, which we've been saying again and again. I think we are very, very comfortable within the EoM. Also, our take rates are not extremely high. They are actually quite moderate. We're at, whatever, 16-17%, which is fairly average for the industry. At our scale specifically, you would struggle to find anybody there. Look, first of all, whatever you've been hearing in the news, etc, these things take time to fructify. I think we, some time ago, moved to the EoM model, which is a far more evolved model. You tell me, when the insurance company is being told you manage everything in 30%, maybe the 30% becomes 25% over time, maybe it becomes 20% over time, that's fine. That's acceptable. What is the advantage of saying, no, 15% will be for this, 15% will be for that? What if a company does not want to do 15% of operating costs because it has a different model, it has a distribution-led model. I think that just forces wrong outcomes. At a very fundamental level, we are a more efficient player. The reason we went to Combined Operating Ratio with our partners is because we wanted to ensure we settled higher percentage of claims for our customers and gave better products to our customers, which others are unwilling to, because we do better quality disclosure. We wanted to take the advantage of our disclosure capture. That is the reason we went there. We did not go into it to make more money. That is not our intent. I don't know how to say it; we actually don't want to make more money. We don't want to. I know that sounds stupid, because this business is meant to be more mission than just creating profits. It is creating profits as a byproduct of that mission, but it is not running to make more and more money. That's not what we are here for objectively. We are here just here to make the highest possible impact on the customer. If you are the most efficient player in the market, or let's say you're the top quartile of efficiency and you're the most efficient player at risk disclosure capture; anything that makes the market condition harder plays to your benefit in terms of market share gains. And you may anyways be below that threshold. I'll kind of let Sarbvir answer the more detailed part, because I'm talking more theory, and mission and all that stuff.

Management: I think, Manas, Yashish explained everything, I'm not sure what detail I can add, but I just give you one or two nuances. I think the first thing is that this defence versus offense

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kind of thing comes from a thinking around, as if you're trying to defend a profit pool or something. See, we're not trying to defend anything. I mean, we are a company which barely made any money some time back, and, we've started, making some money, and I don't know if you were there at that time, but I think we very consistently said one thing, that the way we will make money is because our premium will go up, our revenue will go up, our contribution will go up, and our fixed costs will go slower than that. And this will be done because we have a large renewal revenue stream that is building up. If you think about it, you can actually see the numbers. This is exactly how it has played out.

t. It is not that we have cut call center

spending. In fact, Yashish has a heart attack every second and third quarter, because we add so many people, and, then he gets scared that, what will those people do, etc, etc, because you have to add those people in advance of demand. And that's a risk we take every year, because there is no other way to do it. Let's say we get it wrong, which we do from time to

time, we can't do anything. We have to add those people ahead of that. So, we are not driving to a business model number. We are driving to serving more and more customers. If you just think, I'll just throw one number at you. In the IRDAI annual report, retail health insurance added 40 lakh new lives in 2024-25. We estimate that Policybazaar accounted for somewhere around 40% of those new lives. So, there is something that we are doing which is kind of working, and I think that's what we are doubling down on. We are trying to increase the number of people we cover; we are trying to increase the number of people we can serve by giving, obviously, unbeatable propositions. I think that's our goal always, to create unbeatable propositions. And when we do that, I think profit is a byproduct, and obviously it may go up and down here and there, but that's where we are headed, and honestly, I think it's working, so that's what we are trying to do.

Manas Agrawal : Understood. Thanks for that. On the capital allocation piece, if you can put some colour around that as strategy?

Management: On capital allocation, all of our businesses, from here onwards, whichever new initiatives we have, are generating money. We may think around investing, once we get the Pension model right, we may think about investing a bit there. But again, as I said, that'll be minuscule compared to the overall organization in terms of profit capability, etc. Yes, if we get board approval and shareholder approval and everything goes ahead, we would, over time, like to diversify both in India and internationally, and so some of the capital allocation might go in that direction. I would like to make one statement, just to kind of allay some fears here. I think whatever we do, would be significantly EPS accretive, or PE accretive. So, I don't think, we are going to just, throw money at something just like that. I think we should be quite fine. It would be something bought as a value investment, which we can transform and make far, far stronger than it is, and make those entities more competitive in their home markets, and we would leverage our Indian skill base and our Indian skill pool, while also leveraging what those entities might have. I think we'll do a good job on this.

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Management: Hi, this is Alok here. Whenever we get these questions around the growth rates, and are we doing something very different from the market. Now the real fact is, this is an execution-led business. You have to keep on doing it day in and day out. There's no secret sauce. You just put customer at the center of everything that you are doing, and, try to do the best that you can at that particular point of time. A lot of times market may think that it's insurance company versus us. That's not the case. We are not a distributor only; we are a partner. We work very closely with them, to serve the same customer. So, aim for both of us, whether it's insurance company or whether it's us, it's absolutely same. There's no tussle going on between two entities in terms of how I can do better than the other. We are here to serve the customer, and we are very, very focused on that. And there is no single one thing that, okay, you do this, and suddenly you can become another Policybazaar. There are hundreds of small, small things. You keep on doing it slowly, slowly, slowly, slowly; improve every quarter, every month and eventually, we get to where we are, but it takes 18 years. And on the other side, now that we

are talking about capital allocation. See, just think about it. We have gone deeper and deeper into the value chain. When we think of going deeper, what does that mean? We've got into the insurance brokerage, we've got into garage networks, now getting into PB Health, PB pay. There are so many different little parts that we are now trying to do, claims servicing, physical meetings, all that stuff, funded from our own accruals, internal accruals. Similarly, we have also gone wider. We have started bonds, we have started pensions, we have started a lot of stuff. So, both depth and width, you can see that we have tried in India, we have been, hopefully, doing okay job there. We tried one experiment with Dubai and Middle East, which seemed to work quite okay over the last 5-6 years; in terms of growth, in terms of transforming that market, in terms of profits. And now, those learnings potentially can be taken to other markets, whether it's Southeast Asia, whether it's in Middle East, whether it's in Europe, we don't know yet 100%, but be very, very sure, as Yashish said, it has to be strategically somewhere fit with what we want to do; a great opportunity, large market, ecosystem in terms of customer dynamics, distributor dynamics, regulatory dynamics have to be somewhere aligned to what we want to do. And yes, the financials & the team have to be something which we are comfortable with. We look at everything before we decide, but, we are just requesting the shareholders and board to give us that freedom right now.

Manas Agrawal : Got it, got it. Thanks for the detailed answer. We'll await details on whatever Potential acquisitions are around.

Management: Thank you, Manas. We will now take the next question from the line of Dipanjan Ghosh from Citi. Dipanjan, please unmute your mic.

Dipanjan Ghosh : Hi, I hope I'm audible. So, just a few questions from my side. First, when you studied some of this international markets. Just wanted to get some sense, in case if you were

to go for an international expansion, is there a possibility that some of the cost base can be shifted to India or domiciled in India? I mean, does the regulations in some of those developed

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markets really allow for that? And if yes, would you kind of consider that, in case you were to go for an international expansionary strategy?

The second question is on the POSP side of the business. I think there's a lot of consolidation that has been going on in the industry over the past few quarters or years, and I think that has benefited you guys, both in terms of growth and margin profile. But, if you have to look at the B2B2C business in some of the other sectors, like, let's say, mutual funds, we see that the margin profile on a steady state tends to be far higher than where we are currently. So, given this consolidation, do you envisage the path to profitability in the POSP business, let's say, over the next 2 to 3 years to be, let's say, tad better than what you guys would have been anticipating, let's say, 2 years back?

The third question, in some of your conference calls previously, you've mentioned that you are focusing on expanding your hybrid strategy into newer locations. So just wanted to get some colour on the progress on that front.

And finally, one last question on Paisabazaar. Alok mentioned in the answer to the previous participant's question that you have introduced bonds. Previously you had also stated that you might kind of want to go into regular distribution of mutual funds, or even broking at a certain point of time. So, holistically thinking more from a long-term perspective, what do you think could be, the overall product suit of Paisabazaar out there? Those were my questions. Management: When we think about international markets, I think, many markets and India both have a lot of talent, and sometimes talent for somewhat different sides of thing

s. Clearly,

technology, finance processes, etc, etc, India does tend to have a very significant advantage. And, even in product thinking, etc, specifically when you think about products like Health, Life, Policybazaar brings a lot to bear in those. There is clearly going to be a lot of integration opportunities, as you point out, and cost synergies, for sure. On the POSP profitability, Insurance, mutual funds, credit business, all are slightly different. Insurance is a high-level push sale. If I look at insurance agent, he would spend about 95% of his effort trying to make a sale, and then maybe 5% of his effort trying to coordinate things. The back-end payments, etc, are quite smooth in the insurance industry. People just get paid on time, various things happen. And that's not the biggest pain point, because insurance companies are also quite keen to issue those policies, so it's a demand generation problem. That is the biggest problem in the insurance industry. You appreciate it, right. It's not as big a problem in many other areas. And that is why, in insurance, the person who brings in the business takes a disproportionate share of the value. And, obviously, now we are all fairly scaled-up players. We are doing maybe ₹7,000 - ₹8,000 Cr ARR. The number two may be doing ₹4,000 - ₹5,000 Cr, etc. Does that mean at ₹20,000 Cr, we will make ₹100 Cr of profit? The margins are very, very thin. The margins just tend to be, maybe, a small sliver of the revenue, and the revenue itself is, let's say, 20% of the premium. If you had 5% of that also as your profit, you make 1%. That is, if you had no

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fixed cost at all as you realize in these businesses, you have fixed costs as well. I genuinely don't think they are supremely profitable. They do get you scale.

Management: Can I just add something? I think on the POSP, I just want to explain to you, since you asked about other B2B2C profile, and I think Yashish was alluding to this. If you think about it, in POSP, we sell motor insurance. Whereas the area that you are thinking of, where profitability is high in India at least, is mutual funds, where people have been able to build an AUM over a long period of time, and now they are able to attack or get the economics from that. And mutual fund is a pull product, where a customer wants to buy a mutual fund. Whereas here, we are selling motor insurance, which does not have that same AUM concept over a long period of time, because it is largely being bought for the commission that was being given. So, I think the two businesses could not be more separate, and I also want to just give you a little bit of caution on this whole word of consolidation that, is being discussed. But the reality of life is that the number of insurance agents in India is fixed. See, the same agents are available everywhere, and they work with those platforms where things are smoother, where they get paid properly, etc, etc. So, consolidation in this business is actually not as valuable as it may seem at first blush, because the underlying people are not that different. You don't necessarily buy anything. You buy management, which obviously can be very valuable, but beyond a point, the people they're working with is roughly the same. I think what we are trying to do in PB Partners, and I think it will take a long time to make meaningful money for sure, is really build scale. This year, let's say we do ₹7,000 odd Cr in premium. Our

goal next year and the years after that is to increase the scale of this business, not necessarily to extract profit right away. I think profits will come when they come, when the structure, etc, when our servicing is very good. But our goal is to drive scale in this business, because it allows us to be meaningful partners for our insurance companies, especially general insurance companies, and that's a position that Policybazaar finds very valuable. I just want t

o explain

the nature of the product is very different in the two B2B2C scenarios that you spoke about, and secondly, our goal from our B2B2C business is different. We want to drive scale, and we want to drive efficiencies from that.

Management: It also does not make big losses. Because, the fixed costs in this business are very small. It is mostly a variable cost. Now, the variable cost comes in many forms. You could be paying a commission, you could be paying somebody marketing fees, you could be paying somebody something else. You could also have your own employees who are actually managing those people, but those people can only manage 10 or 20 agents per employee. So everything is a variable cost in this. And the fixed cost is very limited, so what that means is there's no big marketing cost, there's no big tech cost, so what that implies is you essentially can scale up quite rapidly, and that's what you see. Anybody who's had money has succeeded at this business, till the money runs out. Once the money runs out, the business fails. It's as

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simple as that. You look across the board, who has failed? Whoever had money, nobody failed at this business. Now, coming to a new location.

Management: So, in health insurance, we continue to expand. We are up to, almost 300 cities now, where we have a presence, where if a person wants to meet somebody from Policybazaar, they will come and meet them in their home, explain the process, etc. In savings, we have started a new model about a couple of quarters ago, where we are now going to mid-sized cities. And we are setting up smaller offices, or smaller centers, where our advisors not only take calls, but they also go out and meet people. It's a slightly different model. We've always maintained that in life insurance, it helps a lot if you can have the same person, talk to the customer throughout the process, whether on the phone or in person, etc. We are taking this model out to these, next level of cities. I think we are now in about 20 -odd cities, and I would say that we are very delighted with the results of this model. It's very early days, but if this model starts to work, then I think it will open up a whole new set of, cities and opportunities for our savings business.

Management: On Paisa, I will let Santosh answer that question on how she's thinking about building out the different services alongside credit. But I just want to remind everybody, Santosh is the one who built our life insurance business, which was selling ₹5,000 Cr odd of savings products before she left, so she obviously knows a little bit about building the savings businesses.

Management: Thank you, Yashish. See, the idea for Paisabazaar is to become a full financial platform that is able to manage both assets and liabilities for customers. We get a lot of middle-class Indians, we help them discover credit and help them borrow money. They also need to save; and savings and investments are a natural extension of what we are doing. We were very deep into loan discovery, cards discovery, and also building healthy credit for consumers. We then scaled into secured credit, and I think this is just coming to the circle of helping them now invest and save. And I think bonds, was a very exciting time to enter, it's a new market in India, it's taking shape, and I think we are entering it at the right time. Also, it's a pull product, so both fixed deposits and bonds are something we've launched, and we are seeing it build up, reasonably well. Mutual funds will also be added to the portfolio, maybe a quarter later. But yes, we want to, over time, I would say, improve LTV for our customer and, instead of being just a transaction-led platform, we want to maximize engagement, so that we are available across the lifecycle, and that will improve stickiness and engagement, and that's the reason for, adding some of these products.

Dipanjan

Ghosh : Sure. Thanks everyone for the answers, and all the best.

Management: Thank you, Dipanjan. We will now take the next question from the line of Nidhesh Jain from Investec. Nidhesh, please unmute your mic.

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Nidhesh Jain : Hi Team, thanks for the opportunity. So, my first question is that the GST impact is behind us, and whatever we have seen in this quarter, that should sustain incoming quarter. Is that a right takeaway?

Management: I think, Nidhesh, that's a very optimistic takeaway. I think, yes, we got good

bump from GST. But things always even themselves out over a period of time. Customers will get used to the new price level. It is incumbent upon us and our team to continue to drive the fundamentals of why insurance is needed, and how it works, and how it helps people. So, yes, it was good. I think, the JFM is normally a strong season for insurance, etc. But I would definitely not say that it would continue forever or something.

Nidhesh Jain : I was talking more about from a take -rate perspective and economic perspective. There were negotiations with the partners, so all of that is behind us, or is it still ongoing?

Management: I think we've always maintained that our negotiations are always very cordial, and as Yashish explained to you in a lot of detail, we work towards maximizing customer value. And I think we continue to do that, and GST is yet another example where we've been able to work with our partners and come to , what I would call, win -win kind of outcome. And yes, I agree with you, that part is behind us, and we are proceeding with confidence.

Management: Nidhesh, but in Sarbvir's answer, you should have picked up how the mind thinks, because that was more important. You asked a question about impact of GST, and Sarbvir spoke about volume while you were actually talking about Take rates. It's just that in the mind, we are all tuned to think volume. It's just how we are. And I think the quicker that sinks into investors, the better it is, because that's just our reality. It won't change ever. It's just the take -rate is the outcome.

Nidhesh Jain : Sure, sure. Second question is on, how should we think about customer acquisition costs going forward? So, we are showing very strong growth, but from a cost -efficiency perspective, specifically in terms of new customer acquisition and cost of, let's say, doing the entire transaction. What are the steps we are taking to improve the cost efficiencies?

Management: Nidhesh, our teams work very hard, day in and day out. As I just reflect, over the last many years : On television, we were TV, then we went to regional television, we did OTT ; we learned how to deal with the new reality that TV is a fragmented medium and we are on connected TVs now. On the paid side, we used to be a lot of non -brand search, which is Google. We've now started doing a lot more from Facebook or Meta. We've started doing a lot of influencer marketing. We've learned a lot on getting our app downloaded by customers. So, I think every year, if you ask me, our teams come up with newer and newer strategies to acquire customers. And to explain the value of insurance. So that keeps going ahead. Yeah, so

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I don't see any major change in customer acquisition costs. I think they are continuing to do well. Actually, the spend over revenue has gone down in the last 3 years .

Management: That's not like there was a strategic intent to bring it down or anything, it's an outcome. Yeah, so again, I would say that the biggest problem in insurance sales is demand generation.

Management: There is no doubt about that. So, marketing is the key thing, and, you have to keep thinking of where the customer is, and how do you get in front of the customer and explain your proposition. And I would congratulate our marketing teams. I think we don't talk about them enough. I think they do a

great job in bringing customers to the platform.

Nidhesh Jain : Sure, and last question is on PB Health, any update on PB Health? When is our first hospital going live, etc?

Management: So, again, that's more of execution business. There are a few moving parts there. We are building physical capacity, so we've taken up a hospital in Noida, we are going live with one small hospital in Gurgaon in another 3 months, maybe. Really interesting part is the way tech is shaping up, with the huge amount of focus on making tech more easy for both consumers and medical professionals to use. And, as much as possible, use AI from day one. Also, think from a lot of customer experience, customer interactions with that system and the physical infrastructure, and that is one part. But the whole aim about PB Health was to keep people out of hospital. So, hospital, yes, we'll do what we have to do, but we are focusing a lot on building services which can keep people out of hospital, whether it is OPD services, whether it is digital GP (General Practitioner) , whether it is preventive services, chronic disease management, all those sort of things. So, yeah, it takes its own time, it's building up, but, happy with the progress, the way it's happening right now.

Management: Nidhesh, so, I'll just take the time to kind of explain it, because a lot of people are confused. If think about PB Health, they think of it as some kind of hospital chain and that leads to a lot of confusion. See , at heart, there are 14,000 -odd hospitals in the country. What we are saying is, if you had to work with maybe 500 of them, and break them down into secondary, tertiary, and route your customers to a smaller set, you would be able to control quality better, and you would be able to control experience better. That's the first thing that's happening. There's a network, which is PB Health. It is not very different from what we do in PB Wheels, which is the garage network, right. Then what we say is, because hospitals are a

little more complicated than garages, some of these capacities, maybe 15 -20% of it is self-owned. And in that, we have deployed some level of tech experience, which is quite differentiating, so consumers have a better experience when they visit those. But that's the second part of it, right? And the third element is the preventive part that Alok spoke about. But from an insurance perspective, the biggest benefit actually comes from when the customer comes in, can you point him down to the care pathway, so that a person with malaria

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does not end up at a tertiary care hospital, but instead ends up at a care hospital which is right for them. So, right treatment for the right situation. And that changes incidence rates. And that changes your cost per incidence. And of course, because you have so many customers, you are able to fill up capacity. And because you are able to fill up capacity, you work with them, so I think it's that is what PB Health is about. PB Health is about integrated healthcare at some level, just exactly like PB Garages. So, I'd say things are progressing quite well. We have done a very good job of building the network. We now, from a hospital's perspective, I think now we have action on four different properties where something is happening. One is fully acquired and ready hospital, one is at some level of development, one is at a point where in 3-4 months it should go live. But that's just the infrastructure part.

Nidhesh Jain : Sure. Thanks, Yashish and team. Thank you.

Management: Thank you, Nidhesh. We will take the next question from the line of Supratim Datta from Jefferies. Supratim, please unmute your mic.

Supratim Datta : Thanks for the opportunity. My first question is on the acquisition, and the QIP. So, just wanted to understand what would be the boxes that an acquisition would need to take for it to be, a lucrative opportunity

for you. I do understand you can't talk about, which are the target, or things in acquisitions that you're looking at, but if you could give us a checklist of what that acquisition would need to take for it to be, an opportunity that you would consider, that would be helpful. And secondly, on MGAs now being allowed in the new Insurance Act, I just wanted to understand how are you looking at that as an opportunity, and would you, use that to underwrite policies under PB's own name? So, basically, PB-led policies, is that a road that you will go down? If you could give us some colour on these two, that would be helpful. Thank you.

Management: Sure, so as we look at the international expansion opportunities, our criteria are large market, stable player. So, there is not much damage we can do to it through the acquisition. That's number one.

Management: Because that is sometimes a big problem, right? The second part is, can we transform it to the better? And what does that mean? Our skills here have something that we can add, and more importantly, our familiarity with the market is high. I'll give you a very simple example. Suppose I went into Indonesia, and I don't know how to operate in Indonesia. I think it'll be tough, and that is what I would call a low of familiar market. On the other hand, if you kind of think of UK, it is like the back of my hand. So, all I'm saying is, there are different familiarity levels, and I guess we'll work through things as we go through. Now, on an MGA side, I believe, MGA is the single most transformational move that can happen in the Insurance industry. And I believe that at not just a Policybazaar level, but at a strategic level. And why do I say that? See, when the distributor, who's in touch with the consumer, who understands the consumer, at that point, becomes responsible for both the underwriting and the claim

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settlement, and at a wholesale level, is working with the insurance company. This is exactly what NBFCs were to banking. Imagine where our banking services would be if there were no NBFCs in the country. So, NBFC is exactly what the MGA is, and Sarbvir, if you want to add something here, but otherwise, I think MGA is the biggest transformation that can happen in the insurance sector, if allowed.

Management: Absolutely. I think we have been talking about this for a long time. If you think about it, it neatly ties into our model of focusing on the customer from the beginning till the end. And it allows us the freedom to basically make the underwriting as well as the claims decisions at the Policybazaar level. As far as the brand is concerned, you are selling a product which belongs to an insurance company, and we are very comfortable with that. I don't think at this point that is a very big attraction for us. I think the main attraction is the fact that we would have the flexibility, the freedom, and as Yashish said, overall, I think the concept of MGAs will really drive insurance distribution in India, and it will help, that's what we want. We want penetration of insurance to go up, we want more and more Indians to have health and term insurance, and I think the only way you can do that is by empowering distribution. See, insurance is a distribution business. 95 -98% of insurance is sold by intermediaries, of one kind

or the other. So, it's up to you. You want to double down on your strength, or you want to move that 3% to 5%, right? You can try both, but I think the right thing to do is to double down on your strength always, and I think the strength of insurance is distributors, and giving them the freedom and flexibility will take this whole thing to a next level.

Supratim Datta : Thanks a lot for the answers . I have just one follow -up. On the opportunity and possibility of any acquisition. On that bit, just wanted to understand, are you looking at only insurance -focused platforms, or co

uld it be insurance plus, other products as well.

Management: Let's wait and see. I have to first get board approval. Already I'm speaking a bit out of turn here. I have to first get board approval, then we have to get shareholder approval. Let's see if we get those two. And once we get those two, let's then get the money in the bank, and then let us see what all we can approach and how we can do it.

Supratim Datta : Sure, okay, no problem, I don't want to get you in trouble. Thank you.

Management: Thank you, Supratim. We would now take next question from the line of Prayesh Jain from Motilal Oswal. Prayesh, please unmute your mic.

Prayesh Jain : Hi, just trying my luck here, on the acquisition bit. If you stay within insurance, would you also look at insurance manufacturing, or it would be restricted to insurance distribution?

Management: I don't think we are going into manufacturing quite yet.

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Prayesh Jain : Got that, that's helpful. Second is on the health insurance growth. There are multiple things that would have played out. One would be your existing customers going for, higher sum assured. Second would be the number of people taking long -term policies that would have gone up, and then, obviously, new lives coming into the segment. How would you say that each of these parameters would have contributed in the growth?

Management: If you think about it, mathematically, nobody can deliver the kind of growth we are delivering over the last 12 quarters, by any of those means. It's just impossible, it's mathematically impossible. So, there is something else that has to be happening there. There is something else is very, very simple and it's the hardest thing to achieve in the insurance industry. People believe when they buy from Policybazaar, they will get a better claims experience. Simple. Of course, there's a lot of other things we are segmenting, we are working hard, our marketing is better, our people are working better, their training is more, we are creating new products. But if you ask the core answer, it is that. We have the right to settle claims because our disclosures are better. Because of that, we get the right to settle claims, and we put a huge amount of effort in settling claims. So, and that's what plays up.

Management: I just want to add that each of the points that you mentioned, see, these are new customers, so the 7 9% is the new fresh growth. So, if they take more sum -insured, that only increases the ticket size. So that is a small factor, yes, ticket sizes, I mean, sum insured have been going up in the industry. As far as the second thing is concerned, multi -year policy for us has not changed, so the proportion of multi -year policy last year and this year is roughly the same. Portability, I just want to say, you didn't say that but let me address that elephant in the room also. Portability this year is lower than portability last year. So, actually, we have, if you look at the contribution of Fresh Lives to our business is at its highest. And again, I think that you'll find in the industry also that portability has gone down a little bit. But for us, it was always lower, and it has become lower, this year.

Prayesh Jain : Right. And just the last question, generally when we talk about health insurance, you've been talking about new health insurance being a drag on contribution margins. But if you look at the core online insurance business, it's kind of margins have remained flattish. And that's just scale, or is it something else to be read into it as well?

Management: Prayesh, in health, you mostly make your profits from renewals. In life, you mostly make your profits from fresh business. Because both term and health are growing, it's become like a double -engine contributor. For a while, term growth was lower, health growth was higher, but now both are contributing. See, for 12 quarters, you have been growing at a

rate of, let's say, 60% on health, then your renewals also start to grow at the same rate, which is what is starting to happen now. The renewals growth is really speeding up.

Prayesh Jain : Got that. That's helpful. Thank you so much.

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Management: Thank you, Prayesh. We would now take the last question from the line of Nischint Chawathe from Kotak.

Nischint Chawathe: Thanks. You said that term and health are around, half your business, and that's grown around 70 -odd percent. So, I was just curious if you could explain, some color around it. Is it that, number of customers have gone up 70%, number of policies have gone up, or is it the ticket size increase? What is it that has driven this growth? Longevity of the growth, I think it was it's very fair to say that, it can't consistently continue at this pace, but, is the new normal sort of, somewhere between this quarter and what we saw in the previous quarters? Or do you think this is just preponing of growth?

Management: Nischint, me and Sarbvir were joking today morning, because we were saying one day this growth won't be there, and we said that doesn't seem like an immediate problem. So, all I would say is, let's just leave it there. We seem to be doing quite well. It's pretty hard for us to say that, we are going to be at 30% growth on health, anytime soon, but it might happen, yeah, because that's what we've always said, that long -term growth, 30% is sufficient. But it just seems hard right now.

Nischint Chawathe: And any color in terms of, what has grown, whether it's ticket sizes, it's number of customers?

Management: It's largely number of customers. I think health, a little bit of ticket size has also grown, year on year, but that's a smaller contribution to the overall story.

Nischint Chawathe: Sure. And, just on the international foray, if you could give some financial texture. We understand how you think in terms of new markets, but are there any threshold ROC Es, or any of the other financial benchmarks that one needs to keep in mind when you're looking at these applications.

Management: I would say I don't want to bore all of you with the same answer again and again. I think we've said everything that we know. I'm usually known to be saying more than what I'm allowed to say anyway. So, I think we've said everything we know. We don't know more than this.

Nischint Chawathe: Okay, sure, great. Thank you very much, and all the best.

Management: Thank you so much. With this, we will end this conference call for today.

Call: May 2026

May 12, 2026

To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai – 400051

SYMBOL: POLICYBZR BSE Limited
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Dalal Street, Fort,
Mumbai – 400001

SCRIP CODE: 543390

Sub: Transcript of the Earnings Call conducted on May 06, 2026

Dear Sir/Madam,

In furtherance to our earlier communication dated April 27, 2026 , May 07, 2026 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith Transcript of the Earnings Call conducted on May 06, 2026.

The transcript of Earnings Call is also available on the website of the Company at <https://www.pbfinotech.in/investor-relations/> .

You are requested to kindly take t he same in your records.

Yours Sincerely,
For PB Fintech Limited

Bhasker Joshi
Company Secretary and Compliance Officer

Encl.: A/a

PB FINTECH LIMITED
Q4 FY 2025-26
Earnings Call
May 06, 2026

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Management: A very good evening, everyone and a very warm welcome to PB Fintech Limited Earnings Conference Call for Q4 and full Year FY26. Today, we have with us:

- Mr. Yashish Dahiya, Chairman & Group CEO, PB Fintech
- Mr. Alok Bansal, Executive Vice Chairman, PB Fintech
- Mr. Sarbvir Singh, Joint Group CEO, PB Fintech
- Ms. Santosh Agarwal, CEO, Paisabazaar
- Mr. Mandeep Mehta, Group CFO, PB Fintech, and
- Mr. Mohit Khobragade, Head, Investor Relations, PB Fintech

I now request Yashish for his introductory note.

Management: Thanks very much, Mohit.

Hi, everyone. Before I just start giving you the numbers, which some of you may have already seen because the press release went out about an hour and a half ago. See, we spent the last two -three months just thinking a little harder about various data points, etc, and one of the interesting pieces that

we came out with was that when you look at health insurance data over the last 10 years that we have had, customers who joined us 10 years ago, and we explore that data more deeply. Only 5% of these lives; so, if 100 customers bought insurance 10 years ago, only 5 of them used a claim more than once. Another about 8 or 10 use the claim once and the rest never claimed for 10 years. And I won't take a long time. The remaining 85-odd customers that you're talking about and that represents about 67% of all insurance policies, have no customer who has ever claimed for the last 10 years, and have been paying premiums for a 10-year period. Those 67 do not interact with anybody. And usually, the one who's responsible for bringing these customers into the insurance fold is some kind of mandation. So, if you look across the insurance industry, you will usually find customers buy products when they are mandated. But otherwise, it's a very difficult job to bring this 67% of policies into the insurance fold to pay premiums year on year without claiming for a single year over a 10-year period. And this is the job that is entrusted to the insurance industry. And I think this is the part, every time somebody wakes up in the morning and tries to compare health insurance and term insurance with any other product like a mutual fund, or even the insurance savings products, etc, I think they make this mistake that this 67% actually is not going to claim at all. Anyways, I will stop there, but that is our job, and that is what Policybazaar really, really specializes at, bringing in that 67% of people who are not going to claim, because without that, please appreciate, that 5% of lives will simply not be able to afford their situation. Because even over a 10-year period, their claims ratio at a life level is almost 700-800%. At a policy level, it is about 300%, so they cannot afford these policies. They cannot afford their healthcare without the insurance policy.

Coming to the results, we grew 42% year-on-year, to almost ₹30,000 Cr. I wish it was ₹30,000 Cr, but it's ₹29,934 Cr, led by new protection premium, which grew at 57% year-on-year. And the PAT is at ₹670 Cr, which represents 2.2% of our premium. Now, for the full year, our insurance premium obviously grew at 42%, but for the quarter, it grew at 46% year-on-year. So, what I'm trying to say is, as we get towards the end of the year, the speed has increased a little bit. The core online insurance premium is up 39% for the year. And the new protection premium is up 57% for the year. However, when you look at the same numbers on the quarter, they are 44% and 67% each. Obviously, the fact the last two quarters were somewhat faster growth bodes well as we go forward, and also because the savings business came out of a low cycle, you're starting to see some higher growth. The lending disbursement is also clearly in the positive territory now. We are up 11% year-on-year. Overall, at the financials, the operating revenue for full year is ₹6,794 Cr, the operating

revenue for the quarter is just about ₹2,000 Cr. The

new protection business in Q4FY26 was up for the year 57%, health at 68%, so even in this, 67% year-on-year protection story, health continues to be slightly ahead of the pack, which is a positive sign. But term is catching up fast, and as we look into the new year, term is certainly going to be challenging

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health. For the overall year, the consolidated operating revenues grew 37%. I think we've given you all these numbers. When we look at our core renewal revenues, as I explained why the quarter is doing better and why we feel confident about the financials for the coming years. As I said in the past, our renewals is a large contributor to our future growth of profits. That has gone up for the last 12 months rolling from ₹668 Cr to ₹935 Cr, up ₹267 Cr. And for the quarter, this is at an ARR of ₹1,126 Cr, up from ₹689 Cr, so that's a growth of 63% year-on-year. And this is one of the key drivers, not the only driver, I must emphasize that the new business is also contributing to increasing profits and doing so very handsomely. The second part is the growth has been, obviously, accelerating. So, as we said, net of savings, we look at one thing which is net of savings; over the last few years, we've been in the 30-40% range. Mostly around 35%. But this quarter, we were at 59% year-on-year. That is basically savings coming into growth territory again. And including savings, we were at 48% year-on-year for the quarter, for the new insurance premium. So again, new versus renewals, new is still outgrowing renewals. And new health is outgrowing everything else. We're continuing to improve our customer onboarding and claim support and the insurance CSAT is now consistently above 90%. Even our Paisabazaar CSAT, which used to be at about 72%, has finally reached about 90%, which is a very positive turn. Our credit revenue is up 7% year-on-year, and the disbursement is up 11% year-on-year. However, I must emphasize, Paisa has made very significant difference in the last one year in terms of the stability of its supplier base. In terms of the service that we provide as a platform, we are no longer just a redirection platform, we are increasingly an end-to-end platform, and in terms of its customer service. So, the core reasons why our business exists, it has improved remarkably on. Obviously, our new initiatives, as you've seen, have continued to do well. Our EBITDA is at -4%, with a 5% contribution margin. We've grown at 43% year-on-year. However, I must emphasize, new initiatives, I don't know why we call it new anymore, it's about 3-4 years old. The new initiative is now growing pretty much at the same pace as the other businesses, so there is nothing very specific about the growth rate here. PB Partners has 450,000 advisors. And it is the most diversified business. 99% of the PIN codes in the country are covered. Our UAE business grew 54% year-on-year. They have built their strength on the basis of cross-border health insurance and life insurance products, as well as the claims assurance program. Again, learning from Policybazaar in India, and taking those learnings there and applying them beautifully. The consolidated

PAT, as I said grew, I've already said all this. To summarize : Once in a while, it helps to look back at November'21 and now where we are . Our revenue has grown at a CAGR of 48% over this period, over the last 4 or 5 years, and our PAT has grown from -58% to 10% in the full year of 2026. I'll stop there and take questions, please.

Management: Hi, everyone. May I now request you all to please ask your questions?

Management: Hi, Sachin, please go ahead.

Sachin Salgaonkar: Thanks, Mohit. Congrats Management, one more time, a great set of results. I have a few questions. First question, want to understand a bit more on what's driving the new insurance premium growth. It's has been

around 59% YoY in this quarter. Any colour on some of the drivers in terms of the product mix, volume growth, and so on and so forth? And more importantly, how could we think about this growth in coming years?

Management: Sachin, I think the drivers of new insurance premium growth remain the same. Health has been growing fairly rapidly. There was a little bit of a bump up that we got after September. After GST, in the last quarter also, if you saw, we did grow quite strongly, and in this quarter also, that growth continued. And it's on the basis of two -three things. One is a superior product proposition. We have modular products which allow us to segment the market and produce the most appropriate product for every person, whether you are young, old, or you have pre-existing diseases, or you're a non-resident Indian, etc. The second thing on the health side that we provide is a superior claims experience. Increasingly the confidence that both our sales advisors and the customer who's coming to Policybazaar have in this proposition that if you buy from Policybazaar, the chances of getting a claim become higher

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and higher, closer to 100%. I think this proposition is beginning to take root, and I believe this story has a long way to go, because, as you can imagine, this is the most important issue. I think on the term side, in Q4, we had a great quarter. The team has been bringing things together, and they all sort of came together in Q4. There was a little bit also that last year, fourth quarter was not as strong, so the comparison was also a little bit favourable. Savings, as Yashish mentioned, we had a little bit of a tough last 3 -4 quarters, starting from Q4 of last year, so we returned back to growth. In fact, savings would have had an even better quarter in Q4, except that in March, because of the situation in the Gulf, etc, the non-resident business, definitely took a little bit of a hit in that way. And the other businesses, motor, two-wheeler; Travel, of course, was a little soft, but motor, two-wheeler continued to grow. So overall, all the businesses, I would say, contributed. The drivers are the same. We got a little extra in Q4, in health, term, and to some extent in savings.

Sachin Salgaonkar: And in terms of steady -state growth, what could be the growth one could think about?

Management: We always guide about 30%, we always beat that guidance.

Sachin Salgaonkar: Okay, fair point. Second question, Yashish, your presentation does mention a lot on AI in terms of PB AI operating system. It's used across different functionalities, right from a risk to claims and to everything. Anyway to quantify the margin benefits we could see on the back of AI implementation? Not immediately, maybe from a medium-term perspective, the benefits of AI on the revenue and cost, how could one think about that?

Management: I think, Sachin, the best way to think about it is, if you ask me, we are not actually right now in the stage where one is trying to optimize for cost and, margin, etc. I think right now, we are in a stage where we want to make sure that we are leveraging AI in the best possible way. And we've tried to give you a flavour for that, which is to say that we are focused right now on increasing the productivity of our sales team, of our customer service team, of making sure that our customers can get an amazing experience when they come to the platform. So, I think, right now, the focus is on these things, and obviously, we are trying a lot of experiments to see beyond this also, on the frontier kind of stuff. So the idea, I would say, from an outside perspective is to make sure that we are doing all these things and delivering, and you can see that conversions have been going up, quarter on quarter, year on year. It's always very hard to break it down as to how much is due to AI, how much is due to other things, but I would say overall, what

gives us optimism and hope for the future is that all our teams, it's no longer a few people using AI or something, the entire company is on it, and a lot of organic things are coming up, and we can see the productivity going up. Exactly what will happen 3 years from now, 5 years from now, I think that remains to be seen. My view is that over the long term these things adjust. So, the main thing for us remains to drive Fresh growth. If you ask me, the structure of the P&L, if I could say it myself, is in pretty good shape. The main thing now is that we must continue to drive fresh growth, bring new customers to the insurance industry, and service them well. That's really our focus, so I'm not sure we're looking at this as some kind of margin driver going forward. Is that fair?

Management: No, that's a very fair statement, and as you think about AI, and I'm not just talking about Policybazaar, but also the insurance industry. I think the biggest use case in the insurance industry is going to be risk, not efficiency. I think we are, as people, more focused on the efficiency part, but the

insurance industry is actually not about distribution, it's actually about claims. And it's about cost of claims, and underwriting, and all those things. I just gave you an example that only 5%, 5 out of 100 people who bought an insurance policy 10 years ago, have ever made more than one claim. Now, obviously, the next thing we want to know is, how do we identify those 5 before they become those 5, right? Because that's appropriate pricing. And, of course, AI is going to help a big time in that. Now, at the point of claim, identifying whether a claim is right or wrong, I think that is the immediate and the most critical use case. The second use case is more about building our capability as people, and I think

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the answer is spot on. Our priorities, not for one year or two years, but for, I would say, the next 5 years, and hopefully much longer, is growth and customer excellence. See, those of you who see us from the outside in, and maybe compare us to an Amazon or something, might feel like, oh, what's so great about this customer excellence? But the moment you compare it to the industry dynamic and the complexity of the industry, I think we are phenomenal in customer excellence, and we have a very long way to go in that. So those two are the primary drivers, and as long as we keep driving on that, I think everything else will fall in place.

Sachin Salgaonkar: Got it, very clear. Third question, Yashish, is on the growth and the new opportunities. Clearly, when we look at the kind of cash flows PB Fintech is going to generate in coming years, it's pretty huge. So, when you think about growth and new opportunities, what are some of the areas of investments, either in the current business or adjacencies we are looking? And a relative question is, PB Health clearly is in the market to look to raise money. Is PB Fintech looking to invest in the next round?

Management: So, on both of them, today, we are not exploring, either as a board, or I can tell you as a Management, any other growth opportunity. We have not come across any in the last 3 months? And we are not actively looking at anything, and we have not even discussed anything. And I'm not even saying at a board level, even at a management level. Number two, you asked about PB Health. Yes, PB Health is going to be raising capital. They will be close to that. They have not come to PB Fintech to raise capital yet.

Sachin Salgaonkar: Okay, but there remains a possibility PB Fintech might invest in PB Health at some point?

Management: That has to come to the board, and when it comes to the board, PB Fintech might consider it. It has the right to do a pro rata. It has about 26-28% shareholding, it has a right to maintain that.

Sachin Salgaonkar: Got it. And last question I would say is, any incremental discussion on

any cap on

commissions or tighter commission regulation? As you know, this was all around in media around 3 to 4 months back, but as of now, there appears to be no news flow on this topic.

Management: No, no, there's news flow even today. The media is much more active than either the regulator or the insurance industry. So, nobody else knows, only the media knows. I think earlier you had only one, now you have two, three of them competing with each other for the same news flow.

Sachin Salgaonkar: But nothing from the regulator on this topic, basis your discussion with the regulator.

Management: I haven't seen anything, neither have any of the insurance companies seen anything. I don't think most of the people in the regulatory have also seen anything. Only the media has seen it.

Sachin Salgaonkar: Got it, very clear, and all the best for future. Thanks, Yashish.

Management: No, look, I think, I have to be a little less jovial about it, a little more fact ... It doesn't mean that we don't track. What we track is, I believe there are two different conversations that go on, actually multiple conversations that go on. One conversation that's been on in the life insurance industry is about some form of deferred revenues. We don't want to participate in that debate. We are very positive about it. If that happens, that's a very, very good thing for us. The second conversation that goes on is some kind of lower EOM structure, in the health insurance industry. Once more, we welcome it. If it happens, we have no kind of comment to offer on this. The remaining conversations that you hear, we only hear from the media, honestly. We actually don't hear it from the regulator.

Sachin Salgaonkar: Fair point. Thank you.

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Management: Thank you, Sachin. We will take the next question from the line of Jayant Kharote from Axis.

Jayant Kharote: Hi, thanks for the opportunity, and congratulations to the whole team, for once again delivering above expectation numbers. First question is on the margins. If you can help us break down the core business margins, I see this 25%. Meaning, if Paisabazaar has turned around this quarter, then how does the YoY margin look in the insurance business? Basically, if you could break down the margin movement in Paisabazaar and the core insurance business.

Management: I don't think we get into that level of detail. I don't know if we've done that historically. So, we will simply avoid it. At the contribution level, both are doing well and both are quite similar now at

the contribution level. Yeah, maybe insurance is a little better.

Jayant Kharote: Has Paisabazaar turned around on EBITDA? Is it a positive?

Management: Paisabazaar, on an operating basis, is positive on EBITDA this quarter, and honestly, internally at least, we expect it to be significantly positive next year, so we actually expect quite a strong year from Paisabazaar. San tosh, if you want to speak a bit about it.

Management: Right now, Q4, the contribution margin is healthy, and at an EBITDA level, it is still minuscule, I'd say, very small but it's positive. This financial year, I think we should make a lot of progress, and I think we're seeing growth every quarter, that's all I would say. But for it to be meaningful, I think it's a wide way.

Jayant Kharote: So, in Paisabazaar, only if I could double -click, and maybe, Santosh ma'am, if you could help. See, the main issue has been that our fixed cost base is roughly in that range of ₹200 Cr +/-, I don't know the exact number, but the revenues, unfortunately have been facing some downward pressure, whether it's credit card issuances, or even the take rates in unsecured, right? The industry is having a lot of channels that are doing that. Of course, Paisa has its moat, but there is take rate directionally that's getting compressed. So, where do you see that delta coming from and again, while you're building new bu

sinesses, does it mean it's not adding up in direct costs on the balance sheet.

Management: See, you rightly mentioned the number. So, the cost numbers are roughly similar. They've stabilized, and I think what we will see, this year is operating leverage because of that. The fixed cost option will be better, and as we scale, the PAT margins will emerge. That's what we're expecting in this financial year. We are starting a few new initiatives, but those will not add to incremental costs, so I don't see the cost side increasing too much. As the revenues scale, the margins will improve.

Jayant Kharote: And ma'am, is the renewal revenue improving, or that continues to struggle a little bit because of what has happened in cards?

Management: So, largely, Paisa is an origination revenue, its renewal revenue is not too significant, so most of what you see is one-time origination revenue.

Management: In fact, Jayant, we are moving away. So, I know what you mean by renewal revenues, what we used to receive up to one, two years ago. We still receive some component of that, but that's becoming less and less important. We are more and more focused on upfront payments rather than renewal revenue. However, as we move towards the savings business, some of it will appear, but honestly, from a revenue perspective and a meaningful revenue, both at PB Fintech and even Paisabazaar level, you're probably talking not the next 2 years, from a renewal revenue of that.

Jayant Kharote: Great, great. And last question is on, while I know there is no consultation paper that is out there but one hypothetical question to you, Yashish, if at all there is some take rate reduction, we

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operate at a blended between 16 -18%, if there is a 50 -100 bps. The only question is, how much can we manage to pass on?

Management: I'll give you all, the very, very straight answer as I see it, and you either accept it or don't accept it. See, if we were an insurance company, if Policybazaar was an insurance company, and I'm talking about health insurance because, as I explained, you have to break this up. POSP, what happens, honestly, doesn't matter to us. Whether I say it or not, we do that business for different purposes, growth and whatever, defensive play, etc, etc. But in the core business, if we talk about it, if you look at life, I think whatever happens, we will benefit. Because whenever you have deferral of payments, the larger, more consolidated players benefit, because they are the ones who can play that game out very well. I think the story everybody may be worried about is health and so let me address that. If Policybazaar was an insurance company, our total costs and the claims paid out on our book, and when I'm looking at a fully loaded, delayed book, are less than 80%. There is no insurance company in the country who can compete with that. All I'm saying is we have the most profitable book in the industry by a 20% delta from the rest of the industry. So that 20% profit will go somewhere, whether to us or to the insurance company. And it will be a fair outcome between us and the insurance players. How? You have to trust us. It can always take us 3 months, 6 months to put that in place, but that will come in place. Whether it comes through, whichever mechanism it comes through, whether from a reinsurance, whether from a reinsurance broker, whether from a JV, whether from whatever mechanism it comes through, but it will come through. I also explained to you, and I think you guys should start catching the clues of what I'm trying to give. We know the 95% of customers who are not claiming. So, I just leave it there. So, I know the part of my book which is operating at less than 10% claims ratio. It is visible to me. Those customers deal with me every year at every renewal. I'll stop there. You can just imagine the kind of situation.

Jayant Kharote: No, of course, this is clear.

Management: Please don't worry about my 16%. I take the 16% because I only want to take 16%. It's not because I can only get 16%. I'll park it there.

Jayant Kharote: This is very helpful, Yashish. Sorry, what I was asking was, on the agent side,

essentially, how much do you think we can pass on to the tele-agent network? With the AI also coming in, can we offset? Basically, I was trying to say, even if we were to take 30-40 bps, can we offset that through more IVR and tele-agent pass-on? Is that a right thought process, or I shouldn't be thinking like that?

Management: I just want to be very upfront with you. It's not like that we are today not trying to be more productive because we are getting paid expectantly. I mean, our teams are seriously working hard, and we will not leave anything. It doesn't matter whether the commission goes up or down, we want to be more productive. So, yes, I understand where you're going. I think Yashish was trying to indicate that the economics very much support the take rate that we get, and we leave significant profitability for our partners also. So, hopefully, as things work out, and depending on where they go, I think speculation is not required. Wherever we end up, we have a very high probability of being able to manage the economics. I think that's what the message we're trying to give you, but I do want to assure you that we are making every effort, every day, to be more productive and reduce costs, whether through AI and all other routes available to us.

Jayant Kharote: Great, great. Thanks a lot, and congratulations once again to the whole team for the great success.

Management: Thank you, Jayant. We will now take the next question from the line of Dipanjan Ghosh from Citi.

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Dipanjan Ghosh: Hi, just a few questions from my side. First, when I look at the evolution of Policybazaar, from insurance and Paisa, now pension, in your presentation, you have mentioned about PB marketing, your intention to get into even stock broking, if I'm not wrong. You mentioned in the presentation, you're applying for ARN license for MF. And when I look at the landscape, the way it is developing, and some of your listed peers, or even unlisted peers. It seems all of you would start, becoming a digital native platform for distribution of all sorts of financial products, or most sorts of financial products. Now, there are two questions. One is, how do you really differentiate yourself from others, maybe not today, but let's say 5 years out. And second is, in terms of, leveraging your existing customer base, whether it's Policy or Paisa, for these new product classes or kind of cross-selling, what sort of data sharing practices are there, or, I mean, can you really do that? I mean, how do you really leverage the existing customer base? My second question is on PB Connect, the physical leg of the lending business. It seems that the volumes were quite low compared to last quarter. So, is there any change in strategy on that business? And my last question is on the phygital leg of the business on the core insurance side, in terms of you deploying manpower in 200-plus cities. I just wanted to understand, in terms of capacity that you have currently to service, and the product mix or margin profile, how do you really look at the phygital business versus the core online business? I mean, over the long term, will there be any difference in the margin profile?

Management: Sure, thank you. First of all, we have two businesses. One is Policybazaar, and one is Paisabazaar. And a lot of what you mentioned actually applies to Paisabazaar, so I'll pass that. Policybazaar stays extremely focused on one problem, and it's a very, very deep problem, and I don't think anybody else is trying to solve that problem, which is solving for social security of the middle class, which implies protection against death, disease, disability, and old age, w

hich can be pensions. So, there are basically four products required. Health, term, pensions, and waiver of premium. Waiver of premium is basically, in case something bad happens, if you've invested in a mutual fund, you only get the 3 months that you've invested for, but if you've died, then you get the waiver. So, these are the four products. And that goes for child education. These are what Policybazaar is focused on. Paisabazaar and the future that it wants to build, I will just pass on to Santosh to explain. Before I go there, maybe Sarbvir can cover the insurance physical versus online.

Management: So, again, just to be very clear, Dipanjan, the person comes to our platform, and either the same person who is speaking to them on the phone, goes to visit them, or they pass on, they make an appointment, and one of their colleagues who's in that city goes to meet the customer. So, the journey is exactly the same, it's just the fulfilment, which is physical. It's about 25% right now of our savings, term, and health business. If you've just looked at together. It has been growing, quite rapidly, but so has the rest of the business, so the percentage, grows very, very slightly every quarter, every year. Now, as far as the economics of the business are concerned, they are actually very, very good, because as you can imagine, the lead cost is the same. Now we're getting extra conversion from that lead. We have spent money to get the customer, now we're getting extra conversion from that. So that conversion, of course, comes at a very high contribution margin. The biggest challenge that we have been working on from day one is the quality of the business, because suddenly we have a situation where you're not on a recorded line, etc, etc. So, we do verification calling, we focus from a cultural perspective to ensure that our team understands the importance of quality, etc. So, I think the skill that has been built, the first skill to be built was how to manage a physical workforce, which I think our team now has got pretty good at. The second skill that we have built is how to manage the quality of that sale so that there is no deviation, because, all the things that we tell you about, the quality of business at

Policybazaar is one of the key ingredients, and that is measured in terms of claim settlement rates, loss ratios, in terms of persistency and renewal rate. These are the clear metrics which tell you whether the quality is good or bad, and I would say all four of them are at all-time highs right now. So far, it appears that we are managing it well. But it's something that we are very watchful about.

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Management: I'll now pass on to Santosh, and before I pass on to Santosh, this is not a board-approved thing, but our idea is that Paisabazaar goes on to list itself, maybe in 4-5 years, whenever, but that's the whole idea to which the team is driving towards, and I'll kind of pass on to Santosh to kind of explain what her strategy for doing that is. Sorry, not for doing that, but yeah, overall.

Management: Dipanjan, largely, Paisabazaar has about 5.8 Cr consumers that it has acquired till date and that almost represents 50% of the active credit Indians in India. Now, how do you do more to these consumers is basically the idea. We are transitioning into becoming a more engagement platform than a one-time origination platform. And, you can, of course, do that through credit, but you can also do that through savings. People want both kind of products. Now, to do the savings business, we of course wanted both the bonds and mutual funds. So, the stock broking license that you were talking about is a prerequisite for acquiring a bond license. So that is why you see that license being applied. And, Bonds, I think, is a very good consumer product, very efficient, and a good, fixed return product that consumers like. We've done some initial experiment partnering with

the platform, and we've seen some early success. So that gives us a lot of confidence that this area will really build. And I think it's the right time to also, I think, start this product in India today. It's a very new industry, and there is some activity happening, but I think we're at the right time entering this space. On the mutual fund side, it is an established industry. If you ask me really, the right to win will be harder, but what we are attempting is, instead of moving to a monthly SIP format, bringing in a daily SIP format. And that can build a lot of engagement. It really improves affordability. People, when put in, say, 100 rupees every day, and when you see it compound over 5 years, it can be a meaningful number. So I think that is the path of building the savings area. Of course, it'll take another 2-3 years to actually flesh that out fully. But that will build a trail, building a recurring revenue stream. That's largely the idea of customer engagement.

Management: And on PB Connect, just to explain, we had two kinds of businesses. So PB Connect is basically, just for everybody's sake, it's like the POSP of home loans, and in that, we have two kinds of businesses. One is more focused at retail agents, so very, very small micro-agents, and one is dealing with other agents who are large enough, so more like wholesale. We have decided to stop the wholesale business, and it's a decision that we've taken, because we don't see any strategic value of that business. And, because we decided to stop that, you have seen a decline in the revenue. It has no impact on the overall profits. Like, maybe we were losing ₹0.5 Cr a month or something, so that ₹0.5 crore loss is gone.

Dipanjan Ghosh: Got it. Thanks, everyone, and all the best.

Management: Thank you, Dipanjan. We will now take next question from the line of Supratim Datta. Supratim, please unmute your mic.

Supratim Datta: Hi, thanks everyone for the opportunity. I'll start off on the Policybazaar side. So, you have indicated that the fresh business growth has continued to remain very strong, driven by protection. Just wanted to understand, how are the customers that you're getting post-September different to the ones before that? Is there a ticket size difference, is there a product or the kind of policies that they're taking; is there a difference there? Just because that would be very important in extending this growth. So that's the first bit. The second bit is on the change, how you're trying to expand the Paisabazaar platform. Wanted to understand, one, on the mutual fund side, would these be direct mutual funds that you're doing, or would these be, the regular mutual funds? And then, it seems like you're going towards more of a distribution, a wealth management, kind of a setup, with bonds and mutual funds. So, wanted to understand that, maybe 5 years out or 7 years out, is that the ultimate aspiration, that you want to be kind of a wealth management platform for retail, mass affluent customers? That's the second bit. And lastly, on POSP platform. You have indicated that you are going for more granular, smaller agents. Wanted to understand, currently, what is the proportion of these smaller agents, be it in form of number

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of agents or contribution to premiums. And what was it, maybe one year back, or two years back? So, just some colour, how is that actually playing out? So, those are my three questions.

Management: Sarbvir, do you want to just explain the customers before September, post-September?

Management: Supratim, as you can imagine, the customers are roughly the same, but what has changed is the fact that, one, there was a lot of exposure to people about term insurance and health insurance, because there was a lot of discussion during the GST time. However, what has happened post-GST is that in health insurance, for instance, people are buying higher sum insured than t

hey were

buying earlier. So, if you look at the proportion of policies below ₹10 lakhs and greater than ₹10 lakhs, now a vast majority of policies are being bought which are ₹10 lakhs and above in terms of sum insured. So that has pushed up the ticket size somewhat, and that is helping. There have also been a couple of insurers who have launched unlimited sum -insured products, their pricing is around ₹25 lakh sum -insured type range. So, those also have helped, because now people are attracted by the fact that they can have unlimited sum insurance. So, I think that is what has changed to some extent on the health side. On the term side, the change has been, again, because the customer is seeing a 18% reduction, because, prices have not changed on both health and term insurance. And what that has led to is that people are buying; there the sum assured hasn't gone up by that much, because, people tend to think in bigger buckets, like, you think of ₹1 Cr, then ₹2 Cr etc. But people have been buying a little bit more of the riders. So, things like a critical illness rider, the attachment of that has gone up; some of the accidental protection riders, their attachment has gone up. So, I think that has changed post -September, but both of these changes are dwarfed by a different change, which is the fact that our conversion rate has gone up. So, for the people who are coming, more of them are buying, because I guess they are a little bit more aware about the value of insurance. On the POSP, before we move on, Sarbvir obviously has this data we just looked at yesterday. 99.5% of the agents make less than about ₹20 lakh revenue in a year from us. Only 350 agents or so make more than that. In terms of premium, 83% of the premium comes from the small agents now. If you look at the same number a year ago, that would have been close to 50 -50 in terms of premium. So, I think our growth is despite the fact that we're cutting out a lot of the other part, and it's actually reducing year-on-year, but it's gone from about 50 -50 to about 80 -20 in terms of premium.

Supratim Datta: Understood.

Management: But in terms of agents, 99%+ .

Supratim Datta : Got it. And on the Paisabazaar bit.

Management: On the Paisabazaar side, look, we're a lending company. Lending has certain advantages but it does not have engagement with the customer as much . So one of the things we've done is, because every time there's a downward trend, you used to get hurt, we have improved the quality of partners that we are operating with. See, what we noticed over time was the larger banks, the larger institutions, even in downtimes, support their partners, and maybe our efforts in that direction was lower in the past. We have put in additional efforts in that direction, so we've got more of those partners. Our end-to-end journeys have increased. See, in downtimes, people and quality is something to be really focused on. So lending is going to keep doing well, and I think you will see a very good year from Paisabazaar. In terms of the long term, at this point, it's not very crystallized, but yes, you are right, we are going to do pretty much everything that anybody does to take care of our customer base and engage with them in more and more products, and create more and more opportunities for them to visit us. There are various things we're doing. We're doing points, we're doing tokens, we will do mutual funds, we will do bonds, and we will find our own space, like we've done in everything else. We were never the market leader when we started anything. We'll find our own space.

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Supratim Datta: Understood. One last data -keeping question. Can you split that 67% protection growth into how much is term and how much is health?

Management: Health is ahead; we just want to stop there. We don't want to give out our exact health growth. It's quite high. It's interesting.

Supratim Datta: Got it. Thank

you.

Management: Thank you, Supratim. We will now take next question from the line of Neeraj Toshniwal from UBS. Neeraj, you can unmute of your mic.

Neeraj Toshniwal: Hi everyone. So, first question is, Yashish mentioned that, there have been a possible scenario of, deferral in the life insurance, in terms of commissions. So, just wanted to understand in such scenario, what will be the impact of deferral revenue recognition and, and the cost which we incur. How would that change?

Management: So, Neeraj, first of all. I don't want to speculate on any scenario. This is just what we hear in the market. It might happen, it might not happen. All I'm saying is, for us, we find we've been asking the industry for this for the last 10 years, that we would like to get paid on a deferred basis. We're the ones who've been going and asking for it. So, and I don't want to kind of add fuel to this fire by kind of saying Policybazaar has this view, Policybazaar has that view. We'll just chill there, yeah, that's all. I think I don't want to answer specific questions on what we will do with this deferral and all that stuff.

Management: I just want to explain, because, this is a very emotive topic, and I think what Yashish is trying to say is that if you look at it on a persistency -adjusted basis, we are there. It's not that what we get paid would have a major impact, if you were to defer it, because of the persistency that our portfolio has. Having said that, we are okay both ways, and in the wisdom, whatever way is there, we will cope with it. But I think the point that he's trying to make is that because we have the persistency, it doesn't really affect us that much. But overall, we are very happy with the current system. I would just want to say one more thing, that life insurance contracts are 30 -40 years, especially in the case of term

insurance. So, the way to think about it is, the first -year commission should not be seen as divided by the first -year premium. You have to look at it on an NPV basis over the life of the product. Obviously, persistency adjusted. So, when you do that, then you'll actually find that, especially in term insurance, the commission is not as high as people think it is. Commission is less than 5%. So that's kind of where we are, and I think that's what we are trying to say. I don't think we necessarily want to advocate one direction or the other.

Management: Yeah, we are certainly not participant in this debate of whether it should be deferred or not deferred.

Management: See, basically, there's a P&L part, and there's a cash flow part. Now, if you just look at the Ind AS accounting, on P&L, actually, there should not be any impact, whatever happens. Cashflow, they may be a strong impact, but we'll see when the rules will come out and what sort of rules come out.

Neeraj Toshniwal: Definitely very, very helpful on this. The second is on Paisa. As we are mentioning that there's lot of growth which we're expecting, are we also deploying more resources, and that could lead to somewhat of higher expenses as well? Or are the cost base totally intact, and only we can get is operating leverage from here? How should one think about it?

Management: I think I'll let Santosh answer it. I know the answer, but yeah.

Management: I think we'll see a lot of operating leverage, this year. The costs have stabilized, and I think the absorption of that will be much better. See, as we improve scale, and like Yashish mentioned,

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a lot of supply work has happened. Our conversions are going up; people are seeing more offers that can translate into actual disbursements. So those rates have significantly improved, and hence the scale will improve. From a cost perspective, it should be roughly similar this year.

Management: See, on Paisa, I would just say, and Santosh probably didn't say it because she's too nice. Compared to last year in terms

of quality of business, productivity of employees, we are supremely high right now. For the same inquiry, how much are we getting out, we are supremely high. I think we are at a point where we're not expanding employees for some time, and we think there is some leverage left for us to get. Maybe about 30% or so is something that we can get with the current employee base. But I'll just share one thing with you. Like last year, if we looked at when Santosh took over the CEO position, if we looked at how many of our employees were making incentives, it was very, very few because they were not operating at a very high quality. But today, if we look at that, that number is a lot higher, and incentives is a higher percentage of their compensation, because that's the way you can see if a sales team is driven or not. Incentives is a much higher percentage of their comp. They're almost unbelievable, because it has almost come to Policybazaar levels in that respect, that what percentage of your total compensation is variable. And I'll stop there. I'll let time reward Santosh, rather than kind of, me doing it in advance of time.

Neeraj Toshniwal: No, that is helpful, Yashish and Santosh. The last bit on this is secured disbursements have meaningfully dropped. It's a change of strategy, or the take rates are not favourable, so we are kind of pushing back on this.

Management: No, they have only dropped in one area, which was wholesale POSP distribution, which we were doing for one supplier. Look, it was not making strategic sense. We've decided not to continue that business. We stopped it in January. It takes 15 days to stop the business, after that, we are not doing that business. It was a meaningful part of the home loans part of the Paisa revenue. That's fine. It was kind of fluffy revenue in the sense it didn't really have profits; it would never make massive profits. So, wholesale POSP is what we've stopped. Everything else is up.

Neeraj Toshniwal: Okay, thank you, team.

Management: Thank you, Neeraj. Next question is from the line of Manas Agrawal from Bernstein. Manas, please unmute your mic.

Manas Agrawal: Thanks for the opportunity. Great momentum on operationally everything. Couple of strategic questions. I think we have discussed take rate extensively. The other thing that comes up in investor conversations is capital allocation. So, are we in a position that we want to comment on use of money that is lying on the balance sheet and the accruals that we are expecting? That is one. The other is on PB Health. Can you give an update on what operationally is happening on the ground? Because I may be wrong on this, but I thought the investment last year was going to be a one-time investment, so if we are looking at a follow-on round as well, would be good to know what is actually happening on the ground on that business. That's it.

Management: So, there are multiple layers to PB Health, but let's go with the hospital part. We've acquired one hospital, which is an operating hospital, makes about ₹20-30 Cr of profit in a year, does about ₹150 Cr of revenue. So that's operational and running in Noida. Our next hospital is to go live in the next few weeks. In fact, next week is sort of starting of it. By this month end, it should be operational. That's in what you call Central Gurugram. We are getting into another hospital in Gurgaon. There's another one we're looking in Delhi, and we've also started looking outside of Delhi. So that's the hospital's part. On the second hand, there is something called PB Care+, which is a network. Basically

our customers go to all hospitals today; and now we are creating a preferred network for our customers, and that preferred network is about 500 hospitals strong. So, for example, if you had cataract. Today, across the country, if you were our customer, we would direct you towards Agarwal Eye Care, because

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that is part of

the PB Care+ network. So, that's happening. Now, what you will see over time emerging from these two, so one you see is an absolute operation less; of course, operations is involved, but the healthcare is somebody else's responsibility and we are only coordinating between our customer and the healthcare. And the second is full-blown hospital development, and this is where you're seeing two parts. Now, these will start to come together over the next one year, where you will see O&M operations. So, of this 500-600 hospital network, we will take on some of them and start operating them under the PB Health brand. I'll stop there. As I said, PB Health has no immediate requirement of cash. They have not even used 30% of the cash they had. But they are in conversations to raise capital, they are in late-stage conversations, and should they come to PB Fintech, PB Fintech will consider it, we will think about it. But it has not come to PB Fintech yet. And it may, it may not. But PB Fintech has the right to invest up to its pro-rata, which it can decide. It can decide not to; it can decide to do it. It doesn't have the right to invest more than pro-rata.

Manas Agrawal: Understood. Anything on capital allocation, balance sheet, cash?

Management: I'll explain. Over the last 3 months, because see, you're asking, in a way, I've already said we've not had any discussion at the board level, so you're asking, okay, what's in your head? So, in our head, at least once we've had a conversation about buybacks and dividends. That's it. I can just say that. That's a conversation. It's not even gone to the board. It's not even being discussed properly at the management level. We don't know what we will do here. We don't know but right now, we don't really have a plan on what to do with the capital.

Manas Agrawal: Got it. Thank you.

Management: Thank you, Manas. Next question is from the line of Nischint Chawathe, from Kotak. Nischint, please unmute your mic.

Nischint Chawathe: Hi. Two questions. One is, can you give some update on what happened, and how did the UAE business fare this quarter, and is there a particular outlook on this business?

Management: No, absolutely. I'm amazed by those guys, and I'll tell you why. In fact, I would have spoken about them in the beginning, as I usually do, about something amazing out there. Because, if you really think about it, the bombing started kind of on 28th of Feb. March should have been a washout month for them. Then about 5 days in, AWS got knocked out and we were on AWS. So, just imagine this scenario. 10 days, we had the ability to do zero bookings. Our entire system is down. And I go there for the review, like I usually do at the end of the month, and I'm trying to be encouraging about everything. And they review the thing, and they say we are 3% year-on-year up. I'm saying, how is that possible? I was thinking that the competitor would have taken everything from them, because the competitor was not on AWS. And the competitor's not as much up. So, boss, all I'm saying is, thankf ully, and I was explaining to the board also yesterday, that while they're a public company and everything, we somehow are very, very driven, and we have deep ownership in the company, not in terms of stocks, but just in terms of deep ownership of the processes. And I just feel super proud about the situation. And so, I think in bad times we'll perform okay; in great times, we'll really shine. That's all I can say. Like, you can't get worse than this, your entire network is gone, you've been bombed, and you still grow 3% year on year, for the month. I'll stop there. For the quarter, they are actually 10% or 12% up. Obviously, Jan, Feb, they were growing beautifully.

Nischint Chawathe: Okay, got it. You know, on the term and health, we have seen a beautiful J-curve post-GST cuts, and if I look at the savings business, I think we're at an industry level...

Man

agement: In health, for the last 13 quarters, we have grown at 60%+ ; 60% growth over 4 years. We do realize what that does, in terms of multiplications. But, GST becomes the J-curve? But yes, term, I

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agree. But term, it is not GST, it's actually our guy here. We got a very special guy who started to really make changes. I said he's the hire of the year for us. But, sorry, Sarbvir, I'm taking your thunder.

Nischint Chawathe: Yeah, so the question was actually on savings business, when do you see the similar J-curve in savings business? And I think more from a broader industry point of view as well, right? I mean, the life industry, new business premiums have sort of stagnated at low double-digit levels. So, what can the industry do, or distributors do, or what can the government do to nudge both the parties to kind of have a similar J-curve in the savings business?

Management: Avoiding the use of the term J-curve, I would say that, savings for insurance, we have to figure out what is the customer proposition, because, see, total amount of savings, we can see the growth in SIP, we can see the growth in mutual funds, etc, bonds, everything. So, it's not that the total

amount of savings in the country is a challenge, I think the savings coming to insurance is definitely, to some extent, you can argue, is a challenge. And I think the main thing is the customer proposition. And one of the things that we have always tried to do is to start from the customer, rather than starting from what we want to sell. Many years ago, when Santosh was leading the business, she introduced the concept of a capital guarantee, where we said that your premium will be guaranteed, we will ensure that we get your premium back, and then you have upside in terms of the market. That was an innovation that did well. Now we are trying to go to the next level, where we are saying that the reason you should invest in a ULIP is that you at least have to be in the product for 5 years, that's the base term of the product. Obviously, you can stay 10, 15, 20 years. And we're saying that the reason is that you tie a goal to the investment. It's not a frivolous thing that, okay, let me put some money into the market and see because there's a war going on, or whatever. It's a goal that you have. One goal, it could be child education, could be buying a house, could be your retirement. So, these goals are serious goals for which you have to remain invested. That's what a ULIP really does well. Second, ULIPs have a feature which is called waiver of premium, which means that should something happen to you, the insurance company will continue to pay your premiums, also pay out the sum assured, give a monthly income to your family. Here, you have not just planned for the goal, but you have protected the goal. And then the third thing is that still ULIPs enjoy a tax advantage up to ₹2.5 lakhs, so they are actually, right now, the best investment. And within that ₹2.5 lakhs tax advantage, you also have the ability to switch from equity to debt. So, it's the only debt product available in the country without having to pay tax on it. So, there are 3 very big advantages of ULIPs. I think we are going to promote this more and more. This is something that we have been doing even earlier, but we are going to promote these things more, and we believe that this will attract customers for the right reasons. See, many times we forget that despite all the discussion about SIPs and mutual funds, after 5 years, the number of active SIPs, the estimates vary from 3% to 11% or something. So, after 5 years in our ULIP, the persistency is somewhere in the 70-75% range. So, the customer that we are getting is a good customer. I think we just need to talk more about the advantages, and it's not for me to say what the industry should do or not do, but I do believe that all of us have to start from the customer and offer

a proposition which is

good for the customer. Waiver of premium is a great proposition.

Nischint Chawathe: But do you think, a meaningful change in commission, origination expenses, operating expenses, EOM can kind of make the proposition much more attractive? I mean, is that something that can trigger customers to buy more of savings products?

Management: See, Nischint, our take rates on the ULIP side are probably the lowest take rates, probably, of the entire business that we do. Because as you can imagine, when you sell low-cost ULIP that too with waiver of premium type of feature, there's not much that is left. We are giving everything to the customer. So, the products that we sell, I don't think there's any story around commission in that, because we don't take much commission. The story for commission is in other types of products that the industry sells, and in those products, yes, the commission again, because it's a first-year commission, can appear very high. The customer has no clue about that commission, and quite

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honestly, without distribution, that industry would not be there or with lower benefits. So, assuming Nischint, quite bluntly, in some product, there is high commission, and you say, equate it to what Policybazaar gets. So, suppose the entire industry's commission structure became for savings business, the same as what Policybazaar makes on the savings business. I think it would pretty much stop. It'll probably be 2% of the industry left, besides Policybazaar. But, why should I make those statements. I think everybody who's smart can see those statements eventually, and that's why, when earlier, Dipanjan was asking that question, I did not want to answer it, because it's a speculative question which would never happen. If it happens, it's industry destruction, not industry expansion, in my opinion.

Nischint Chawathe: That's fair. Great, thank you very much.

Management: This is not a mutual fund product. It's not something that the customer is saying, I really want to buy this. I really want to invest in this. And that's why I'm saying, Santosh started this business from scratch, took it up to when we were doing ₹5,000 Cr of this kind of business. Imagine what she will do when she actually gets the mutual fund product, because she wanted to always sell mutual funds, and she's finally there. So, all I'm saying is that is a much easier, much more attractive product, and if you take it on an AUM basis, eventually, we make less than that also. So, there's lots of existential questions around that part of the story.

Nischint Chawathe: Got it, got it. Thank you very much, and all the best.

Management: Thank you, Nischint. Next question is from the line of Prayesh Jain, from Motilal.

Prayesh, please unmute your mic.

Prayesh Jain: Hi. Just my question is again, on the health insurance bit, and a phenomenal growth journey, growing for so many quarters at 60%+. Post-GST, obviously, we've seen some tailwinds coming in, more tailwinds coming in. Just wanted to understand more colour of it, apart from new customers coming in and sum insured increases that have happened. Has long-term policy also has picked up a

momentum, because we keep hearing about people kind of marketing about a price hike that could come through and, lock-in of a price and probably long-term policy, and that is kind of also coming into your premium and driving the growth. And related to that. Obviously, we have seen a phenomenal growth in the second half of this year. Now, do you think that a 30% growth on that high base is still achievable, or what are your thoughts there?

Management: So, I'll just explain the question that you asked in terms of the long-term policies. For us, long-term policy proportion of our premium has remained very stable between last year and this year. What has changed, however, is that some of the people are buying 4 - or 5-year

policy. Traditionally, in

health insurance, the highest term used to be 3 years. Now, we have 4 - and 5 -year policies, so that proportion has increased, but the overall proportion of people buying long-term policies, or the premium on multi-year policy has not changed very much, at least for us. And this question was asked on the last call also. I just want to explain to you that there is no tricks in the business growth that we have achieved, because it's been going on for 3 years now. And again, no one can say whether it will remain at this rate for next year or not. I mean, I don't think that's something we want to speculate about. I would say that the thing to focus on is the fundamentals, the fact that we have the segmentation of customers, we have the products for those appropriate products, priced correctly. The fact that we have a well-trained sales team, which has tools, now increasingly using GenAI, etc. And then we have the service and claims experience. I cannot stress enough that the service and claims experience is the keys to a kingdom. Everybody buys insurance policy for that rainy day when something will happen. And I think when you show up on that day, and they're able to get the claim, that changes the equation, and honestly, the feedback that we are getting shows that we are making progress. One is a CSAT and all those kind of numbers, but the other is to see the anecdotal feedback. So, to my mind, those are the

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building blocks, and it's not that we are selling more multi-year this year versus last year, etc, etc. None of that stuff is happening. Now, a large number of customers who have not bought from us are coming to us saying, please just help us at the point of claim. That is becoming a massive USP. Next year growth; no problem.

Prayesh Jain: Yeah, the other question was on claims bit, the physical support that you offer on claims, people on the ground in hospitals, helping customers settle the claims. What is the kind of penetration that we have in the country today, and how do you kind of see that increasing, and the span increasing over the next few years?

Management: I think, Prayesh, if I'm right, we are at 250+ cities, and I think there are two things that are going on. One is this 250+ may go up a little bit, but that's not really the story anymore. The story now is actually shifting towards the PB Care+ that Yashish mentioned, where there is the preferred network, and if you go to that network, you will get preferential treatment. So, the cataract example that we discussed, because it's a planned procedure, the customer is taken straight to their room. The procedure is done. Depending on how much time they have to stay, they then go home. Again, no billing desk, nothing. So, what we are trying to do is to create this, totally red-carpet type of experience. There will be a PB person in that hospital, etc. So, combination of technology and operations, and the experience will be at next level. So that's what we are really trying to do. Today, if you have the Policybazaar app, you can consult a doctor 24/7. So we have worked with all our insurance partners to offer this service to our customers. So, you can consult a real doctor, you can call an ambulance. So, I mean, the whole story is changing from just physical presence in cities to presence in hospitals, and giving amazing experience to the customer.

Management: And Prayesh, if you look at the data, and I'll just take one minute on this. There are basically three segments of customers, but on the corners, there are two segments of customers. A very small percentage that are regular claimers and there's a large percentage that never claims. I think as we look at the next 5 years or so, what we have to do is to give something back to the non-claimers also. Whether that comes in terms of maternity cover, whether that comes in terms of some gym access, some wellness

benefits, OPD benefits, etc, somewhere we have to sweeten the deal for them, because right now, they're getting nothing. So young people, etc, coming in are getting nothing. And as we talk about the people who are regular claimers, we have to bring them into participation. And please understand, right now, participation is hated as a word, but participation can be in terms of co-pay, can be in terms of limited networks, can be in terms of tiered networks, various things. But without this participation, please appreciate the cost is going to become unsustainable for the industry; we're not doing this out of joy, we're doing this out of necessity. The cost will become unsustainable for the industry. So those are the two things that we have to work on, make it better for the people who do not claim, so that more and more of them come and get something out of it, and bring participation from the regular claimers, because without that, it won't be sustainable and they're very few to work on.

Prayesh Jain: This last one bit. So Yashish, you were rightly mentioning, the new initiatives have been in existence for some years now, and they're no longer new initiatives and scaled up beautifully. So, if

we start bucketing new initiatives, like what we've spoken about in Paisabazaar, what would be those in terms of, say, 5 years out, do you think that these could be, say, about 10% of your revenues in like, 5 years out?

Management: I think new, new initiatives will come. There are new things happening already, whether we talk about embedded insurance, whether we talk about the savings business, whether we talk about home loans business, there are new things happening constantly, PB Care+, PB Wheel, PB Pay. See, if you look at the new initiatives, where did the big revenue impact come from? It came from POSP. POSP is like wildfire. You can expand that business very rapidly. And doing it with the right quality is hard. And that is what our team is doing & has been doing for the last 3 years. They're building it to the

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right quality. So, I think that kind of growth coming from a single lever is not going to be that easy. But we'll see. We always stay open. All the time, there are 3-4 new things we are doing. The reason we are still calling them new initiatives and not old; we don't want to confuse the market by kind of just combining them and stopping disclosure around how much is what. That's all. It's just for disclosure purposes, nothing more than that. The growth rates are very similar now.

Prayesh Jain: No, that's super helpful, thank you.

Management: Thank you, Prayesh. We will now take the last question from the line of Sanketh Godha from Avendus. Sanketh, please unmute your mic.

Sanketh Godha: Thanks, Mohit. So, my first question was on the contribution margin of the new initiative which is coming down a bit. Actually, from the last 8 quarters it has been steadily improving; we see a dip in the current quarter. So, anything to read there, 4.3 % seems to be lower compared to 5.7% what you reported last quarter.

Management: No, it is same. There is some small mix changes, sometimes there is quarterly, annual shifts. Please, in our numbers, just look at them on a 12-month rolling basis. Do not focus a huge amount on quarterly numbers, because sometimes you get rewarded for some action, or penalized for some action in the last quarter. That always happens.

Management: Actually, since this may be one of the last questions, I do want to talk about how we are thinking about POSPs in general. See, POSP has been growing, still growing faster than our core business. And we believe right now, is a very opportune moment for us to deepen our penetration in the country. And the reason for that is that we have now, learned how to go to smaller cities, the model is kind of becoming better and better. So, I think that you will find us being very aggressive this

5 year on

POSP, because we see that opportunity. There is also a bit of an industry structure issue, because some of the competitors, we are now much larger than the competition than we've ever been. And the number two thing is that there are some changes going on; somebody is merging with somebody, somebody's trying various other things. So, we see a very big opportunity for us to really go hard on POSP this year. So, I would not get too worried or excited about contribution margin. I think we should see a meaningful improvement in growth in the next financial year, and that's what I would look towards.

Sanketh Godha: And the second question, again, maybe related to fourth quarter only, that PB Corporate Business grew 140-odd percentage, which you highlighted in the slide. So, anything to read there, whether it's a one-off, or you think that you are going to scale this business meaningfully faster? And honestly, on profitability, you last time told that UAE is profitable. So, how do you see PB Corporate to play out from a profitability point of view?

Management: I think the reason PBFP's growth looks very high, of course, is the fact that we are still, growing in that business. We are the fastest growing corporate broker, but we are still small. Compared to where we want to be. We had a great Q4 on the corporate side. We won some very prestigious accounts, which were with other brokers, which we were able to win, especially in the banking and financial space. I think those accounts, obviously, then led to revenue, etc, and that's why you're seeing that very dramatic growth. But again, it's 140%, but we have a long way to go on. I think corporate business will require investment still in the years ahead. And, if you ask me honestly, at this point, we're very happy to make that investment, because every year, we are building strength in that business, not only just in employee benefits, but now on the commercial side, the P&C side, where historically, we were not as strong. I think we are getting much, much stronger. So, I think there is again, a lot of reasons to invest in that business in the next few years.

Management: So, Sanketh, we've come from zero and we are now in the top 8 brokers in the country. Obviously, we don't want to stay in top 8. We want to be very, very big. We will invest in this, and what

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we are seeing is a very good team. We are barely hiring from outside, it's mostly internally built and internally driven, and we are building our own culture which is, as most of you appreciate, is quite strong. So, I think we feel very good about that business, and that business is not just a distribution again, we're thinking of it the same way. It's, again, leading us into healthcare, leading us into various places. So, we're very happy with the progress of our business. Yes, it does make a small amount of loss, which is

perfectly fine. I think the group can easily afford it for a few more years.

Sanketh Godha: But do you think this business to become very quickly profitable, given after you achieve a scale, the kind of growth what you're delivering right now? I mean, compared to POSP, naturally?

Management: Yes, this can be significantly more profitable than the POSP business, I have no doubt there. But, as I said, that's not the immediate focus. See, across the board, our immediate focus is growth and quality. I think there are 3 levers you can think of growth, quality, profits. Please read us, while a lot of questions come around profits, that has not been our focus. Our focus is the other two. And this leg will just follow along, and of course, if you are doing growth and quality, eventually profits can't elude you forever.

Sanketh Godha: Understood. And lastly, on the revenue side, we know that in long-term plans, we recognize the revenue, but naturally it is receivable. So just wanted to understand from the full-year point of

view, around ₹6,800 Cr of revenue what we have reported, how much of the revenue, we have recognized, but yet to be received from the insurer. Just want to understand the portion of the revenue coming from there.

Management: I think, Sanketh, it's a complicated question. There is multi-year policies, monthly mode policies, etc. Mohit can help you on that directionally. I think the point remains that it's not a large portion of the story, and, growth is from last year to this year.

Management: There was a cycle, there was a cycle which kind of started about October '24. That cycle has run its course. So, yes, you have the impact of one year, but that should not keep playing out forever, and it should start clearing out now. As Sarbvir said, yeah, we can explain that in a more closed setting.

Sanketh Godha: Understood. That's it for my side. Thank you very much.

Management: Thank you, Sanketh.

Thank you, Yashish, and the other Management. With this, we now close the call, and if you have any further queries, you may please reach out to Investor Relations. Thank you so much.